

Avenue Supermarts Ltd. (DMART)

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"Avenue Supermarts Limited FY 2022 Investor / Analyst Conference Call"

August 4, 2022

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Moderator: Good morning, ladies and gentlemen, and welcome to Avenue Supermarts Limited 's Annual Investor and Analyst conference call. As a reminder, all participant lines will be in a listen only mode. And anyone who wishes to ask a question may enter "*" and "1" on a touchtone telephone. To remove yourself from the queue, please enter "*" and "2." Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rushabh Ghiya. Thank yo u, and over to you, Mr. Ghiya.

Rushabh Ghiya : Thank you so much. Good morning, all. Welcome to our annual investor and analyst conference call. I have on call with me Mr. Neville Noronha – our MD and CEO; Mr. Ramakant Baheti – Group CFO; and Mr. Niladri De b – CFO, Avenue Supermarts Limited. We hope that you had a chance to look at our presentation which was shared day before on the exchanges and the same is also available on our website. We will start the call with Neville briefly taking us through the pres entation, post which we shall open the session for Q&A. I would just briefly like to draw your attention to the Safe Harbor Statement for good governance and will then handover the call to Neville. Thank you and over to you Neville.

Neville Noronha : Thank you, Rushabh. Good morning, everybody. It has been really long and I am very, very happy to be back at a time where everything is fine and the business is doing pretty well. And hope all of you are doing great. As usual, I will run through the presentation. This is the same presentation which has been uploaded on the exchange s. And then we will open for Q&A.

I'm on Page # 5. What I can tell you from this basic slide is the aggregate share of revenue from General Merchandise and Apparel has still not gone to the erstwhile 27%-28%, but this is a weighted average for the year . How ever, our recent quarters gave us relatively better contribution. So, from that standpoint, it is quite encouraging.

If you go to Page # 6, again, more of the same. We continue to add more and more stores in existing locations. And obviously, I've spoken about this before also that it gives a lot of operating leverage for the business. But we are also looking at new states ; new cities and we had a lovely last year. I n terms of store addition, we added 50 stores , which is the highest ever that we've done.

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Page # 7, I'm sure there'll be a lot of questions on this business as usual, the DMART Ready business, the e-commerce business. We are now operating in 12 cities as of June 30, 2022. And we're quite happy with the way the business has progressed and I will take questions later on this business.

We spoke about this, Page # 8, we added 50 stores for this year. Let us go to Page #10. Again, more or less the same data, we will go one by one. We had total bills cut of 18 crores, obviously because of the additional store additions. Then we go for like-for-like growth. Like we always mention, this is for 2 years and older stores. And there's been a huge recovery because post Covid wave 2, we've had a very decent return to normalcy and even Omicron has been a significantly milder wave. So, recovery has been very good and post Omicron also the recovery has again further got better. We added 2.7 million square feet. Our stores are getting bigger and it is helping us expand our business in a significantly better way. Revenue per square feet has remained the same because the size of the stores has been larger. But that's okay, that's not a metric that we look at or we worry about too much. A larger store allows us to manage our business in a more efficient way and gives us a lot of headroom for future growth.

with.

Page # 11. Again, a very smart recovery from a revenue standpoint, EBITDA standpoint. PAT is also back to normal. My broad point of view is that business is back on track, back to normal, and we're quite glad to see that customers are coming back in full force and shopping in the regular brick-and-mortar stores. And here, I would actually also like to add that from an E-commerce standpoint, too, we haven't seen too much of a drop post COVID, which is also very encouraging. That's also an interesting data point. We're seeing that people are looking at us as brand DMART, and they're buying depending on the channel, depending on what's more convenient for them. This, I'm speaking primarily from the data we're seeing in Mumbai.

Operating financials - again, on inventory, very interesting data we see here and I would like to spend a little bit more time in the context of what we are reading about global retailers. Interestingly, our assortment is very simple, very straightforward, not very large ticket items, and we didn't really change much of our assortment throughout the last 2 or 3 years. And I think, because of the nature of the products we sell, we never had too much inventory during the peak of COVID also. And during the recovery, we've kind of come back to pre-COVID status in terms of inventory.

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of inventory days, inventory turnover, all of that. Again speaks a lot about the assortment, the resilience, and our ability to be agile during tough times. And then, also planning for a quick, easy recovery. I think the buying team has done a phenomenal job there.

Fixed asset turnover ratio is obviously a function of revenue, but these numbers will significantly improve moving forward. And on debt, I think we don't have any debt, correct Niladri? So, if you could share something on the Rs. 416 crores of debt.

Niladri Deb: This Rs. 416 crores that is appearing at the top right is actually restatement of the AS116 lease liabilities - the stores and the distribution centers we have on lease. On a net borrowing basis, we have no external borrowings.

Neville Noronha: And just to add on the fixed asset turnover, we are aggressive in terms of store additions and revenues have lagged so far for the last 2 years, but it is going to come back to around 4 in this financial year.

Page # 13 is the parent financials and Page # 14 is the subsidiaries' financials and the standout there is the e-commerce business. And like you can see there, that again, business has more than doubled and our costs have been managed pretty well. And we find this business to be interesting and promising. We are more confident about this business vis-à-vis last year. And that's why the calibrated expansion to other cities. We are excited about the possibilities of this business and how it can partner with the brick-and-mortar business to give multiple opportunities through different channels for our shoppers. But like I said, very happy to take more pointed questions on this business.

We were quite cagey and afraid that as this business grows, maybe it will suck in a lot of capital and all of that, I think those problems are of the past, that anxious

thinking is behind us. I think we can scale up this business by keeping our costs under control. And I don't think scale up would be handicapped by – oh it is going to take a lot of money. I think we have passed that stage. And this business seems to be promising. Whether it will make money or not we don't know, we've still not reached there. But I think we're more confident about the business than last year. That's what we can say about the ecommerce business. The Food Plaza business is the ready -to-eat / take -away fresh food in very limited pockets . Wherever we see an opportunity we try to do that. It is just like the cherry on the cake for a shopper who comes to the store.

So, that's why we built and we have this business and Align
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Retail Trades, the entire grocery procurement and processing business which we do , which we feel adds value to the overall business. And both these subsidiaries, Food Plaza and Align Retail Trades do their total business within the ASL DMART business. That's it and happy to take questions. Thank you so much for listening to me.

Moderator : Ladies and gentlemen, we will now begin the question -and-answer session. We'll take the first question from the line of Vivek Maheshwari from Jefferies. Please go ahead. Mr. Maheshwari, can you please unmute your microphone, your phone and go ahead with your question?

Vivek Maheshwari : The first question, sir, is on the average sales per square feet. Why are you not worried with the number ? You mentioned that sales per retail business area square feet will go up as we go forward, you have larger stores, but you're not too worried about the current trend. So, can you just elaborate on that?

Neville Noronha : When you're in the ownership model , you don't get too worried about it. If you're in a rental model, then that's a very, very important criteria. But otherwise, at one end, I've kept saying this, and not just last year, but the year before that too, that we build for the future and the incremental cost of real estate build -up doesn't hurt the balance sheet or the P&L much. So, from that standpoint, it doesn't matter so much. But yes, if you're leasing, you're paying rent every month, then obviously it is a very, very important metric.

Vivek Maheshwari : I see. But there is nothing , because when we look at the quarterly numbers also , the revenue per store, this was the first quarter where things were like near normal.

And you did mention in your quarterly release , that about general merchandise you are a bit unsure on that. So, can you also elaborate on that point?

Neville Noronha : I'll give a very detailed note post quarter 2 FY 2023 , because we said we need 2 quarters to give you very good color on that. All I can say today is that yes, it is inching towards getting better. And not just general merchandise , but general merchandise and apparel - the non -FMCG side of the business. But, yes, we're still not completely out of the woods there. We find discretionary spends in mass consumed category of products to be under a little bit of stress still. I hope you're getting what I'm saying - anything that is mass level consumed. I'm not talking about very, very expensive stuff , I think there, there's a huge boom, I mean things are doing very well. For example, if there's a Rs. 200 -250 T shirt, which is generally used by probably a little bit lower middle -class kind of a customer, I think that kind of
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buying is getting a bit postponed. There's a little bit of stress you see there. So, things like that.

Vivek Maheshwari : And the other part is on the gross margins, in the first quarter that number moved up quite a bit, it was like a multi quarter high. And that was despite the fact that your comment again in the release that general merchandise discretionary category, you're still on a wait and watch. So, while you clarified on that point, but still, gross margins moved quite a bit. So, can you elaborate on what exactly is going on there?

Neville Noronha : Vivek , that may not be the right way to look at it. You compare it with Q1 of FY 2020, which was a non -COVID quarter 1. We are still; I think 30 or 50 basis points lower than that gross margin in this year Q1. It was slightly lower. Q1 gross margins are generally higher than the annual gross margins.

Vivek Maheshwari : So, your outlook is that gross margin, the trend that we are seeing is more sustainable. And as we go forward adjusting for the seasonality, it should

be okay.

Neville Noronha : I'm not saying that. I'm just telling you a fact that Q1 generally is higher because of back to school, people shifting homes because that is the time when people change homes, a lot of stuff is bought for the home, so a lot high margin stuff sells during Q1. So, Q4 and Q1 are good , relatively better margin quarters for us.

Vivek Maheshwari : I understand which is why I said that, going forward, seasonally adjusted margin should be tracking along these lines then.

Neville Noronha : Yes.

Vivek Maheshwari : Lastly, on DMART Ready. So, interesting comments that you mentioned on the slides. Just one question. And again, I'm not comparing, let's say apples to oranges.

But, when we look around, there is so much of excitement around quick commerce. Now, you also have a very spread -out model in terms of having DMART stores. So, again, as I said, I'm not asking you if you want to do 30 minutes, but do you think that there is a case? Because when I look at slots around me, I still see that, the same day delivery , that option is very far and few. So, do you think that delivery timeline is something that you want to work on? Because now that you are saying that it is not a cash guzzler and so basically there is a business model that you see over here.

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Neville Noronha : Independent of what's happening outside, there is a huge opportunity for us to improve our services. And I can only tell you this that our services are not where we want them to be because we are running out of capacity. That's it. That's the only thing. So, we're just building capacity for it.

Vivek Maheshwari : Sorry, what do you exactly mean by capacity here? Because you have the store , because I would have imagined and correct me if I'm wrong, but it will be more of an OpEx related thing, because once you have the store, It is just getting the manpower over there to basically ship it, let's say from the mother warehouse to these distributed stores, and in case if the customer opts for delivery, then delivering it to the customer. So, what do you exactly mean by capacity constraint?

Neville Noronha : We are basically running this business as a separate entity. We need to build new fulfillment centers. And they need to be in particular geographies to service customers the way they would want which is, as early as possible . So, we're trying to at least achieve a 24-hour promise, but we are struggling with that to be very honest . So, we need to build more fulfillment centers to service that need. And this feeling is primarily in Mumbai. I don't think we have so much of a problem in other cities, but it is not that we don't have it, but it's not as acute as it is in Mumbai. In Mumbai, we need to build capacity at a faster pace, which is building more FCs basically. The location of the FC is very critical. That should be closer; I've said this before also, that it should be as close as possible to the demand areas.

Moderator : Thank you. Our next question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta : First, typically you use this forum to share guidance on store additions, any update on that or would you like to share with us that number?

Neville Noronha : Hi, Avi. We don't give store guidance. But we gave it last time because of the COVID anxiety and because our first-year store addition was 22 – 20 net because we shut 2. And hence we gave the guidance for second year also. But otherwise we don't give guidance.

Avi Mehta : The second bit is on DMART Ready. I mean you are increasingly getting confidence on this. What would make you want to become a lot more aggressive in terms of addition of cities? What is it that you need to kind of see because clearly you're

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arguing that it does not guzzle capital that much?

You are seeing this moving to a more steady state. So, I would like to hear your thoughts on this.

Neville Noronha : So, internally nothing much. Externally, I think a little bit of patience is what I would say is needed. We will go at our own pace. We are going at the pace that the business needs and the capability that we have. But if you ask me , we're in a good state. We're not in a hurry really, but we're not really going slowly too. We are happy with what we are doing. And whatever you hear quarter -on-quarter, through our press releases; it will give you a feel about the pace. Or take for example we've put up these resolutions in our AR (Annual Report) on what we are doing. That will

also give you a sense of what we're trying to do with the E commerce business. If you read each of the resolutions in detail, you'll get a sense of what we're trying to do there.

Avi Mehta : Fair enough, sir. I'll kind of go through that. And lastly, sir, on the discounting pressure, just trying to understand how is that panning out? Given in the COVID environment, we did see lower focus on discounting, because people were essentially trying to get things in place. Now with normalization coming in, are you seeing discounting pressures coming back from peers?

Neville Noronha : Not yet. We haven't seen that yet. I think discounting is there, but it is not reckless. It is fine.

Avi Mehta : So, there is nothing of that sort. And lastly, sir, just follow up on that general merchandise bit, you said there is pressure at the mass end that you have witnessed. Is that more in terms of down trading? Or is it people reducing the frequency of consumption?

Neville Noronha : It is both. Now if it is soap, there will be down -trading because everybody has to take a bath, right? People don't reduce the number of baths per month?

Avi Mehta : No, but sir, discretionary is what we will --

Neville Noronha : As far as general merchandise is concerned, yes, there will be a little bit of a postponement. So, it is category to category. Certain categories, you need it. So, you will down trade certain categories and you will postpone certain categories.

Avi Mehta : So, where I was coming from is in those categories where people are down -trading, for us as a retailer, does that essentially give us an opportunity to kind of look at Avenue Supermarts Limited

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margin in different light because, you have to kind of get new brands, you are especially getting more, lesser-known brands or lower priced brands in, getting your margin profile may be different from what you were earlier doing. Does that argument have any validity or it would be flawed?

Neville Noronha : I don't know whether I got your question, but I will respond to it in this manner. I think I've responded about this question even earlier, that we straddle across a reasonable range of price points within each category. So, we capture the demand, depending on how the consumer behaves. However, that does not mean that we try to recoup or we do extra analytics on, oh, I lost a higher price point customer to a lower price point, so I need to recoup it by recalibrating our margins. No, we don't do that. But we try to capture the demand at a broader range of price points so that the customer doesn't go empty handed.

Moderator : We'll take our next question from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi : So, my first question was, with respect to your store expansion strategy. I understand you will not be giving any numbers. But what I wanted to understand is, you know, in a city like Mumbai, where you would be having about 35 to 40 stores, wanted to understand, do we still have potential to increase stores in a city like Mumbai? I understand you don't have stores in South Mumbai. So, what's the plan out there? That's the first part of my question.

Neville

Noronha : Hi, Sheela. So, again, I've responded to this earlier, I'm responding again. Mumbai can take significantly more stores than what we have. When I say Mumbai, it's MMR - Mumbai, Navi Mumbai and Thane. We can have 100 -130 stores. In fact, probably even more, but I don't want you guys to get too excited about it. But yes, it is possible. So, from a demand standpoint, there's no issue. We also believe that from a pricing or real estate perspective also things got relatively better over the last 2 years, especially during COVID and hence, we did acquire some locations in Mumbai. But South Mumbai is not possible. I mean, that's very, very clear, and we will never open there at these price points. But otherwise, if you look at Virar, Vasai, Dombivli, all of those places, there is a huge opportunity - we can still acquire if land is available, prices are within the range that we look for. If you look at Mumbai as MMR, you will constantly see stores coming up. The opportunity is there, it is huge.

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Sheela Rathi : The second part of the first question was with respect to North India, Ghaziabad, our first store was opened in 2017. Last 12 months, we are seeing about 5 to 6 new

stores which have been opened. So, now what's the plan with respect to expansion into northern part of India?

Neville Noronha : We are quite glad about the outcome. If you see more and more concentration or more stores opening in that region, that's an indicator that yes, that region is doing well for us on all financial metrics. So, we're quite happy with NCR, we want to grow there. But again, the Delhi part of NCR like Mumbai has challenge in terms of getting real estate. To that extent, we'll get restricted. But otherwise, Ghaziabad, Noida, Gurgaon, Faridabad, very interesting locations, space will be available, and we're looking for space there.

Sheela Rath : And is there a land bank to new store ratio, which you maintain? Is there a number in place there?

Neville Noronha : No, we don't believe in land banks. And I've commented on this earlier, our objective of buying properties is with the idea that they should open in 2 years, worst case, 3 years. We do have stores which sometimes take more time than that, but that's for other reasons, and they are very small in number. But otherwise, we don't believe in the principle of land bank.

Sheela Rath : Today, you would have an idea in terms of what is the number of stores you would open in the next 2 years? Is that what you are saying ?

Neville Noronha : If I say yes, you'll ask me how many, I don't want to make a comment on that. But yes, obviously, we will have a view on how many stores we'll be having. So, to that extent, we know, we have those properties acquired.

Sheela Rath : The second question was your thoughts on private labels? I understand you've expanded into various categories, personal care , foods. So, is there something you would like to share there with respect to what is the share and how far you want to go in deep with respect to private label?

Neville Noronha : So, Sheela, I've commented on this earlier. Nothing changes from my previous comment. If you have my transcripts, my position on private label remains the same . Nothing changes from what I've spoken last year in the analyst meet and Avenue Supermarts Limited

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even in the year 2020 . Everything is there on our website. Nothing changes, everything remains the same.

Sheela Rath : And my final question was , last 2 years, you've been saying that the share of delivery versus pickup on DMART Ready has been 50%. With the reopening happening, have you seen any change there?

Neville Noronha : We can see that people prefer home deliveries more. But again, too early, and the shifts are very minor. We've also been a little biased towards or probably a l

ittle bit

slow on opening more pickups in the recent past just to reduce the drain of capital. But there is still time to make judgments on that. But in general, what we're seeing distinctly , is 2 types of customers. There's one customer who is very affluent, loves the convenience of everything coming to the home, and happy to pay the delivery charge, because some of the stuff is coming at home directly . Vis-à-vis, the pickup customer is a very different customer. He doesn't want to waste money, has a lot of time available. He goes to the pickup point and gets the stuff. So, there are 2 distinctly different customers.

Sheela Rath : So, just 1 follow up here and that's my final question. Have we seen a change in the customer cohort whom we are interacting with, after scaling DMART Ready in the last 2 years?

Neville Noronha : Again , we've spoken about that. A good chunk of DMART Ready customers are very different customers as compared to the regular DMART Store customer. I'm not saying that cohort (DMART Ready Customer) did not shop in the DMART Store , probably they did shop, but we don't track consumer data. We have no consumer data, so we can't very clearly say that. But what is coming out is that this customer is a significantly larger customer as a cohort and is a very premium customer. And that's why we are calibrating our assortment accordingly on DMART Ready.

Moderator : Our next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon : Hi, team. Just 2 straightforward questions. One, any revised or updated thoughts on fresh and cash and carry?

Neville Noronha : Manoj, I didn't get the question on fresh. What do you mean by fresh? I mean, what would you like to know?

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Manoj Menon : No, what I'm just trying to understand is, let's say ecommerce, has been evolving for you, because you have been experimenting a lot. But there, as a position you've taken, let's say that fresh is not necessarily very lucrative. And secondly, cash and carry while it appears to be a trillion rupees market, etc, only in FMCG. So, again, there was a position you've taken. What I'm just trying to understand in the evolved situation currently, assuming there is an evolution, so I just want to hear your thoughts on that hypothesis itself. Any newer thoughts on both fresh and cash and carry ?

Neville Noronha : On both the points, we hold the same position as we had last year. We feel that fresh is very challenging to run in our model, whether it is brick -and-mortar or in e -commerce. And on cash and carry, our comments remain the same as last time.

Manoj Menon : Basically, It is still a difficult business, given the margin structures, etc, right? And because as you know where I'm coming from, because you also, as a company, would have evolved over the last 2, 3 years, you would have seen many experiments in the market. And more importantly, you are now let's say, a Rs. 10,000 crore quarterly run rate company, right. So, your scale or rather the size which gives you a scale could be very different today versus what it was 3 years back. So, that's what I was trying to understand. Is there a different thought process in cash and carry whatsoever?

Neville Noronha : Our position on cash and carry is the same that – we earlier thought we should get into that business, but we've got too much on our plate to be honest. We'd like to focus on what we're already doing and we're doing it well. We are busy with what we are doing and we are happy with just doing that.

Moderator : Our next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra : Again, some questions on the e-commerce bit and I saw you're looking to invest up to Rs. 350 crores in the share capital there. I wanted to check; would you want to keep this business separate? I understand

and there have been some resolutions

around, sharing of the premises, support, etc. But going forward, could we see more use of assets of the offline business for DMART Ready? And also, if you could share the number of fulfillment centers you have today for this business?

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Neville Noronha : Yes. Last year, we've gone through the journey of thinking multiple things to leverage the ASL capability, which is not just the hard infra, but also the soft capability that ASL has built. So, a lot of the buying and merchandising strength of ASL, which has been built over the last 2 decades, has all been transferred in some way or the other to AEL. A lot of the pressure of buying actually significantly reduced for AEL. And the beautiful thing about that is, that from a consumer standpoint, they get the same products at similar prices. All of that, there's a nice synergy there. A lot of that is being leveraged. And also now in a lot of locations, we have a lot of spare physical infra available, and we are going to utilize that but in a calibrated manner. But yes, we're going to utilize that, too. And we're now a Rs. 40,000 crores company and we have a lot of talent built, which is there in the organization. So, a lot of those people who know the business, know operations, know the DMART culture are also being moved to the AEL business. Our ability to execute and accelerate at high quality that this business would need is being made available and that's all we're trying to do. And like I said in the earlier question, if you read the resolutions, you will get a feel of what we're trying to do there.

Latika Chopra : I understand you; in the past you've continued to maintain that you don't capture consumer data, right? But now with at least in large cities like Mumbai, do you want to leverage the data that you collect on consumer purchasing behavior? I don't know if you've still any changes in your thoughts on loyalty or anything of that sort. You don't kind of leverage any data collection in offline stores. Any changes on that part?

Neville Noronha : Not really. The ethos continues to be the same, Latika. It is not that we don't look at the data; we look at the data to enhance our services. From that standpoint, yes.

But looking at data to upsell, down-sell or, things like that is something not a part of the DNA of the firm. We always believe that we should be a platform where customers are choosing basis what they want, very, very clean, clear, simple. This is the product, this is the MRP and this is the price we offer. And through that

differentiated, this is the benefit you get, because you shop at DMART. And it is our responsibility to give good quality products. I mean our ability to choose the right products and make them available, that's our duty, right? Other than that, we don't nudge or push anything in any fashion. That is the ethos. That is the philosophy on which the company has been built. And I think that is something that we feel very proud about, consumers like us for that. All our consumer insights tell us that. People love us for the way we run this business. And it is very simple,
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straightforward. Unless business tells us something, because of which we are not performing well, then obviously, all those things are on the table to review.

Latika Chopra : And just 1 last question was on your store count. How many of these are leased store share? Is it still less than 10%?

Neville Noronha : 13%, at least.

Latika Chopra : And going forward, you don't anticipate this share to change much?

Neville Noronha : I've commented on this. 10%, 15% will continue to be there, like in last calls I had said. Because of the size of stores we look for, lease versus buy doesn't give you much of a leverage, maybe 20% leverage, like instead

of opening 40 stores, you may be able to open 50 stores, so to that extent. But because of the size of the stores that we need, the market scenario doesn't change much. We just need to have a reasonably large team who is always out in the market looking for new properties. That's the way.

Moderator : Our next question is from line of Amit Sachdeva from HSBC. Please go ahead.

Amit Sachdeva : Neville, I have a small thought there on the way discretionary buy has evolved, like you mentioned that the mass end of it is under pressure. Now question is that, is there an opportunity here to redefine the value proposition as you said, because where there is a bit of a challenge like that, because there's online to offline or offline to online progress which is happening, especially for even mass and consumer of those categories. Have you done some more thinking that whether it's time to actually calibrate the entire pie of discretionary product, rethink it, reimagine it, and maybe position the stores slightly differently than has been positioned in the past. But my sense is that this might not just be discretionary demand being slow. My sense is consumers may have structurally changed habits of where they buy those discretionary goods from and maybe so. So, have you done some more work there, that can this be an opportunity to change the value proposition entirely? My sense is that it's also a retailer's responsibility to sell what a consumer may need, as you rightly say, but discretionary probably may require a different thinking at this stage or what are your thoughts here.

Neville Noronha : So, Amit, hi. Good to hear you again. But on this specific question, it is too complex a point that you're trying to make. And I don't think we are thinking about it that
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way. Our view is that our business focuses on very basic everyday use simple products. And we would like to stick to that. We'll see with time, I mean, it is not as gloomy as I may have communicated. Overall, the business is roaring, doing extremely well. There are certain categories on discretionary side where you have this pressure. But otherwise, overall this is fine. I don't think for this specific cause, we need to do anything significantly different. We don't think that.

Amit Sachdeva : Because I also linked it to basically areas, for example, which is non-operational during the COVID times, because especially from the last 2, 3 years, the larger stores were opened, like, for example, average store anything would have been 60,000 square feet versus much lower numbers previously in the past. Now, I would probably assume you haven't changed this number, but I would assume that part of that area is still dormant or not active or maybe used later on for future proofing of growth or as you expand, footfalls expand whatever in that area. But now that you're also saying that part of that area would go to DMART Ready and e-commerce infrastructure. But in some sense, this is also a bit of an area, which was kept for discretionary purchases more rather than staples part of it. How do we think about then this area, part which is still non-operational? Can you give us a split of that say, if you have X area added in the last 3 years, what proportion of it is still non-operational?

Neville Noronha : So, very little of the space is non -operational. It is just that we have said that larger stores give us more opportunity to sell discretionary products in a better way. And hence, discretionary product contribution to the business increases. So, that position holds. That is one point. The second point is that addition of new categories is a continuous process. It is not that we are stuck on to what we've been doing in the past. I mean, every year or 2, you'll see that we're doing a few things differently, which is adding incrementally to the exist

ing categories. That's the job of the buying and merchandising team. What we only ensure is that it should be aligned to the model, it has to be salient and similar type of categories to what we already sell. But we keep doing these trials. And the whole idea is that we go back to the buying team and say, look guys, we're opening bigger stores, we need horizontally a better scale up of categories. So, that's a continuous process, Amit.

Amit Sachdeva : If I may just, what I really wanted to ask is, during COVID time, obviously, the footfalls had been gone and online push has happened. Now, It is safer to assume that you would not exhaustively be using all your capacity, I'm just thinking that as Avenue Supermarts Limited
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the pace of recovery has happened and footfalls are improving for physical infrastructure, I'm just trying to sort of second guess here, what opportunity would be there in terms of which area was, for example, not fully exploited, there you'll see a larger tailwind from that area as well, that could converge in this year as the economy is opening up, not just a headline customer coming back and buying, but in fact, a larger area being available for purchases, and price is sort of second just that, how we should think about the revenue growth drivers here, area being one, footfall being one, but previous area added not being added this year, but still can add to that pie. You know where I'm coming from. So, just wanted some help here to how to think through the year of the recovery.

Neville Noronha : Once I finish, let me know if I've answered your question. So, I'll take it one by one. Utilization of the entire space of DMART Stores is already done. We are back to full flow in terms of the business, number 1. When I speak about stress and all of that, we speak in too much detail . What I mean is it impacts the business maybe in basis points , maybe 1% here or there or 2% here or there . To that extent is my comments that there is stress in certain areas, that's one. The second part is that this year also, the weighted average size of stores is higher than last year . And even last year it was higher than the base we had. The trend is that we're opening larger stores. So, that and then time has passed, 1.5 years have passed and we've got some insights on the e-commerce business. Coupling all of this together, we are now saying that, hey, is there an opportunity to do some part of the e -commerce business in some of these stores which are larger stores? You have to connect all of these 3 together. I hope I've answered your question. That's the way to think about it. And obviously we are thinking about all of this because certain amount of operating leverage is available.

Amit Sachdeva : And would you ever start considering opening smaller stores at some stage or the first plan would be to go for all out the largest possible? Or the strategy would be that let's go wide and fast, even if it is 5000, let's go from 5000, Or you'll just stick to that principle right now , for now and later on, we'll see that sort of positively. What I'm trying to say is, can we be a little bit more pervasive about it rather than very, very larger format? Is there a change in thinking there?

Neville Noronha : No, we like the large format. We would like to focus more on the large format, and obviously, the e -commerce business.

Moderator : We'll take our next question from the line of Nihal Mahesh Jham from Edelweiss. Please go ahead.

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Nihal Jham : Three questions from my side. Just speaking on the larger stores that you've recently been opening. So, how does the store economics for that differ versus the earlier stores? Is it mainly that you're looking at a larger share of say the general merchandise being the key driver? Or do you expect some of the space to use for

re - commerce also going forward?

Neville Noronha : They are all mutually exclusive . When we set up a store in a particular location, our

math is around – will the store make money on the brick -and-mortar side, that's the main call to take. And incremental construction cost, whether it is a warehouse or the brick -and-mortar business or a small fulfillment center or the e-commerce business, are very incidental to the overall working. Will this store make money in the brick -and-mortar business? That's the way to look at it. And size of the store is obviously a factor of price of the land, construction, location, what have been the revenues of other DMART stores in that vicinity and on the basis of that you decide the size.

Nihal Jham : Just had a follow up there. If you say take the example of some of the stores we recently opened which let's say has been in excess of 80,000 square feet or so, do we see that the share of GMA is more than the 25%, 27% that is the average for the company as a whole or significantly higher, I would ask?

Neville Noronha : Not really, the moment you go store by store. What we declare is average, right? And you'll have these variations store by store. But in general, let me tell you on the higher margin business, that is general merchandise and apparel, when we say pre-COVID was 28%, you'll have a lot of stores which are above 28%. Is that good? Is that bad? I mean, we shouldn't be saying, oh, if that contribution is high means it's great, not really. In fact, as the business grows, as the stores mature, actually the general merchandise and apparel contribution reduces. But it trades off with the absolute revenue that the store does. So, if you ask me that given a choice of 28% general merchandise and apparel contribution for a particular revenue versus if their overall revenue becomes 3x, at a significantly lower, say maybe 20%, general merchandise and apparel contribution or even 18%, I think the 3x business is better business to have because the ROIC is awesome, significantly higher. I think getting too fixated on the general merchandise and apparel business may not be the right way to look at it. And it is a fact with a lot of our older stores who do very, very high throughputs, their general merchandise and apparel sales are not 28%, they're much lower than 28% and still they deliver great ROIC.

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Nihal Jham : I'll move on to the second question. This was on DMART Ready. I think last year, you alluded there being a focus on your city wise profitability. And as the city gets profitable, you look at scaling up. I would assume that Mumbai has obviously reached that scale and we've obviously entered a few more cities this year. Now, based on what you've seen over the last 5 years since DMART Ready has been launched ---

Neville Noronha : Your assumption is wrong by the way, sorry to interrupt, because if the question gets too long, I may end up not responding to that, so I don't want you to end up with an assumption, but we are not yet breaking -even in Mumbai.

Nihal Jham : I'll correct myself on that. But how many more cities do you see this format getting into based on the metrics you've seen with some of the new cities that you've looked at?

Neville Noronha : Except Mumbai, other cities have still not reached that level to make that comment. So, probably, we have to wait another year to make that comment.

Nihal Jham : I'll wait for that. Just 1 last question was that in Q1 FY 2023, would it be fair to assume that you clocked a positive like-for-like. Why I'm asking that and where I'm coming from is that say in metro cities like Mumbai, Pune, which are key for our overall business, are we seeing any impact on footfall versus pre COVID? Because these are cities where e-commerce traction had generally been higher. So, just wanted a sense on that.

Neville Noronha : For the brick -and-mortar business?

Nihal Jham : Yes, for the brick -and-mortar business.

Neville Noronha : Just to be fair to all our shareholders, allow me to comment post Q2 FY 2023 on anything specific on these trends. In general, we have said that the business is back. I mean, it is pretty good. But specifics, I will give it to you through a note at the end of Q2 FY 2023.

Moderator : Our next question is from line of Hari Vijayendran from Hill Fort Capital. Please go ahead.

Hari Vijayendran : I just wanted to understand the bill cuts here. I think your average bill size is about Rs. 1,600 or Rs. 1,700. So, what would be the proportion of bills which are below in Avenue Supermarts Limited
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the Rs. 500 to Rs. 1,000 range? And how much would be from ticket sizes, which are much larger?

Neville Noronha : I can't comment on that. In general, since you raised this point of bill cuts, we have seen a huge surge on the average bill value, which is obviously a disclosed number. And this is a factor of 2 things. One is obviously inflation . Inflation is playing a role there. I think COVID has also helped. To a certain extent, during COVID they were buying a lot, I mean the basket values were pretty high and I think that habit has somehow sustained. And it has helped us also as a business, less crowd, more revenue , on all elements. Actually, financials have changed a lot because of this change in buying behavior. So, yes, but in general, basket values have gone up, which is very, very good for us.

Moderator : We'll take our next question from the line of Richard Liu from JM Financial. Please go ahead.

Richard Liu : So, 2 questions out there. One is, I mean, if you look at, a medium to long term, right, I mean, for stores that have been in existence, what would be the level of revenue growth, first off, over a long number of years that you will be happy with? I'm saying in the context of pretty muted revenue per store on an average that we are seeing post COVID compared to the numbers that we used to see earlier. What would be a number that would be an acceptable one for you for the portfolio on the whole?

Neville Noronha : Basically, even the oldest of stores, if they are growing at the rate of inflation, which means no volume growth, and when we say older stores, these are stores which are doing very high turnover per square feet. And then even if they grow at inflation, just about the rate of inflation, we're very happy . That is more than enough. That is the way we look at it, in terms of very, very old stores.

Richard Liu : And if you take the average of the fact that you have older stores plus newer stores, on a whole, how much do you think this should grow at?

Neville Noronha : I cannot comment on that, Richard. We declare LFL, basis that you have to make a judgment. But it is very dynamic, and now the base of younger stores is much higher because as we are trending for the future, we've added more and more stores.

Earlier, we used to add 15 -20 stores. Then we moved from 20 to 38, then now 50.

So, obviously that will now tilt the like -for-like for a higher rate of growth. Multiple Avenue Supermarts Limited

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levers keep moving, but I cannot predict that. For us it is very simple. We just look at ROIC for a store and we ensure that our people are managing the business well, that's it. Then beyond that, we don't go too much into detail on financials.

Richard Liu : And if I speak more specifically, about the recent quarters, right, and I think one of the person who asked a question earlier also mentioned that we've probably now seen a few quarters of or at least Q1 was the most normal quarter post COVID as it has ever been. If I look at whatever are the numbers, revenue and number of stores that are available to me, the average revenue per store, as a CAG

R versus 3 -year

ago level which is just about 2%, right? I mean, is this an acceptable number to you?

And any reason you can fathom as to why this is lower than the

Rushabh Ghiya : I'm sorry, Richard, we lost you in between. Can you repeat that part with the numbers? We couldn't get you clearly?

Richard Liu : So, if I look at the revenue that you reported in Q1, right, and the number of stores that you have, and I derive an average revenue per store for the network as a whole, that number seems to have grown at about 2% CAGR versus 3 -years ago level, right. This 2% growth in average revenue per store is on the lower side of what we were used to seeing pre -COVID. Is this a number, an acceptable one to you and is there any reason why you think that this number is now lower at the rate that this network used to grow at prior to COVID?

Neville Noronha : Richard, while arithmetically your number may be right but I will respond to this question in a different way. For us, Richard, what we look at is age wise like -for-like growth. I mean, I'm alluding to the question earlier to this which you were asking . So, that is how we look at it. I look at stores which are 10 years and older. Then I look at stores, which are between 10 and 5. Then I look at stores between 5 and 3. And in each of these cohorts, we look at it store wise, how are these stores performing? And if they're performing well, why are they performing well, and if they are not, what are the reasons. What we have seen over the history of this firm is in these cohorts, if any particular store is not performing well, it's primarily for 1 reason only : there's another DMART store which has opened close by. Otherwise,

you've always usually seen a decent volume growth, not just value, but volume growth also. So, from that standpoint, when I look at Q1 FY 2023 data, I think we have significantly recovered and we've got decent growth. I don't think it is 2% at an aggregate level, it's much better than that.

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Richard Liu : So, you would say that the Q1 performance is a reasonably acceptable one for you from a per store basis.

Neville Noronha : Yes. And one reason why your data may be a bit distorted is because there's a lot of preloading of new store openings in Q4 of every year. The entire annualized sale is not baked in. And then in the last 2 to 3 years, the number of stores we have opened have been much higher to the base. So, things like that. But it's not 2%, 3%, that much I can tell you.

Richard Liu : And the second question here, if I look at the size of your network as it expands, and you need to let's say go to, lower and lower tiered towns, cities or neighborhoods, can you give us a sense of how should one look at, let's say, store level economics between a large center and low center, right? I mean so higher revenue in higher tier centers along with higher CapEx spends offset by the lower throughput and lower need to spend CapEx.

Neville Noronha : Higher population city directly correlational to higher per capita income for that city, directly correlational to the real estate price of that city, which is directly correlational to the higher revenue I do in that city. It is very clear. Mumbai, Bangalore, Hyderabad kind of cities, the turnover per store we do is much, much better, but the real estate cost is also relatively higher. At the end of the day, if it is a small town, the real estate is very cheap, revenue is also very low. But finally, you look at ROIC. In all of this I can tell you one thing, larger towns is where generally the returns are relatively better because the purchasing power is good and the purchasing power kind of offsets the incremental real estate cost at a better level.

Richard Liu : So, is it fair to say that as we grow larger, the ROIC profile of the stores will keep going lower and lower.

Neville

Noronha : I don't know about the future.

Moderator : Next question is from the line of Vinod Bansal from Canada Pension Plan Investment Board. Please go ahead.

Vinod Bansal : One question on this new quick commerce space. There have been quite a bit of traction in the last 12 -18 months. While they themselves are not making money, I suspect it might be disrupting the existing models. Any sense if they had any impact on your sales per store? I say this because whatever scale they have achieved, it

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must have come from the market share gains. So, whether it is the Kiranas that are losing or the incumbents like yourself or the e-com traditional, who are the ones that are losing the most? Any color you can give on that.

Neville Noronha : Our business is doing fine, is all I can comment and we play in the positioning on value. We don't play much on the convenience format. So, our numbers are pretty much intact, is a point of view we can make on this particular question.

Vinod Bansal : Just to rephrase, therefore you are saying that the ups and downs that you might have in your numbers, they are in no way connected with the growth in the quick commerce business?

Neville Noronha : I cannot comment on anybody else's business. All I can say is that our business, whether it is large metros or cities after that, all small towns, everywhere, our business has recovered and is doing relatively well.

Vinod Bansal : Also, you mentioned that the general merchandise and apparel category is the only part that is a bit slow, given the mass consumption in this sector is a bit weak, everything else is fine. When I see a total bill cut of 18 crores a year compared to 20 odd crores you were in FY20, this is total bill cuts and your number of stores is much higher. How do you connect that, so the bill cuts per store would be significantly lower? So, total bill cuts itself has not fully recovered, what could be the reason behind that?

Neville Noronha : First is that it is annualized for the full year. What we are saying now is that our overall revenues have come back pretty well. We are doing very well. Q1 was fantastic. We just want to see whether that will be sustained for Q2. And the

average bill cut per customer is also sustaining, I mean it is not going back to pre - COVID levels. Even after you factor in inflation, we have got a bump, which is higher than inflationary growth, which is very, very encouraging. So, that's the way to look at it.

Vinod Bansal : Can you share the numbers and what will be bill cuts for the quarter?

Neville Noronha : We don't share for the quarter . The number will be disclosed next year. But like I said, after Q2 FY 2023, I will give some additional color on our businesses.

Vinod Bansal : I'm sorry, I'm repeating the last question on the revenue per store and a 3 -year CAGR. I know you explained that very well. If you look at S SSGs across all age

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cohorts and you find those numbers to be much better and acceptable. What I'm repeating here is that pre -COVID, the same math would tell us that your revenue per store was growing at about 9 %-10%. And that would sit well with the S SSG analysis store by store. That number now, as an earlier participant said is about 2%. And there's a huge disconnect with what you're saying now. So, earlier one could see the connection between the SSSG analysis that you would do and the sales per store analysis we would do, there's a big gap now. Could you explain how do we reconcile that? We don't get the data that you have and therefore we have to work with our very limited data that you provide to us. So, how do we look at this number changing? Even on guidance, let it be 5%, or go back to 10%, how do you sort of see that moving up?

Neville Noronha : Vinod, see, on Page # 10 of

our presentation , top right , like-for-like growth is what we referred, which is 2 years and older stores, and that's the metric. I mean I don't know where 2% is coming from.

Vinod Bansal : 2% simply is, if you look at the total sales divided by the store network at the beginning of the period and the closing of the period, that number you say, X and what that number was 3 -year s back, which is the last normalized pre -COVID number, which is 1Q FY 20 20, right? From 1Q FY 20 20, last pre -COVID normal quarter, this normal quarter and that CAGR is about 2%. That CAGR used to be much higher 8% to 10%. Now that math should normally work very well with the SSSG math that you do, but it is not working out. And that makes one sort of think if the business has indeed fully recovered or not. And if not, why is it so? And therefore, we are asking, if you look at the SSSG number, also, right, FY '21, whatever sales per store, you declined 13%, you had grown back 16%. So, net-net, you're zero, right, from FY 20, which is where the sales per store number also shows a weaker number. So, are we at all seeing any growth coming because of the expansion or the new stores or the older stores are still struggling to come back to the pre COVID levels? That's what we're trying to arrive at.

Neville Noronha : Vinod, okay, I get it. See, again, we've never done the arithmetic the way you have done or Richard , who asked the question earlier. I think there's an error in that arithmetic, from the performance of the business.

But I will again, come to the specifics of like for like. You're absolutely right, 16.7 % versus the negative 13.3 %, means you're back to zero . But let us not forget that this is a weighted average where during Q1 FY 2022, wave 2 of Covid was a significant

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downer and the business takes time to recover. We commented in Q4 FY 2022 , and again in Q1 FY 2023 that now the business is back . I'll not give numbers; I'll give it in Q2 FY 2023 , like we have promised a more detailed note on what's happened to the business. And also because you need time . We need more time to make that comment. But in general, let me tell you how we look at numbers. Now , especially because of COVID, what we have done with all our old stores is we look at the value sale that has happened for that store, and then we apply the weighted average inflation per annum for each of these stores and then we multiply that CAGR inflation for every year. And then we look at vis -a-vis that how has the business done in Q1 of this year ? Or actually, we do that even on a month -on-month basis. I have numbers even for July, but obviously, I can't tell you all of that. But considering the numbers that we see for Q4 FY 2022 , Q1 FY 2023 and July 2022 , our business has recovered, it is doing fine. What that number is ? Wait for Q2 FY 2023 . I hope I've answered your question from that standpoint.

Moderator : We will take our next question from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki : I just look at your business in a different way because there's confusion in the SSSG versus sales per store, etc, etc. Just let's look at the total sales growth. So, the total sales growth 3-year CAGR in Q1 has been about 19%. This is the same 3-year CAGR approximately with 100 basis points here or there, which we saw in Q4 and in Q3, also, the 3-year CAGR at a total system sales level. Earlier, we used to grow our total sales in the region of 25% plus. So, even if we look at it that way, I mean, our growth rates are now at high teens, are 20%. Is that sort of a fair representation of the underlying business? Or is there still some one of our weakness in that?

Neville Noronha : Well, what you've just mentioned is perfectly right. As the base grows higher, sustaining that level of CAGR may not be possible. It is

all a function of how many additional stores that I keep adding every year. In fact, we were just having this conversation a few days back internally and I mentioned this probably in the last year's analyst meet as well, about the one fundamental difference that is happening to our business – earlier whenever we used to open a new store, the CAGR growth at a very high rate used to continue for 3-4 years. Now, because the brand has become very, very popular, all of that is getting front loaded. So, when I open a store, within the first 1-1.5 year, I am getting that sale at a very high level and because we track like for like for 24 months, that is 2 years and older stores, all the
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incremental revenue has already been baked in and hence the moment it gets qualified for like for like growth, it is already a Rs. 150 crore store or a Rs. 120 crore store. So, keep that also in mind.

Percy Panthaki : Secondly, and here I'm looking at full year FY '22, I understand there is a Delta variant impact, but still I'm analyzing FY 2020 versus FY 2022, 2 years point to point. So, while there is understandable reason why GMA clearly is down, so GMA per store on the 2-year basis is down like almost 20%. The food business on per store again full year, 2-year, point to point is about 1% to 2%. But even the non-food FMCG to your point-to-point FY 2020 versus FY 2022 is down 9% on a per store basis. Now, this is the thing, which is confusing that if because of delta wave, etc, people were sort of avoiding modern retail and going to kirana, then that should have a similar impact on the food as well as the non-food portfolio. Why is the impact here so different?

Neville Noronha : So, Percy, I'll tell you honestly. Please understand, good 6-7 months was COVID. And in COVID, your non-food consumption significantly reduced. People were washing lesser clothes; people were washing lesser utensils because there was no maid. All of those things were there, probably not using as many toiletries that they would otherwise use, because they're not going out. If one goes up, the other will look lesser. When one thing goes up, no one says anything like - you have done a good job. What has gone down, you people are after that. See the point is you have to look at it from a perspective of consumption during that period.

Percy Panthaki : In fact, I understand Neville. Actually, I'm comparing also versus large FMCG companies. We have data of about 12, 13 FMCG companies. And if you look at their sales for FY 2020 versus FY 2022, they've actually seen decent growth, I mean, more or less in line with what usual growth rates would be. So, I was just talking from that point of view. And just understanding the difference between food and non-food, and I mean, I understand your point of view that basically the food consumption has been much higher than non-food. And that's true also to an extent. But the differential is quite large, I mean, plus 1 or plus 2 on a per store basis versus minus 9. I just wanted to understand that. But anyways, I'll keep that question for later.

One last question from me. And I know you don't have exact actual data, but whatever your best estimate is in terms of how frequently a consumer shops at DMART per month?

Neville Noronha : How frequently a consumer shops at DMart? Our sense is around 2.5 times.
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Percy Panthaki : 2.5 months a month. So, about Rs. 1,600, Rs. 1,700 is the average bill value. So, if I multiply that by 3 that is monthly spend on DMART. Is that the right way to understand it?

Neville Noronha : Broadly, that's our sense.

Moderator : Our next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani : Sir, my first question is with regards to the cost. If you see the cost line items below

the gross margin and between EBITDA that as you know has been significantly lower over the last few quarters and more so in Q1 when we had a normalized quarter. So, if you just compare it versus pre -COVID level also, it's like down around 10%, 12%. What is aiding this lower cost, both on the other expenses item and the staff cost?

Neville Noronha : It is purely top line scale . Within the same in fra, same people, you're just doing more revenue, number 1. And number 2 is also because the basket values are going up at a much better pace, the number of shoppers entering the store are lower, and that also has a lot of advantage in terms of lesser heat load, lesser air conditioning cost, all of that, and you relatively tend to have slightly lesser number of employees to run the operation when the basket values go up. So, it is just pure scale efficiency.

Gaurav Jogani : And sir, my next question is with regards to the DMART Ready bit. I was just going through your annual report and just read that that you have tried 2 formats of the DMART Ready MiniMax wherein, that grocery kind of a store experimented in Mumbai and Hyder abad. So, any particular thought process there? Why these formats have been tried out? Or any color can you give on that?

Neville Noronha : It is just an experiment, but beyond that, nothing else. We just thought we'll try something there. But we're still stuck at 2.

Gaurav Jogani : And sir, the follow up on DMART Ready, if you can help us out, how many DMART Ready stores that you have in total as of now. And also we have seen some bit of losses in that business going up despite sales almost doubling there. So, if you can highlight, what has caused the losses to go higher despite higher scale?

Neville Noronha : I missed the last line. Can you repeat the last line that you asked?

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Gaurav Jogani : So, I'm saying that the DMART Ready turnover they have actually doubled Y-o-Y in that sense. However, the PAT losses have actually also gone up by around 75%. So, despite higher sales, why the losses are also going up.

Neville Noronha : We are still in the scale up mode. And that's the key reason, and a lot of the expenses, almost 90% of the expenses are variable cost. We're still in a scale up mode. That's why it has been linear. And yes, we have 519 pickup points now, as of end of March 2022.

Moderator : Next question is from line of Varun Singh from IDBI Capital. Please go ahead.

Varun Singh : Sir, my question is in the online e-commerce space, we see that most of the companies have kind of changed the competitive landscape by becoming super-efficient on delivery. So, there is a 10-minute delivery, 20 minutes delivery etc. So, given this context of hyper delivery focus, sir, how do we wish to operate or at company philosophy levels, sir, how do we wish to compete? Is it only purely on assortment and the value offering because on convenience, we are losing significantly to the competitive pressure.

Neville Noronha : So, Varun, it is a good question. But like we've said earlier, we like to play in the space of value, and even in the e-commerce business we like to play in the space of value. Let's correlate it to the brick-and-mortar business. The whole country operates on the principle of convenience through the Kirana stores, which was like 95% or 97%, at one point in time, and we still decided even at that point in time that we'll go into the value space. We like the value space; we understand the value space. And we like to play within that whether it is brick-and-mortar or e-commerce.

Varun Singh : And sir, secondly, wanted to understand that, as you rightly pointed out that online, offline customers are very, very different. One is affluent, second is relatively less affluent. But I just wanted to understand that how we discriminate between these 2

customers with regards to assortment as you said that we are accordingly curating assortment for online customers, but I wanted to know that does an online customer have access to almost whatever sells at DMART offline stores? And do they also enjoy almost 100% similar pricing or how is it, if you can please elaborate.

Neville Noronha : The ethos of pricing remains the same; it may not necessarily be item to item same

price. But assortment is far more restricted on the DM ART Ready app. DMART
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Ready is more focused on groceries, FMCG. We do sell a little bit of non -FMCG, but it is a very small range.

Varun Singh : But in FMCG, it'll be 100% similar offering level, what they will enjoy at an offline store.

Neville Noronha : The pricing ethos has been told to be the same, it's not 100% same.

Varun Singh : It is not the pricing, the product, sir.

Neville Noronha : Product , like I said is a smaller subset. It is a smaller subset of the DMART Store business.

Varun Singh : And sir, just 1 last question. On retail expansion, what is the company's operating philosophy? So, for example, how do we make a decision that okay, this year we are opening 50 stores, that's fine. But next year or after 4 or 5 years, we will start opening 60 -70 stores. I mean, what is your philosophy with regards to driving store expansion rate?

Neville Noronha : Our sincere attempt is to do better than last year. That's an attempt. Sometimes we achieve it, sometimes we don't but we have always said this that on store openings please judge us basis past performance. We are trying our best because the model we operate in sometimes we may even end up not opening as many stores as we opened in the previous year . But take a longer trend line, longer time period and make your judgment.

Varun Singh : Over a period of time, for example, if we open 50 stores and we have a base of 300 stores and if we have a base of 500 stores that is a very different story because if we keep on adding 50 stores all the years then our expansion rate will reduce, so sir we are judging based on what we opened last year , how would you think about it?

Neville Noronha: So, if you look at the past , except for COVID period of FY 20 21, we have had a creeping incremental store addition. Our worry is similar to yours that as my base goes up I should be adding more and more stores so that my incremental inorganic sale as a percentage to my base has to A) either be the same or B) creepingly go up.

So, yes that is our attempt.

Moderator: Thank you. Our next question is from the line of Akshen Thakkar from Fidelity International. Please go ahead.

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Akshen Thakkar : Just a slightly different question from me, could you just help us highlight what are the constraints to adding more stores. So, obviously there is a much larger capacity you have scaled up like you said from 20 stores to 50 stores last year, but if that hypothetically has to go to 100 , I am saying if it has to go to 100, what is the constraint today , is it capacity at your end, is it availability of supply, do you think execution will falter, just wanted to get your thoughts around that?

Neville Noronha: The biggest impediment to add stores is availability of good properties on which you can operate . That is definitely the number one priority and the number two priority from our standpoint is whether we have a team to seek out and get those properties , which is just conversion and third which is again very important is whether our teams are ready to go to that level of store acceleration or opening up of those stores such that they are run in the same way that the existing stores are being run. I think for the second and third point we have built reasonably good capability . I do not want this to be considered as a

leading statement, but we

opened 50 stores last year and it was a breeze. Our internal ability to open stores is there, but then markets are very dynamic. When markets tighten deals do not happen. When we have trouble in the market deals happen , so things like that. Lot of external factors, dependencies will continue to remain in this business. Basis that, we will plan our growth for the future in terms of store additions.

Akshen Thakkar : If I could just slip in on one more question , if I look at brand formats like yourself , globally at a time of high inflation, one typically associates better market share performance , the format itself is small in India, but based on whatever data you would be tracking , would you think something like this is happening right now where the customer is getting value at DMart and hence shopping at DMart right now?

Neville Noronha: Whenever there is tightness, high inflation , it is definitely beneficial , but I mean that

is a global thing . What you mentioned , we also agree with it . Yes, that is true.

People look for better deals in tough times.

Moderator : Thank you. Our next question is from the line of Hasmukh from SUD Life. Please go ahead.

Hasmukh : I have one question on sales per square feet number from longer term perspective .

Do you think opening larger and larger stores of about 50,000 -60,000 square feet will make sales per square feet continuously below that Rs. 35,000 level because Avenue Supermarts Limited

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some sort of saturation etcetera , or best level of store size would be 50,000 square feet to make better metrics on per square feet basis?

Neville Noronha: Can you repeat the question , sorry I could not follow.

Hasmukh : Do you think that opening of larger and larger stores above 50,000, 60,000 square feet will make sales per square feet number to be continuously below Rs. 35,000 mark because some sort of saturation etcetera or best level of store size might be lower than t hat to make better metrics on per square feet basis?

Neville Noronha: Like I referred in the previous question , revenue per square feet metric is not that important criteria for us because we are in the ownership model and also this Rs.

27,454 of last year has also a factor of second wave of COVID so that is why it looks low. But in general , this is not a number we bother too much about. For us , what is really important is - what is the money that we are investing in a n asset , in a location and do we think we will make a return which is within our target of ROIC ? That is the way we look at it. When you are opening larger stores with a view that it allows you a longer period of CAGR , your turnover per square feet in the initial years is much lower. It has a tradeoff . That is the call you have taken so that in the longer term your CAGR growth rates are better off than had you opened just a small store in the beginning. That is the business call that we take.

Moderator : Thank you. Our next question is from the line of Binoy Jariwala from Sunidhi Securities and Financials. Please go ahead.

Binoy Jariwala : Three -four questions from my end , one is on the GM . We have done about 15% GM , with this 15% kind of GM we are able to attain EBITDA margin of 9% plus with the cost leadership that we have exhibited in the last two years . In the past Neville you said that 8% EBITDA margin is suitable EBITDA margin, would you like to reinvest this 1% extra EBITDA margin and go lower on your GM?

Neville Noronha: Binoy , very good question . In fact this is one thing I have been thinking about a lot for the last few months, but I do not have an answer yet, but I will tell you in general how we look at this business . 15% is the gross margin . We will never earn more than 15% and after that whatever happens below , that is a function of market forces in terms of what PAT it should be. I

have very categorically spoken about 15 %-16%

gross margins . I do not recollect anything about EBITDA, but I know where you are getting at and what you are saying . This is something for us as a team to reflect on Avenue Supermarts Limited

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especially from a perspective of competitive context, but in general we believe that if competitive intensity increases we are not ashamed to cut prices and we will go ahead and cut price s, but otherwise 15% gross margin in this business – that is the way we look at it.

Binoy Jariwala : Not proactively would you go below a 15% GM , let us say operate on 14% GM that accelerates your sales within the store also, it is a multiplier effect all across .

Neville Noronha: I do not know . These are contemplations, reflections , thinking that we do internally. All we will confirm / guarantee / write in stone is that we should not cross 15 % . I have said 15 %-16%, but now I am pretty confident to even say this year that we should not cross 15 %.

Binoy Jariwala : Next question is on the store network , in the last two to three years you have been addi ng very large size stores, now if in a G+2 storey building and you are operating currently only two floors, G plus 1 and one is not yet operated , the retail area that is counted is only of the area that is under operations or would you count the entire building?

Neville Noronha: We add all areas which are needed to run the business. Certain places we carve out some space to store some goods, all of that is part of the retail business area. Now , because over the last three -five years the revenues per stor e is rapidly going up and

therefore those days of keeping one floor empty, opening it up two years later and all that has kind of reduced. Obviously because 30 to 40 to 50, we are basically taking that leap of faith and opening larger stores from day one. These situations of opening only part of the store have kind of diminished.

Binoy Jariwala : Second, at your existing sites, as your stores mature and given the throughput, do you have additional space to add one more building or maybe provision to let us say build one or two more floors, is there a provision, anything like that?

Neville Noronha: Theoretically it is there, but we do not do that. We have done it in a couple of places and we feel it is a big pain in a public place, in an operating store to add another floor and doing such an activity. Unless, it is a pressing need because the store is doing exceedingly well. Only then we do it.

Binoy Jariwala : And you said that the real estate team, the bandwidth that the team has, is also very important to store additions here. So last time you eluded that you can

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hypothetically add, let us say 50 stores a year, in the last con-call, what is the kind of bandwidth that you have now?

Neville Noronha: This is for the real estate team right? It is better. How much better I do not know, but it is definitely better than what we had, but we are working on it.

Binoy Jariwala : Last time you gave a number; can you give a number this time?

Neville Noronha: I really do not know, but Binoy very difficult to comment on that because then you guys will project instead of 50 incrementally this much more stores will open and I do not want that to happen, but we are doing our best. We are trying to do our best such that we are able to sustain a decent run rate of store opening.

Binoy Jariwala : Two more questions, you said DMart Ready pick-up points are 515, how much of them would be in Mumbai?

Neville Noronha: 519. Approximately, 300 in Mumbai.

Binoy Jariwala : Is the MMR region, in terms of adding more DMart pick up points, is it saturated or you still have some pin codes?

Neville Noronha: From a consumer demand perspective I do not think it is

saturated. I think I spoke

about this also earlier. I mean you could have even 1,500 pickup points, but at the end of the day they have to make money. We are focusing now on the intensity per Pick-up-Point (PUP). You should get a good intensity per PUP so that they make money. So, that is the issue.

Binoy Jariwala : Last question is on Align Retail, you have done some CAPEX there if I am not mistaken, what is that for? Last year we had we acquired some land also so what is the plan there?

Neville Noronha: Just to build manufacturing capabilities. Lot of sorting, grading, packing and all of that. It is primarily for that.

Binoy Jariwala : And is the CAPEX over, operational now?

Neville Noronha: Most of it is done except one location, but this will be continuous. Now we are going to the North, so we would like to have some setup there, things like that.

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Binoy Jariwala : I did not understand what you meant by manufacturing?

Neville Noronha: When I say manufacturing, it is just that we buy grains, we clean it, sort it and pack it, basic packaging.

Moderator : Thank you. Our next question is from the line of Tejas Shah from Spark Capital. Please go ahead.

Tejas Shah : You spoke in past that how we see a runway for opportunity of offline stores is 1 lakh or 2 lakh population per store can be served, as a ballpark figure in long term, do we have similar metric for DMart Ready Retail Fulfillment center, anything which can be like ballpark number in terms of what population can be served from one Ready store?

Neville Noronha: Too premature Tejas to think about that business in that fashion. Our first focus is if not profitability what the path to profitability there is and we need to get that in order for sure. Opportunity is there. I think you can use a similar lens to the brick-and-mortar business from an opportunity standpoint, but our view is that first how do you make the operating model in a manner that it is scalable and at least we breakeven there. I think our attention is more towards that then looking at market sizing and all of that.

Tejas Shah : Just a follow up on that so when I see DMart Ready roll out, as on today we have rolled it out in a state like MP where we have 12 stores, but in Tamil Nadu, apparently from other companies we pick up that it is a higher online adoption market, we have not rolled it out, so any strategic or operational insight you can share, how we go about choosing next location for rolling out?

Neville Noronha: It is primarily the population, but Indore and Bhopal stand out because even though population is relatively lower it is just because we had additional capacity there – real estate which we could deploy quickly and that is why we have done that, but otherwise the playbook is about going to large metros first and then progress from there. But now there is another thing, which is also a part of the resolutions – we are exploring, looking at more cities where at the DMart store, the available infra is good. So, even if the city population is relatively lesser it allows us to enter these markets at very low upfront capital cost. Because our digital teams are in place, corporate office, all of that is in place and technology is scalable. Then, at a very Avenue Supermarts Limited
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small incremental cost we can go to more cities and that is the kind of thinking that we are applying for the future.

Tejas Shah : And just stepping out from our sector, but when we look at QSR in India, the leader uses the concept of split store metric, which actually we also do, but we do not call it out and the decision over there is led by customer service parameter of not able to deliver certain percent of orders within stipulated time. So, two questions on that – first (A), do we have such

a parameter that on service levels which makes us decide on splitting the store and (B) because of this split stores the leader in QSR is saying that the relevance of SSSG has actually gone down because of splitting store continuously and hence they have come with a term of like-for-like growth which talks about the cohorts which has not been split, so if you can throw your insights on these two points?

Neville Noronha: You are talking that if I open another store close by the existing store, then the existing store's business goes down, is that the point?

Tejas Shah : Initially, but it bounces back. So, in the interim it actually hurts your SSSG calculation?

Neville Noronha: So, what is the question?

Tejas Shah : So, the expansion is then split into two buckets, one where the mother and the split store are not part of like-for-like calculation and the one which are running without the split are calculated for SSSG and the one which are split, the mother stores have not been included in the cohort for this calculation.

Neville Noronha: I get it now. We do not do that. For us it is very simple SSSG. I will give you an example – so next to Malad Store we opened a very large store hardly 2 kilometers away in Goregaon. Malad Store sales have dropped and it has gone negative, but that is part of SSSG. We do not do that because then it gets too complicated. I understand where you are coming from, but then what did you add, what did you remove, at what distance from the existing store? It gets too complicated. From that standpoint, I have commented about this also earlier that we have to see all these data points in totality. I mean you just cannot see SSSG independently or you just cannot see turnover per square feet independently, you have to see in totality where do you stand, but to answer your question on specifics on SSSG, we do not do that and we do not intend to also moving forward.

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Tejas Shah : And now the first point, any service level parameter that you value it to decide on split stores?

Neville Noronha: I did not get that part of the question, in terms of?

Tejas Shah : So, I am just stretching the same example like QSR decides that we are not able to fulfill certain order within a stipulated time period or let us say weekends they feel that store has needs to be split now to maintain the same level of service quality, so similarly do we have any parameter which leads us to believe that this store, the example that you gave Malad, Goregaon, so what are the parameters that leads you to decide that we need a store nearby now?

Neville Noronha: That is a good question. The only thing is the scale of effort needed once the decision is taken is humongous. So, for example, say a Powai store or a Malad store

– these store s are a t the brim for the longest of time. So, we take a decision that we need another store, but getting another store takes huge amount of time because of the size and format we are in. So, that is one part, but obviously looking at the data we know when we nee d another store in the vicinity . That is very clear. I think what is more important and that is what probably we are known for is the Principle of Kaizen – in terms of one of those small elements that we need to constantly keep improving on a day -to-day ba sis such that I am able to serve my customer in a better way and the guiding principle of that is our whole 4RQC direction . It is not just about checkout, it is about the product, it is about the price, it is about availability, it is about software, techn ology , everything that help s deliver our 4RQC . And I think that is the one single positioning which aligns every single department, every single employee whether it is a front end, middle manager, front end manager, corporate office, top management - we all align to this on

e principle and I

think that really brings the efficiency out of the business and that is why we stand out. All our metrics on efficiency , consumer feedback, all of this revolves around 4RQC.

Tejas Shah : And those list of Kaizen in itiatives , would extending time limit or time duration for a store like you have done it in the past also , like even at late night stores have been opened, would that be one of the last initiatives to maintain or improve S SSG or efficiency of that store or that comes somewhere in the middle.

Neville Noronha: Yes, that is in fact one big overhang post -COVID. During COVID we extended shopping hours in almost all stores and in a lot of these stores we continue to have

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longer shopping hours even now. So, pre-COVID versus post -COVID the shopping hours have been significantly extended , mostly at all of our stores.

Moderator : Thank you. Our next question is from the line of Ankit Kedia from PhillipCapital . Please go ahead.

Ankit Kedia : Two questions from my side - in one of the comments you mentioned that the footfalls in the stores continue to be below and hence from operating leverage perspective you need lesser manpower at the store level. In couple of quarters as the business will move back to pre -COVID l evels do you think the operating leverage will be lower going forward, as you may need to recruit more staff , both permanent and temp staff , with electricity cost also inching up?

Neville Noronha: It could be or it could be not . What is trending is that ou r basket value continue s to be high. So, if it remains at this level and you do more revenue , then I think operating leverage will continue to remain . It would not reduce but let us see . I do not know , let us see. So, another two months to pass by and that will give us a better feel on that.

Ankit Kedia : So my second question is on DMart Ready - incrementally new city launches are only for home delivery and not for pick up and now with more DMart store s being part of the network for DMart Ready , would we more focus on home delivery versus pick up in DMart Ready?

Neville Noronha: That is a good question . What we have noticed in small town is that the real need for a pickup point is not there because these town s geographically are smaller. In certain towns like Vizag , we already have more than one store. We have got a lot of learning over the last few years. We find the home delivery system to be less complicated , if I may say so. And hence in some of these citie s we have launched the offering without the pickup point and just do the home delivery.

Ankit Kedia : Sir but also that counter point which you made initially , that these customers would have more time in these smaller cities and they might not be willing to pay for home delivery, so how do we tackle that in these smaller cities?

Neville Noronha: So, we are trying to have the pickup point within the store.

Moderator : Thank you. We will take our next question from the line of Amnish Aggarwal from Prabhudas Lilladher. Please go ahead.

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Amnish Aggarwal : My questions are mainly around DMart Ready where now I think if I look at say past three years , numbers are close to 10x in terms of sales and today we are much more confident about the format and scalability but looking at the way the competitive intensity is panning out in this particular , you can say the online format, what are

the steps we are taking to improve our efficiency in terms of cost , that is number one. Secondly to compare the time to delivery and thirdly how has been the response in the city beyond Mumbai, Pune etcetera where we entered in the last one or two years or anything novel which we are doing over there and fourthly what is currently ratio of pickup and delivery in bigger cities like Mu

mb ai?

Neville Noronha: First and foremost, confidence comes not from the point of view of the business, profitability or any of these things. We are confident for two reasons - we are getting better than last year on older locations like Mumbai. People love the offering , more and more customers are shopping. We need to open more fulfillment centers because capacities are kind of peaking . So, our sense of confidence comes from there. The second sense of confidence is also coming in because our brick -and-mortar business is also doing very well. Hence our ability to fund this business gets easier , but like we said that we will calibrate the investment, commensurate to what is the limit to which you can fund this business, but yes compared to last year we are feeling better about this business , that is one. Second is on pickup versus home delivery. I think it is a function of how many pick up points you have, the more number of pick up points you have , the ratio more or less remains the same, but in whichever region or whichever micro market we have decided to have lesser pickup points then obviously the ratio of home delivery increases vis -a-vis pick up. So, to that extent we are calibrating it in a manner that the unit operating metric gets more efficient and it is more value accretive and hence we are tilting it because every pickup point needs some time to breakeven . I think in the pickup model what we believe is having lesser density and spreading out in the city such that they are evenly present in all areas of a city would be a better approach rather than doing a big bang and having a very high level of density of pickup points and hence to that extent pickups may not be as easily available as say in Mumbai city. So, to that extent HD (home Delivery) contribution then will go higher. So, that is the part on the pickup versus HD. I think I missed one another question . If I missed it Amnish you can ask me again.

Amnish Aggarwal : It was regarding , there were actually two more , one was regarding the steps we are taking to improve the efficiency in the overall DMart Ready model and to compare Avenue Supermarts Limited
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the delivery time because that is where some of our competitors are quicker or they are trying to you can say play around?

Neville Noronha: Again , both these questions are contrary to each other. If I try to look for efficiency my service to the customer goes down. So, we are playing the balance. The best way to shrink delivery time is to have more fulfillment centers and have them closer to the demand area because fulfillment centers that we open peak -out within 6-8 months and so you need to add another one. So, that is the best way to reduce delivery time and efficiency will simply come from throughput – more throughputs per FC, more throughputs per vehicle, more throughputs per employee . Efficiency will come in and magically all the numbers will change . So, from that standpoint I think the way the DMart model is, the way we think about cost, a lot of that knowledge at the operating level is being transferred to the DMart Ready business and that is what excites us. The problem with the model is the gross margins. I have eluded to that even in the last analyst meet that making money in the business is a function of how much of gross margin will I be able to make. So, eventually that is a longer term view we should take on the business, but from the operating standpoint , I think we are pretty confident about running the show with the same ethos, with the same beliefs, principles of the brick-and-mortar business and we are confident there.

Amnish Aggarwal : You said that fulfillment centers usually peak out in 6 months , so are we witnessing the same trends in the newer cities where we have entered in the last year or two?

Neville Noronha: No. All of these comments of mine a

re for Mumbai . If you would remember we have always been saying that metros , large towns, high density, vertical cities is where we see this opportunity and that is what is exactly being planned out . But whenever you go to small towns it requires up-fronting all these capex cost and waiting time for business to come . Small towns take more time to scale up and that is why again we are having a different approach to the business as we go to other towns , that we do not want unnecessary upfront CAPEX and we believe that going

through the route of using the brick -and-mortar assets and getting charged only for the variable cost would be a better way to make capital more efficient.

Amnisha Aggarwal : How much would we say Mumbai and Pune as a part of total demand , Ready sales if you can share?

Neville Noronha: It will be a dominant share that much I can tell you.

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Amnisha Aggarwal : And just final question from my side , I think a couple of years back we eluded that in the catchment or the states we are having our physical stores brick -and-mortar stores is the potential of say 1,200 stores as we estimated that time, so has that number changed now?

Neville Noronha: No, it remains the same . Population and cities do not change – around 1,500ish

Moderator : Thank you. Our next question is from the line of Suraj Nair. Please go ahead.

Suraj Nair : Two questions if I may - on the team itself , so if I look at the global large retailers like Walmart, Costco, many of them , what I see is that they have built a significant strength in terms of analytics bench strength , they have a large and very deep quality of analytics and today you could argue that it is kind of stable thing because especially if I look at two of your competitive advantages. One is that ensuring a high inventory turnover in a country as diverse as India, with changing tastes and preferences and also from a point of view of capital employment in terms of where to scout for new places to open stores. One would think that having deep analytics capabilities is essential to these things. So, I was just wondering if you could explain how you are building on that aspect and how large is your analytics team , who heads that , if you could throw some color on that, that is my question?

Neville Noronha: It is a very simple business Suraj. The names you gave of the global companies, the scale at which they operate, the number of articles that they operate with, these are all 50 -60-70 year old companies. They are very complex , their tech evolved at a period of time when there was no tech at all. So, their systems are not as simple , straight forward as we have because we directly adopted the best technologies. It is not as complicated as you are assuming it to be and I think one of the biggest values for any great business is to have a bunch of highly talented people across the organization, it is not just about analytics, it is not just about real estate. We all come together as a team, each brings in great value from their standpoint and that helps the business and then obviously keeping them with you for a very long time. I think it is a lot of things together that make a great business. So, I do not have a straight answer for this, real estate, projects , it is all a team effort . Everybody brings in their quality to the table and our business is much simpler than the names that you took.

Suraj Nair : Which leads me to the second question , in fact because in one of the previous calls you had mentioned that the number one challenge that you have been working

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on and you spent two-three years working on is essentially as you scale , putting in place the right culture, training programs and ensuring that the right culture is imbibed, talent stays on and all of t

those things . Can you give me some concrete

examples , maybe there are multiple initiatives that you have been working on, but how do you address this part that as you scale , as you get bigger and bigger and especially given the decentralized nature of your business, how do you ensure that the right talent is there in the right place and they stay on for long tenure?

Neville Noronha: Suraj just one simple thing - if you identify rightly and look at where he comes from and you take him to a place that he would have never reached had he been in any other firms , that is it. So, it starts from the front -end guy to maybe even a person like me, where did we all come from ? I mean we are all very simple fellows . At every level of the organization that is the broad ethos, where did this guy come from and then does he have the potential to be at a level that he would never get that opportunity anywhere else , that is it. So, everything else follows , whether it is training, great people practices . Everything else is an offset of how do we create that feeling in every single employee. So, there is a sense of ownership that cuts across every single person in the firm, it is not just top management or middle management and not there in the working staff or supervisory staff, you create that sense of ownership at every level.

Suraj Nair : You did say that you had spent about couple of years holding training programs, was there any particular emphasis why you felt because this is something that you will be doing, what you just said, I assume that is something that you would be doing on a day in, day out basis. It is like ingrained at every level. So, you did say that you would spend specifically about a couple of years working on some specific aspect of it, would you be able to throw some light on what that exactly was?

Neville Noronha: So, I have spoken about this in detail I think two years back but I will talk about it again. See one is that it is a huge organizational setup. Now till the time you are 10, 20, 30 stores you are much more connected with the stores, you know people, you know this must be happening in this particular way because I spent time with them, I know he will do a good job, all of that. But as you grow, as you scale up how do you know sitting in the corporate office that every single store is doing it the right way? And that is where SOPs, standardization and all of that comes into play and again it is the same playbook like how McDonalds does it or Walmart does it or all these big QSR or retailers do it. You map the entire organizational activity through very Avenue Supermarts Limited
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perfectly documented SOPs and then you ensure everybody follows it. And how do you ensure that, you just have a very strong L&D program and in today's tech world that is the beautiful thing. In today's tech world I mean you can digitize every single thing and you have brilliant audit trails and you are assured that every single person knows what he is doing because you have this ability to do online certifications. So, we ensure that every single person who is doing that critical task is actually going through an online certification so we are assured that yes he knows his stuff. So, every single person is mapped to a certain activity, to a certain certification, he has to pass or do so many certifications per annum only then does he qualify to get promoted to the next level and stuff like that. All of these are hygiene factors, these are qualifying factors and then there is obviously qualitative and subjective evaluation done by the line managers or line supervisors. That is how you run this place. However, I would say it is never 100% perfect, but I think 80%-85% we are there, we have done all of this for the last three to four years and I am quite pleased with the outcomes.

Suraj Nair : Last one from me

Suraj Nair : e, you know once the store matures let us say in a metro versus semi urban versus a rural location, if I may just divide it to three simple buckets, once the store matures what is the ROI profile of these in the metro versus the semi urban versus the rural?

Neville Noronha: It is not really metro versus semi urban versus rural. In general, as the store matures the ROICs are pretty high, pretty good. I have spoken about this earlier, like on an average, the turnover per square foot today is Rs 27,000 and when it was Rs. 35,000 I would say that our mature stores are at multiples of Rs 35,000. So, if our turnover per square foot is multiple of Rs. 35,000 and say a Mumbai store which was bought 15 years back, then imagine what the capital price was at that time and then you make a judgment on what is the kind of ROIC. This is nothing special about DMart. If you take Walmart or any of these great organizations' last 30 years' balance sheet, P&L and if you do the Math, they will be throwing cash on the old stores like crazy. That is the beauty about this business, patience pays. If you are operating all this right, over a period of time, returns are awesome.

Moderator : Thank you. Ladies and gentlemen, we will take that as the last question. On behalf of Avenue Supermarts Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

AVENUE SUPERMARTS LIMITED

TRANSCRIPT OF THE 23RD ANNUAL GENERAL MEETING

Day : Thursday

Date : 10th August, 2023

Time : 11.00 A.M IST to 12.03 P.M. IST Venue : Through Video-conferencing

CORPORATE PARTICIPANTS:

Directors and Key Managerial Personnel:

Mr. Ramesh Damani

Chairman and Independent Director

Mr. Chandrashekhar Bhawe

Independent Director Ms. Kalpana Unadkat

Independent Director

Mr. Ignatius Navil Noronha

Managing Director and CEO Mr. Ramakant Baheti Whole-time Director and Group CFO

Mrs. Manjri Chandak

Non-executive Director

Mr. Elvin Machado

Whole-time Director

Mr. Niladri Deb Chief Financial Officer

Mrs. Ashu Gupta

Company Secretary

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2 Ms. Ashu Gupta – Company Secretary, Avenue Supermarts Limited:

Dear Shareholders,

Good morning to all of you! On behalf of Avenue Supermarts Limited, I, Ashu Gupta – Company Secretary of your company welcome you all to the 23rd Annual General Meeting of Avenue Supermarts Limited.

Before we commence, I would like to inform you that this Annual General Meeting is being held through Video conferencing in accordance with the General Circulars issued by the Ministry of Corporate Affairs and Securities Exchange Board of India from time to time. The two-way teleconferencing Webex facility is being made available to the shareholders to attend this Annual General Meeting of the company on a first-come, first-served basis. The members attending the meeting through video conferencing shall be counted for the purpose of quorum. Since this AGM is being held through video conferencing, physical attendance of members has been dispensed with. Accordingly, the facility for appointment of proxies by the members is not available for the AGM and hence, the inspection of the Proxy Register is also not applicable.

The company has received requests from few members to speak in this AGM. The floor will be open for the members to ask questions or express their views. The company reserves the right to limit the number of speakers depending on the availability of time for the AGM. All the members joining this meeting are by default placed on Mute mode to avoid any background noise and to ensure smooth and seamless conduct of this meeting. During the Question-Answer session, the moderator will announce the names of registered speaker shareholders. Speaker shareholders will thereafter be unmuted by the host of the meeting and will be allowed to express their views or ask questions. Each speaker will be given 3 minutes, and I request you all to adhere to this time limit. Members facing any technical issue are requested to call the helpline number of NSDL as mentioned in the notice of the AGM.

Members may note that, since the AGM is held through video conferencing, the resolutions mentioned in the notice convening this AGM have already been put to vote through remote e-voting. And, as the facility of e-voting is also available at the AGM, there will be no proposing or seconding of the resolutions. Members who have not yet cast their vote by remote e-voting, can exercise their voting rights at the AGM through e-voting by following instructions as mentioned in the notice of the AGM for remote e-voting. The members can vote at the AGM through e-voting from commencement of this AGM till 15 minutes after conclusion of this AGM.

I now request our Chairman – Mr. Ramesh Damani, to take over the proceedings of the meeting. Thank you and over to you Sir.

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:

Thank you so much Ashu. Good Morning to all of you!

On behalf of the Board of Directors, I, Ramesh Damani - Chairman of the Board, welcome you to the 23

rd Annual General Meeting of Avenue Supermarts Limited. I am joining this meeting from

our corporate office at Thane. I am informed that the requisite quorum for the meeting is present,
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TS LIMITED

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3 and accordingly, I hereby call the meeting to order. Participation of members through video conferencing has been reckoned as quorum in accordance with the circulars mentioned earlier and as per Section 103 of the Company's Act, 2013. The statutory registers are available electronically for inspection by the members who are desirous to have an inspection at the AGM. Members seeking to inspect such documents can send the request to investorrelations@dmartindia.com from their registered email address.

Before I begin my address, let me extend a warm welcome to our Board members who have also joined the meeting. I now request the Board members to introduce themselves. First of all, Mr. Chandrashekhar Bhav.

Mr. Chandrashekhar Bhav - Independent Director - Avenue Supermarts Limited: Hello. Good Morning everybody. I am Chandrashekhar Bhav. I am joining this AGM of Avenue Supermarts Limited from Bangalore, from my residence. I am an Independent Director on the Board of Avenue Supermarts Limited, and I chair the Audit Committee, the Nomination and Remuneration Committee, and the Corporate Social Responsibility Committee of the Company. Thank you.

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:

Thank you Mr. Bhav. May I request Ms. Kalpana Unadkat to introduce herself.

Ms. Kalpana Unadkat – Independent Director - Avenue Supermarts Limited:

Thank you Ramesh bhai. Good Morning everyone. I am Kalpana Unadkat, an Independent Director of the company. I am joining this meeting from Mumbai. Thank you.

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:

Thank you Kalpana. May I request our CEO – Navil Noronha to introduce himself.

Mr. Ignatius Navil Noronha – MD & CEO, Avenue Supermarts Limited:

Good Morning everyone. My name is Ignatius Navil Noronha. I am the Managing Director & CEO of your company. I am also Chairman of the Risk Management Committee of your company. I am joining this meeting from the Corporate Office of the company in Thane.

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:

Thank you Navil. To his right, I request Mr. Ramakant Baheti to introduce himself. Mr. Ramakant Baheti – Whole-time Director - Avenue Supermarts Limited:

Good Morning everyone. I am Ramakant Baheti, Whole-time Director and Group CFO of the company. I am participating in this meeting from our Corporate Office in Thane.

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4 Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:

Thank you Ramakant ji. May I request Ms. Manjri Chandak who joins us by video call, to introduce herself.

Mrs. Manjri Chandak – Non-Executive Director - Avenue Supermarts Limited: Good morning. I am Manjri Chandak. I am the Non- Executive Director of your company. I also chair the Stakeholder Relationship Committee. I am attending this meeting from Mumbai. Thank you.

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:

Thank you so much Manjri. To my left, may I request Mr. Elvin Machado to introduce himself. Mr. Elvin Machado – Whole-time Director - Avenue Supermarts Limited:

Good Morning everyone. I am Elvin Machado. I am the Whole-time Director of your company. I am participating at this meeting from the company headquarters at Thane.

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:

Thank you Elvin. From the Management team, behind me is Mr. Niladri Deb – CFO and Mr. Rushabh Ghiya – Investor Relations Officer, they are also attending this meeting from our Corporate office in Thane. The Chairman of the Audit Committee, Nomination and Remuneration Committee and the Stakeholders' Relationship Committee are present at the AGM. We also have with us Mr. Vikram Mehta - Partner S R B C & CO LLP, Statutory Auditors of the company and Mr. Himanshu S. Kamdar - Partner M/s Rathi & Associates, Secretarial Auditors and Scrutin

isers for e-voting, attending this meeting through video conferencing.

With your permission, I will make a few brief remarks.

Dear Shareholders, As I reflect over the last 2 years, the word that resonates most with me is - change. The outbreak of the pandemic led to several challenges. As a company, we seized several opportunities in the evolving new normal. The only constant was our unwavering focus on continuously delivering our value proposition to our customers. During the financial year, we continued to deliver growth across our various key financial metrics, which reaffirmed my belief in our strategy and execution capabilities. This would not have been possible without the dedication and determination of our

greatest asset, our people.

The global macro headwinds notwithstanding, India continues to remain a bright spot. In comparison to other subcontinent countries, India has remained resilient from geopolitical and other disruptions. In fact, India is expected to be one of the fastest growing major economies in the world. This resilience stems from structural strengths of the economy, bolstered by supportive government policies, a stable political and economic environment and robust private consumption.

At DMart, our growth in the organised retail segment continues, driven by steady expansion in our store network, and reasonable growth across financial and operational parameters. We expanded our store presence and successfully opened 40 new stores during FY22-23. Since FY 2017-18 we

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5 have more than doubled our store count to 324 despite the outbreak of the pandemic in 2020.

Our strong belief in our business model and focused execution has driven this steady growth. We firmly remain committed to India's long-term consumption story. Our cluster-based expansion strategy and gradual penetration into large and small towns, continue to be our guiding light. As we continue to expand and evolve, we remain aware of our obligations to society and environment, and we are dedicated to fulfilling this responsibility with an unwavering commitment and utmost sincerity.

We remain steadfast in making a meaningful impact on the environment. We continue to pursue a green building certification for our buildings, and invested in several eco-friendly practices in the areas of energy efficiency, water conservation, use of sustainable building materials, among others. As part of our CSR commitments, we continue directing our support to public education system. Our program supported students from 10 Municipal Corporations and 2 Zilla Parishads. We cover more than 300 Government/ Municipal and Zilla Parishad Schools i.e. Public Schools across cities and towns, positively impacting more than 128,000 students. Our support also continues to several reputed external institutions which are running impactful programs to support the economically and socially disadvantaged in the areas of education, environment and nutrition.

I would like to extend my heartfelt gratitude to all our shareholders for their continued trust in DMart and our core values. To our employees, I extend my appreciation for their relentless focus, passion and dedication in enabling us to serve our customers during good times and tough. I remain confident about India's long-term growth potential, as well as in our ability to scale and to serve millions of Indians with our value proposition. I request your continued support in this journey. Thank you so much.

I conclude my speech with that, and now we will carry on with the business of the meeting.

The notice convening the 23

rd AGM, along with the Annual Report for the financial year ended 31st

March 2023 consisting of financial statements including the Board's Report and Auditor's Report, have been sent only to those members whose email ids are registered with the company or the registrar and

share transfer agents or the depository participants through electronic means. The notice has also been posted on the website of the company. With your permission, I will take the notice of the AGM as read.

The company has presented the standalone and the consolidated financial statements of the company for the financial year ending 31st March 2023 as per the requirements under the Company's Act 2013. The Auditor's Report on the standalone and the consolidated financial statements does not have any qualifications, observations or comment on financial transactions or matters which have had any adverse effect on the functioning of the company. With your permission, I will also take the Auditor's Report as read.

I now invite the shareholders to express their views or ask questions pertaining to the performance of the company during the year under review or the resolutions placed for approval of members. The shareholders are requested to please be brief and avoid repetition. Shareholders are also requested to express views and raise queries pertaining specifically to the Annual Report for the financial year 2022-23 and the business matters for today's meeting. The shareholders who have sent their queries on the email id of the company provided in the notice of the meeting, shall be answered during the meeting. As regards any personal grievances or queries, shareholders are

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6 requested to write directly to the Company Secretary or the registrar and transfer agents to enable prompt and appropriate response. Now, I shall invite the shareholders who have registered themselves as speakers, to express their views and ask questions and give suggestions. May I ask the moderator to announce the names?

Moderator:

Thank you so much Sir. The first on the list of our registered speaker shareholders, we have with us Ms. Mamta Vinay Mimani. But unfortunately, for some reason, she couldn't join this meeting. So, going ahead with the next person on the list, we have with us Mr. Kaushik Shahukar. Mr. Kaushik, you have been unmuted. Can we have your video for the question please?

Mr. Kaushik Shahukar – Shareholder:

Good morning to all. I am honoured to have the opportunity to address you all today. I would like to express my gratitude to the Board of directors for allowing me this chance once again. First off, I salute the Board of directors for conducting VC mode of meeting, thereby allowing opportunity to pan India shareholders. Sir, I request you to continue the trend. I am a satisfied shareholder of our company, and I must commend the management for their remarkable efforts in creating wealth for the shareholders. However, I'd like to raise a couple of concerns.

My primary concern pertains to the utilisation of savings on account of virtual mode of meeting. Will you [No audio] and allocate a portion of these funds to the welfare of the society, more particularly, among shareholders who actively participate in the AGM as speakers? Considering their valuable contribution and active involvement in the meeting, it would be a gesture of recognition and appreciation to distribute a small memento among them on the occasion of important festivals. Next, can you provide the expenses on account of the virtual mode of meeting and on account of physical mode of meeting? I humbly request the Board to consider my proposal and explore the possibility of implementing the gesture of gratitude and appreciation. By doing so, I firmly believe that it will improve the personal rapport between the company and stakeholders, and contribute to the overall wellbeing of the company, corporate family.

My next concern is, what strategy is DMart implementing to maintain or improve its profit margins? Can you elaborate on the company's approach to managing working capital and inventory levels? What are DMart's plans for expansion into new

locations or markets? Can you

provide update on the progress of new store openings and the company's approach to selecting strategic locations? How does DMart balance its growth plans with maintaining operational efficiency?

My final concern is, that the company has been hesitant in supporting individuals in need, including myself. I have shared my credentials in the past and followed up consistently but have not been considered. Should not helping a disabled person be part of your CSR activity? Then, why is the company hesitant in supporting me? I appeal for support in certification work, including form 15CB. Your assistance would mean a lot to me. If I can't get help from a reputable company like DMart, then whom should I turn to? I'm resending my credentials after the AGM for your consideration and [No audio] consideration for your help and support. I want to clarify that I'm not seeking handouts or free money or sympathy. I value my independence and self-reliance. I'm a Chartered Accountant, and I hope you can understand and respect my desire to maintain my independence. Thank you so much.

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7 Moderator:

Thank you so much Sir. The next person on the list who has registered as speaker shareholder, we have with us, Ms. Lekha Satish Shah, but she couldn't join this meeting. She is followed by Ms. Hutokshi Sam Patel, who too is not here right now. Going ahead, we were supposed to have Mr. Yusuf Rangwala, but he is not here today. Followed by Ms. Prakashini Shenoy. Unfortunately, she hasn't made it to the attendees' list yet. Our next registered speaker shareholder is Mr. Suresh Jain, who is amongst the attendees.

Mr. Suresh Jain – Shareholder:

Respected Chairman, Board of directors and my fellow shareholders, I'm Suresh Chand Jain, and I'm speaking from Hyderabad. I'd filled 10 forms for this company, I got 5 forms. Thank you so much for helping me to become a shareholder of your company. I'm happy with the rate of the shares, and I thank you and your team for your hard work, whose benefits we shareholders are reaping today. I thank the Chairman for giving us a run down about the company in such simple and clear words. We speaker shareholders would be even more happy if you were to send us some gift coupons or a box of dry fruits; it would be a cherry on the cake. Please try to send us speaker shareholders something. Thank you for giving me a chance to speak today. I pray to God for your progress. Thank you Sir.

Moderator:

Thank you so much for your question. Going ahead, we have with us Ms. Smita Shah.

Ms. Smita Shah – Shareholder:

Respected Chairman - Shri. Ramesh Damani, MD & CEO - Mr. Ignatius and other directors present, I'm Smita Shah from Mumbai. I thank the Company Secretary – Ashu Gupta and her team for sending me the physical Annual Report as per my request. The balance sheet is informative, attractive, transparent and prepared with good quality, and you also sent it before time. So thank you for that too and the very good investor service. Mr. Damani, what do I say? You've had such a jump in the market. Your

revenue from operations, EBITDA, turnover, inventory turnover, profit after tax, everything is soaring. With your excellent performance, you've made us shareholders proud too and have increased our share value for us. Mr. Chairman, the company is progressing under your leadership and the path set out by our founder Mr. Radhakishan. Since we are in the holy month, his name Radhakishan is very auspicious. This is also because of the help from our Board. Sir, whenever I visit the DMart store, I notice the hard work of the staff at the store. I thank them for the excellent service they provide right from morning to day end. Because of the hard work of all the staff, the company has reached where it is today. They say, patience always pays off, but hard work pays off even more

, which is evident in DMart. The confident and smiling photo of yours in our balance sheet, assures us of a bright future for DMart. May you always keep smiling and be dear to us. And Sir, I would like to praise [No audio]. All the praises that we have for you will fall short. Sir, you did not give us any dividend neither any bonus. But Sir, after 2 years you will be celebrating silver jubilee. I would like to ask, if you are planning to do something exciting. Have you started thinking on those terms now? Are you going to surprise the shareholders? Please plan something really good within 2 years. Think of a bonus or a get together or something that you think is right. And Sir, we are hopeful of you. Chairman Sir, my best wishes were always with you
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8 and it continues to remain with you. May our DMart Company grow in leaps and bounds. My God bless you with good health and wealth.

Sir, we have always supported you. I have been a shareholder since the time of issue and so I have faith in you. I can see a good future for our company. As always, today too, I support all the resolutions. And Sir, request you to consider for a physical AGM from the next year onwards. All of us haven't met for the last 4 years and it is important to meet at least once a year. Attending meeting through VC is like looking at the images of the people. There is a huge difference between meeting physically and meeting through VC. You can also have a hybrid AGM so that those who cannot attend the physical AGM may continue to attend the AGM. But please decide on having a physical AGM next year onwards. I wish that for the next year AGM we will all be able to meet you face-to-face. I pray that you always stay in good health. Advance wishes for all the upcoming festivals and assuring you my full support. Thank you Sir.

Sir, Bharat ji has also conveyed his best wishes to you. He doesn't want to take up your time. Thank you once again.

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited: Thank you.

Moderator:

Thank you so much for your good wishes towards the company and the people. Thank you so much. So these were Ms. Smita Shah and Bharat Shah jointly on the call. Next we were supposed to have Mr. Satish Shah but he couldn't join this meeting. Also, we were supposed to have Mr. K. Sadananda Sastry and Mr. Anil Parekh. They both couldn't make it to this meeting. So, going ahead with the next person we have here, that is Mr. Arjun Vadhwa.

Mr. Arjun Vadhwa – Shareholder: Thank you Sir for giving me this opportunity to speak. It is good to know that the company is opening stores on the same day and are also providing updates [No audio]. Sir in the upcoming financial years, that is, 2023-2024 and 2024-2025 how many stores is the company planning to open. I would like to know about that. Thank you.

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:
Thank you.

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9 Moderator:

Thank you so much, Mr. Arjun. Going ahead with the next person on the list we have with us Ms. Swarn Lata.

Ms. Swarn Lata – Shareholder:

Good morning, Chairman Sir, Board of Directors and the shareholders present in the meeting. Thank you for your speech, Chairman Sir. I have few questions. Sir, on page no. 201 of the annual report there is an amount of Rs. 387 crores as shown under other expenses. Sir what are these expenses? Because on the same note, expenses of even Rs 1 crores are given but no details are given for Rs. 387 crores. Please elaborate on this amount as it is not a small amount. And second, I want to know that everything is given on the content page of the annual report but the figures related to the shareholders, that is the amount of dividend is missing. So please take care of small investors like me. And at last, I want to thank the company secretary

and the secretarial department for allowing me to express my views in front of the management. Thank you.
Moderator:

Thank you so much. Going ahead, we were supposed to have Mr. Rajendra Jamnadas Sheth with us but for some reasons he couldn't join this meeting. So, going ahead with the next person on the list we have with us Mr. Ashok Kumar Jain.

Mr. Ashok Kumar Jain – Shareholder:

Good morning, Chairman Sir, Board of Directors and my co-fellow shareholders. I, Ashok Kumar Jain join the AGM from Delhi. First of all, I congratulate the management and the staff for providing excellent result during the financial year 2022-2023 and opening new 40 stores. Sir, I also thank the secretarial department for helping me join the AGM on VC portal from far away. Sir, I query that there is no dividend. What is the reason the company not thinking about the shareholders? Because most of the shareholders who join regularly have not joined the AGM. What is the reason? Are they are not interested in the...are they not satisfied with the management decisions? What's the reason? And my next query is that the company has opened new stores does the company plan to issue e-portal? The sales can be increased through the online system, Sir. Nowadays, people purchase more online

What is the future strategy of the company on those terms? Please to throw some light on it.

What are the expansion plans of the company? What is the CapEx plan? Please throw some light on it because the company is not providing us with dividend and the company is reinvesting the money. Request you to think about the returns for the small shareholders too or else issue some coupons to them so that they can go to the store and see what is there in our stores. They will also get an opportunity to go and purchase. Thank you Sir.

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10 Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:

Thank you.

Moderator:

Thank you so much, Sir. Going ahead with the next people according to the list of registered speaker shareholders, we were supposed to have Mr. Gaurav Rozatkar, Ms. Sandhya Kejriwal, Mr. Amar Patil and Mr. Kirti Shah. All of these speaker shareholders registered though did not join this meeting. So going ahead with the next person who is here is Mr. Arun Kumar.

Mr. Arun Kumar – Shareholder:

This is Arun from Bangalore. I have three set of questions to the management. One, DMart Ready has been there on the system for about 6 to 7 years. But still we do not see any profitability in the near future. So what is the management's view in terms of DMart Ready being profitable and when this can be expected? My second query is that, I'm a shareholder plus an active user of DMart Ready in terms of online delivery, I'm surprised to see that there are a lot of restrictions in accessing, a lot of times the items are not available. If they're available, there's a restriction on the number of items that I can purchase online. And though you charge Rs. 49 or Rs. 50 per delivery, still we report a loss in terms of the entire operations. There are many competitors who are offering for free, we are delivering with charges. So what is the break even or when this restriction on the items to increase the sales can be done.

And the items in the shopping cart are getting disappeared as and when I add it. So can we ensure that there is enough inventory in the system for DMart Ready as in the physical store? My last question is in terms of overall company operating profit margin. We have been hovering around 7-

7.5% in the last 2-3 years. Yes, there was COVID. But is there any mechanism that we can increase the operating profit margin because our top line has been excellent. Our bottom line truly relies on the OPM. So what are the measures or what are the steps that will be taken by the management to increase the OPM? So, these are my set of questions. Thank you

for this opportunity to everyone. Thank you.

Moderator: Thank you so much for your question, Sir. Now we would like to call out the names who were already called out before. But the time when they were called out they were not present in the meeting. So calling again Mr. Yusuf Rangwala.

Mr. Yusuf Rangwala – Shareholder: Chairman Sir, today there were so many meetings. Why have you kept it in the last moment? Why

did you keep it on the 10

th of August? What is the reason? Today there are 10 other meetings that

is why people have not joined. Today there are 10 annual general meetings. Why did you decide to have the AGM on 10th of August, Sir? I would like to know. Is today a good day, Sir? Sir what is the total number of stores at present? Sir our company's shareholder department is unmatched.

And Sir, what about you? There are no words to describe you. Sir, you are like the shining sun. The

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11 brightness never dies. You have a very hardworking shareholder department and secretarial team. I am very lucky. Sir, please give us shareholders some discount coupon of 20%. What happens with this is, we all will purchase from your store only. This will be helpful Sir. Sir, Reliance gives us 10%

discount. You also think on similar lines. This will be helpful for our business.

Also, can you tell me what the total number of stores at present are? What is your plan for 15th of August? In the next 2-3 days, we will be celebrating our Independence Day. What is DMart planning for that? You usually provide people with discount. Similarly if you can also provide us

shareholders with some discount coupons so that we can also enjoy the benefits. I would like to present a couplet for you, Sir. 'Suraj chamkta rahe roshni, Phool on ki khushboo kaliyon ke bahaar'.

I support all the resolutions. And I thank you all very much. I wish you all a very Happy Independence Day. This is Yusuf Rangwala, signing in from Mumbai. Thank you very much, Sir.

I am very thankful to our company share department. It is because of their efforts that I am able to meet with you today. Today there are meetings of so many other companies, but I did not attend any of it. When I saw your name on the list, I was really happy at the thought of meeting you. Next year, I hope you will consider for a physical meeting at Nehru Centre. Thank you Sir. Jai Hind Sir and I end my speech.

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited: Thank you.

Moderator: Thank you so much Mr. Yusuf. Going ahead, we have Ms. Prakashini Shenoy.

Ms. Prakashini Shenoy – Shareholder:

I am Prakashini Ganesha Shenoy from Bombay. Respected honourable Chairman, other dignitaries on the Board and my fellow shareholders, Good morning to all of you. I received the annual report well in time which is colourful, transparent, informative and contains all the information as per the corporate governance. I thank the company secretary and her team for the same. I should not forget to thank them once again for reminding me of today's meeting along with the link. Thank you, Company Secretary, once again. The Chairman has given a beautiful picture regarding the company in all parameters. I'm glad to note that the company is doing better performance during the year when compared to the last year. Congratulations Sir.

Sir, I have just one question. How are we planning to increase revenue in future? Last but not the least, Chairman Sir, one earnest request to you is please continue with VC so that people all over the world will have an opportunity to express their thoughts. I wish the company good luck for a bright future and pray God that the profit of the company shall reach the peak in due course. Sir, I strongly and wholeheartedly support all the resolutions put forth in today's meeting. Thank you, Sir.

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12

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:

Thank you.

Moderator:

Thank you so much, Ma'am. So, this brings us to the end of all the questions from the registered speaker shareholders. I believe all the questions have been registered. We can go over to Chairman Sir and the Board members for the answers to the same. Thank you so much.

Mr. Ramesh S Damani – Chairman, Avenue Supermarts Limited:

First, I thank all the speakers for taking the time and sharing their questions with us. We do appreciate that as a part of shareholder democracy.

May I now request our CEO, Mr. Navil Noronha - Managing Director and CEO of the Company to respond to the questions raised by the various speaker shareholders? Navil, over to you.

Mr. Ignatius Navil Noronha – MD & CEO, Avenue Supermarts Limited: Thank you, Sir. Thank you so much. Good morning again. In the order of questions asked, I will

respond to them. But I will like to call out Mr. Kaushik Shahukar's specific query on assistance and his communication with us. I would like to assure him that I will look into it personally and see what we can do basis his request that he has put forward for us. Then there have been multiple questions around gift coupons. The Companies Act does not permit us to issue any gift coupons. On specifics about what the company can offer, I think one good thing we have is we have retail stores and we are known for our discounts. So, I welcome every shareholder who has spoken today to go and visit our stores. And like somebody asked about 15th of August, this period is

actually a very nice period to do a little bit of more shopping because the quantum of discounts are much more. So please go ahead and visit our stores and enjoy all the discounts that you would be wanting or expecting.

On specific questions on dividend, this has been a question that has been asked every year and every year our response has been the same that we are in a very good space for growth and we are utilizing all our internal profits to add more stores. This in the long term is very beneficial because the net return on that investment we believe is significantly better if it is reinvested in the business, and hence we would like to retain income to invest in the future. But as and when the opportunity arises, the Board will contemplate, evaluate and appropriate decisions will be taken on that specific aspect. Somebody also asked about new stores in the current year and the next year. As has been the policy of the Company, we do not give very specific guidance on how many

stores we will add. However, our endeavour is always to be better than what we have done in the past or at least maintain what we have done in the past. So we continue that position, that we'll try to do better and better every year and the best way to look at it is take a judgment basis what we have done in the past. It is management's endeavour to be better than what we have been in the past and that will be the philosophy and ethos on which we operate the business.

AVENUE SUPERMARTS LIMITED
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13 Then there was a question on miscellaneous expenses of page 201. This is a combination of primarily three large heads. One is the bank credit card commission charge that you pay to the credit card company or the banks. Then there's also a lot of repair and maintenance that happens in all our stores. We have 324 stores. A lot of repair and maintenance happens. And also, advertisement. While we don't advertise too much, but we do some bit of advertisement. So bulk of this miscellaneous expenditure is a combination of these three elements. Then, there was a question on strategy on online. So, we have spoken about this multiple times. Our view is that for our model we will first address the very large cities and we have launched DMart Ready from that perspective

ive. We offer similar products or the same products, mostly grocery FMCG products in large towns and see how the model works. We are new to this relatively, but we are understanding this business better over time and we are relatively more confident about the online business now than we were in the past. In fact every year, our confidence level on this business is getting better and we think that we have a good role to play in the online business. What is interestingly coming out is that, there is a larger ecosystem of shoppers who like DMart, who like the brand DMart, who want products of DMart, and probably there is a little bit of hesitancy to go to the store regularly. This is a very sweet spot for us and we are addressing that, but obviously in our own way, which sometimes is perceived to be a little slow. But we would like to do it in a more measured manner.

Then the question was also on DMart Ready's profitability. I think having conversations around profitability for DMart Ready is a little bit premature. Our view is that how do we ensure that we lose as little money as possible. We can't have a view on when this business will be profitable for primarily two reasons. The margins that we make are not commensurate to the cost of operating the business yet. So we have to get significantly more scale and something in the gross margin structure has to change. On the operating cost, we are fairly confident. We know to what extent the business will cost to run. But I think gross margins have to go up and we have to get scale. Then, somebody also had a few complaints on the DMart Ready model. It is bittersweet feedback and we take it on the chin. We know we have to get better but it is also because of the consistently excessive demand. Like, in cities like Mumbai actually we can have significantly more service locations; significantly more touch points of service. So, the demand is significantly more than what we can supply and hence, you are facing these issues of sometimes items not available or items disappear from the cart as you are shopping. But we are trying our best to expand our facilities and we take your feedback. On charges for delivery if you have noticed, we have gradually reduced our charges for delivery from the time we started our business from 3% of value to INR 99, INR 79, and now INR 49. So we are cognizant of the feedback that we get from all customers and basis that we calibrate the decision for the business.

Then somebody also asked a question on what are the measures we are taking to enhance operating margins. I think from a financial metric, on any element of financial metric, I think we are in a good spot and while we have our eyes on the business, we have our eyes on the financial metrics of the business, I think what is more important for us is the larger aspects of the business like, do we have the appropriate talent to run the business, are they focused on the business, are we building appropriate talent for the future? I think those are larger points that we look at and I think that is more critical to think about. From the current operating standpoint, I think we are there and again I repeat the same point that gross margins are something that is sacrosanct. We don't want to earn more than 15% and below that whatever happens is a factor of market forces. So, PAT could be anything basis how efficiently we run the business and how intense the

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23rd ANNUAL GENERAL MEETING

14 competitive context is. But from an operating margin standpoint, I think we are in a reasonably good spot. We have to just focus on addressing other aspects or keeping a look on the other aspects of the business, and this is primarily because we have to grow. This country is a very large country, is offering a very large opportunity. I think we have to seize the moment or take advantage of that opportunity and hence

e, the single-minded focus is how do we add more and more stores.

Somebody asked how many stores do we have? We have as of end of March 2023, 324 stores. I

think with that I've covered everything. Thank you so much Sir for giving me the time.

Mr. Ramesh S Damani – Chairman, Avenue Supermarkets Limited:

Thank you Navil for your clear and concise answers. I now wish to draw attention to all members participating in the AGM that the e-voting platform provided by NSDL shall remain open for 15 minutes after the conclusion of the AGM for voting on the agenda items as set out in the notice of the AGM. Mr. Himanshu Kamdar – Scrutinizer, shall submit his report to the company on the votes cast through the remote e-voting process conducted prior to the AGM and e-voting at this AGM.

The combined results of the e-voting along with the Scrutinizer's report will be declared and uploaded on the company's website www.dmartindia.com immediately on receipt of the Scrutinizer's report, which will be within two working days of the conclusion of this meeting.

On behalf of the Board of Directors, I thank members for their participation in the AGM and continued support of the company. I also thank my fellow Directors for joining me in this meeting.

The meeting is now concluded. I hereby declare the proceedings of the Avenue Supermarkets Limited 23rd annual general meeting closed. I also authorize Mrs. Ashu Gupta to conduct the voting procedure and conclude the meeting. With your consent, I and other Board members would like to take your leave now. Thank you so much for being a part of your morning with us.

Mr. Ramesh Damani – Chairman, Avenue Supermarkets Ltd.:

Thank you, Ashu. Over to you.

Moderator: Thank you so much. Can we have the e-voting timer displayed please? The members who could not cast their votes before have a 15 minutes window to vote.

Ms. Ashu Gupta – Company Secretary, Avenue Supermarkets Limited:

Dear Members,

The eligible and willing members have been given adequate time to cast their vote at the meeting.

This concludes the e-voting process of the AGM.

Thank You.

Call: Aug 2023

2nd August, 2023

To,

BSE Limited

Corporate Services Department

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400 001 National Stock Exchange of India Ltd.

Corporate Communications Department

“Exchange Plaza”, 5th Floor,

Bandra – Kurla Complex, Bandra (East),

Mumbai – 400 051

BSE Scrip Code: 540376 NSE Scrip Symbol: DMART

Sub: Transcript of Analyst/ Institutional Investor s Meet 2023

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of conference call with Analyst/ Institutional Investors held on 26th July, 2023.

The transcript is also available on website of the Company at <https://www.dmartindia.com/investor-relationship> .

Kindly take the same on record.

Thanking You,

For Avenue Supermarts Limited

Ashu Gupta

Company Secretary & Compliance Officer

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“Avenue Supermarts Ltd. Investor Conference Call”

July 26, 2023

MANAGEMENT : MR. NEVILLE NORONHA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER ,
MR. RAMAKANT BAHETI -- GROUP CHIEF FINANCIAL OFFICER
MR. NILADRI DEB – CHIEF FINANCIAL OFFICER
MR. RUSHABH GHIYA – INVESTOR RELATIONS

Disclaimer: Transcript has been suitably edited to convey appropriate context and meaning (Including grammatical and language corrections)

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Moderator: Ladies and gentlemen, good day and welcome to the Avenue Supermarts Limited Investor Call.

As a reminder, all the participants' lines will be in the listen-only mode and anyone who wishes to ask a question may enter "*" and "1" on their touch-tone phones. To remove yourself from the question queue, you may press "*" and "2". Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rushabh Ghiya. Over to you, sir.

Rushabh Ghiya: Good morning all. Welcome to our Annual Conference Call. I have this morning with me our senior management team, Mr. Neville Noronha – our MD and CEO; Mr. Ramakant Baheti – Group CFO; and Mr. Niladri Deb – CFO, ASL.

We will follow our usual process, where Neville will take you through the investor presentation which was uploaded last week.

Before I hand over the call to Neville, I would just like to draw your attention to the safe harbor statement, and then I will request Neville to first take you through the presentation and then we will open up the floor for Q&A. Over to you, Neville.

Neville Noronha: Good morning everyone. As it is every year I will give more time for Q&A. I will run through the presentation which has already been uploaded.

Page #5 – Like we have mentioned our general merchandise and apparel contribution has been lower than the past trends while food and non-food FMCG are more or less trending on similar lines. There has been a higher impact on the downward side on the general merchandise and apparel sales contribution. And consequently, that is why our gross margins have reduced in the recent past. Our cluster-based expansion strategy continues. We constantly focus on this lever of operating leverage, which comes by having more and more stores in the same region, and that continues. We added 40 stores in this period and it is more of the same.

Page #7, DMART Ready : This is our e-commerce business model which is housed under Avenue E-commerce Limited. We added 10 cities, but the additional city locations have not added to that extent in incremental revenues because the structure or format in which we operate is more like a pilot and hence we are still in a work-in-progress approach in the new city operations. We continue to believe that grocery e-commerce has tremendous opportunity in very large towns and vertically, densely populated towns. And we continue to Avenue Supermarts Limited
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have that belief, and hence to that extent, our focus will be more dominant on the large towns of the country.

Page #8:

Again, it shows the trend line of the number of stores that we have opened. Financial year '22 shows 50 stores because that was more of a n overlap of delayed openings of '21. In '23, we opened 40 stores. I have spoken a lot on our real estate strategy and the reasons why we cannot accurately predict how many stores we will open in a year, but our intent and objective is obviously to maintain a run rate of the past. That's a broad point of view there. Then we go to operating and financial summary performance, again the format, the structure, all remain the same. Total bill cuts have moved from 18.1 crores to 25.8 crores. We do like -for-like growth for 2 years and that has been 24.2%. But I think the more critical point to note is ; which I have mentioned in my comments in the quarter ending Q4, where I had said the like -for-like for 6 months was, I think, 11%. That's the more comparable number that had least COVID -19 impact and it is a more comparable number where like -for-like was 11% for the second half of the last financial year vis -a-vis the year prior to that. Again, we added 1.9 million square feet, and sales

per square feet is at Rs. 31,000. This is primarily because the store sizes are larger. We are quite satisfied with our recovery except for.... I am sure there will be a lot of questions on general merchandise and apparel contribution, but other than that, I think we are pretty confident of the business. All COVID -19 related issues are behind us. We are very bullish on the brick and mortar business, and we continue to focus in this area. We believe that there is a huge opportunity to do better and better in the brick and mortar business. So, Rs. 31,000 revenue per square feet is more a factor of larger stores being opened in the recent past. Otherwise, from an ROI perspective and overall performance perspective, I think we are placed pretty well.

Page #11, again, more of the same. We have done Rs. 41,800 crores of revenue, EBITDA is 8.7%, PAT of 6.1%, and net cash flows of Rs. 3,113 crores. I think it is quite stable and we are

quite pleased with what we have done.

Page #12, Days Inventory: That's an interesting data point. It has come down from 36.5, then 33.3 days to 28.8. I would like to spend a little bit more time there. I think that is the beauty about our model. Our ability to be agile and flexible, it's automatic. So if General merchandise and apparel which tend to have more inventories, if that is not doing too well, the inventory by itself also gets corrected and because the contribution of food FMCG and non-food FMCG increases and hence the mix of inventory also changes. That's why the number of days has come down.

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On fixed asset and inventory turnover ratio, again, we are slowly inching back to our pre-COVID numbers. In fact, it is getting better with time. And obviously, return on net worth and return on capital these are all self-explanatory numbers, but I think the trend line everywhere is coming back beautifully to the pre-COVID levels and we are quite happy with how we are trending on that front.

I will jump to Page # 14 which is a more interesting slide. Page #13 is all self-explanatory, but I would like to spend some time on the e-commerce business. Our view is that all the worries that we had about how much money we are going to lose and how this business is going to trend is actually 90% gone. We are quite confident with our ability to run the e-commerce business. And we feel that it is not an either / or. The e-commerce business or DMART Ready business can draw out its own path and build the business on its own, having the tech mindset and approaching the market from that point of view. Probably another 2 to 3 years will tell us what will be the cost side and the margin side impact on this business. The one thing I feel about grocery is that the grocery business, if run well on the e-commerce side cannot lose too much money, unlike the marketplace. And I think that is a huge positive for us. All the anxiety that we had about how much money this could lose has actually gone. We know now that it can't lose too much of money. How much money will it make? That we cannot comment. Broadly I can say it will be driven by what are the gross margins we will make in this business, which is quite challenging. But the cost of operating the e-commerce business will be relatively more than running a brick and mortar business. The fact that the order is being picked for the customer and being delivered to the customer at a more convenient location, either at her home or closer to her home, is going to cost more than running a brick and mortar business. That's the broad view that we have. So, from that stand point, I thought I should comment on the e-commerce business.

The Food Plaza business is basically all the food services. We see an opportunity there. The Food Plaza business helps in making the brick and mortar business stronger and similarly the Align Retail business which is again a

subsidiary manages all the staples business. We also

believe that that's another area that has immense potential and opportunity to make the brick and mortar business stronger and stronger. And then, we have also started up a pharmacy business which again the whole principle is it complements well with the brick and mortar business and hence we are also paying attention to that side of the business.

With that, thank you for listening and we can open for questions please.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We have the first question from the line of Avi Mehta from Macquarie. Please go ahead.

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Avi Mehta: I wanted to first start with the general merchandise and apparel segment. Now, in this quarter, you had highlighted specifically the general merchandise has recovered, but it seemed that apparel is yet to bounce back. The question that I had is, would you believe that online peers like Myntra or offline peers like Zudio are able to wean customers from our apparel offering? And what are we doing? Is that a concern for you? Or if you could kind of just spend some time to help us understand what is missing or what is hurting the growth in this segment?

Neville Noronha: I would say it in two ways. Let's look at it this way - external and internal. I think externally, we all know what's going on. I think the whole country has suddenly figured out that this is a space that has a huge opportunity. And you have a lot of players who are trying to get into this space - this typical 1,000 bucks and below price point, more focused around Rs. 500 to Rs. 600 price points. And obviously, earlier, in that segment you had fewer players. So, obviously that is one area definitely. There is a lot of activity happening there and people are getting more choices. And when they have more choices, obviously it has an impact for us.

Another complement for our model is that because we drive so much of traffic, there is a clear mandate - we see that a lot of these formats open very close to where a DMart store is. That's the second thing; these are both external, which are happening. And internally, I think probably apparel may not be the best aligned category compared to, say, staples or general merchandise. I think from an aspiration standpoint for a supermarket or a value retail grocery retailer, apparel may not be seen or perceived to be that aspirational compared to general merchandise or buying food or all of that. And that is an accepted norm if you do any consumer psychology testing on all these aspects, that clearly comes out. Now, considering that, considering what is happening and the market getting more efficient, what is it that we need to do internally? And that's where my question is. I think we need to do a lot of more work internally. I think from an internal structure standpoint, people standpoint. On the apparel category management standpoint, I think there have been some opportunity misses or the quality of thinking that is needed on what we should do has got a bit lost. And I think we need to work really hard there. And our view is that we can't be what somebody else is trying to be. We are very clear that we are first a grocery format retailer. And within that, how do we position apparel? I can't be a lifestyle discounted retailer of apparel, specialty value retail. I can't be that. I am a grocer first. Within that space, what is the opportunity I have? I think there is still a huge, huge opportunity to address in the basic segment and we are working on it. We are approaching it from a perspective about anything that is very low on high fashion but very basic, great value, immense value applying the principles of DMart. Like I always say that if you want to wear a T-shirt to be worn at home or

you want to wear

nightwear which you wear at home or you want to go to a local bazaar to do some shopping, you need some apparel or footwear, you come to DMart. But if you want to go to a five star hotel or you want to go to an expensive party, DMart is not the destination to buy apparel. We are very clear about that. I think somewhere there, we have to be more precise and we have to fine-tune our assortment more effectively from that standpoint. I think with that, we
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should be fine. And I also think that our conversations should not be binary, i.e., general merchandise and apparel. Apparel should not be the issue. I think the ecosystem around non-FMCG and what are the other saliences that we can have by adding more and more horizontally into the format is something we should think about. That's the longer term opportunity. And that is why, if you remember, I have been saying that the opportunity of having larger stores is it allows you to experiment. It is not just about apparel not doing good. In the longer term, quite likely, apparel will continue to have a lesser contribution to our business, and that's okay. I hope I have been able to answer the question.

Avi Mehta: As a simple follow up, in terms of the general merchandise and apparel total sales, would it be fair to say apparel is a relatively small component of it or an equal component? Any idea? Just to kind of understand the extent of how much this track can be, at least from a near term perspective? Because, I hear you that there is a portfolio work that you are essentially doing to better address that opportunity, but if you could give us some understanding of the extent of this salience.

Neville Noronha: I cannot comment on that, Avi. All I can say is that between the two, apparel has a lesser contribution. That much I can tell you.

Avi Mehta: The second bit, if I may, you had highlighted in the last meet that quick commerce is not a concern for us from a brick and mortar. a) If that thought continues? b) Are you thinking of exploring that space through DMART Ready? Because, there is a clear consumer need. And I remember your earlier comments that you said we will go where the consumer is. I just wanted to understand this better.

Neville Noronha: I think we are in a very sweet spot, Avi, from an e-commerce perspective. The way we are doing our brick and mortar business is also how we are looking at E-commerce in terms of ensuring that the customers buy more and more. So, our focus is on increased basket values and a focus on customers continuing. Every time he or she buys on DMart Ready, her basket value has to be large enough. When we are focusing so much on that, going the quick commerce way.... Let's put it this way. Instead of ordering twice a month, if she starts buying 6 times a month or 7 times a month, but the basket values are sizable, happy to service her. If you call that quick commerce, fine, let's call that quick commerce. But we all know what real quick commerce is, right? It is a lot of impulse. It has a lot of low ticket value items. It is all about delivering in the next 30 minutes. I don't think we are focusing on that space. We are focusing on bulk. But we see an opportunity in delivering early. Earlier we used to deliver on an average, maybe 50% of the orders in 24 hours. Now we are saying 100% should be in 24 hours. Then within that, if you are saying, how much of this can be delivered in 12 hours? I think delivering in 12 hours is a good vision to have considering the size of the order we have

and considering the assortment of the orders. When a customer on DMART Ready is shopping, she is not expecting the order in the next 30 minutes or 60 minutes. Because, there Avenue Supermarts Limited
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is heavy stuff, buying a lot of groceries. It is like her monthly shopping and she gets

great

value and she also uses other apps to get her stuff quickly. But we will focus on the bulk as of now, Avi.

Avi Mehta: And sir, if you may allow, just the last bit. Any change in discounting from peers? Anything that if you are seeing reckless discounting kind of emerge from the other offline or online peers?

Neville Noronha: That continues. Our margin is a reflection of the benchmarking that is operating in the market. And I think nothing much has changed like -for-like from last year to this year. I think it remains the same.

Moderator: The next question is from the line of Garima from Kotak. Please go ahead.

Garima: Neville, first question again on general merchandise. At some level, do you think it is unfair for us to assume that the contribution of general merchandise to your overall revenue mix can actually go back to pre-COVID levels or should this just find a new intermediate normal?

Neville Noronha: It is a good question, Garima. When I look at our very old stores across the country, when they started.... I have responded to this question even in earlier analyst meetings, but I will say this again. Whenever these businesses start, whenever these locations start, the non-FMCG contributions, i.e., the general merchandise and apparel contribution are higher. And as they mature, the contributions of general merchandise and apparel reduce. It has been a secular trend for the last 20 years. And why does that happen? That happens because when you open a store in an area which is fresh, new, first-time DMart, you tend to get a lot of people from a larger radius and then they happen to be there, they buy groceries but they also buy a lot of general merchandise and apparel. Over a period of time what happens? People who are more closer to the store, their shopping becomes more intense. Their frequency is more intense. The more frequency and more the shopping intensity, automatically they are not going to buy the same percentage or the same contribution of general merchandise and apparel. They tend to buy more and more of groceries. As my revenue keeps growing at a healthy CAGR every year, there is a higher revenue share of FMCG than of non-FMCG. From that perspective, yes, but if you ask me today, as of this year from a general merchandise and apparel perspective, should I take that view and say, oh, there is no issue? Not really. We do have an issue in apparel specifically. I also commented in my Q1 comment that probably general merchandise was more of a COVID-19 issue and a lot of other things and we have got it back more or less. It is coming back. But apparel is an issue for the comments I made just recently, and we have to work on it.

Garima: Can you talk a little bit about the cohort of new large-sized stores, particularly stores that have opened in relatively new areas such as parts of NCR, Punjab, etc.? Are these stores, from Avenue Supermarts Limited
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a throughput and store economics perspective, behaving generally similar to your older stores in geographies that you have understood very very well?

Neville Noronha: With both Punjab and NCR we are quite delighted. Store economics are trending similar to how we used to trend in other regions when we started for the same tenures. We aren't having any issues there. We are quite happy with the outcomes. No issues in NCR or Punjab.

Garima: And third question quickly on e-commerce. Could you highlight the performance of this business within Mumbai? Because, this is your sort of longest performing geography. How much of your revenue is being contributed by Mumbai? In terms of profitability targets, do you expect this business to break even in Mumbai anytime soon?

Neville Noronha: That depends on how you define breakeven. Different people have different views on breakeven. For us, breakeven is at the PAT level considering head office cost, everything.

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From that standpoint, I can only comment one thing, Garima, that MMR region is better than the overall company.

Garima: Overall company meaning Avenue e-commerce?

Neville Noronha: Yes, Avenue e-commerce. I think Avenue e-commerce has a loss of negative 8.79% on revenue. Mumbai obviously is better than this. That is all that I can say at the moment.

Garima: But the majority of the revenues would still be Mumbai. Is that fair to assume although you have added a large number of cities in, say, the last 12-15 months?

Neville Noronha: Yes, the majority of revenue is from Mumbai. But the operating losses in the newer regions are significantly higher because when you start up....

Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: My first question was on the relatively lower salience of GM and apparel. Neville, my question was, does this in any way affect your ability to offer lower prices in grocery while maintaining your gross margins or are there other offsets like potentially higher scale giving you better margins from your suppliers which will allow you to maintain your gap with competition on pricing despite having lesser salience of the high margin categories?

Neville Noronha: The answer is it has no bearing on our ability to compete. And that is why the gross margins have come down. There has been no attempt internally to say, my contributions are lower here, so I am making lesser margin, so I will raise prices or I will hold prices, I will not compete; absolutely not. And that's why gross margins have come down. And you see the numbers, right? With the PAT we have, there is no worry. From a competing standpoint, Avenue Supermarts Limited
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there is nothing to bother about. It is just that PAT will go down. PAT as a percentage to revenue will go down. So, what? But we will compete.

Arnab Mitra: Neville, second question was, if I look at your overall bills cut, this is one number which before COVID used to grow at 20% to 25% every year. That seems to have on a 3-year CAGR basis grown at more like 8% to 9% in the last 3 years, pre and post COVID. Anything that you read into this? Are there less customers? Because, your store space addition has been similar. Is the pace of new customer acquisition even in grocery reduced or how would you read this data point?

Neville Noronha: The only broad point we look at Arnab is that over the last 2 to 3 years, we have opened a lot of stores in smaller towns. And like I have always mentioned, smaller the town, lesser the cost of real estate. Overall investment is lesser but even the revenue is low. Therefore, the number of bills are lower, walk-ins are lower. It is a mix of new store additions that is making you look at the numbers that way, which is a fact, but it is primarily because.... Let me put it this way. I think 5 lakhs and above towns (to be read as 10 lakh and above population towns), we used to have 68% of stores, say, 3 years back. It has come down to around 60% now. So, 40% of our stores are below that. Broadly, we have opened more stores in smaller towns. That is why the numbers look like that.

Arnab Mitra: And my last question, Neville, was on store opening. As you mentioned, you probably want to maintain the run rate of 40 stores a year. Given the opportunity size - I think you last time mentioned more than 1,000 stores potential that you see - is there any internal way you could accelerate this addition? Because, your base of stores is higher. So, as a percentage of base, the addition is actually slowing down if you do not increase the number of stores.

Neville Noronha: The one single point mandate is store addition. I think from a business model standpoint, everything is fine, just store addition. That is a single point agenda.

Arnab Mitra: My question was 40 per store a year is not a constraint in terms of your internal bandwidth of adding stores?

Neville Noronha: Not really. We have to work harder is all I can say. But yes, it is a huge opportunity and we have to accelerate our ability to acquire more stores. It is a huge effort; 40 stores every year, the amount of work that goes by. But we have to do it. That's the single point agenda now for us. All other levers are ready to fire. Our ability to run the stores, our internal processes, systems, tech, everything is ready. It is all primed. We just need to open more stores.

Moderator: We have the next question from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

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Sheela Rathi: Just extending to the previous participant's question with respect to stores. Neville, the first question is, is availability of good land parcels a bigger concern or availability of employees a bigger challenge for us?

Neville Noronha: Obviously, land is a bigger issue. Now, because land is a bigger issue, then you have to have a solid team to get those properties. But when land itself becomes an issue, then it has an exponential effect. Everybody is chasing the same resource to have great expertise on this, and hence having a large number of people who have that expertise and to convert or close deals is a challenge, but we are working on it. But land is an issue, not easy. That is why very few retailers do this in India.

Sheela Rathi: Sorry, could you repeat that?

Neville Noronha: I said that is why very few retailers do this; acquiring land or building stores. Generally, the

reason why a lot of retailers go to the lease model is because this is a difficult area to handle.

Sheela Rath: But from a near-term perspective, are we seeing challenges with respect to getting more people in our workforce? We have always maintained a 20% to 80% ratio with respect to contractual versus permanent employees. Are we looking to change that?

Neville Noronha: The structure of the model remains the same on all elements of the business.

Sheela Rath: Neville, my second question again is on the GMA bit. You said that we are grocery first. If we believe that the focus on GMA could be modified and could be different from the past, are we willing to say that the gross margin profile for the business could be different and instead of 15%, could be 13% or 14%? Is there something which worries us or are we thinking about that in some way?

Neville Noronha: I can't comment on that. All I am saying is whether it is 16% or whether it is 12% or 13%, the business is resilient; the business is adaptable, agile. The key point is being relevant to the customer with the positioning of value. We shouldn't disturb that. How a consumer or a shopper thinks about DMart, that shouldn't get disturbed at any cost. So, our view is we think from that standpoint, and within that whatever is the outcome is the outcome. Our direction to the team is this - at the operating side and the merchandising side - this should never be disturbed. And then the operating side operates the business efficiently. The merchandising team then figures out what should be sold and at what price and what margin. That's it.

Sheela Rath: And my final question was with respect to DMART Ready. I think, Neville, you sounded much more positive with respect to the e-commerce business this time versus the past. What has changed? I am one of the consumers who get the twelve-hour deliveries. I am very happy about that. But is scaling helping us to be more confident that we can be profitable at some Avenue Supermarts Limited

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point of time? Or is there some strategic change which we have done that is helping us to feel more confident?

Neville Noronha: I was just joking with my team today morning that for all the tech that we talk about in the e-commerce business,

at least for grocery, actually there is more manual labor involved than a brick and mortar business. Because the effort involved in picking the material and delivering it to the home, actually that cost element and that people management is a significantly larger effort compared to the brick and mortar business. And secondly, I think even from SOP and process orientation, people think that brick and mortar business has more. In fact, that is completely wrong. The e-commerce business, especially on the grocery side, the level of precision that you need from a standard operating procedure is at a different level because somebody has ordered something 12 hours or 24 hours back at a particular time slot and they want it. The lag between ordering and actual delivery is like 12 hours or 14 hours. It is not immediate. When you shop in a store, you are picking the stuff and you are getting it billed. You are billed exactly for what you have picked. If you make a small mistake, there could be 1 item short or 2 items short in practically every single order, right? So, I think from a sheer operating principle standpoint, the e-commerce business is actually significantly more complicated on the operating side and the people side than the brick and mortar business. That was also one of the thoughts we had that if this has to be done really well, then we should be able to do it because we are supposed to be good in process optimization, efficiency, all of that. And I think from that standpoint, we are more confident today that we can run this business using the same principles with which we run the brick and mortar business. Secondly is the tech side of the business. I think we have a marvelous team, fantastic. They have done a brilliant job. They complement and they are at the forefront of this business because how they imagine and how they think about running it is very different from how we think. And hence keeping this business separate has helped us a lot. It's a complement; it's a win-win on both sides. That's why we are more confident. And from a financial standpoint, we are more confident that we won't lose too much money. That's why the confidence.

Moderator: The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: Let me continue with a bit on the e-commerce. I just wanted to understand, you are currently in about 22 cities. Would you look to expand to more cities or you will want to scale up operations in new cities first? And as far as the revenue share is concerned, on a consolidated basis, though it is a single digit share, but for Mumbai, is e-commerce or DMART Ready now has a double digit revenue share and does it in any way is starting to influence your physical store expansion plan?

Neville Noronha: I think we would now take a pause and focus on these cities and try to scale up within the existing cities rather than move into other cities on the e-commerce side. As far as cities like

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Mumbai are concerned, that is a very interesting point. I think that is also something very fascinating. In spite of a decent contribution coming in from e-commerce in Mumbai, our Mumbai stores are also doing well, they haven't declined. We haven't got incremental revenue on e-commerce at the cost of the brick and mortar business, which is also telling us that these are probably two very.... while there will be a little bit of an overlap, but we have two different need customers that exist. There is a huge cohort of customers who like DMart but probably are not shopping in DMart and they are now all going to DMart Ready.

Latika Chopra: How are you getting the mix now in terms of home delivery versus store pickup? And is it possible for you to share the count of DMart Ready stores pickup points?

Neville Noronha: Pickup points have been mentioned. We don't

split the revenue between the two. Our view is

both will coexist, both are equally important for us, and we are focusing on both right now.

There could be an opportunity to calibrate pickup points a little bit more so that the operating leverage that we desire from pickup should kick in. As a service, it is great, but at a financial modeling standpoint, it should work. If it doesn't work, we will scale it down. To that extent, we are calibrating it, but we will focus on both channels.

Latika Chopra: Neville, any updated thoughts on private labels and on customer data leveraging now that you are collating a lot of this data through DMart Ready?

Neville Noronha: Our position remains the same. The private label comments remain the same. It is a long game. We are doing fine. It is good. But we have to take a 10-year horizon probably in terms of how we want to build it. The team's focus is primarily on building great quality at great value.

Latika Chopra: But wouldn't the share be increasing given the focus in smaller towns? I would assume, because the customers might be a little more price conscious there. Private labels could be doing better. So, on an aggregate basis, is the share rising for you, even if gradually?

Neville Noronha: Marginally, but not really. Nothing for us to have a different strategy for small towns. Not really. I think this model is great if you have just one approach across all stores. It is more efficient, especially for private label strategy.

Latika Chopra: And nothing incremental on customer data leveraging?

Neville Noronha: No, not yet.

Latika Chopra: The last one is this miniMAX store format. Any feedback? Experience? Expansion plans here?

Neville Noronha: Again, it is a test. We imagine this format to play a deeper omnichannel role in high-cost real estate places like Mumbai or Pune. We are just testing it. You buy from the store, you pick up

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from the store. Both these options are made available. We are testing it from that standpoint.

Moderator: The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari: A few questions. First, Neville, going back to the same, store additions. If you are talking about 40 store additions, that implies about 11% to 12% on your base of stores right now. If you take a 3- to 5-year view, where do you think you will be happy? Shouldn't this number be more closer to 15% or even higher in the context of opportunity? You have, I think, spoken about it in the last analyst meet also, but how about long leases if you can get those? Are you still averse to making that a reasonable part of your total additions?

Neville Noronha: I had commented last year also. Now it is not really about lease versus buy. The challenge is getting 30,000 square feet to 40,000 square feet store, especially in the structure and form that we want. We would love to go to malls but we don't go to malls because of the ridiculously high rental costs. In fact, we were just discussing this over the last few months. If you see now, the funny part is in a lot of cities, especially in the large metros, I think the malls have become more and more premium in look and feel compared to earlier and it is exactly opposite to what we want. I think someday the cookie has to crumble and we have to be invited or we should be able to operate in a mall in my belief, but at an appropriate price, because currently the rates are ridiculous. It is extremely high. The rental values are too much. That apart then what are we left with? We are left with standalones. Let me put it this way also that the real estate challenge is primarily in large towns from a land acquisition standpoint. And that is why you have seen that a lot of our stores have opened in small towns because it is easier to get properties there. But the point is the business

is also in large towns.

If I want a Rs. 100-crore plus revenue store or Rs. 150-crore revenue store or even a Rs. 200-crore revenue store, they are all available in large towns. I get my revenues very quickly there. And that is where the effort is needed. Like I said, we are ready. We are working hard

towards it, but yes, it is going to be tough.

Vivek Maheshwari: Does that mean there is a period of, let's say in the medium term, there is a possibility that the growth rate really comes off quite a bit. Even if I just do a quick and dumb math of 10% to 11% store addition and 6% to 7% SSS, that means that you will be a 15% to 17% kind of growth company. Is that good enough for you, Neville ?

Neville Noronha : I would love to do it better, definitely better. Not good enough for us, but if we get more stores, obviously we are ready to open more stores. Not good enough, obviously. Like I said earlier also, the single point agenda is adding more stores.

Vivek Maheshwari: As things stand today, Neville - forget about FY24 -25, but whatever you can see 3 years out - can you add a 60 -70 store sitting today? Is that what you can do or you still will stick with 40 number?

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Neville Noronha: It is not to do with my ability . When we say our abilities, I will say 80% is our operating ability. We are ready to open 60 stores per annum. We have that ability. But from a market standpoint and opportunity of real estate, that pulls us back. Our ability, once we have acquired a property, to build it, get all the permissions and open it and then run it, 60 stores is very easily doable. We can do it. But will we be able to get 60 at a run rate level every year from the market for the next 2 years? I really don't know. Next year for sure it will not happen. I will also categorically mention that. We will not open 60 stores this year.

Vivek Maheshwari: One more follow up on the same question because this is important from our modeling standpoint. With all the excitement that I hear in my morning meeting around real estate and the property cycle, etc. There is a chance that the property prices may stay high. Whether commercial or residential, I am just equating everything together. Does that mean that hampers your.... Assuming that your real estate cycle stays as strong as it is in the next 3 -5 years, does that mean that store additions at DMart could be lower than what the general expectations that investors have? Is there a risk on that front?

Neville Noronha: Because real estate prices are going up?

Vivek Maheshwari: I am saying let's say the markets remain as buoyant as those are right now and the prices remain as firm as those are right now.

Neville Noronha: While the real estate prices may go up, even our revenues have gone up. If you take a 7 -8 year period of real estate prices vis -a-vis our revenues, I think if I look at it at a net -net level in large towns, I think our position is actually a little bit better than 6 -7 years back from an ROI standpoint. It is just a question of getting those properties. Because of the typical nature of our buildings, it gets a little bit difficult. Let me give you an example of Mumbai. In Mumbai now because FSIs have gone up so much, we can make locations workable which were not workable in the past, because the builder has got that much more to construct. Earlier, FSI used to be 2 to 2.5. Now FSIs have gone further up. And then we can carve out a small space of 20,000 or 30,000 or 40,000 square feet at the costs that are currently prevailing in certain parts of Mumbai and we can make a DMart workable. But the sizing of our stores is very different. Getting that alignment with the developer ecosystem is a bit of a challenge. But from a modeling standpoint or availability or the current market price of real estate and our ability to buy at that price, I think we are

slightly better than what we were 7 -8 years back.

Vivek Maheshwari: The other thing is, Neville , with the deflation that we are seeing, FMCG companies taking down prices and that is an important piece for you and some of this may spread to as Pet Chem prices - I know those are still volatile - but if those go down, does that also concern you from a gross profit per square feet or per store basis? Those matrices may not look very good.

So, how do you think about that?

Neville Noronha: Deflation impacting us negatively?

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Vivek Maheshwari: That's right.

Neville Noronha: When you look at deflation as well as inflation, on both sides, we are pretty well poised if it is not excessively high across all categories. For example, let's look at edible oil today. There has been a decent amount of deflation that is happening. It has been good because there was excessive inflation last year. If you have excessive inflation or excessive deflation on very few categories, it is okay. We are just a pass through, right?

Vivek Maheshwari: Exactly. Yes.

Neville Noronha: So, it doesn't matter. When you have very large structural issues, then only it impacts us. Otherwise, either way, it doesn't impact us at all.

Vivek Maheshwari: Because you are a pass through, are you then suggesting in a deflationary.... Theoretically, the

overall deflation - again I am taking a very stretched number, but let's say if it is -5%, are you suggesting that that will be offset by higher volumes and therefore the throughput as in terms of gross profit per store or per square feet doesn't go down?

Neville Noronha: Every category or every item doesn't go through the same levels of inflation and deflation whenever we look at data. And we have a percentage markup principle. If prices go very high, then we also recalibrate our margins downwards. That is a continuous process. But in the larger scheme of things, there is no impact per se for us from a profitability standpoint because it doesn't affect every single category. My point is the blended average doesn't get distorted too much. Maybe a few basis points here and there.

Vivek Maheshwari: And two more if I may. One is, on slide #10 where you have revenue from sales per retail business area, if you look at FY19, 35,647 versus 31,096. Neville, if you just keep the stores constant as at 31st March 2019 and look at today's number from the same set of stores, is that number reasonably higher than where it was in FY19?

Neville Noronha: I don't know where the question is trending to, but I have not done the math the way you are mentioning. I think the better way to look at it, Vivek, is to look at SSSGs. SSSG has softened for sure but nothing is declining. Everything is healthy, growing. Like I keep saying, the older stores are close to inflation or slightly lower than inflation. Wherever these stores are not doing too well, it is primarily because you have another store opened close by. Otherwise, our belief is that we open larger stores just to accommodate more traffic for the longer term. And the second thing is also to experiment and try more and more categories in the non-FMCG space.

Vivek Maheshwari: Last question; I don't know, again, it is a fair question or not, but, Neville, with all the issues that we are seeing in general merchandise and apparel and if I just draw and again, as I said, pardon me if the comparison is not correct, but when I look at Meesho, around the same Avenue Supermarts Limited
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time, Meesho has moved from zero or maybe half a billion dollar GMV to about \$4.5 billion dollar GMV. Is there a possibility that some of the DMart customers may be shopping general merchandise online because there is value and there is convenience also? Or that is a bit of a stretch in your view?

Neville Noronha: I have never claimed

that we have exclusive rights on our shoppers. There is no sense of exclusivity at all. I am quite certain. In fact, in my own home, we try everything. And that's the way it is. That's the power of a free market. What else do I comment?

Vivek Maheshwari: My only point is general merchandise and apparel, is it a macro issue or is there....? You mentioned about competition in the offline space. And what about someone like Meesho who has moved from half a billion dollars or thereabouts to about \$4.5 billion in literally 4 years and provides convenience and value? I don't know the product quality, but at least pricing-wise is quite competitive. Does that worry you from a competition standpoint?

Neville Noronha: The only thing that worries me is that why am I not adding more stores. I don't know about others, but the market is so large, it is available for everyone. It is available for me. Whoever does whatever, 5x or 6x of revenue or maybe 8x of revenue. Great. Good stuff. Well done. But is it impacting me negatively? Not really. Is there a churn? Of course, yes. Some people are dropping off. Some people are buying less now from DMart. But I am also getting new customers who are trying me and buying from me. I am getting a set of loyal customers. The point to make is that the market is extremely large. When should I be worried? I should be worried if my overall business at a store level is not doing too well. And from that standpoint, like I have already commented, we are very confident in the general merchandise space. We have already more or less come back there. Our FMCG space is doing lovely. It is doing fine. The apparel, yes, we have work to do. It is a macro issue, but it is also an internal issue. We are working on it. And that's life. Some years you don't do well on certain things. You lose sight of certain areas. We are working on it.

Moderator: The next question is from the line of Amit Sachdeva from HSBC. Please go ahead.

Amit Sachdeva: Much of the questions have been answered but let me go back to general merchandise and delve a little bit deeper there. If I look at come what may, I think the DMart has a great appeal. There is a larger footfall and whether you like it or not, fashion has become still larger part of the revenue in that merchandise. And I would hazard a guess that probably you are still one of the largest fashion retailers in the country, which is organized even though you are not intending to be one. You are a grocery retailer and you want your choice to be very clear that you want to do those things that doesn't require high fashion content and offers great value, which I totally agree with. My question is that while the value retailing principles that apply to grocery wherein the consumer instantly feels that he is getting consumer surplus or getting delighted with the prices being offered and goods being standard he can compare Avenue Supermarts Limited

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across, fashion and merchandise is not so much so. But I also observed that in this quest, the "Cheap Day" has become a little inferior because if the quality of goods was superior and the prices were low, there is a consumer delight happens. This has become a little challenging in probably merchandise. Do you need to rethink about those principles as well? Because, fashion has probably been not attended that well. Even general merchandise, other than fashion, needs completely rethink about sourcing and also better marketing in the store. I know you are not a fashion retailer, but it would require slightly harder selling in some sense. So, is there a lot of work to do here? You need to rebuild teams, build rethinking. What are the steps involved as you deal with that? Could you tell us a little bit how you plan to shape this piece?

Neville Noronha: Amit, you answered the question yourself. That is how you run businesses, right? You have to look at p

people, competencies, market, customer, and one thing which we keep talking about internally is pre-COVID and post-COVID. Pre-COVID to post-COVID, I think everything has doubled more or less; revenues, number of stores, at least 70% more. While we were not in the best of action because there was work from home, you had COVID disruption all of that, but suddenly we have all come back to work and we have realized that the company has changed a lot from what it was pre-COVID. And people sometimes don't get it that so much has changed. We have added so many more stores, so many more distribution centers, and so many more people. So, yes, it has created significantly larger challenges for us, but I think when you have a challenge, you have to work towards getting it right. And generally, when you go through a rough patch, it is probably the areas that are not very strong that are impacted the most. And that is where apparel category has impacted us more. But we will work on it. And general merchandise, that's our bread and butter. We understand that very well. Our view there is that there is no quality or a customer standpoint challenge. It was more of a macro issue which is getting corrected over a period of time. And we are very confident there. Apparel needs more work.

Amit Sachdeva: Neville, the reason I asked this question is that just wanted to fathom how large is the problem according to you and how much time will it take to address it. And thirdly, whether the impact of that headwind, whatever that headwind is, macro or a bit of as a structural part of it, has it been bottomed out and you are seeing more flattening base there or you are seeing still continued store level headwind coming from the apparel side? That's exactly what I wanted to know, to be honest in that question.

Neville Noronha: Amit, you have seen the financials, right? I hope I get more questions than just general merchandise and apparel because at the end of the day, this is going to impact your gross margin and PAT by a few percentage points. You have seen the numbers, you see the trends lines. It is an issue, but it is not so much of an issue, and we are working on it. And like I have already mentioned, apparel is a smaller contributor compared to general merchandise.

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Amit Sachdeva: And second, if I may, Neville, you make a comment that for network rollout, there is a large town focus where there is a vertical development because that is where you see larger opportunity. Has that thinking shaping your network rollout as you go forward? And if that is a construct, are you more keen to go in the larger towns and less so in the smaller towns? And if that is the case, if you could just hazard a guess in how many years that you could double the retail area that you have given the construct you are thinking about this? Not really asking about the store guidance, but broadly, as you double your business in how many years you think the area will double thinking about this construct?

Neville Noronha: Amit, looking at the size and the ability of the balance sheet, we can go to large towns as well as small towns at the same time, especially in the states we already operate in. While like I mentioned that from a financial standpoint, obviously having more stores in large towns is better, but that doesn't mean that a small town opportunity will not be captured or will not be harnessed. We will be doing everything. The balance sheet allows us to do that. And for the rest of your question, we always don't give forward projections. I keep saying this - judge us basis our past performance and that is what we stand by.

Amit Sachdeva: Would you look at smaller stores if you were to go deeper into the.... like a 10,000 square feet store also is okay rather than 30,000 or 40,000 or....?

Neville Noronha: Two years back also, you asked me the

same question.

Amit Sachdeva: Yes, I am just asking again just to reconfirm.

Neville Noronha: 10,000 square feet is fine, Amit. You give me 100 stores in Mumbai of 10,000 square feet each. I will open all hundred. We have to get it.

Moderator: The next question is from the line of Richard Liu from JM Financial. Please go ahead.

Richard Liu: Neville, if I use the bill cuts data that you have provided and I divide that by the average number of stores that you have in various points in time, what it tells me is that your average footfall per store per day - and I am using average because I don't have further data - this average per store per day is down from about 2,800 odd in fiscal 2019 to just about 2,300 odd. That is about a 17% to 18% decline. You made up for this shortfall as your basket value is now much higher. Can you throw some perspective on this kind of behavior, please? Did less number of people visits have any impact on general merchandise, etc., given that there is also an impulsive component to that? And do you expect this behavior of lesser number of visits but higher basket size to reverse anytime soon?

Neville Noronha: Richard, I commented earlier, but I will come with precise numbers. 10 lakh plus towns, the number of stores contribution in financial year '20 was 69%. So, we had only 21% stores (to be read as 31%) in 10 lakh below towns. That has moved to 28% (to be read as 37%). So, a Avenue Supermarts Limited
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larger chunk of our new store additions have come in smaller towns. And this number that you commented is simply because of that reason. Smaller towns, lesser footfalls. That is why the blended average has come down, obviously, notwithstanding that post-COVID, the average basket values have gone up. That also has an impact. And that is where I come back to the same question and same point of view again that we track our SSSGs across all stores store by store or even by vintage. From that standpoint, except for the apparel side or the general merchandise side area, the general footfall and the general revenue of all the other categories are growing robustly well. So, no worries there. Again, footfall to the store is not a challenge. But once she is in the store, the ability to convert them to general merchandise and apparel has weakened and we are working on it to make it better. The belief in the model is there. It is just that we need to get these areas sorted.

Richard Liu: One reason you gave is that the number of 10 lakh plus town stores are much lower in proportion. My question is that between these two periods, obviously the size of the basket has gone up significantly. Since there is a higher component of these smaller pop towns, are these guys also shopping with a much higher basket size?

Neville Noronha: Basket sizes have relatively gone up across all pop strata towns, but the average basket value in a smaller town is significantly lower than the basket value of a larger town.

Richard Liu: Which basically means that if I take FY2019 to be constant, for those cohort of stores that were existing in FY2019, would the basket size have been significantly higher today than what they used to be, let's say 3 to 4 years back? If I were to just stretch my imagination a bit further, the other question is that are these guys who are buying more and much more per visit a different set of people than the ones in 2019 and earlier? What I mean is, does your customer cohort also now comprises many more shopkeepers buying a lot of stuff to stock in their stores versus, let's say, end consumers like you, me, and our neighbors?

Neville Noronha: You are asking whether there is a B2B element in our business? No, not really, Richard. If that is what you are alluding to, no. Because, if that was the case, then our FMCG mix of margin would have come down. That is not the case. Our gross margin has com

e down because of

lower contribution in the general merchandise and apparel business. And also to a certain extent, we have taken certain deep cuts in certain subcategories within this GM and apparel business. And that is why there has been deterioration in gross margin. But there has been no deterioration in gross margin on the FMCG side. And hence no reason to interpret that high-basket value is because of B2B. We also tightly control it. You try yourself. Go to any store and try and buy one carton of Coca-Cola 2 liters or buy a carton of washing soap and tell me what happens at the cash counter. Quite likely they will stop you.

Richard Liu: Related to what you mentioned about gross margin, Neville, if I look at earlier times when you had 28% share of revenue from general merchandise, etc., versus now at 23%, your gross
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margin is not very different. And I am talking about consolidated gross margin. It was 15% in FY19. It is still at 15.1% for FY23. How did this happen? Are you earning much higher margin on the balance 75% of revenue?

Neville Noronha: I will not comment on consol. If you ask me on standalone, then maybe I will be able to comment.

Richard Liu: Your general merchandise and apparel share has reduced significantly. It used to be 28%

earlier and it is 23% now. That is a five percentage point reduction, which is pretty significant. But if I look at your gross margin in the standalone business, at that time when the share of general merchandise was 28%, it was, I think, 14.7%, if I have my numbers correct. And in FY23 with a much lower share of general merchandise, you are still earning 14.5% gross margin.

Neville Noronha: Brilliant observation. But my sense for that is, Richard, I don't have a straight answer for it. Because, during this period, we have been transitioning from direct store delivery for a lot of vendors to DC deliveries. And the blended average of gross margin that we earned has gradually changed across all categories over time. That is why you are seeing that. Let me put it simply. Suppose Hindustan Lever gives me 10% gross margin, but he is delivering at my door through a local distributor. Now, I go back to him and say, look, I need my deliveries at my DC and I will do the deliveries to the stores myself. Then you get a significantly better margin from these companies, which not only covers the cost of dispatch or managing all that, but you also make a couple of percentage points more. This was over the last 5 years in the FMCG side; there has been this blended change. I hope you are getting what I am saying, and that is why it is not comparable. It is a brilliant observation, great point, but the response is this because this is what has happened. And that is why the loss of margin on non-FMCG has been compensated by going direct on the FMCG side.

Richard Liu: Do you have any such other tricks up your sleeves to improve gross margin other than through general merchandise and apparel?

Neville Noronha: Not a trick. I told you what really happened.

Richard Liu: Sorry, wrong use of word. Any other such leverage that you may have in the future which can help you in gross margin?

Neville Noronha: Not really.

Richard Liu: So, now the only choice is to get general merchandise and apparel up?

Neville Noronha: Yes.

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Moderator: We have the next question from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh: My question is on the apparel side of the business. I understand that you already highlighted about the problem which exists and the people and portfolio category management that we need to solve. Of course, the point that you mentioned about not selling lifestyle products but daily wear products, all that taken into account, but still, having said that, apparel as a

category is still aspirational no matter how much deep down the value we go. Even if you take products like inner wear, etc., and of course, all the companies are selling at all the price points. But having said that, for example, if we look at the visual merchandising or the trial rooms, it goes beyond just the product that we are selling or the employees who are engaged with the customers. As Richard was pointing out earlier regarding more hard selling, etc., just wanted to pick your thought or understanding on how we are solving the problem in the apparel over and above just the product, getting the product and the price point right. Of course, as we say that selling cheap is different than selling value.

Neville Noronha: Varun, we are very clear about one thing that we can't be everything to everybody. We distinctly stand for something and we will stick to that positioning. We can't create a very aspirational environment for apparel business when you are already buying groceries and some rice is falling here or some ghee is falling there, things like that. And we don't have very expensive lighting and we don't have expensive props, we can't do that. There is no point trying to say, no, we will try to create a great shopping experience from that standpoint. Nonetheless, wherever there are opportunities to make the basic look and feel better, obviously we will make it better. And at the same time, like I said, look at it from a business modeling perspective. Even if a few percentage contributions go down on apparel, it is okay. There will be other opportunities in the overall scheme of the non-FMCG space that we have still not looked at. As the economy grows, if GDP grows at 7% to 8% or 6% per annum, the market will throw opportunities for us to sell a lot of stuff that we are not selling today. I think we have to use that lens and think about what else we can do there rather than just talking about how do I retain my apparel contribution to the overall business. We will try as much as possible, but there are so many other levers to look at. That is the way we are thinking about the business.

Varun Singh: Absolutely, sir, got your point. I just wanted to understand, in case you are thinking of scaling down the degree of the business, the category - of course, category you already talked about, but the retail area, which we share for this very category, given that pharmacy is a new category that we have already ventured - any comments on those lines with regard to the area that we were dedicating for this segment and going forward the category that we are

looking at and any thoughts on that? And also if you can share comments on how pharmacy is tracking in the existing stores and scale up as a consequence and how you are thinking about scaling up this category as well?

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Neville Noronha: On pharmacy, it is too early to comment. Again, we have to open at least a sizable number of locations and then the financials itself will tell you how we are trending there. That's on pharmacy. But we are pretty confident on pharmacy because we used to run the pharmacy business earlier. I think at least 6 to 7 pharmacy stores were what we used to run at one point in time. And then we decided to shut it because we wanted to focus on the brick and mortar business. But we are very confident that pharmacy will do a decent job. On the impact of retail area because of lower performance of certain categories, I have said that earlier also that the model is very agile, very flexible. It is like a Lego block. Whatever you want to do, you can do. If you want to reduce space, you can reduce space. If you want to increase space, you can increase space. The incremental construction cost of the building doesn't impact the viability of the store. All those levers are available. And depending on case to case basis, location, and

region, we will keep modulating the area, the space, or whatever that we want to be on the higher side or the lower side. In a lot of locations, we build more, but we don't open that floor. We wait for some time, we wait for the revenues to come up and then we open those additional spaces. All those options are available.

Varun Singh: And the last question on the new cities, the geographies that we are venturing out to add stores. Looking at the number of cities, etc., that we have ventured out in the current financial year, we have kind of narrowed down our focus more to the existing cities. Is this because of relatively lower performance when we are venturing out in the new geographies? I understand you mentioned about NCR from the store economics tracking equivalent to system level average. Also, for example, you had said that you will be more than happy to open 10,000 square feet stores given an opportunity. Looking at these two contexts with regard to the store sizes - of course, we have also gone more conservative; even in the recent quarter, we added 30,000 square feet to 40,000 square feet - just wanted to pick your mind with regards to what is the ideal store size that now we are looking at 40,000 versus 10,000 as well as the new cities that we are choosing to venture out while we are doing all these incremental stores ready?

Neville Noronha: So, if you are alluding to the last quarter's three stores that we opened at 30,000 square feet, they are just three stores. We are still quite confident on opening larger stores, so, from that standpoint there is no issue.

Varun: And on those geographical expansions?

Neville Noronha: On geographical expansion, there is an operating leverage, that's why we say that we will open more and more stores in the same cities, because you get fantastic operating leverage. So that's why we like to do that. But we are also open now to spend a little more and open in cities which are little bit away. We do that also.

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Moderator: Thank you. We have the next question from the line of Ashish Kanodia from Citigroup. Please go ahead.

Ashish Kanodia: So, the first question is when I look at the revenue per square feet say in FY'19 which was around 35,500 and FY'23 at around 31,000. And if I just look through your earlier comments in terms of going into smaller towns where the revenue per square feet is lower, but the cost is also lower. So, just is it fair to say that basis the store mix, area mix which you had in FY'19 that was the revenue in FY'19 and now in FY'23 when you look at the revenue per square feet, it's fundamentally purely a function of the store mix and nothing from what we keep hearing about competitive intensity and other stuff. So, is it fair to say it's largely only a function of store mix, area mix from a smaller town, largest town perspective.

Neville Noronha: Ashish, I have commented on this before, I am saying this again that for us it is ROI of the store. We invest in the store and we look at the revenue, we look at the gross margin, we look at the cost of running the store and we see whether we make a profit.

Now for whatever reason in that store, for that city, the contributions of General Merchandise and Apparel is different from others or gross margins are different from others, that's part of that city or that market. For us what is important is ROIC. Are we making money in that store or no?

So, from an individual pop-strata standpoint and a state standpoint, every state has a very typical behavior, so gross margins of certain regions are relatively different from other states

for whatever reasons, but it is a fact. Maharashtra gives you a different behavior, South gives you a different behavior, Gujarat gives you a different behavior, North of India gives a different behavior. But the point to make is that in the overall scheme of

things are you

making money? And then like it typically happens certain states allow you to make more money, certain states do not allow you to make that much money from ROIC perspective. But that doesn't mean that you say, oh if one particular state is giving you a significantly higher ROIC I should drive that in the other states. I will not try to do it by nudging or doing something out of the natural behavior of the customer. We will look at, okay, are there any white spaces, are there any gaps? What is it that's working well in Maharashtra or what is something that is doing well in Karnataka? Where are we doing well? And can we do that there through a slight nudge. That is what we do and like I said we don't look at revenue per square feet as a metric internally. We don't even evaluate our people on that front. I mean for us fundamentally gross margin, operating margin, net margin, ROIC, that's it.

Ashish Kanodia : Secondly on that pharmacy right, so you have done it earlier so you know the model works right. So, from an existing store point, how difficult or easy it is to setup within the existing stores because when I look at the one store there is you have kind of tried in the MiniMax right, it's basically there is a separate area being carved out and maybe SKU thing right at the Avenue Supermarts Limited
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products are very small. So, just trying to understand while you may built it up in the newer store but existing stores is it still the lego model relatively easy to plug and play and scale up? Neville Noronha : For the pharmacy business, right?

Ashish Kanodia : Yes.

Neville Noronha : Absolutely it will be part of the store; there shouldn't be an issue at all.

Ashish Kanodia : And lastly I mean just on the General Merchandise and Apparel my understanding is when I look at say the DMART Ready business predominantly your non -General Merchandise and Apparel business, right. And then when you look at the standalone business almost 3% to 3.5% revenue comes from sales to the e-commerce business. So, is that also impacting your General Merchandise and Apparel mix, I mean if the understanding is correct that its basically from the standalone you are doing some related party sales to DMART Ready and that's purely your food and then non -food so there is an impact from that as well. So, is that understanding correct?

Neville Noronha : Partly, but that is inconsequential from the overall impact for gross margin. I mean the General Merchandise and Apparel contribution to business, no. So, your interpretation is not correct, inconsequential.

Ashish Kanodia : And just lastly you talked about operating leverage, but you are also getting into maybe further into far of the cities. Now in terms of and I am just trying to understand this right maybe in existing, is it relatively easy to get real -estate and maybe if you go to a new state versus maybe trying to get a real -estate in the existing cities where you already have say four, five, six stores. And if it relatively easy to get real -estate in some of the newer states, will you look into kind of expanding more, maybe at a cost of operating leverage.

Neville Noronha : I think lower the pop-strata, the easier it is to get real -estate, that's broadly what our sense is.

Moderator : Thank you. The next question is from the line of Manish Poddar from Motilal Oswal AMC. Please go ahead.

Manish Poddar : So, I am just trying to understand let's say if we have to open 40 stores in a particular year, how many stores need to be vetted? And how big is the team who takes the final call of taking the property?

Neville Noronha : It's a multiplier. It's not like if we see 50 properties then 40 will be finalized, it's more of a multiplier. So, for example for every hundred properties somebody shortlists then 50 goes to Avenue Supermarts Limited
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the next level and another 25 go to the next level, then eventually the sale deed may happen only for 10, it's like that. It's a lot of efforts, sorry.

Manish Poddar : So, conversion rate is roughly 10%, is that how it is?

Neville Noronha : No, no I am not telling you that, I can't give you a clear number there, but I am saying the initial short list to final closure is a humongous effort; it goes through three, four stages, so it's a long effort.

Manish Poddar : How big is the team who takes the final call, because from my checks it suggested very closely

--

Neville Noronha : Big enough to open 40 stores at least.

Manish Poddar : And just the second one so in terms of private label has there been any change in terms of let's say you know one is internal in terms of number of SKUs, across categories which you foray into and second in terms of consumers habit for that category, has there been any change, let's say now you have more cleaner non-COVID number. So, has there been any change both from our approach in terms of SKUs available across categories and in terms of both consumers' habit, any change in that, that's it from a structural point of view?

Neville Noronha : Nothing much has changed, we are just focusing on private label from a standpoint of two things, how easy it is for a consumer to accept the private label or an unknown brand for trial and then for regular, consistent usage. So, from a consumer standpoint, which product / category is the easiest to cross that barrier, we look at that. And second is we look at what is our ability to ensure that we maintain that consistency and quality and at a price which is significantly discounted to the main brand, that's it. So, from that point, again I keep saying that progress will always be incremental and slow. We can't do a big bang here, on the private label piece.

Moderator : Thank you. The next question is from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal Mahesh Jham : Neville I will be starting over the question on GMA, just to understand, would you say that there has been a bit of a change in the customer profile that kind of shops at a DMART, because we see the change in metrics and rather than being in an assortment issue maybe the kind of customer who is walking in is different than potentially shopping for a lower share of GMA. Is that something that maybe you picked up or anything related to that?

Neville Noronha : Not really, in fact no way, I think the customer profile remains the same, but within that customer profile I think there has been some tightening of the purse on the GMA and it could be the reason. Especially inflation – we went through a huge surge of inflation and that kind Avenue Supermarts Limited
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of disrupted a lot of things. I think the segment of customers we address on the GMA got hurt more acutely because of inflation and that could be one of the reasons why. So, the customer profile didn't change.

Nihal Mahesh Jham : You believe that stays the same, because as we have discussed through the call that metrics in a way of how ABB has more foot fall all that while you mentioned about opening in Tier II cities and -- but you believe that the customer profile is more or less similar to the way it was pre-COVID?

Neville Noronha : Yes, I will tell you some insight on the apparel business, very interesting insight. We have a huge chunk of basic products that we sell and during the high inflationary period it was that segment that just got butchered, it just got beaten badly. However, the mid to expensive pricing category was doing phenomenally well. But it was not compensating for the basic product category loss. Now because prices have corrected, all that is reversing. We are getting a lot of this basic segment sales coming back with a roar.
So, this is all demand, supply, price, elasticity that

is in motion. But the only thing is that

because so many things are working at the same time, the blended thing, we have to give it more time. I think probably a few more quarters and we will have a more clearer view on how apparel is trending. But we are now seeing a lot of the sales coming back on all the entry price points.

Nihal Mahesh Jham : My second and final question was on DMART Ready, you have obviously discussed how large maybe the contribution of a Mumbai, taking the focus to the other two cities which is Pune and Hyderabad where we have a large store presence and the fact that we have been present in the cities were relatively longer period of time and the brand DMart is also very much more than visible. So, is the share of these cities also seeing a reasonable uptick, because that is where the dichotomy is coming back, while Mumbai has scaled up, but Pune and Hyderabad also are in a way are bastion cities and that should have also seen a good traction over the last few years.

Neville Noronha : You are absolutely right and we are quite pleased with how they are trending. I mean Pune again it's our ability to quickly accelerate the fulfillment center closer to the markets then that will give us phenomenal sales. So, it's just our scale up. And Bangalore, Hyderabad are also trending decently well.

If I talk about Pune and Bangalore specifically, then in fact from a time to performance period relationship, it is doing better than Mumbai. So, if I take what Mumbai was two years after launch versus what Pune was two years after launch or Bangalore was two years after launch, they are doing a better job as compared to Mumbai. That's what I am saying vertical, large towns have immense potential for our kind of e-commerce business.

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Nihal Mahesh Jham : Just a related question, so the share of Pune and Hyderabad even Bangalore -- including has improved over the last three years if I --?

Neville Noronha : And without any impact to the brick -and-mortar business and that's a huge positive.

Moderator : Thank you. The next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki : My first question is on inflation, Vivek touched upon it, but I just wanted to sort of ask once more. So, see as you say because you are a pass -through if the inflation comes down, doesn't that sort of negatively affect your SSSG because let's say hypothetically last year if there was a 15% YoY inflation in atta, person was buying the same one kilo, but 15% higher. This year if inflation comes down to 5% then the growth in his spends is now only 5% for that category.

And as you say it matters which category, what is happening, but on average inflation is coming down. So, don't you think that will affect your SSSG and if the gross margins are fixed for each category then it will affect your profitability or rather profits also?

Neville Noronha : Yes it does Percy, but this is all in basis points, because all these crazy increase, decrease in certain sub - category it is only for that. Like for example, wheat will go up by 40% in a year or something else goes down by 20% in a year, but overall at the blended level, high inflation is 8%, benign inflation is 3% to 4%. So, we factor in that when we look at our SSSG, that what was the inflation driven SSSG and what was real volume or walk -in.

Percy Panthaki : So, let's say supposing if inflation last year was let's say 6% and this year it comes down to 3% or 4%, it's not a very big difference. But 200 to 300 basis points difference in SSSG at least for the grocery part which is 77% of your business so if let's say your SSSG normally is 8% to 9%, it can come down to like 6% to 7%, does that make sense or am I on the wrong track?

Neville Noronha : Make sense in what way, Percy?

Percy Panthaki : So, what I am saying is that if

inflation comes down by 200 to 300 basis points is it fair to say that in the non -GMA portion which is 77% of the sales, the SSSG for that portion also could come down by 2% to 3% point versus what it would normally have been.

Neville Noronha : The way we look at SSSG we always factor in what the inflation has been for that year and then we make a judgment on how we are performing. We take inflation out of the picture when we evaluate how well a store is doing on a SSSG front.

Percy Panthaki : But from FY'23 versus FY'24, because FY'23 was a high inflation year and the SSSG was what it was after that high inflation. FY'24 could it see some moderation in SSSG versus what it was in FY'23 especially for the 77% of your business is what I am talking about?

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Neville Noronha : That is this year, right?

Percy Panthaki : Yes.

Neville Noronha : Yes there could be and we are also seeing some of that.

Percy Panthaki : And that would also affect your profits right, because your gross margin would not change because of this?

Neville Noronha : That all I don't understand, you guys are better at all this, you figure it out.

Percy Panthaki : Secondly just wanted to ask in your Annual Report I see that you have opened few of these MiniMax stores. If you can just give some idea of what is your sort of vision and strategy on that format?

Neville Noronha : I responded to that in the earlier question. We believe that this format could have an opportunity from a pure -play omni -channel perspective. So, it becomes a pickup point and it also becomes a location to buy directly from the store. And our view is that from a ROI or operating metric it could be a slightly more efficient model especially in high real -estate areas. So, as such it's a trial and we housed it in the e -commerce business because we believe that they have the ability to integrate online/offline, shop online, pickup from store or maybe in the future even pickup from store, shop online and the delivery boy picks it up from the store and delivers at home. So, all those possibilities can be activated and that's why we are doing this, the trial, let's see.

Percy Panthaki : But as of now you don't see it like becoming an important growth driver like you can open 150 to 200 stores of these kinds every year or something like that?

Neville Noronha : DMART was never built with these grand visions; we play it one day at a time. We do trials, tests. It is typical what we call as crawl, walk, run. I learn all this from the IT guys. Something like that. So, we will do small trials, we will see how it goes and then we will do a larger trial and then see.

Percy Panthaki : Last question is on the CAPEX, so if I do some calculation based on your Annual Report, the

CAPEX per store is roughly 25% to 30% higher than FY'22 in FY'23. So, just wanted to understand what is the reason for this especially because you are opening more stores in smaller towns now.

Neville Noronha : I will not give a percentage incremental, because of the way you add CAPEX in the balance sheet. But yes, in general the trend line is that the cost per store is getting higher compared to the past.

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Percy Panthaki : And this is pure real -estate inflation or it's a function of the stores size being larger?

Neville Noronha : It's both, it is cost of real -estate and it is also the size.

Moderator : Thank you. The next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani : My first question is with regards to the DMART Ready aside, since your DMART Ready stores are largely into the major towns of Mumbai and Pune etc. and you know most of your older stores are also in these regions. So, is there a possibility wherein customers are now shifting more to the DMART Ready stuff and the

n they have a limited basket size, the limited basket --

basket assortment basically that they run in and this is in turn impacting the sales of General Merchandise and Apparel because they are buying these online and not visiting the stores.

Neville Noronha : It could be possible. As discovery of General Merchandise on E -commerce becomes more and more , there could be a shift on that side of the business from our stores to these other avenues, it is possible. That's why our belief is that on the General Merchandise and Apparel business, if you ensure that the value is great, good quality products at great value then I don't think e -commerce can deliver that. What e-commerce does? The discovery is just awesome, I mean you are browsing through social media, you are browsing through some sites, apps whatever and constantly something or the other pops up and then you like something , you click, and that's the beauty about what happens on your mobile phone. What we should focus on is to get the customer into the store, what is it that will bring her there and once she enters the store, buys the groceries and she then discovers or goes and sees the General Merchandise and Apparel products . When she sees the products and she figures out what she is paying for it , I mean it should be significantly higher wow and that significantly higher wow comes because the cost of delivering that product - I keep saying this , factory to store to consumer, tell me a model which is better than that. So, if I have my assortment very sharp, try to be very wide horizontally in as many categories as possible, but few products, few choices, and give great product at super -efficient prices, e -commerce can't beat that. E -commerce is all about long tail, I mean it's all about long tail but very high margins, because they otherwise can't deliver that product at homes at those prices with those limited small volumes.

So, that's why I keep saying that we have to be significantly divergent in the way the products are sold on e -commerce from a positioning standpoint and then you will get the customer, you will get the stickiness.

Gaurav Jogani : But my question was actually you know that because we have now DMART Ready and this DMART Ready is opening convenient stores to the customer who are already shopping from the DMART stores, basically. So, now these customers are not going to the stores and because of which you know the sales of General Merchandise and Apparel is getting
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impacted in our stores. So, that is what I was meaning rather than competitions on the e -commerce space.

Neville Noronha : Yes, I got that, but it doesn't make sense, because the share of General Merchandise and Apparel is not going down because of that. The share is going down because people are going to the stores and not buying enough of the General Merchandise and Apparel as earlier.

And while there is an element of truth in what you are saying purely from the standpoint of the number of footfalls that have come down commensurate to the incremental basket value that have gone up. So, the chance of a customer getting exposed to General Merchandise and Apparel has reduced, Yes so that extent maybe, but only to that extent.

Gaurav Jogani : And my next question is with regards to the if I look at the OPEX per square feet for you, so in FY'20 it was roughly around Rs. 2,300 per square feet. But now if I see in FY'23 it comes to roughly around Rs. 1,930 or Rs. 50 per square feet. So, this has come down considerably over these past years. So, anything particular that we are doing, which is adding these operational efficiencies or anything that you could highlight on this front?

Neville Noronha : No, not really just the base effect, just because you open larger stores. And secondly, like I

had mentioned earlier also in the last Analyst Meet

, when you have lesser footfalls, all cost of the store come down. And one of the main causes is our energy cost. So, it's just a base effect thing, just the number of bills have reduced and store sizes have become larger, it's just that, nothing in particular that we have done or we have consciously done to reduce cost.

Gaurav Jogani : And my last question is in terms of the opportunity, in terms of the existing town strata's so a city like Mumbai would have a higher number of stores versus the newer geographies that you are entering into. So, how is the focus in terms of the percentage store opening, would those be in the newer towns or the cities that you have recently entered or this will still continue to be in the existing cities more followed by the newer cities?

Neville Noronha : Whatever comes first. Our teams are operating everywhere, but generally the trend has been that we have opened in cities that we already are there, bulk of our revenues come from there and large towns. We are focusing on that. And then obviously now the new focus area has been the North of India, so we are focusing on UP, NCR, Punjab and Rajasthan. A lot of stores are coming there. We are focusing on that. And like I said, large towns like Bangalore, Hyderabad, these are cities which can take probably 150 stores of DMART, each city can take that kind of number of stores, so we are working on that too.

Moderator : Thank you. The next question is from the line of Nikunj Gala from Sundaram AMC. Please go ahead.

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Nikunj Gala : First question on the ROI front, say if tomorrow we want to pivot to the new store only dedicated for the food FMCG and non-food FMCG then just want to understand how the ROI will be different from the two front, one is the CAPEX intensity or capital turn perspective and the operating margin perspective?

Neville Noronha : This is very hypothetical, theoretical Nikunj. But fixed asset ratio will be very high, store size will be very low, gross margin will be significantly lower. Operating cost will be also relatively lower. And net margin, PAT will be relatively lower than what it is. If that's what you want to know.

Nikunj Gala : So, at ROI level will it be very different from today's construct or it would be similar in nature?

Neville Noronha : I cannot comment on that, all I can say is that we will make money even then.

Nikunj Gala : And secondly when we mentioned there is huge opportunity out there, if I just take a two-segment food FMCG and non-food FMCG, in non-food FMCG today the category in which we are working say market is two lakh crore where our revenue would be upwards of Rs. 8,700 crore from FY'23 numbers then we have a significant like 4.5% market share and despite not being present in many parts of India. So, if I just consider where you are then this market share will be very formidable. So, do you see or from the market share perspective what is the number you think that would be doable?

Neville Noronha : My only view here is that these are not things to be worried about; you are saying 4.5%, I don't know what the real number is. But when 95% of the market is available, it's a gold rush; we just go ahead and open wherever we can open. I don't have a modeling number or I need to be this percent of the market and that percent, it doesn't make any sense.

I should be growing at current rates, my top line should grow at a particular rate that we should be satisfied with or happy with. Our number of store additions should be at the rate that we are happy with. Our new store addition should not in any way make our balance sheet weak, things like that. So, those are the things we will look at, you know. How do I sensibly grow? The market is not going anywhere.

Nikunj Gala : And lastly on, you enter any particular state typically what is the number of years you believe

that to understand the consumer behavior in a particular state to then like you mentioned crawl, walk and run and in the year in which you believe that now you can expand very at significant rate.

Neville Noronha : I mean three to four years; three years is a good number to look at for a brand new state.
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Moderator : Thank you. The next question is from the line of Hiren Ved from Alchemy Capital. Please go ahead.

Hiren Ved : I just have one question and I know this will be a little difficult because there was inflation and now inflation is coming down. But if you look at a customer let's say in a larger town, do you see in the basket premiumization happening which means that let's say if she was buying

an x-grade of tea now she is moving up to a higher grade of tea, it may not happen in one year, but let's say over three, four, five years, do you see premiumization in certain categories happening?

Neville Noronha : Hiren, we don't track consumer data at a consumer level and hence we cannot see that unless we see an aggregate number. But in general, our view is that for modern trade as a format in large towns, the mix tends to be more towards the premium sector than the general trade.

And I think over a longer period the contributions tend towards more premiumization in larger towns, but these are very marginal movements. Because we don't have consumer data, I cannot answer your question very specifically. But in general, in any category you see the premium segment is the largest segment. For example, toilet soaps, when I take all premium segments their contribution is the highest in the category. When I look at tea, the premium segment contribution is the highest contribution for the category. I look at detergent, you know washing products, the liquids which are more premium, all the premium powders are the largest contributors. So, by nature of the format, the affinity of getting in these customers is higher.

Hiren Ved : So, I mean what I am trying to get at is that if there is a general trend of premiumization that should benefit you in terms of basket value though it may be just a few basis points, but overall, over a slightly longer period of time it should benefit you, right because if I am buying a premium soap or a premium tea or a premium coffee or a premium detergent, right.

No, I am saying that would it be fair to say that the general trend of premiumization in FMCG should also get reflected in your basket values over a period of time?

Neville Noronha : Yes, it should.

Hiren Ved : And are your gross margins in the same category better for a higher premium product versus a lower premium product?

Neville Noronha : We don't look at it like that, Hiren. We have our own metric to look at how much we should earn on each category, but there is no discrimination on that, we don't look at it like that at all. Our simple funda is where the price sensitivity is more we would be more aggressive in our pricing there.

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Moderator : Thank you. We will take the next question from the line of Akhil Parekh from Centrum Broking. Please go ahead.

Akhil Parekh : My first question is, we have highlighted that the external factors which have hurt our sales in General Merchandise and Apparels, but globally if I look at it especially you as this value retailers they have categorically set that discretionary category for them has also been impacted because of inflation. So, do you see that the higher impact on GMA is because of inflation and not because of competitive intensity going up, that's my first question.

Neville Noronha : Yes, Akhil in the previous questions I did mention that when somebody asked about, did your customer profile change and I said no customer profile has not changed, they remain the same but they come from a

particular background wherein inflation has hurt them the most.

And that is why there has been a tightening of the wallet and hence some impact on the adverse side for General Merchandise and Apparel. So, yes inflation has affected discretionary for our customers.

Akhil Parekh : So, hopefully if the inflation impact subsides we will see the inching back to the normal level?

Neville Noronha : I will not comment on whether we will go back to normal level, but we are seeing that trajectory at least in General Merchandise at a significantly better level than Apparel, Apparel probably will need a couple of more quarters to have a very clear view.

Akhil Parekh : Second question is you briefly mentioned that there are certain white spaces in the General Merchandise and Apparel category, so any big white space which we are currently looking at and which we may add basically in coming times?

Neville Noronha : Yes, there are numerous, this is not the right forum; you could visit our stores and from time to time you will get a sense of what we are doing; I don't want to comment because there is so much of work in progress. I mean we have certain views now, we may try those in a couple of stores, if they don't work we withdraw, we stop. So I really can't comment on which subcategories. The best way to make a judgment is keep visiting our stores once a quarter at least and you will get a sense of what's going on.

In fact that is something which we also keep saying, like at one end we keep saying that don't change anything, keep everything the same, everything should be business as usual, the assortment and all of that. But at the same time there is another side of thinking, that there has to be some novelty or some new opportunities should be created all the time to keep the format fresh.

And just that our product should be blockbusters, they should be something that solves a

particular purpose for the customer. So, you need to have both left and right brain working at the same time. And that's why it's quite challenging at times to get that alignment; you get

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leadership to understand the nuance of how to operate while keeping both that mindsets at the same time.

Akhil Parekh : And lastly on the pharmacy part of the business, in past I remember I think in FY'19 we had, I mean you had answered this question -- probably looking at eyewear as a category because I think, organized retail is very small in eyewear and Lenskart as a retailer has done very well in eyewear category, but instead of that we are looking for pharmacy which is highly competitive in nature, both from brick and mortar as well as e-commerce part of the business. So, any thoughts on that why we went for pharmacy over say any other category like say eyewear?

Neville Noronha : It's a natural extension, no other reason and it has a decent size of opportunity. And I don't know why you bring sunglasses in but the thought that comes to my mind is anything that is high margin and anything that needs extensive detailed servicing is something that is not our core competence. It's not that we never thought about this eyewear business but it needs a different mindset to operate, which we believe we don't bring to the table. But pharmacy is very value-driven, at certain homes you need medication for a long period of time, there is good value per month, margins are there to discount, to give great value. The similarities to the grocery business are there. And it doesn't need that quantum of personalization or service. I think that's why we believe there is an alignment.

Moderator : Thank you. The next question is from the line of Tanmay Gupta from Motilal Oswal. Please go ahead.

Tanmay Gupta : So, the question is, since we have open the larger size stores versus the 30,000 square feet previously so just wanted to understand that how much time

does it take for the larger size

store to reach at the normalized level versus the 30,000 square feet stores?

Neville Noronha : So, Tanmay different stores or different cohorts operate at different levels. There is no normal or there is no midpoint average. Different stores operate at different levels, while the variability in gross margin may not be large, but there will be a huge variability in operating cost and a huge variability in profit at store level.

Tanmay Gupta : So, I am just asking on a revenue per square feet level, like just to understand that for example if 35,000 square feet stores got matured in three years and after that we can see stable SSSG going forward. So, for a 45,000 square feet store I believe that the years could be I think mature years could be like four, five years. So, is that my sense right in this thing?

Neville Noronha : Yes quite likely you are right, so larger the city, smaller the store size, significantly higher the turnover per square feet. And then in that order just put these three elements on a piece of paper and then you toggle them upward down and you will have differential revenue per square feet - up or down.

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Tanmay Gupta : And also second question following of that, you know since we have added most of the larger sized store in the COVID period like in three years. So, is it right to believe that most of the stores are in base now and it should now contribute substantial growth?

Neville Noronha : We all hope so.

Tanmay Gupta : Because just calculating so most of the things are seems now in the base, so just wanted to confirm in such sense?

Neville Noronha : Let me answer this question a little differently. We look at cohorts at every gap of say three years. So, we have stores which are probably now 17 years and older, then 15 years and older, then 13 years and older, you know things like that. And within that cohort we look at how is the SSSG growing, is it growing at a rate higher than inflation? If not, what are the things that we need to do?

And then one of the criteria of why these stores don't do well is the stores are very small or the turnover per square feet is very high. Otherwise, these stores should grow. And if they are not growing then we work on what we need to do to make them grow, so that's it. It's a very micro region by region kind of an approach and we try and understand what we need to do to make it better.

Moderator : Thank you. The next question is from the line of Swati from Hill Fort Capital. Please go ahead.

Swati : Hi Neville, I have yet another question on Apparel which is that it looks like some of these newer larger stores they seem to have more space allocated to Apparel, at least you know when we visited the stores. So, just wanted to understand does that compound the problem

#1?

And I know someone has asked this earlier, but because maybe there is larger spacing allocated to it, does it affect our ability to reinvest in the core FMCG business and keep it as attractive that's the first question?

Neville Noronha : Not really I think the way the organization is structured different teams run different categories, so because something is not happening right in Apparel, it doesn't impact the FMCG side. Even from a financial allocation, investment allocation, no difference. So, that's not the case.

We are very cognizant about the first part of your question which is, given more space, but sales doesn't happen, how are we especially from an inventory turn perspective getting impacted. We are very cognizant of that. In fact we have noticed that inventories have actually fallen. That's the beauty about the format. Our ability to quickly recalibrate all the Avenue Supermarts Limited
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elements of that line of business is fantastic. And that needs a lot of effort, mindset, technology ; you know everything has to be aligned.

Then comes the point, if contributions are lower can we reduce store sizes, we do that also. We used to do that even in the past; we reduced store sizes, we reduce trading areas, we do that too. But the point is that's the beauty of the format that we have all these levers, capabilities available and people are empowered. In fact these calls also are taken at a significantly lower level from me, for me it's just FYI, they are doing this because of this, this and this reason. So, I think that way the organization is very agile and empowered to take calls, to ensure that the overall operating principles remain intact and the financial discipline is maintained.

Swati : And the second part is you did mention that there is a lot of work that needs to be done here. And I think you mentioned some of the things that we will not do. Do you mind spelling out some initiatives that we are taking here if it's related to supply chain, pricing on the Apparel side, I mean?

Neville Noronha : I think the bigger aspect on Apparel is people, I think 70% of the issue is people, people, people, I mean they drive it. Apparel is a very person driven, competence driven business, that's the key part.

Swati : And just one small question, last one from me is that curious to understand if the segments mix in our e-commerce business is it very similar to the brick-and-mortar business or it is not really?

Neville Noronha : No, everything on the FMCG side is the same, there is very little of the General Merchandise and Apparel, very little.

Moderator : Thank you. The next question is from the line of Deven Kulkarni from Marcellus. Please go ahead.

Deven Kulkarni : Yes so I wanted to understand what sort of a buying practice were we following in the Apparel? And secondly we have seen a person from Shoppers has come in to lead the Apparel business in the last one year. What changes has he brought to the buying process for the Apparel division?

Neville Noronha : Too early to comment, Deven but since you are mentioning that and you are already observing that we are doing some stuff. So, that's it, it's all work in progress, we are working on it.

Deven Kulkarni : And what are the basic buying principles on which we work?

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Neville Noronha : The principles remain the same, the broad ethos of what we stand for remain the same. The quality of execution has to get better. And we need Apparel experts who understand the customer and figure out what is that white space that we need to be sharper at, how do we make that white space more sharper so that we present the product in a manner that it's very difficult for anybody in competition to replicate, very simply put.

Deven Kulkarni : So, on the store opening front right you said you are 80% internally prepared to do a 50 store expansion, 20% there seems to be some internal capabilities still to be built out. So, in the last five years right what internal capabilities have you invested in to be able to ramp up your store count?

Secondly what are the bottlenecks today internally in store count opening, external bottleneck you explained the market real estate, all that. But internally I am trying to understand where all are the bottlenecks and expanding the capacity of store expansion?

Neville Noronha : It's primarily around talent. We need high-quality talent here. We all know what's happening

in the country, there are these certain sectors like IT, within IT it is IT Security and IT Security Ops. There is acute demand supply mismatch, people come with three offers and one offer is 100% higher than the existing salary, one is 150% higher and it's crazy some of these things. And it's not even about that, what we also see that even after offering those kind of crazy hikes again after six months somebody leaves, because he has got a further hike from

somewhere else. I mean it's ridiculous; some of these things are just, I mean it's completely nuts you know.

Deven Kulkarni : Right and that's at the BD level team, right, at the top level is there any operational bandwidth constraints between let say you and Mr. Baheti in approving these properties?

Neville Noronha : He is right next to me, no not really. In fact, we are pretty fast in that. There are certain ...

Deven Kulkarni : You know Neville what would help me if you could just take me through that finalization process and so that and then you can explain why there is no bandwidth constraint.

Neville Noronha : Come again.

Deven Kulkarni : If you could just explain me the how the property finalization is done between you and Mr. Baheti and then in that you can weave in why there is an operational bandwidth or not?

Neville Noronha : It's exactly similar to how you must have bought a house . How do you negotiate with a developer? He will tell you Rs 20,000 , you will have in your mind Rs 18,000 and then you come somewhere in -between. That doesn't take more time, that's hardly 1% of the problem.

The larger problem is scouting for land, bringing the developer or a land owner to a level that Avenue Supermarts Limited

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suits us, the title has to be clean and clear; handshake is the easiest part. Mr. Baheti and my job is the easiest part in the whole scheme of things. We just catch a flight, go and meet him and finish the deal in 5 minutes, that's the easiest part, that's not the bottleneck.

These bottlenecks or these problems are with MNCs who come in from other countries to do real-estate deals. Corporate or promoters or owners who operate in the country where they belong to, finalizing is the least of the problem. It is the due-diligence and all the effort prior to that that takes a lot of time.

Deven Kulkarni : Understood.

Neville Noronha : And let me give you another analogy, this is probably one of the reasons why even if you look at the real-estate developer landscape, you always have each developer having his core focus in his region. And any developer who has tried to do that across the country, we know what has happened. So, this is very typical about this industry.

Deven Kulkarni : And that BD team is seeing a lot of high attrition that's why it's causing some internal challenges --?

Neville Noronha : Yes and also because this nature of role or this type of role spec is very new to this country . If you go back 20 years there was nothing like this at the scale that you would want today. So, the inherent development of talent in the sector is very minimal. Whatever talent that has developed in this sector, is either leasing which these International Building Consultants (IBCs) do or it is extremely large land deals where the clients they service are large developers. So, our need is very niche and very unique so that creates limitation for us.

Deven Kulkarni : Finally on the succession planning front right what we have seen is since listing there has been a lot of, there have been a few 5 to 7 VP level exits that have happened. Some of these were replaced externally. So, firstly why are these exits happening despite being heavily rewarded through ESOPS?

Secondly, why were the replacements brought in externally, what is the challenge in promoting internally?

Thirdly, how are we maintaining the company's culture? How are we inducting the new external hires into the company culture?

Neville Noronha : I have done a little bit of research on this, when a company moves from Rs. 100 crore revenue to Rs. 40,000 crore revenue over 20 years, the ability to retain our talent to the extent we have done, I think we will be in the minority. We have retained significantly higher number of old talent than most other industries or most of the companies who have gone through this route, #1. And I

am happy to be corrected, but this is my point of view.

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#2 which I have also mentioned in our BRSR , the challenge we also have is the nature of this industry, whenever we have hired people from outside, they don't last too long, it is because the nature of the job here is very different. It's very tactical, it has a huge amount of

operational rigor, physical effort, traveling, meeting blue collared workers, all of that. And generally top-level leadership wouldn't want to have a role like this. And that has been our interpretation. The guys are great, but probably that's again a challenge because this industry is relatively new from that standpoint. And our need is also like that, we want people to be deeply connected to the ground. So, that could also be another challenge.

#3, third is about promoting people internally. Again, I will bet on this, the quality and the effort that we put in, in terms of promoting people from within it's phenomenal. I mean we take great pride in doing that. Even there I would love to do a ref check or I would like you, I have mentioned this even in the previous Analyst Meet. I would like you to go and see our stores. And talk to our supervisors, talk to our managers and ask them.

Deven Kulkarni : Yes, no I agree your internal promotion till the buyer level or till the general manager level is superb. The layer where the AVP, VP layers is where we are in some attrition and that's where I wanted to raise like are these GM level guys not capable to elevate to the VP or what's the gap out there?

Neville Noronha : It is not binary. A lot of spaces -- people internally have taken those top jobs, that is N-1 or N-2. In fact N-1 and N-2, most of them have been with the firm for a very long time. But at the same time the company is also growing. Even at this rate of 18% to 20%, two years back it was growing at 30% or 25%, right. When you are adding a billion dollar of revenue you also need a lot of people from outside. You can't fulfill every position or everything internally. And then in a way it is good, it's good to bring a small percentage of people from outside, because they bring that outside perspective about things, which helps the organization.

Deven Kulkarni : And finally how are we inculcating these external hires into DMART culture?

Neville Noronha : What do you want me to say?

Deven Kulkarni : Let's say what is the induction process for these guys to get that DMART culture, because it's useless if you bring in someone and then he just leaves after 1 year given you know he can't fit in. So, how are you making them fit into the DMART way of working or the DMART mindset.

Neville Noronha : See that will start after he joins, I personally do this especially with senior leadership. N-2 or N-3, I personally have a chat and explain. So, while everybody will sell their company, we actually warn them or alert them about what this job involves so that they know what they are getting into. It starts before you hire somebody, you have to have this very candid conversation - look this is the role, this is what is expected out of you, all of that.

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At the same time, whenever somebody joins we are not very number centric, even with top leadership. For the first one year, there are no deliverables at all. It may sound crazy in today's world, but I personally ensure that it's not there. He should first understand. And for a deep rooted, culture oriented, value retail kind of a format one needs to understand the nuance of what this company is all about and how this business has to be run.

All those typical trappings of any other firm where I have a KRA, I have a target, I have to deliver a profit margin, I have to deliver a store addition target, we don't do that for the first one year. We first ensure

that he kind of soaks in the culture, the way we operate and all of that.

And I think when you say culture, it is not very complicated, we are a very simple, straight-forward, matter of fact Company. So, sometimes some people also get unnerved by that kind of an approach. We minimize meetings, we want action, we want things to get done, we don't want people to idle too much. It's a very straight-forward business. And even that kind of gets unsettling. Imagine somebody who has worked in an MNC, FMCG Company where ideation is a key factor of getting the outcome right, which we also see when they operate. We try to tone that down and focus more on getting things done and more execution, more action orientation. A huge amount of people connect.

Moderator : Thank you. The next question is from the line of Mandar Pawar from Kotak Mahindra AMC.

Please go ahead.

Mandar Pawar : I just wanted to understand when we are looking at the modern trade and the number of players be it online/offline, quick commerce, numbers increasing and retaining size. Has it in any way put our distributor margins or the sourcing margins at any kind of a pressure?

Neville Noronha : So, you are saying that, are our margins going down because of this?

Mandar Pawar : Yes, I am trying to check whether is there any case like that or we have been able to hold up our margins?

Neville Noronha : There is no issue there. I will give you one snippet on this, some D2C companies, I don't want to name them, but they haven't been coming for a long time and then when they come to us and then we deliver, we become their largest customers. We also have situations like that. We are still a very important channel for a lot of brands. In fact we say no to a lot of brands,

because we think that the quality is not good enough, so we don't launch them. But wherever we find good quality at good price, we launch them; we actually become the largest customer for them.

Mandar Pawar : Second, just coming back to the topic of Apparels as a category. Now if I look at the sales and the ratio that you are giving in and if I assume a constant ratio for the space that you allocate

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to General Merchandise and Apparels, the maths works out like on a per square feet basis we are still 20% lower as compared to the pre-COVID levels. Now of course there will be inflation in the raw material which also would have got passed which means the volume decline would be higher than that 20% in terms of value. Wanted to ask whether it is also a function of --; if it is significantly lesser space being allocated to GMA because the traction is weaker?

Neville Noronha : Just tell me the last sentence, last point I couldn't get it.

Mandar Pawar : Yes, so if I assume that the ratio of space allocated to GMA is constant than it indicates a decline in the revenue per square feet. So, either that premise is wrong where that ratio is constant and effectively you have given lesser space allocated to GMA category. Is that something which has happened, because the traction in this category is weaker, you have decided to be allocated lesser space to that and more towards the other categories?

Neville Noronha : No, space is not yet reduced all across. Space for GMA has not been reduced if that's what you are asking. Might be selective one of; where it's really small and it's impacting the inventory turns but otherwise no.

Mandar Pawar : Just one final question on, you know when I look at the cluster-based approach and the way we have spread our presence across the state two notable differences are the States of Goa and Kerala --. Just wanted to understand whether there are any specific challenges that you face in those states or something that is in not fitting completely with the philosophy that we have in terms of our operating and profitability metrics?

Neville Noronha

a : Some states we haven't gone yet. And generally, both of the states you mentioned there is a lot of land restriction, because they are ecologically sensitive regions so very little land is available for commercial activity. And those prices are extremely high. But hopefully we will have a store in one of the states soon.

Moderator : Thank you. The next question is from the line of Tejas Shah from Spark Capital. Please go ahead.

Tejas Shah : Neville in our observation the limited success that we have seen in GMA retail space in the country has come from very sharp focus on private labels. So, first question, do you agree to the observation and second if yes, then how do you see private label journey in GMA space, because we have been very calibrated on private label commitment on the grocery side.

Neville Noronha : What is your understanding in GMA, do you think we have private labels or you think we are not private labels?

Tejas Shah : No, it is there, but in grocery you have been very clear that it is like, it will be like a trial and error. And on this side it is kind of when you scale up, because you mentioned on the last call

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that there are multiple dimension to private labels that there is a higher commitment to inventory and we should not look at from a lens of only margin. So, just wanted to understand that when you scale up GMA and when we go on that journey, how do you see that private label commitment shaping up?

Neville Noronha : GMA, as I have commented, it is just to say that it is not private label, but in a way it is kind of a private label. They are manufacturer brands and they are not very popular by the name.

Now just that because it is a manufacturer's brand, he is significantly more invested than say an FMCG private label brand. So, from that standpoint, I don't know what you are asking but whatever we are doing we will do it exactly within the same format and structure that we currently operate in, they are all manufacturer brands.

Tejas Shah : No, the question was largely on Costco model also, the way they have popularized their GMA brand. Will we invest in the branding side as well or not in term so popularizing the brand also on branding investment?

Neville Noronha : Our view is that in GMA it's quite chaotic, in the price point that we operate, branding as such is not large and it will evolve over a period of time. Like for example in apparel, we are doing branding now on the socks, the handkerchief. So, wherever there is very clear, sharp segmentation branding adds value; wherever there is chaos and everything goes all across the place, having a brand may not be the best way to approach it, you have to give it more time.

Tejas Shah: Just one academic question, by design ecommerce kind of business throws a lot of data with a lot of vanity matrix also DAO, MAO, GMB and we are usually known to keep things simple. So, I was just curious which are the Top 3 or Top 4 KPIs you monitored to kind of assess the deficiency of that part of the business.

Neville Noronha : It is standard and all commonsensical . We have one "on-time and in-full" (OTIF) . So, on-time is if the customer has ordered at a particular time and date slot, you ensure what percentage of the orders reach at that time. In full is if she ordered 20 items then all 20 should go. At line and at depth level , things like that.

This is at the customer level, because that's the final proof of the pudding. But then to deliver that you need to do work at the backend. All orders for the next two to three days we already know right now. You have to ensure that you are planning on manpower so there are metrics around that. Then you have metrics around pickers, you have metrics around vehicles , so the usual stuff. One is the output metric and then you look at the input metrics that will drive that output metric

to be delivered 100%.

And the beautiful thing about all of this is, everything is measurable, everything is digitized, everything can be tracked, there is no paper. And there is no reporting post-mortem, it's all Avenue Supermarts Limited
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real-time. So, suddenly it's raining today , right now and everything is getting flooded, we know that the delivery will be affected for the future orders. We inform the customers in advance and we recalibrate the delivery schedules, stuff like that. That's how we operate the business.

I just wanted to clarify simplicity - simplicity doesn't mean that you ignore data and you don't have metrics to evaluate. We have a very sophisticated way of looking at data - to ensure that we deliver, but we don't get into unnecessary metrics .

Tejas Shah : And last thing whenever we speak about store expansion you actually speak in terms of absolute stores usually. So, do we internally think in terms of percentage space reduction and then hence capability building also should be seen as we go on a higher base , the capacity or capability both can be seen from percentage terms?

Neville Noronha : Yes, internally everything is percentage, we look at it percentage, but it's not percentage of square footage addition . That is a dangerous line of thinking to go into, if you go there, then you are finished. Percentage is percentage number of stores, it's very clear, if I had 20% more stores CAGR every year and that's what I personally tell my team. If I am 500 stores, 20% of 500 are 100; we should be opening 100 stores every year. If I am thousand stores 20% of thousand stores are 200 stores every year, very clear. And then the math beautifully works , that you will get around 15% CAGR from new stores and you will get around 7% to 8% or probably even a higher CAGR because then you have consistently young cohort of stores in your system all the time and that's the story of D Mart except for the last two years. You need that for sure, but getting a number is better because it's more precise right.

Tejas Shah : Can you elaborate on that point and that's a dangerous line of thinking because most of our engagement with other retailers is hardly on this point.

Neville Noronha : Because my entire model is based on profitability at store level. So, if profitability at the store level is an objective and then if I need only 30,000 square feet store I will not have a one lakh square feet store because of vanity.

Moderator : Thank you. Thank you members of the Management. Ladies and gentlemen with that we conclude today's conference call on behalf of Avenue Supermarts Limited. We thank you for joining us and you may not disconnect your lines. Thank you.

Call: Jul 2024

6th August, 2024

To,
BSE Limited
Corporate Services Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Ltd.
Corporate Communications Department
“Exchange Plaza”, 5th Floor,
Bandra – Kurla Complex, Bandra (East),
Mumbai – 400 051

BSE Scrip Code: 540376 NSE Scrip Symbol: DMART

Sub: Transcript of Analyst/ Institutional Investor s Meet 2024

Dear Sir/ Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of conference call with Analyst/ Institutional Investors held on 30th July, 2024.

The transcript is also available on website of the Company at
<https://www.dmartindia.com/investor-relationship> .

Kindly take the same on record.

Thanking You,
For Avenue Supermarts Limited

Ashu Gupta
Company Secretary & Compliance Officer

Encl: As above

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“Avenue Supermarts Limited
Investor /Analyst Conference Call ”
July 30, 2024

MANAGEMENT : MR. NEVILLE NORONHA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER –
AVENUE SUPERMARTS LIMITED
MR. RAMAKANT BAHETI – GROUP CHIEF FINANCIAL OFFICER – AVENUE SUPERMARTS
LIMITED
MR. NILADRI DEB – CHIEF FINANCIAL OFFICER – AVENUE SUPERMARTS LIMITED
MR. VIKRAM DASU – CHIEF EXECUTIVE OFFICER – AVENUE E-COMMERCE LIMITED
MR. RUSHABH GHIYA – INVESTOR RELATIONS – AVENUE SUPERMARTS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Avenue Supermarts
Limited Investors Conference Call. As a reminder, all participant lines will be

in the listen -only mode and anyone who wishes to ask a question may enter star and one on their touchtone phone. To remove yourself from the queue please enter star and two. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rushabh Ghiya. Thank you, and over to you, Mr. Ghiya.

Rushabh Ghiya: Welcome to our Annual Investor and Analyst Conference Call. I have on call with me Mr. Neville Noronha, our MD and CEO; Mr. Ramakant Baheti, Group CFO; Mr. Niladri Deb, CFO, Avenue Supermarts Limited; and Mr. Vikram Dasu, CEO, Avenue E-commerce Limited.

We hope that you've had a chance to look at our presentation, which was shared on Friday, and the same is also available on our website in case you would like to refer to it. We will start the call with Neville briefly taking you through the presentation along with Niladri, and post that we will open the Q&A session.

Just before that, I would like to draw your attention to the Safe Harbor statement for good governance. So, with that, over to you Neville.

Neville Noronha: Good morning, everybody. Like the format is every year, we will spend some time on the presentation and then give most of the time for the Q&A. This time, we're splitting the presentation in two parts. I will be taking the business overview, followed by our CFO, Niladri Deb, who will then take you through the operating and financial summary.

So, on the business overview, which is the key product categories page. It's more or less the same. I think last year has been a period of consolidation, and also a lot of the anxieties that we had around general merchandise and apparel is more or less behind us. While the numbers do not indicate to that extent yet, but we are seeing a smart recovery in the second half of last year. Avenue Supermarts Limited

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and in the first quarter of this year. So, GMA has moved from 23.04% to 22.37%. It's a drop, but more or less it's coming back.

But just to pre-empt some of the questions that may come on this, we are not going to be 28% or 27% like it used to be earlier. A broad trend line will be around the current run rates of around 23%, is the sense we get. But otherwise, it's been a good year. I mean, most of the numbers have been shared, and I would take more specific questions in the Q&A and discuss more about this.

We go to the next slide, cluster-based expansion strategy continues to be the same. The principle is more of the same - try and open as many stores in existing markets. We also keep trying to go to new states, new regions, new cities. But otherwise, the broad principle is, if there's an opportunity to deploy capital in existing markets, it's a better option. We opened 41 stores in last year gone by. And as usual, the numbers look good, we're doing fine and all the new stores opened also are fine. So, it's a usual day at work, broadly, from that standpoint.

Then we come to DMart Ready. We had said in the last year's analyst meeting that this year would be a year of consolidation and we'll try and test whatever we have done and hence, we added just one city. The strategy around the e-commerce business, the DMart Ready business is very consciously to be not very fast. We can generate significantly higher revenue than we do currently, but it's a conscious decision to fix the model, make it right and bring in high throughputs in the existing cities, that's the thinking that we have on this business. But, obviously, we'll take more questions on

our business, as well as

what's happening in the market from a larger context of competition and all of that.

Year-wise store addition, we have already said that we opened 41 stores. We maintain to deliver basis our past performance. That's what we keep saying.

The number of stores opening will be around these numbers going forward.

But we, as usual, don't give forward looking statement in terms of what the exact number is and reasons also remain the same. But broadly as a Company Avenue Supermarts Limited

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we are prime to open equal to or even more than this number of stores. But there are a lot of other factors that depend on our store opening numbers. So, with that, I end my part of the presentation, and I would request Niladri to take over the operating and financial summary part of the presentation. Thank you.

Niladri Deb: Thank you, Neville. I take you through the bill cuts. We delivered 30.3 crores bill cuts in the year just gone by. Like-for-like growth that we disclosed is for stores which are open for more than at least 24 months. We delivered 9.9% like-for-like growth. The total retail business area at the end of the fiscal '24 was about 15.1 million square feet. We opened 1.8 million square feet area in the current year. And the Revenue from Sales per Retail Business Area sq ft came at about INR33,000 per square feet in FY '24, very close to the FY '20 number of INR32,879.

Moving on, the revenue from operations as disclosed earlier is INR49,533 crores, delivered in the stand-alone business. EBITDA margin of 8.3%, so almost INR4,100 crores of EBITDA. We delivered 5.4% PAT, about INR2,695 crores. And the net cash flow from operations of INR3,343 crores. All of the indices grew over the same period last year.

We move to the operating and financial summary for the days inventory and payables. Our payables came at about 7.1 days and about 29 days of inventory, more or less similar to what we were in the pre-COVID period. Debt and equity, we all know we don't have debt, but the debt that you see on the balance sheet is about the Ind AS 116 disclosure and the equity is about INR19,281 crores.

Fixed assets turnover ratio came in at about 3.6, very close to the number that we've been trailing even pre-COVID and inventory turnover ratio of about 14.6. And finally, the return on net worth and ROCE, ROCE came at about 19.1%, marginally lower than FY '23 and the return on net worth about 15.1%.

Slide 13 has the key financials for Avenue Supermarts and the stand-alone and consol. Sales grew by 18.4%. Gross margin reduction of about 37 bps and Avenue Supermarts Limited
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PBT reduction of 43 bps led by the gross margin slide and a bit of cost increases in other expenses that came up, and the PAT delivery of INR2,556 crores -- sorry, INR 2,695 crores, which was a 5.4% growth. We must point out that last year we had an exceptional tax gain. So, ignoring the tax gain of the prior year, the PAT improved by close to 12%. At consol level, the sales improved by 18.6% or INR50,789 crores and a PAT delivery of 6.6% growth. Without the one-time tax advantage of prior year, the PAT grew 13.5% to INR2,536 crores.

The key subsidiary financials, Avenue E-commerce delivered a 31.7% sales increase, close to INR2,900 crores and we had a loss of INR185 crores, which was a 240 bps loss reduction over the prior year. Avenue Food Plaza did INR177 crores of sales and a loss of close to INR6 crores -- it is in expansion phase. Align Retail Trade, our subsidiary which does grocery packing did INR2,800 crores of sales and a PAT of INR33 crores, improved by 44%.

That's the summary from the financials and operating session.

Rushabh Ghiya: I think we can now open the floor for Q&A. Thank you, Niladri. Thank you, Neville. We'll just open the Q&A.

Moderator: Thank you very much.

ch. We will now begin the question-and-answer. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Yeah, thanks. My first question is on the product mix you have given. So, I see that foods is the only segment which has gained as a percentage of the mix, while rest of the two have seen a slight dip. Wanted to understand is it purely because of the food inflation and in FY '25? Because FMCG companies in the HPC space will take a hike. The non-foods FMCG should regain some of the lost share. What will be your comment on that? You are focusing more on

general merchandise and apparel. So, wanted to understand why it's not visible in terms of numbers. There was a dip of around 33 bps. When do you see this reversing?

Neville Noronha : So, Abneesh, on the food contribution going higher - it is primarily driven around agri food inflation. It was primarily driven on that. While staples, if I look at edible oils, went through a deflation period. But I think minus the oil Avenue Supermarts Limited
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basket, the agri side, that is the staple agri minus oil went through unprecedented inflation during this period of time. So that is the reason why the food contribution has gone up.

On the GM and apparel side, I think we had a larger issue on the apparel side, but like I have commented last year, apparel is a smaller contributor in the GMA mix. Hence, the blended impact was only what you see on the slide, right? GM is more or less back on track, trending equal to what we were prior to COVID.

Apparel has done a very smart recovery. We did very quick improvements there, primarily around leadership, team, sizes, all of that is in place. In fact, 70%, 80% of the work is already done. And if you look at the last two quarters' performance, one thing that is heartening to know is, apparel is the highest growing category amongst all our categories. Like I had commented last year, right, it is more of an internal issue on the apparel side.

We just needed to build a very good leadership pipeline. And in fact, I'm quite delighted with the early improvement - I didn't expect it to be improving so quickly. But I think the team has done a brilliant job. But still a long way to go. But we're seeing brilliant green shoots on the apparel side of the business.

Abneesh Roy: Sure. My second and last question will be on the DMart Ready. So, we have seen a year of consolidation and only one city getting added. So, what were the learnings from there? And we have seen quick commerce, for example. Now, they are seeing more consolidation, more on service rather than discounting. So, rain fee, delivery fee, loyalty fee, a lot of fees are coming in and that's good from an overall business sustainability perspective.

I wanted to understand are you also thinking at some stage about quick commerce and also start charging for some of these because ultimately now it's more of convenience rather than pure discounting. Plus, what is your take, is the worst behind on discounting? Because Zepto has raised huge funding very recently, while the other two players seem to be focusing more on service rather than just discounting.

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Neville Noronha : Our whole perspective has always been to have a divergence in terms of our approach to the business. We prefer not to do stuff like what most people try to do. So, we continue to chart our own course on the e-commerce side of the business and we are pretty confident of expanding this business, albeit not as fast as you will expect it to be. But we will continue with the current model.

We don't intend to do any quick commerce. I think our model is pretty robust and the learnings have been to try and get more and more revenue in the large towns / cities. That's the low-hanging fruit. That is where there is an

emergence between our model, about our ability to deliver and also the expectation of the market. So, a Mumbai customer or an Ahmedabad customer or a Delhi customer, they like e-commerce, they like material coming to their home since time is in short supply, timetables are tough to manage, things like that. I'm not saying everyone, but mostly the more affluent people, they would like to have a certain component of their grocery buying to come through e-commerce. I think serving that customer through our DMart Ready channel sounds very interesting and promising. So, we will continue with our own methodology of running the DMart Ready business.

Abneesh Roy: Just one follow up on this and then I'll end. So, could this be second year of

consolidation? And when I see, you have DMart Ready in few Tier 3 cities also. For example, Kolhapur, Belagavi, Bhilai, Raipur and, say, Anand. So, could these be deprioritized and ultimately may not make much of a sense given your kind of a business model?

Neville Noronha : Quite possible. See, I think brick -and-mortar retail is still very aspirational and still fun and enjoyable in small towns. And we clearly see that from a psychological standpoint that customers enjoy going to retail stores like ours in small town s.

Abneesh Roy: Okay, thanks. That's all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

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Arnab Mitra: Yeah, hi. Thanks for the opportunity. So, Neville , my first question was on store expansion. I think in the last call you had mentioned you have invested in people in the expansion side and also in some of the processes which will increase your capacity of adding stores. Do you see that happen in FY '25? Or it will take some more time before you can significantly step up from this approximately 40 stores that you've been adding for the last couple of years? And what are the other bottlenecks that you're still seeing in that capacity?

Neville Noronha : I don't have a very clear, concise answer in numbers for you, but I'll just give you a feeling and flavour of what we intend to do here. We are primed and ready in terms of opening around 40 -50 stores . I mean anything between that is what we are ready and we will deliver broadly. Obviously subject to regulation, permission, all of that, but we have that kind of inventory to at least commit saying 40 -45, we will do, every year.

If you were to look at our store opening trend, we do 40 -something stores , but in another two to three years, this 40 should go to a 60 or a 70 per year. We are working like that. We are thinking about it like that, but it will be very lumpy. So , you will see a 40, 40, 40. Suddenly it may go up a little bit higher. That's the way we are thinking about it and working towards it.

I've been saying this repeatedly that typically 10% to 15% of my number count should be my new store opening, broadly. That's the way we think about it. So, if that happens, then we'll get a very decent CAGR run rate over a 10 -15-20 year period. That's how it has been in the past two years , right? For example, if I have 400 stores then I should be opening 60 stores. If I have 800 stores, then say 15% of 800 stores. That's the North Star. That's the way we think about it.

Arnab Mitra: Thanks for that, Neville . Yeah. The second question I actually had was a follow up on the quick commerce thing. So, clearly, one of the big changes last one year has been this big scale up of quick commerce, especially in the top six, seven cities. Are you seeing any impact on your big city stores, like a Mumbai, Bangalore kind of location? And does it in any way impact the future store potential in, let's say, the top 10 stores that you would have earlier envisaged? So, any thoughts on how you're seeing this evolve?

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Neville Noronha: Actually, we've been crunching data for the last two years on this and how is this format impacting us? Surprisingly, it is not. If there is any one reason that impacts our metro revenues, it's actually our own ability to operate the store. So, if any store is not run well, for whatever reason, either it's an infrastructure issue or the store has already peaked out, delivering very, very high revenue per square feet, or the quality of management is not up to the expectation. That's when these stores struggle. And not really because of the competitive context - specifically about quick commerce. That's our analysis of things.

But, okay, if you say a city that is not having any intense quick commerce versus a city that has quick commerce, there could be a 1% to 2% SSSG CAGR impact. I mean, I don't have a very clear point of view there. I can't pinpoint

it exactly. But will I say no? Absolutely not. I will also not agree to that, maybe 1%-1.5% kind of an impact could be there. But is any of my store declining, negative? Do I see very large red flags? Absolutely not.

Arnab Mitra: Understood. Thanks. And just one last question. Any rethink -- you have historically not had a big focus on fresh as a part of your mix, and that's one of the categories which at least quick commerce companies, say, has had high growth and high margins. Anything of this changing which would change your approach towards that category versus what it is currently, that's brick-and-mortar?

Neville Noronha: Brick-and-mortar, I don't think so. Brick-and-mortar, there has to be some structural changes in the economy which prevents the roadside seller to stop selling fruits and vegetables. Only then could be a case for modern trade to sell fresh in a profitable manner. That's our view, especially in a model like ours.

Arnab Mitra: Okay. Thanks so much, Neville, and all the best.

Neville Noronha: Thank you.

Moderator: Thank you so much. The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

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Avi Mehta: Hi, Neville. I just wanted to get your thoughts on the apparel segment. I mean, what exactly did we change? You said you're at 70% to 80% on that journey. So, what is left to be done? Would love to hear your thoughts on that, please.

Neville Noronha: We have done whatever we have done for the current size of revenue, but we are imagining what we would be five years, 10 years from now. Apparel is very, very talent driven and individual driven - the guy or the lady who's running that specific category, how he or she thinks about what should be done. From a team capability standpoint, the confluence of synthesizing between what DMart stands for, what the ethos of DMart are, and what apparel should be. It's not very easy.

A category like apparel for a grocery kind of a model is very complicated. And a lot of people who come from outside, their understanding of value retail, their understanding of deep discounting is, I would say, very limited. So first, that buy-in itself is very, very challenging. And this is a very talent, individual-driven kind of a business, right? Everybody brings in their own personality to the category. It's not very easy to get that synthesis.

Avi Mehta: You said that you wanted to focus on basics there. So, is that thought no longer the case? You still want to have some fashion, but the type of fashion is probably what has to be realigned. I mean, I just want to kind of better understand the portfolio change that you're trying to do here.

Neville Noronha: Philosophy remains the same. Basic, basic, basic. You can be fashionable yet by being basic. When you say fashionable, it's about being in trend. But how do you ensure that your product line, is not susceptible to the

vagaries of

change of trend at very short notice. That's the whole idea.

Avi Mehta: Okay. Okay. Fair enough. The second, Neville was on your comment that you do not expect salience to move back to the 26% to 28% levels for general merchandise and apparel. Why this? And if that is the case, does that change how should we look at same-store sales growth from a new category addition - basis uptick that has traditionally or earlier come?

Neville Noronha: I have commented on this earlier, I have maintained that stand that whenever you open a new store, you get people from a larger radius coming to a store.

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When you get that kind of a customer into the store, they end up buying a lot of non-FMCG. But as the store matures, the percentage of households who begin to buy from you from a smaller area significantly increases. And hence, that basically drives the intensity of the food, FMCG and groceries here. And this has been a secular trend for the last 20 years. It is just simply because of that. It's a secular trend. And as we mature and we become larger and

larger, the food and grocery and the low-margin contribution will increase.

We have to then figure out how should you run the model such that you deliver on your profits in line with the construct changing with time.

Avi Mehta: Okay. But sorry, Neville, just to push back, I thought adding larger stores would have probably helped us drive, maintain that salience, that thought is not accurate?

Neville Noronha: That thought continues to be accurate because we continue to believe in the fact that having larger stores keeps you ready for the opportunities of the future. But at the same time, I do not want to build in very high expectation that we will go back to 27%, 28% and hence, there will be a bump in gross margins.

Not really. I'm just giving you a very realistic scenario of the future. We're getting ready for the opportunities that can emerge because of GDP going up and hence, people wanting to buy more and more horizontally in the high-margin sector. We are priming ourselves for that. But will that definitely guarantee 28% or a 29% contribution of GMA? No, I don't think so.

Avi Mehta: Okay. I understood. And lastly, if I may, sorry. Just on the quick commerce space, you did point towards 1%, 1.5% - odd impact, very rough in your view. Is this reflecting more discounting in your view or just that the consumer is now keeping less pantry? How should we look at this from that point of view?

Neville Noronha: The way we are looking at it, Avi, and this is through real experiments, real events that have happened - any store with a very, very high throughput, it's kind of overflowing at the brim, I just need to open more stores around that cluster. It's as simple as that. So, assuming I'm doing INR20 crores a month on a particular store and it's like very high throughput turnover per square feet, Avenue Supermarts Limited
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and I open another store close by and this INR20 crores store drops down to INR15 crores, but that additional store again gives me an additional INR20 crores. Right? So that's the whole idea.

So, can I add more stores, is the solution to issues like these. And we have done this kind of activities. By design, during COVID time, we bought many new locations even in Mumbai. And this is the outcome. That net of both, the old and the new store, it is value accretive for us. So that's the way to do it. Notwithstanding the opportunities that are available in DMart Ready. We do that too. But it is not either / or. I keep saying brick-and-mortar and e-commerce is the way to go.

Avi Mehta: Sorry, Neville, I was referring to the 1%, 1.5% as you said -- I think you said it is possible from the quick commerce perspective. And that's what I was trying to kind of u

nderstand, that when you say there is a possible impact from e-commerce, you're essentially saying because the consumer is reducing their inventory. How are you looking at this impact? That's what I was trying to understand. The impact from our own capacity, that I am clear on. But this one I was trying to kind of understand how do you look at this?

Neville Noronha: Like I said, stores which are doing exceedingly high revenue per square feet, its ability to grow at the rate of inflation gets a bit challenged. That's the point I wanted to make. And then at the other end, you have from a commercial standpoint, quick commerce who is delivering excellent convenience. Almost zero friction and delivery at home. So, then the top end discerning customer, probably who's shopping at DMart may fall off. To that extent there could be a 50 bps to 100 bps kind of change in growth rates for such stores. That is the point I was trying to make.

Avi Mehta: Okay. So, you are referring from that consumer probably going away and that is the possibility. Got it. That's all from my side. Thank you very much.

Neville Noronha: There is a disclaimer there - my observation and comments are only for this year. So, if something significantly changes during the year, I will talk about it next year. So, this is my understanding of what's happening right now.

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Avi Mehta: Okay. Okay. So, you're saying as on date, if this scenario becomes either less stable or more stable for us, it might kind of produce an increase. Got it, sir.
Got it. Thank you very much, sir.

Neville Noronha : Thank you, Avi. Thanks.

Moderator: Thank you. The next question is from the line of Latika Chopra, JPMorgan Chase. Please go ahead.

Latika Chopra: Hi. Thank you for the opportunity. My question is on your expectations on gross margin profile over the medium -term. You clearly mentioned the mix is going to probably be stable with general merchandise and apparel. I was trying to understand a couple of enablers of gross margins and your thoughts on that on the FMCG and food side. One was, your terms of trade with leading suppliers in order to leverage the scale benefits - how does that play out? Do you see premiumization of the FMCG and food portfolio within your mix? And the last enabler could be the private label contribution. So, if you could share some thoughts on how these key things could behave and would they in any way imply potential for gross margin improvement over the medium -term? That's the first question. Thank you.

Neville Noronha : Hi, Latika. I'll take the terms of trade and the branded FMCG part of the question first. This is all work in progress. The whole idea is that the more and more revenue you deliver and the more and more contribution you deliver from a business contribution to a FMCG company's business, obviously, your bargaining power improves.

Now, you have two ways to deal with it. Your improvement in bargaining power means more gross margins or better value to consumers. That's the choice as a retailer you have to take. And we do that, right? We decide, okay, how much of this has to go back to consumers and how much of it has to be retained. So that is one way of looking at it.

On private labels, I have constantly made comments which have remained consistent and it continues to be the same. It's a very, very long journey. You have to give it a lot of time. India is still a USD2,500 -USD3,000 per capita
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income country. Private labels play out beautifully when at least the country is at a USD7,000 -USD8,000 kind of per capita income . We have a long way to go from all these standpoints. And I continue to hold that position that branded companies are very, very competitive and it's not very easy to deliver a private label at equal to a better

quality at significantly cheaper price.

See, we want the products to be significantly cheaper than a branded company product at a significantly large discount. Only then does it really play around with the ethos of what DMart stands for. You would like to put the DMart name on the product only if it stands for that. That's why from that standpoint, we believe that this is going to take a lot of time.

Now, coming to the overall scheme of things. See, whatever we do today, 14%-15% gross margin, we're going to play around that . Anything beyond that, we want to pass it on to the customer. We don't want to retain it because we are running this on the principle of value. Delivering great value through high -quality operational excellence and keeping costs low. That's the broad philosophy. The feel I'm getting from this question is that it is more about margins.

My response to you is, we are more a top line -driven company and we believe that if we continue to remain relevant to the customer from a value standpoint then margins, ROI, all of that will follow. It will come. But the philosophy is to be very, very relevant, distinctly relevant, differentially relevant to consumers. Consumers, when they think about DMart , they think different. That's the whole philosophy. It captures the imagination of the customer from delivering great products at great value. That's the philosophy of the business.

Latika Chopra: Thanks. The second bit was a follow up on something you alluded to while answering the question on apparel, on talent. Just wanted to hear from you, any particular changes or incremental talent that you've hired at category head levels, on the technology side, on your e-commerce operations, anything you want to talk about or share with us on capability building side.

Thank you.
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Neville Noronha : It's a good question. I think we are grappling with two things. One is that, we are running an enterprise which in absolute terms is very, very large. When you talk about a 15% or a 20% CAGR, if you add that and look at that from a value term, it's a very, very large value, right?

And this value is being delivered, again, from distributed points of sale. It's different stores, locations, culture, people, all of that. There's an enormous, what should I say, management bandwidth requirement to just get this entire ship running in the right trajectory, right direction, and with the relevant speed.

We are thinking about what this Company will be 10 years from now. We're not talking about the next year. And hence, if you want to reach there in a nice way without too much of damage or bruises, then what is the kind of talent we need to have today in the next two years, in the next three years, next five years. That's the way we're thinking about it.

If you ask me, my team and I, the top leadership is thinking about how we should imagine the quality of talent we should have that can take us to where we want to be 10 years from now. The moment you put the right questions on the table, then you have a very clear view about what you need to do from a talent standpoint. And that's probably the ethos I wanted to share with you.

Latika Chopra: Sure. Thank you, and all the best.

Neville Noronha : Thanks.

Moderator: Thank you. The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari: Hi, Neville and team. A few questions. So first, on the store addition, you did mention about lumpy additions at some point. But when you look at additions internally, do you also think about it as percentage or you typically look at it more like 40 to 60 stores? How do you think about the additions on an annual basis?

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Neville Noronha : Like I said, for this year also, we have projected 40 -45 s

tores. I mean, again,

I'm saying that I don't want you to project something very large in the immediate future. But in the longer term, we have to go at a higher run rate.

If you remember, in my last analyst call also I said that we are ready to even open 60 stores. The capability as of last year was we can even open 60 stores per annum. So, you can take a range of 40 to 60 over the next three years.

Vivek Maheshwari: Okay. And a follow up to that, Neville, and pardon me if it's a naive question.

But let's say, in an economy where real estate is doing so well and there is a formalization - what is the bottleneck when you are thinking about adding the stores? I know you buy out the land, and this is substantial investment. But in a cycle where real estate is doing so well, can you just highlight why it is lumpy? Why it is not as predictable? Is it the team issue? Is it the site issue? Can you just elaborate?

Neville Noronha : We decide that we will open these many stores in this much timeline. But in India a lot of things don't happen on time. And some locations also surprise you. They happen ahead of time, but that's more of a rare phenomenon. That's how it is. It is unpredictable. And I have commented on these multiple times over the last three to four years.

Vivek Maheshwari: Sure, sure. I recall that. The other question is on DMart Ready, at a system level, Neville, what would be the average delivery time in case of, let's say, DMart Ready, wherever the customer opts for delivery?

Neville Noronha : On home delivery, we fleshed out some data. We ignore the time between 11:00 p.m. and 06:00 a.m. in the morning. Ignore this time. We don't count that as delivery time. But I think around 40% -45% of our deliveries happen within 12 hours.

Vivek Maheshwari: Within 12 hours. Okay.

Neville Noronha : And about 86% of our deliveries happen within 24 hours, and then balance 14%, why it doesn't happen is because customers plan the date of delivery. It's not that we can't do it, but when we give the m visibility on when do they want their slot, they purposefully pick a date, which is later, because of which the balance 14% is after 24 hours.
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Vivek Maheshwari: Got it. Okay. And on one of the points, again, Neville , you mentioned about there is maybe 1%, 1.5% impact because of QC, etc. But do you find yourself in a bit of - although that's a conscious choice you have made, but in a bit of a disadvantageous position, simply because you don't have customer data. So, let's say, if I'm a shopper at DMart and I move to QC, you will never come to know, given that you don't have the intelligence in terms of how many times I'm coming to your store. Do you think you may need to rethink on the data strategy because the competition is coming from unknown quarters also now? Or you think that you are happy working with the aggregates, as has been your strategy for such a long time?

Neville Noronha : Yeah, it's a good question, Vivek. Internally when these same questions have been asked by my team, I say that, look, the only one single indicator that probably we are blindfolded or refused to accept what is obvious is, if my sales or my profits is telling me something negative. If my sales are great, my customers are talking nice about me, my model is working perfectly fine, my margins are intact, my SSSG growths are intact, then why should I change? Number one.

Number two, specifically, to answer your question on the QC side. QC is convenience . QC is full price. It is completely opposite to what DMart stands for. DMart is value. DMart is, I would say, a little inconvenient It's a bit inconvenient . But it delivers great value. So that's it.

So, we would like to rather play on the positioning of value and then create something in the digital space. And I think when you think like that, DMart a

lways believes in doing something which is very difficult for others to follow. If you build DNA such that everybody can see what you're doing, but they can't do it. I mean, that is our pursuit, the model that we try to build.

Vivek Maheshwari: Got it. And as a follow up to that question, and that would be my last one, Neville . From a top -down, when you look at as the head of the organization or the CEO, there are, let's say, for argument's sake, there are two verticals that you have, right? One which is DMart, and the other is DMart Ready. I Avenue Supermarts Limited
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know there are a few more beyond that. One has a lot of data, right, DMart Ready, whereas the other one is working on aggregates. Do you find that DMart Ready data to be rich? Are you able to do -- do you do a lot of analysis on that? Is that a precursor for you to -- if the data is rich, if you have a lot of insights, is that a precursor to implement that in DMart? So, can you just talk about what is your view on all the data that you collect at DMart Ready level?

Neville Noronha : I think I'll give this opportunity to Vikram, who heads DMart Ready for us , to respond. Vikram, can you take this question?

Vikram Dasu: Yeah. Hi, Vivek. So, the question is around how we are leveraging data, right? Is that right?

Vivek Maheshwari: That is right. And -- so, one part is, how are you -- what all are you doing with that data? Number one. And number two, from DMart Ready, is there a case -- if there is something good that you are doing with that data, is there a case to think about it, in case of DMart -based business itself?

Vikram Dasu: Sure. I'll let Neville address the latter part of that. But on the data part, yeah, you're right, there's a lot of data that we generate on every second basis within the business, and we use a lot of that data to sort of improve our own input metrics . There are tons of things that happen for us to be able to fulfil an order that a customer places. You may also have seen that we're not super

big into aggressive marketing or advertising . All of that data that we are generating , we are using it to improve our internal metrics. There is a lot of data that we generate, not just on customers, but also on how we are operating.

And will that be useful for DMart? By all means. But as Neville mentioned, there are tons of things that we are already doing, right? We are working on making sure that the value proposition is right for the customer. What else do you really work on? As long as we know that the stores are working at the most efficient levels and the input metrics are showing the right directional trajectory, there's not too much else that you can really do with data. And we use that data in a sensible manner. I'm not suggesting that data is useless or

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anything like that. It's just that we are not big into using data to manipulate customers' behaviour in a short-term outlook. Does that make sense?

Vivek Maheshwari: Okay. Sure. I like the word that you've used. And Neville , any thoughts on -- from this perspective to the off-line store?

Neville Noronha : Integrating information of the online space for the off-line store - I'll tell you only one very clear insight, Vivek, which I think I have alluded to, not last year, but I think last to last year. I think the digital space just fascinates you in terms of what all they can do which we cannot. I think there are some very powerful elements of what online space can do which we cannot, which is the cost of experimentation and the long-tail item selling capability. I think that is something that brick-and-mortar, at least, a DMart brick-and-mortar can't do. I think that's where it compliments also - they are the big brother and not us. It's very humbling. Very humbling what digital can

tell you, teach you at very

short notice. And I think from that standpoint, we're leveraging the

information and the learning. That's my point of view on the digital side. The

DMart Ready business.

Vivek Maheshwari: Got it. Got it. Thank you. And wishing you and your team all the very best, Neville .

Neville Noronha : Thanks. Thanks, Vivek.

Moderator: Thank you very much. The next question is from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi: Yeah, thanks for taking my question. Hi, Neville . My first question was to do with your opening remarks, Neville , that since the second half of last year, we are seeing a smart recovery in the GMA portfolio. And you also said that we will maintain the current levels of 23% and not going back to 27%, 28%. Now, how should we understand this from going forward perspective, that where will these improvements get reflected in terms of the Company's P&L going ahead?

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Neville Noronha : Hi, Sheela. I keep saying this. I don't know what is the aspiration level in the analyst community on gross margin, but we've been towering between 14% and 15%, or 14% and 15.5%, and that's where it's going to be. So, whether it's GMA, whatever it is, or whatever it could be, the way we look at it is what is the blended average gross margin going to be?

And in this business. I really cannot predict beyond a point. I mean, there is a range within which we can say, okay, fine, this is where we're going to be . But I can't give you a finite number, and most importantly, business is dynamic, competition should be factored in, multiple other things, right? So ideally, can't give you a straight answer, but I think 14.5%, 15%, 15.5%, those are the kind of ranges we play in from a gross margin standpoint. You have to look at a blended gross margin.

Sheela Rathi: Actually, my question was not to do with the margins actually. My question was, GMA is coming back. The shares are maintained at 23% level. Will it get reflected in the top line growth then? I mean, how should we capture it apart from your commentary that GMA is coming back? Will there be a way to

capture it? Because, like you're saying margins will be maintained. It will get more and more challenging for us to analyze that in terms of share.

Neville Noronha : I can't give you any projections on what our growth rates are going to be, number of stores that we are going to add, what our gross margin is going to be. I can't give you that. It's difficult. I can't tell you that. It's not that I have information I'm not sharing with you, but I can't crystal ball and give you a finite number there. I'll give you colour. I'll give you qualitative understanding of where we are trending.

Sheela Rathi: Fair point. Second point, again, is that, you mentioned for e-commerce that consciously we are making a decision not to grow very fast. But are there any areas in the last few years where we think that we should speed up in terms of growth going ahead? Obviously, store expansion is something you have already called out. But when you think about formats like Minimax, is there an opportunity for us to take that up? We added six stores this year, but how does that fit into our growth strategy?

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Neville Noronha : I think from the e-commerce standpoint, and this is again, a very divergent call I'm making from what I actually thought would be the way e-commerce would be - we are seeing that the home delivery model is a better model. So, it's exactly opposite of what we used to say earlier because the numbers prove it.

Home delivery in large towns is the way to go. We should do whatever it takes to build fulfilment centres in large towns quickly, as quickly as possible so that we are able to deliver in at least 12 hours. I

mean, that's the aspiration. So, primarily growing faster than what we are doing right now in large towns in DMart Ready is the way to go.

Sheela Rathi: And on Minimax?

Neville Noronha : It's still an experimentation. We feel that the market is not yet ready for that model.

Sheela Rathi: And in the past, you have mentioned the share of home delivery used to be 50%. How has that number trended now?

Neville Noronha : Had I said 50%?

Sheela Rathi: More or less similar, that is what you had mentioned in the past, a couple of years ago.

Neville Noronha : So now it's better. Whatever in the past is getting better and better. What is happening is that there is a sharper segmentation in the consumer's mind.

The consumer says, look, if you want me to take all the effort and come to a store, then I want great value. And that's what DMart stands for. And there's another customer who says, great, DMart is giving great value, but it's also charging me for home delivery.

So, if you're giving me convenience, I might as well take that convenience wholeheartedly and get the product delivered at home. So, there's a clear, clear segmentation happening in the consumer's mind and the pickup point is sitting somewhere in between. It's a bit fuddy-duddy, right? It's neither

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here, nor there, and hence, the gravitational force is tilting either to the store or to home delivery.

Sheela Rathi: So, we will have to relook at our DMart Ready stores. Is that what you are coming to really?

Neville Noronha : If you've seen the data, we have recalibrated, consolidated, right? We've shut a lot of pickup points. It's primarily to kind of rework on the whole operating model on the DMart Ready side.

Sheela Rathi: Just one final question. We saw some advertising on first three orders free on DMart Ready. Was there a tactical call in terms of getting more customers?

And what was the kind of success we saw around it?

Neville Noronha : I'll ask Vikram to respond to that.

Vikram Dasu: We are seeing some good kind of traction there on that promotion. The idea

here is to let customers sample our service. And our data has suggested that people who use our service for two or three times tend to stick with us because they really grokked the value that we are providing. And so, that's something that we've started doing a few months before. And it's starting to show some really good results.

Sheela Rath: Thank you.

Moderator: Thank you very much. The next question is from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Hi. Good afternoon. Sir, two questions. One, I mean, just mathematically, as your cash from operations increases, and especially as you're opening more stores in smaller towns, would the number of stores just mathematically go up because we have more cash available to open stores, given that utility would match store adds, capex and cash from operations?

Neville Noronha : Opportunity to open more will increase, definitely.

Aditya Soman: Great. And the other thing is, I mean, just to add to this , right, the area of the cluster also keeps widening, right? So, when you open within the cluster, even Avenue Supermarts Limited

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that cluster itself is widening. So, in theory, I mean, there is no reason why --

I mean, I know you've said 40 to 60 stores over two to three years, but in theory, that number should keep going up as your -- one, as your revenues and cash flows improve, and second, as your cluster size increases, right?

Neville Noronha : Absolutely, Aditya. So, I was just reflecting back on all my comments over the last seven, eight years, just reading through all of them. If you remember post - IPO, I used to talk about 10 to 15 stores. We moved from there to 40 to 60 stores. So, obviously, it goes up, right? It will. It has to.

Our entire effort is in that direction.

Aditya Soman: Very clear. And secondly, I mean, just on private brands, right? I mean, I just want to break this question up a little bit. So, one, you have these DMart Premia products, which I can sort of get this from sales of Align Retail, which will be somewhere between 5% to 6% of sales. And then you have all these branded products that you are now launching. At last count, I had found about 130 of them but maybe there's more. And then there is general merchandise which you pack. So, can you give us a rough sense of what the contribution of each of these would be overall?

Neville Noronha : We don't disclose it. We don't disclose those numbers.

Aditya Soman: The DMart Premia stuff, that would be fair, right? That the Align Retail numbers would be a good way to deduce that?

Neville Noronha : Yes. Partly yes.

Aditya Soman: Okay. And the other part of the business, would it be at least similar size, larger size, any sense on that?

Neville Noronha : No, I'll prefer not to comment on that.

Aditya Soman: Okay. Then maybe just, I mean, even if not numerically, right, I mean, I see that the number of products has been increasing and maybe accelerating in the last year or so. Would that be a fair assumption?

Neville Noronha : I'll give you a direction about how to look at this. You will get a sense of how well we are doing in private labels, simply basis the PKD. That's it. That's the Avenue Supermarts Limited

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way to look at it. If the product is lying on shelf for too long, that means the category is not doing well. It's as simple as that. So , make a call basis that.

Aditya Soman: That's very cool. Thank you.

Neville Noronha : Yeah.

Moderator: Thank you. The next question is from the line of Garima Mishra from Kotak. Please go ahead.

Garima Mishra: Yeah. Thank you so much for the opportunity. Neville , first question, in the previous call, you had mentioned that the proportion of overall store count located in cities with population of more than 1 million had declined to 60% in FY '23 from a larger number earlier. So, was this a trend you witnessed in

FY '24 as well and maybe this is a trend to be witnessed in the future also?

Neville Noronha : So, I remember during the last year's analyst call, I kind of jumbled up a lot of numbers. We have ensured the homework was better this time. We've got 1% better in less than 5 lakh town population, we were at 28% of the store cohorts in FY '23, it's become 29%. So, we have 29% of our store cohorts in less than 5 lakh population towns. In financial year 2020, that number was 21%. So, in five years, we've got an 8% increase in store count in this population strata. I hope you're getting it, Garima. So, from 21% of the store cohort in financial year 2020, we were at 28% last year. This year, we are at 29%. So, 29% of our stores are in lower population strata towns.

Garima Mishra: Understood. That is clear. Second, if you just look at that slide on store addition, and while, of course, a lot of stores do go back into clusters where you're already present, you do keep adding stores in newer areas as well, let's say, Rajasthan, NCR, etc. So, for specifically some of these stores, are these stores tracking metrics that are similar to those in your core geographies, let's say, of Maharashtra, Gujarat, etc.?

Neville Noronha : Broadly, everything is in line. There is no major divergence. So younger the vintage, the financial metrics will be relatively lesser than the balance cohort. But the newer store cohort trend line has been the same for the last 10 to 15 years. So, everything under control.

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Garima Mishra: Okay. Okay. Understood.

Neville Noronha : And irrespective of regions. That's the beauty about our model. The beautiful thing about our model is whether

it's North India, South India, West India –

East, we're still not there but from a financial standpoint, we are doing fine. And that's why the model cuts across all SEC, ethnicity, culture, everything, and that's the beauty.

Garima Mishra: Understood. That's good to know. One question, Neville, in the 1Q FY '25 results release, you did mention that some of your opex had gone up due to efforts on improving service levels and building capabilities for the future. So, could you explain what exactly, which line items are you referring to here?

Neville Noronha : Broadly, two things are happening. I think we've been all talking about product inflation, but I think at a lower level, wage inflation is also going up rapidly. Okay. That's one thing which is very, very clearly being observed. The second thing is, we are also working on building our capabilities, talent, all of that from a perspective of a little bit more longer thinking in terms of, like I just answered in the previous question, that what will this Company be 10 years from now?

Or what should it be like? And hence, what is the kind of talent ecosystem we need to build and start thinking about from today? And I think this thought had emerged a year and a half, two years back, and we were in the journey of building those capabilities over the last one year. It's a combination of both of these.

Garima Mishra: Got it. So, if I hear you right, this essentially refers mostly to people and talent within the organization.

Neville Noronha : Absolutely.

Garima Mishra: Got it. Last question from me. This is on DMart Ready. So, Mumbai is, I think, your oldest city in terms of numbers of years present. So, do you think at least in Mumbai, or let's say, MMR, to be specific, you're present in pretty much all pin codes that you would want to be present in?

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Vikram Dasu: This is Vikram, we are present in all but a couple of pin codes, which are actually not very serviceable. But, yeah, MMR, Mumbai Metropolitan Region, we are fully covered.

Garima Mishra: Got it. Thanks, Neville. Thanks, Vikram, for answering my questions.

Vikram Dasu: You're welcome.

Neville Noronha : Thank you. Welcome.

Moderator: Thank you. The next question is from the line of Amit Sachdeva from HSBC. Please go ahead.

Amit Sachdeva: Hi. Thank you so much for taking my question. Hi, Neville . I have two questions, one on DMart Ready. It's a very basic question. Is DMart Ready consumer seeking convenience at the margin or more value? Basically, where I'm getting at is because there is a clear -- you also mentioned that the convenience pie, which is -- consumer is trying to sort of get a service, is willing to pay for it.

But my question is, in the last four or five years, you've built DMart Ready, which is clearly showing that EBITDA margin is still minus 2% to minus 3%. So operating model, even if some scale up has happened, profitability is still elusive. Is there an opportunity for price discrimination here between physical store to online? And if it is profitable and stands on its own feet, then your ambition to grow faster may change as well.

I mean, what I'm trying to ask is that, is it the limitation because you want to give value, but convenience is a conflict? How do we think about this? Why not pursue that as a convenience opportunity which can price discriminate and get more profits out of it and hence, can grow faster and can service more customers who want that convenience? I just want to get a thought on that? Neville Noronha : The thought is very clear, Amit, just because it's digital, we are not saying it will be convenience. Our positioning will be on value.

Amit Sachdeva: Sure.
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Neville Noronha : We are very clear because in the consumer's mind, DMart stands for value

.
We want to maintain that. We don't want to create dissonance in the customer's mind. It's not good. DMart stands for value. The idea is, how do we build an operating model that in spite of delivering at home, can you bring that value proposition saliency in the consumer's mind? That's the whole idea. So, whatever it takes to do that, I think that's what we'll focus on.
Amit Sachdeva: So, what we could change that this EBITDA margin starts to move in a positive direction?

Neville Noronha : I don't have a point of view . We simply feel very delighted and excited that we've reached here in such a short period of time. And with the kind of EBITDA losses that you just mentioned. I think it's promising. And you have to give these things time. The best part is, you have a brick-and-mortar business delivering great profits and is able to fund. And with such low losses, I think the larger business can afford to give it more time to make it profitable and to stand on its own feet over a period of time.

Amit Sachdeva: Got it. No. Fair enough. Thanks so much. Just a last bit on this is, on DMart Ready. What's the ticket size of DMart Ready order, if I may ask?

Neville Noronha : We don't disclose those numbers.

Amit Sachdeva: Okay. No worries. On DMart Ready , I completely understand. My second question is on the general merchandise. I don't know whether this estimate is correct, but correct me if I'm wrong. I think for the full year, the revenue mix was 22.37%, and in the first half of FY '24, this mix was 23.21%, which would imply that this mix actually deteriorated to 21.6% in the second half of general merchandise, which seems like a bit of a deterioration rather than an improvement. And while you say Q1 has become better, how do we reconcile that? Are the numbers in Q1 substantially better than 21.6%, which was in the second half? Or is this assessment wrong? Correct me if I'm reading this incorrectly?

Neville Noronha : How are you comparing it? How are you comparing Q1?

Amit Sachdeva: No, I'm just saying that for the full year, that number was 22.37%.
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Neville Noronha : Okay.

Amit Sachdeva: So, if I take that number, 22.37%, you get a certain number in the revenue mix, taking the four quarters. Right? And when you take first half, first half

was 23.21%.

Neville Noronha : Where did you get first quarter -- okay, okay. Sorry. Yeah. Okay.

Amit Sachdeva: So, implicitly, the second half becomes 21.6%.

Neville Noronha : Correct.

Amit Sachdeva: So, which seems like a marked deterioration rather than an improvement.

While you say the second half was quite good and Q1 seems quite better as well. It seems to me that there was still deterioration happening in the second half of the revenue mix.

Neville Noronha : Okay. I've not done the numbers the way you've done, but I've got the sense of what you're trying to say. My response to that is that, first quarter is actually from a revenue mix standpoint, the best.

Amit Sachdeva: Okay.

Neville Noronha : And then is the Diwali quarter. Okay? Then is Q2. Okay? And the worst is Q4, March quarter.

Amit Sachdeva: Sure.

Neville Noronha : With a reasonable confidence, I can say that, this financial year will be equal to or better than FY '24 GMA contribution.

Amit Sachdeva: Got it. Got it. And it is because the apparel is sort of bottomed out and looking like a little bit better. Is it an opportunity to shape the general merchandise mix, non-apparel, as well? Or are you still stable and nothing really much can change here?

Neville Noronha : The way to look at it, Amit, is apparel we believe we can go back to the older days of contribution, which was maybe pre-COVID. That's one part.

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The other part is, we see an opportunity in GM, general merchandise to be a

larger opportunity in the long term. So, for us, the general merchandise opportunity is a larger opportunity and apparel is more defensive. We can get back to where we should be. But are we very optimistic about apparel as much as we are about GM? No. GM salience to our model is better than apparel salience is to our model.

Amit Sachdeva: Got it. Without seeking any guidance because I think one of the things that was earlier asked as well, that if the GMA, general merchandise starts to do at least better, one would expect that revenue growth should accelerate in the remaining of the year. I mean, without seeking guidance. But do you feel little confident that we are on that trajectory that revenue growth should accelerate as well over FY '24, given the network rollout and given the other problems are getting fixed? Because we saw something like 18 -odd kind of percent of numbers in the first four quarters on an average. But do you see that number should be better as well in FY '25, the growth trajectory? Without seeking any guidance, but the way things are moving, what's your sense?

Neville Noronha : I would say the other way around. I would be a little conservative on the guidance from that standpoint, rather than being optimistic, I would say that it is getting more and more challenging to maintain a 15% to 20% CAGR growth rate if I continue to grow at only 40 stores per annum. The real driver of CAGR growth rate is accelerated store additions.

Amit Sachdeva: Sure.

Neville Noronha : Yeah. So that's the way to look at it. And we don't look at, oh, because my GMA contribution went up and that should be the driver of revenue growth.

Absolutely not. The driver of revenue will be the store additions.

Amit Sachdeva: Understood. That's very clear, Neville. And on the store addition, since we are at it, like the last two quarters, the average area that we roughly calculate is still around 40,000 now, which was way high in '22 or something like that. So, is it now the right template of 40,000 kind of store, is that a reasonable way to sort of see the store sizes or is it quite variable still?

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Neville Noronha : Very variable, Amit. We don't look at it like that. I've repeatedly said that. When you're in the model that we have, I mean, whatever land is available,

what sizing, the construct, all of that. Right? It is a broad range we play in. Like we said, historically we were at 30,000 -35,000 square feet . Obviously, we see opportunity in the store size being larger for sure, but forget the range, don't go by the 5%-10% vagaries of average store size every year.

Amit Sachdeva: Got it, got it, got it. Fair enough. Thank you so much, Neville . And thank you so much for answering my question.

Moderator: Thank you very much. The next question is from the line of Harish Bihani from Kotak Mutual Funds. Please go ahead.

Harish Bihani: Good afternoon, Neville and team. Hello?

Neville Noronha : Hi, Harish. Go ahead.

Harish Bihani: Hi. So again, my question is on the store addition. If I look at your last few years conversation , even in the last conference call, you clearly mentioned that you test your team, yourself on a 15% number. But when we look at this number for last few years, it's trending below the 15% number. Now, we were presuming that this 15% number should at least start coming through from fiscal '25, given that there would be backlog of some delays, etc etera in fiscal '24, that should come through.

But basis the initial conversation that we had so far, it seems like, we'll be again closer to 40, 45. So this is a little perplexing to me. And you mentioned that there will be delays, India factor, delays happen, but at least there should be a point of breakout. It's not happening, Neville , for last few years, especially, last year was okay. There were issues last year. At least

this year,

we should have seen some signs of things improving on that store count number. And we should be doing, say, a 55 this year, 65 next year and 75 next year ballpark to be able to do a 15% CAGR number that you're talking about.

Neville Noronha : I take that feedback, Harish. And the only thing I'll tell you is we're trying our best. I completely feel and sense the point you're trying to make, but we'll try our best to do what's needed for the health of the business and the growth

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of the business. But point taken. I have no defence on that standpoint that you have. That is also our aspiration. So yeah, but we'll try to do our best on that front.

Harish Bihani: Sure. And like in the apparel business where you clearly mentioned that there were internal issues and we are working on that and things should improve, in this case, how much of this is internal and how much of this is external?

Neville Noronha : I have answered. I have answered repeatedly on this question. I understand the mood that your community has on inorganic growth, revenue growth and the drivers of it, primary being store opening. But the story is the same. It's both internal, external, everything. But...

Harish Bihani: No, I meant the store opening. Is it that there are internal bottlenecks which again we presume that you would have made the changes in the last few years and you'd have seen a ramp -up over there. At least to do 200 stores in the next three years, you need to have visibility today to do 200 stores, right?

Neville Noronha : You're absolutely right. I think I spoke a lot about it in the last analyst meet . Maybe not this year, but the year after that, I hope that we will have a better rate of store openings, additions.

Harish Bihani: This is an internal bottleneck, Neville , or there are some external challenges and prices have shot up , you're not getting the right store location because you're still buying 90% of stores that you need to build up?

Neville Noronha : It is multiple things, internal, external, everything. But we're working on it.

But external is also a factor. Let me put it this way. Who else does what we do in the country, a country of 140 crore people , in a business such as retail , at this scale, who else does what we do? Nobody or some people do in parts. It's tough. It's extremely, extremely tough. I've been saying this, but not as an excuse, just to give a colour to what this model is. And we like to do things which are difficult, right? Especially when it's difficult for others to do. But we're okay. Even if I'm adding 40 or 50 stores per year, it's great. It's good. Can it be better? Of course, it can be better. Is it testing our capability? Of course not. We can do significantly better than this.

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But we'll see, I keep saying this, judge us based on the past. You have data for the last seven years, probably even three to four years prior to IPO. You see the trajectory of store additions and then you judge us. But I will not give you a very precise number and what it will be in the future. But point taken. We are all working hard on that.

Harish Bihani: Sure, sure. Thanks so much. Take care.

Neville Noronha: Thanks.

Moderator: Thank you. The next question is from the line of Akshen from Fidelity. Please go ahead.

Akshen: Hi, sir. Two questions from my side. One was just around the business model.

When we see value retailing landscape globally, we've seen global peers try different experiments. I don't know if you have thoughts on whether something like Costco can be done in India by somebody like you? That's one. Second is, as you alluded that in smaller towns and cities, DMart is still a destination, people go and shop, you get a lot of footfall and you own the land around it. I don't know

if there is thought to monetize that footfall through different means. At the top of my head, good food or some entertainment, something to that effect can be done? Or you see yourself largely sticking to value retailing? That's the first question. I'll let you answer and then ask the second one.

Neville Noronha: It's two questions in one. One is, you said Costco, and can we do something like Costco in India? I have replied to this in multiple forums, that retail is very intrinsic to the culture, history, many other soft aspects of a particular country. And you cannot usually parachute a model that has worked somewhere else in another country very easily, specifically when it comes to value retail or grocery, I have no comment on the other types of retail. I mean, like for example, let's look at luxury retail, right? The playbook is exactly the same, format, assortment, all of that. I'm not commenting on that kind of formats. But when I talk about food, basic items, all of that, a lot of other nuances that matter, and hence local retailers automatically get an Avenue Supermarts Limited
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advantage over an MNC kind of a retailer. So that's one thing I'd like to respond to about the relevance of a Costco model in India. So that's the way we think about it.

Second thing is you said about monetizing other aspects because of the trend of footfalls. Our very clear view on that and in fact, it's also very clearly my personal view that the moment you start diverting the focus from your core business, it's not a good sign. I think the DMart model has got such a humongous multi-decadal opportunity just by doing this. And you succeed in this only when you have that razor-sharp focus, because it's a low margin, high efficiency, high employee connects kind of a business. If you try to distract yourself from focusing on these aspects and focus into other things, it will diminish value for the entire business, especially when the opportunity is so large. I think focusing just on doing DMart is the way to go.

Akshen: Secondly, you made your view very clear on private label and you feel that existing brands do a better job at it. Until and unless you don't -- you can't do it at the right price, there's no point doing it. Just as an extension to that question, when we go visit the stores now, we see a lot of new brands, D2C brands, on the shelf. Just wanted to get your philosophy that is this something that you experiment or is this trying to maximize your gross margin or is this something that you typically pull for and hence that finds itself on the shelf of DMart?

Neville Noronha: It's only pull, pull, pull. It's just customer preference. We only focus on that as a number one priority. So D2C brands who become reasonably large and now want to have the next level of growth, they come to us and that's the right approach. People should come to DMart only when an INR10 crores company wants to become an INR100 crores company. A company who has zero or INR1 crores, if it comes to DMart, the chances of success are going to be very,

very limited.

Akshen: Okay, thank you so much.

Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL.

Please go ahead.

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Percy Panthaki: Hi, sir. Firstly, couple of questions from the annual report. So, I see that capital commitments have gone up to about INR3,600 crores versus INR2,100 crores earlier. So that's a very large increase. Does this have any bearing on the number of stores that will come up in the next few quarters? And if not, then what does this number really signify? That's one part of the question.

The other part is, if I look at your annual report and look at the amount you paid for the land per square feet of stores added in this year, that is about INR7,300 per square feet of la

nd cost for the 40 stores added this year versus INR4,600 per square feet for the 40 stores added last year. So, there's a significant inflation in land cost. So, is this on account of a change in the city mix where you have opened up more in metros or something like that? Or this is just a pure inflation in the land? So, these are the two relating to the annual report and then I'll probably have one on something else. Yeah. Thank you.

Neville Noronha: Percy, that's not the way to look at it. I'm not a finance guy, but the limited understanding I have and Niladri is also with me, he'll add on to any points I have missed. The way I understand the balance sheet is that whenever you buy land, even though it's not operational for the store, it goes into your fixed assets, it doesn't go into CWIP. So, the entire land aggregation and addition that happens year-on-year could be for stores which are not only opening in that year, but also in the next few years.

Percy Panthaki: Got it. Got it.

Neville Noronha: So, it's the wrong way to look at it. But that's only one part of the answer. The second part of the answer is, if I take a three-year, five-year period, then land prices have definitely gone up. So, whatever we've paid for land, say, in Mumbai or Bangalore – Mumbai is an exception, I'll come to Mumbai separately. But if I take Bangalore or Hyderabad or many of the small towns also, the price at which we used to buy land maybe five, seven years back vis-a-vis to what I buy today or the price that we bought 10 years back to what I'm buying today, of course, there is a huge level of inflation in land.

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So, you have to look at it from that standpoint. Maybe if I have a 10-year balance sheet data and I lump three years together and then compare it with number of stores opened in three years and then derive some mathematical excel working, that will be more accurate than doing an annual number. Some blending will happen there.

Percy Panthaki: Understood. Understood. And the capital commitment?

Neville Noronha: Sorry?

Percy Panthaki: Capital commitments, INR2,100 crores versus INR3,600 crores Y-o-Y?

Niladri Deb: So capital commitment, Percy, is an outcome of open purchase orders at the end of the year. It depends on how many purchase orders are in various stages of progress. So, there could be a building we just started constructing in the month of, say, March. Right? So, the entire cost of the purchase order open is backloaded and hence you will see it as a balance sheet figure. It's a position at the end, at a point in time, not representative of the actual number. So, it depends on when you take the slice. If I have a store which is large and there's a capital commitment of, say, INR20 crores in that store, so that will inflate the number. But it's a fair indication of the likely construction cost that we are budgeting to incur over the next two, three years.

Percy Panthaki: Okay. So, does this in any way sort of -- I mean, the fact that it is inflated so much on a Y-o-Y basis, is it a right conclusion to say that the number of store openings will also sort of inflate accordingly over the next one, one and a half

years or no?

Niladri Deb: It's a mix, I would say yes and a no. It's a question of the cost of construction in a particular city, the size of the store we are planning to open, the number of lifts we have in a particular store, and stuff like that.

Percy Panthaki: Understood.

Niladri Deb: Not very linear.

Percy Panthaki: Understood. Understood. My next question is on your e-commerce venture.

So just first of all, as a hygiene, sort of, just wanted to see if you could share

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a couple of numbers, that is the number of DMart stores end of FY '23 as well as end of FY '24. Is it possible to share

that?

Neville Noronha: For DMart Ready or DMart?

Percy Panthaki: Yeah, DMart Ready, sorry, not DMart. DMart Ready is what I'm talking about.

Neville Noronha: So, you're talking about the pickup points, is it?

Percy Panthaki: Yeah. Then the number of stores. Yeah, that is the smaller sort of stores that you have of DMart Ready, which we see in the road sometimes, that would be the pickup as well as the delivery points. Right?

Neville Noronha: So approximately, we've shut down around 200 locations. Percy, we had 573 last year. There are 341 this year, we shut down 232.

Percy Panthaki: So, has the area of operations that you can service also come down accordingly?

Neville Noronha: No. So, this was to improve operating leverage. So earlier, suppose if there were pick-up-points in say maybe a 1-1.5-kilometre radius kind of thing, probably it has reduced. So maybe we reduced it to increase the range.

Maybe now you'll find one pickup point every 3 kilometres kind of a range or 4 kilometres range, to kick off or improve the operating leverage of the pickup point.

Percy Panthaki: Understood. Understood. And lastly, on your brick and mortar business, I got it in the previous discussions that basically you want to maintain a particular margin and any kind of efficiencies you have, you will pass it on to the consumer to become more competitive. So, I just wanted to understand if you have any more drivers lined up which can increase your discount versus MRP versus what it stands today. So, I think one or two years ago, you had done this direct delivery and stuff like that, which had given you 100 basis points. Are there any other drivers you see which can increase your discount to MRP versus what it stands today?

Neville Noronha: Yeah, it is the same playbook. It is about private labels, it is about GMA contribution, things like that. It's about your overall top line growth rate and

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hence how important you become for your suppliers in the branded space, so it's all three.

Percy Panthaki: So, any kind of rough guesstimate you can give that over the next two to three years, how much more you can sort of increase the discount versus what it is today, 200 basis points, 100 basis points? Any rough guesstimate on this?

Neville Noronha: Cannot. Cannot.

Percy Panthaki: Okay. Okay, sir, that's all from me. Thanks, and all the best.

Neville Noronha: Thanks, Percy.

Moderator: Thank you. The next question is from the line of Amnish Aggarwal from Prabhudas Lilladher Private Limited. Please go ahead.

Amnish Aggarwal: Yeah. So, hi, Neville. So, my questions are essentially on DMart Ready. You see, now, as you said, we have shut the number of pickup points. So first of all, what is now the ratio of your home delivery versus pickup? And if I look at, say, in the slightly longer term, as you also said, that there are consumers who want convenience and there are consumers who want, you can say, your pricing. Now, if I look at, say, the quick commerce players, as they gain scale and they grow in size, maybe their terms of trade also improve over a period of time. So, on this count, where does DMart Ready stand with the other

players involved ?

Neville Noronha: So, it's a good question. Obviously, when any suppliers' contributions increase or sales increase, their bargaining power will also increase. We are cognizant of that but at the same time, what we believe in a business such as retail, which is very process-oriented, you don't have any IP, it's all about who does it better.

When we crunch our numbers at an operating principle level, from a cost level, I think we have a huge, huge advantage compared to quick commerce from a cost of operation standpoint. But I think where they have an edge over us is the gross margin. Their ability to earn gross margin is significantly better

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than us because they operate on the principle of convenience. So that's the way to look at it.

To that point, I think eventually, who's going to win in the market is the question to ask. Our view is both will coexist. There is a set of customers who want delivery in 15 minutes, 20 minutes. They don't mind paying the premium. And it's a lovely model from that standpoint and very relevant for a country like India, especially large towns, where infra is a bit creaky. For people to reach from Point A to Point B is a bit challenging. So, from that standpoint, people who value time and convenience and comfort, this quick commerce business is fantastic. It will do well.

At the same time, there is a set of customers who deeply appreciate value. So, for example, if they have an INR10,000 or INR15,000 budget on grocery, if there's an opportunity to say, hey, you know what, 50% or 60% of items, I don't need to have them quickly, but saving INR1,000 on that makes a lot of sense to me. And we believe that she will come to us for that. Now, what we also believe is, considering all things equal, if competition also tries to play the value game, I think in the long run, we will do better at that job. So that's the whole thinking.

And we'll also try to take a decent share of that, even that discerning customers' wallet share. That's the way to look at it. So, for example, you'll have different customers and different SEC classes. The very premium SEC class will I probably buy less from DMart. People will buy through multiple formats and DMart will try to be one of those for every customer of a city. That's the whole idea. And the digital strategy is also that, that we decide to get into this to play in that wallet share and not say that I will only do this, I will only address this customer segment. The idea is that, is there an opportunity to service within the discerning customer and take a part of that wallet share from the customer? And over time, we believe that customers will gravitate towards DMart also. That's the thought.

Amnish Aggarwal: Okay, that's very helpful. And Neville now with 341 of our pickup points, and I believe each one of them would be say, maybe 200 or 300 odd square feet,
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so have you ever thought of that, can you convert those pickup points into something like a dark store or new dark store and also try to participate in the e-commerce market?

Neville Noronha: No, 200 square feet is not good enough to run a dark store. A dark store I think needs at least 5,000 to 7,000 square feet to even do decent justice to the customer basket. So, it can't work, 200 square feet can't work.

Amnish Aggarwal: Okay, understood. And like last year, we just added one more city in DMart Ready? So, are we done with the near term or we would see again this expansion in a number of cities?

Neville Noronha: I want to comment on that because the next we are going to meet is one year later and 12 months is a long time in digital commerce. So, we will play by the ear. We will see how things go over the next 12 months and then decide what we need to do.

Amnish Aggarwal: Okay, thanks a lot.

Moderator: Thank you. The next question is from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Hi, Neville, thank you for taking my question. Firstly, on the bill cuts, they have been going up. Just wanted to check on the trend of the shopping basket size. Do you see it reducing and what is the impact of this on you? Does it increase your SKU mix? So that's one. So, part two of it is do you see consumers experimenting more with brands and does that also require you to increase your SKUs and variety more?

Neville Noronha: I think basket value has gone a little up in the last year. So, one thing, what we saw dur

ing COVID was that significant shopping habits changed, suddenly basket values went up during COVID which basically meant that the trips to the store reduced. And I think that really helps us from all aspects of the business. And that has maintained. So, basket values have been maintained.

And so, on your other parts of the question, I think it's a continuous work in progress. See, the whole pursuit of the buying team is to catch the trend.

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Right? Catch what people are buying, what are the new things that are happening in the market and continue to be relevant to the shopper. That's part of the job on a going concern basis. That's the way we think about it.

Mihir Shah: Understood. Okay. Secondly, Neville, on revenue per square feet, it has come back to FY '20 levels. Can you throw some light on the average revenue per store in metros versus Tier 2, 3? And assuming you're driving more traffic because of the bill cuts being higher, what else is driving the revenue per square feet higher?

Neville Noronha: It's multiple things. It's not like it's going leaps and bounds. This is a blended average of multiple things. We look at SSSGs at a store by store level basis age vintage. That's the way we look at it. Footfall is going up, sales are going up for each of these stores. The mindset is store by store. Everything is reviewed store by store. We don't really believe in blended averages, per se. So, I don't know how to answer your question, but if revenue per square feet is going up by INR1,000 or thereabout, INR1,000 or INR2,000, there are multiple levers because of which it's happening that way.

But broadly, what we are seeing is that younger the store, higher the growth rate. That is one trend. At a company level, we are at INR 32,941 per square feet. But each cohort of stores are in very, very different ranges. The range is very, very wide. Like our very old stores are at a multiplier of this. It's not like 20% - like the top end store is not 50% higher revenue per square feet. It's a multiple of INR32,000. Challenges on growth come when they peak out. So, if the top 10 stores having the highest multiple of INR32,000, they sometimes don't even grow at inflation rate. And it's not because there is anything wrong with that business. That store has peaked out.

So, then the smartest thing to do is to open another store close by and distribute the revenue. So, the net gain, that is one store versus the old store plus new store open combined is value accretive. That's the way to look at it. But turnover per square feet has collapsed. So, it's not the right metric to look at.

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Mihir Shah: I see. I was basically trying to understand if the newer stores will have essentially significantly lower revenue per square feet and the blend idly. But I hear you, I mean, on what you are indicating.

Neville Noronha: Yeah.

Mihir Shah: Lastly, on DMart Ready, see, usually, Neville, FMCG brands, they indicate that any of the products that sell online have a higher gross margin profile sheerly because of the kind of products that the consumer buys are of better value.

When we look at DMart Ready gross margins, what levers do you see to improve the gross margin profile for DMart Ready and will that be one of the key drivers for you to become profitable in a shorter period of time?

Neville Noronha: Yeah, I think assortment is the key. You have to have a reasonable divergence, reasonable, not very large, reasonable divergence on the brick and mortar assortment to improve the margin profile of DMart Ready.

Mihir Shah: Okay, so you are indicating that, that is one key area of work that -- versus DMart brick and mortar, which has that higher gross margin profile, DMart Ready can get better than that?

Neville Noronha: Yeah, so like

I said, right, all the hard work that is done is done on the opex side. I think from an opex side, we are doing pretty well. I think now to make DMart Ready profitable is more of a margin challenge. I'm not saying there is no other operating leverage on the cost side; there is, but that will kick-in. We are pretty confident it will further kick in over time. But to make money in this business, it's a game of improving the margin profile.

Mihir Shah: Got it. And can you share, out of the 22, 23 cities that you are in now, how many of them would be breakeven at EBITDA level? I mean, I recollect you indicated metros had kind of maybe broken even earlier or something.

Neville Noronha: No, no. I have not indicated that. I have said that Mumbai is better. I had commented that Mumbai is better. And I maintain that stand even this year.

If from 8.3 % or something negative, we are at 6 -point -something negative, so at 6.3 % of negative, Mumbai is better than that. I can definitely confirm, but too early to comment on all this right now. Mihir, it's too early to comment

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on all these numbers right now. I think even getting these numbers in place is pretty good. And I think the trajectory line on cost optimization is in place.

We need to see a further opportunity to improve cost. Like I said, this business is all about how we manage the gross margin profile.

Mihir Shah: Got it. Thank you very much, Neville. And wishing you all the very best.

Neville Noronha: Thank you. Thank you so much, Mihir.

Moderator: Thank you. The next question is from the line of Varun Pratap Singh from ICICI Securities. Please go ahead.

Varun Pratap Singh: Yeah, thanks for the opportunity. Sir, my first question is on the pharmacy category that we're trying to build. What is the update over there, sir?

Neville Noronha: The update is it's still work in progress. We're quite happy with the outcome, but it will take us a reasonable amount of time to scale this up and have them in as many stores as possible. But like I said last year also, when we just about started, that we were pretty confident about this business, we have done this business before.

We understand this business, and I have nothing new to say this year, it has played out the way we had imagined it will play out. And the challenges there is all about the team buildout, the structure, people, getting the infra in place, the stock, the technology, the usual stuff, and it's on track. It's a great complement to the customer. So, customers are also enjoying this fact that, oh, I can now even buy my regular medicines at great value. So, it's a great complement to the main DMart business.

Varun Pratap Singh: Okay, so currently, in how many stores we would be having this category available?

Neville Noronha: Seven stores.

Varun Pratap Singh: Seven stores. Okay. Right. And sir, my second question is on the apparel segment. So, I picked up your thought in the FMCG that private label has a very long runway, given where India stands in terms of per capita and our ability in terms of how much value or quality we are able to add. But in the

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apparel segment, private label is becoming a sunrise sector. So how are you thinking about private label solution in this category divergent to our -- I mean, to your line of thinking in the FMCG business?

Neville Noronha: With the new team, new thoughts, new thinking, we're sharpening that. And you will see a lot of consistency on branding, on colour themes, a lot of that on the apparel side in DMart. I think there is merit in bringing some discipline,

- if I may say, in terms of basic colour coordination, branding, all of that. So, it is work in progress.

Varun Pratap Singh: Okay, right. And currently, sir, how much -- I mean, if you want to call out

how

much would be private label contribution in the apparel segment itself?

Neville Noronha: We don't disclose and it doesn't matter. You don't have to look at it like that.

See, from our business standpoint, the way we operate the business, and I've commented about this earlier also, almost entire thing, 90 %-95% of it is private label. See, the brand, when do you call it a brand? When you're charging a premium for the brand name, right? There's no such premium. You negotiate the cost of the product at fundamental factory cost operating level, with a small margin for that supplier who's making that garment and he supplies to us. And then we put in a mark -up and we sell it. So, it's not a brand.

Varun Pratap Singh: Okay, got it. And sir, in DMart Ready, you called out that our rate of expansion may not be high, it will be moderate. But still, like, how are you thinking about -- I mean, what is your definition of the growth rate in this business, which appears to be -- I mean, as you rightly pointed out, big data and our ability to do long tail selling of SKUs, so, I mean, how would you define the right kind of growth rate from a three to five -year time horizon and any comment if you wish to offer?

Neville Noronha: See, we don't have a very clear number to give to the e-commerce team. Let me put it this way. The e-commerce team in the last two years, have been told very clearly, grow as much as you can, okay? Because we know what the operating model is. It's up to them and their ability about how fast they can grow. It is no more a point of view of saying, oh, we cannot lose so much money.

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That conversation is over since the last two, two and a half years, okay?

Because we know how much this business will lose now. So, there is no restriction from that standpoint. The larger point is how quickly can you grow? How many additional fulfilment centres can you add in a city like Mumbai, in a city like Bangalore, in a city like Hyderabad, in a city like Gurugram or NCR. Those are the conversations we are having, if you want to get a colour of how we are thinking about the e-commerce business.

Varun Pratap Singh: So, having done all the hard work on the opex side of controlling the cost, sir, what is the hard work that we are doing to drive the revenue growth with regards to customer awareness, etc.? Anything on that side, if you want to highlight?

Neville Noronha: I have spoken about this in last year's meeting also and probably the year before that. The e-commerce business is nothing to do with making people aware. What's the point in making people aware if I don't have capacity? I have to first build capacity. So, one of the key reasons why we are not making customers too aware is because we don't have capacity. And yet we are working hard on building capacity.

At the same time, like some of you commented, we had all these bus hoardings where we plastered a few buses with DMart Ready ads in Mumbai because we built capacity. We created capacity in Mumbai. And then we went around talking to town saying, hey, you know what, why don't you try DMart Ready? So, first is building capacity, then spending money on telling people to come and shop is very easy. You just need a lot of money to throw. That's the easy part. The difficult part is building capacity.

Varun Pratap Singh: Understood, sir. And sir, just one last question that any new -- are there new categories similar to pharmacy that we would have entered in FY '24?

Neville Noronha: Other than pharmacy?

Varun Pratap Singh: Yes.

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Neville Noronha: No, no. Anything that makes the DMart brick and mortar business strong is what we will do. Anything that will make the digital, that is the DMart Ready

business strong is what we will do. Anything beyond th

at, we should not do.

Varun Pratap Singh: Sure. Okay, sir, thank you very much. Wish you all the best. Thank you.

Neville Noronha: Thanks, Varun.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: Hi, Neville and team, thanks for giving me the opportunity. Neville, you again reemphasized today the strategic importance of deepening penetration in existing markets or existing region. Now, if -- correct me if I'm wrong, but we have not entered a state for a very long period now.

Rushabh Ghiya: Tejas seems to have dropped. We can take the next question and then we can take a question from Tejas.

Moderator: Sure. The next question is from the line of Nihal Mahesh Jham from Ambit. Please go ahead.

Nihal Mahesh Jham: Good afternoon, Neville and team. I had three questions. The first, Neville, is in your reference to looking at DMart from a longer term 10-year perspective, this comment you made of DMart, obviously, wanting to be value first. So just taking your discussion on GDP per capita, even in terms of private labels, do we have comfort that, say, over the next decade, there won't be a larger cohort, say, which moves to convenience as the GDP per capita improves and then maybe you want to plan about the business model now and look at convenience more going forward?

Neville Noronha: For the same category of products or segments, not only of a retailer, but any product, the value or the mid segment is always the largest pie of the market. That's the way we look at it. Now how much bigger will it be, what is the proportion? We don't know, but I think value, we believe, will be a larger segment compared to convenience, even in the grocery segment.

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And we'd like to play in that. It's as simple as that. And that has got no relevance to per capita income, how developed the economy is. Like you look at Western Europe, you look at USA, value is where the biggest retailers are, right? So, we like to play in that space. Now whether it's digital or it's brick and mortar, doesn't matter. So, I would like to clarify that too, but we would like to play in the space of value.

Nihal Mahesh Jham: Sure, point taken on that. The second was on your comments on Minimax, just wanted to understand how are you looking at that format? Is it that you're looking at an independent offline model or there is a thought of this becoming, say, a part of the delivery of network and maybe then the unit economics differs and you can look at larger openings going forward in terms of this format?

Neville Noronha: Earlier also some body asked me on this Minimax format, I think you don't need to overthink. Even we are not overthinking on this model. It's just a trial, but we aren't seeing much progress there. So, it's just there to kind of check if something is happening there. Nothing exciting yet, to be honest.

Nihal Mahesh Jham: Got that. Final question is, say, of the 40, 45 stores that you're targeting for this year, any sense of what will be the so-called split stores - share of the split stores that had to open because of, say, certain stores getting maxed out, just for reference?

Neville Noronha: No, I probably didn't get your question. What did you mean by split stores?

Nihal Mahesh Jham: What I meant is you referred that some stores were open because certain existing stores got maxed out. So, when you opened a certain store, they had to ease the capacity from those. So just to understand if those stores will be a larger share of the 40, 45 that you're planning to open.

Neville Noronha: No, no, no. Nothing like that. In fact, they'll be a very small component. We have these maxed-out situations in cities like Bangalore, Hyderabad, Mumbai, these kinds of locations. But our store openings are in a s

ignificantly larger

number of cities. I think last year we opened stores in 12 new cities. So, it's a mix. You can't put a number or you can't model anything around this.

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Nihal Mahesh Jham: Point taken. That was it and thank you so much.

Moderator: Thank you.

Neville Noronha: Tejas?

Tejas Shah: Hello? Am I audible?

Rushabh Ghiya : Tejas, you are on. I think we didn't hear your question. So maybe you'll have to just repeat the entire thing again.

Tejas Shah: Sorry for that. So, Neville , you again kind of highlighted or reemphasized today that the importance of kind of going deeper into the market. And if our numbers are correct, then perhaps we have not added any new state in last many years. So just wanted to understand from two perspectives, does it -- like when you enter a new state, does it make it easier to kind of up the pace of expansion because it's a virgin market and it becomes easier to kind of identify good location, A? And, B, we also noticed that distribution centres have increased from 49 to 62. So, kind of wanted to understand, is it a kind of precursor that you have to invest before you kind of ramp up your store expansion run rate?

Neville Noronha: So, if you're looking at distribution centre addition as a precursor to new state entry, no, not really. In fact, it is the other way around. Whenever you go to a new state, we don't pre-empt investment through distribution centres in that state first. We, in fact, supply them from the existing distribution centres , which we feel is more prudent. Only once we get critical mass, we build distribution centres . That's one point.

Second point is, going to new states, I think it's just more bang for the buck because we know the older states better. And second is, it gives us better operating leverage . But that apart, we do see opportunities of going to Orissa, going to Uttar Pradesh (UP) and you will see some stores coming up in UP. We have already tied up a few firm deals in these states. So, any state that shares the border with the existing state is a natural progression for our business.

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Tejas Shah: Very clear. And just expanding this point to your GMA mix logic that you have given us in past also that when you enter a new territory, the GMA mix has to be higher and it goes down as you open more store in the same market.

Should we expect this cyclicity in GMA when you enter a new state or virgin territory initially, it will bring much more disproportionate GMA mix versus your current expansion that you're doing in your existing territories?

Neville Noronha: Absolutely . So, for example, let's say, hypothetically, suppose I add 400 stores and hypothetically I add another 400 stores next year. My GMA contribution will go above 30%.

Tejas Shah: But if, let's say, of those 400 stores, 300 are totally new market and not in the existing markets, would it be again disproportionately higher?

Neville Noronha: Could be. Could be. But that's not necessarily a good thing. And that's what I keep telling you guys, that I think there's over-obsession on this GMA contribution just because optically it gives you better margin. Always remember that absolute revenue is the key driver of profitability. So, I could be an INR30 -40 crores store with a 35% GMA contribution, but INR150 crores store with a 20% GMA contribution would be giving you better ROI.

Tejas Shah: Got it. And the last one, I'm not sure if I understood it correctly, but you mentioned that fashion apparel is personality or team-driven business or more personality or team-driven business. And we have observed that in both Indian and international fashion retail that business fortunes can be volatile depending upon how the team -- merchandising team actually moves in and moves out. S

o, when you're building a business for 3, 5, or in fact, 10 years, how are we trying to institutionalize some of those things? Because it can't be, let's say, a team of personality-driven, if you are building a business for 10,15 years.

Neville Noronha: So, you reduce the impact of personality. It's as simple as that.

Tejas Shah: But is it that easy in fashion as it was in, let's say, other divisions?

Neville Noronha: Not easy, relatively, not easy. And that's why you need to be significantly, exceedingly more stubborn when you're dealing with categories like apparel
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in terms of evangelizing the ethos of what DMart stands for, not everybody believes in it.

Tejas Shah: Got it. That's all from my side. Thanks and all the best.

Neville Noronha: Thanks.

Moderator: Thank you so much. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi, Neville and Niladri. Good afternoon. Thanks for the opportunity. I was just referring to slide number 13 where you have given the gross margin is around 14.5%. And if I look at the DMart Ready gross margin, there is a difference of about 200 basis points. I do understand there is a mix change and everything which would be there. But would you be able to share, if I look at, the brick and mortar business would have about close to 57% contribution from food, this portion or proportion of this would be much higher in the DMart Ready?

Neville Noronha: Shirish, that's not the way to look at it. If I remember maybe the last analysis I met or the year before that, I commented on this, that you have to look at the e-commerce business as similar to, say, the FMCG business of the brick and mortar. Because the non-FMCG selling or the ability to sell non-FMCG in the e-commerce segment is not so easy. Okay? So that's the way to look at it. And hence, how you play the assortment of a digital space is going to be exceedingly challenging. That's the way to look at it. So how do I bump up that margin? It's not just by replicating what's happening in the brick and mortar business.

Shirish Pardeshi: But I would assume, Neville, we have the terms of trade with the top five brands in non-FMCG also. So why there should be, in the first place, margin difference?

Neville Noronha: Okay, so that's a wrong assumption. There's no concept of a terms of trade in non-FMCG space. Non-FMCG space is very, very transactional and all the margins are front ended on the product itself. The principle of operation there is very, very different.

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Shirish Pardeshi: And just harping little more, you mentioned that the margin is one of the things, because in the -- internal things, you have already done to improve the margin for DMart Ready. So, it's the external thing, which is there, if the margin expansion is happening, what are the top two, three drivers, you think, which will pan out over the next two, three years?

Neville Noronha: Again, one thing, it's just the assortment play, the assortment which will drive more margin and what is your ability to sell that assortment just by someone seeing on the screen, and how do you make that profitable? Because the moment you shift towards saying, look, I'm now going to bring an assortment to just give me 30% and 40% gross margin, your return rates will rapidly go up. And hence then what is the net margin you're going to make? And is it value accretive? That is the question to ask.

Shirish Pardeshi: Okay.

Neville Noronha: So, it's very, very challenging.

Shirish Pardeshi: Okay.

Neville Noronha: And that is being reflected in what you see in the world, right, not just in India. It's very easy to bring in top line. Where is the profit? Don't see any profitability there. Right?

Shirish Pardeshi:

Got it. Got it. My second and last question. If I look at the steady state when we used to have a GMA contribution, about 28%, the best sense, what I have got at that point of time, about 35% used to be contribution from the apparel. Now, when this has settled around 22%, 23% in your aspiration, and it will remain stable, this apparel business will go back to that one-third contribution or it will remain at where it is now?

Neville Noronha: I haven't ever disclosed what is the apparel contribution within the 22% or 28%. And I have no view on where it will be. I cannot comment on what it could be.

Shirish Pardeshi: No, directionally. I'm not asking the number, but directionally, because you run the business, you know what was there about -- maybe it was 28%. Is that
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number primarily becoming positive or showing some momentum over the last two, three quarters? That's what we have seen.

Neville Noronha: I really don't look at it that way. See, I think this whole GMA conversation began during COVID and we started disclosing these numbers or giving emphasis on these numbers just to give a sense of why gross margins at the blended company level are going down.

But if you ask me, as a team who's running the business, are we too worried about this GMA going down? Of course not. We only focus on footfall, basket value, conversion, and overall like -for-like growth rate. It means that customers are continuing to patronize and visit our stores and buy from our stores.

Now, as long as the basket values keep on growing, the number of footfalls keep on growing, and that's it. I mean, mix can be whatever. See, mix should never be forced. Mix is your story. Mix tells you what people like you for, and what are they rejecting you for. It's as simple as that. So, I think the essence of a mix is it is telling you something. The customer is telling you, hey, listen, this is what I'm telling you.

And you act based on that. Just because something is giving me more margin, I will force fit or push the customer to a particular area forcefully? No. But if information or whatever the customer is telling me gives me an opportunity to improve and say, okay, I'm not doing this right, can I try other multiple things to make it right. I mean, that's the way -- it's not a straight answer if you get what I'm saying. Right?

Shirish Pardeshi: Okay, got it. Just lastly a question on the bigger store what we have opened in last one year. What are the hits and misses? Or maybe if you can share the learning, which has surprised you positively or negatively?

Neville Noronha: I think the biggest issue is we have to up our game as the scale is going up. So, everybody talks about scale giving leverage, scale helping, scale gives bargaining power, everything. We all talk about positive things about scale.

And I've come to realize over the last three to four years, I mean, I think scale can become a monster which can bite you if you don't do it right. You end up
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losing more than gaining if you don't manage. So, scale is creating a lot of challenges for us. And we have to be cognizant of this and build capability so that how customers thought about us 5 years back, 10 years back, is it equal to that or better than that? So, the perception should not diminish in her mind, in her imagination.

And second, which is equally important, same for our employees and our vendors or even the larger ecosystem. I think how they think about us has to be equal to or better than what it was in the past, because with scale, everything gets diluted. So that, to my mind, is the biggest, biggest threat for the business in the long run.

Shirish Pardeshi: Okay, thank you, Neville.

Neville Noronha: Thank you.

Moderator: Thank you. The next question is from the line of Chanchal

Kumar Khandelwal

from Birla Mutual Funds. Please go ahead.

Chanchal Khandelwal: Thanks, Neville, for taking my question. I just wanted to pick your brains on the quick commerce part of it. What do you think are they doing right? Now, why this question again, let me rephrase it and understand it from your perspective. Because if I say top seven cities, they put together USD 4 billion, USD 5 billion of sales today. And in top seven cities, if I take your sales, you

would be similar or tad lower. So, if they have be en able to get a USD5 billion sales in top seven cities, and they are talking about aggressive growth, and they are working on a gross margin because their assortment and the mix will be different. So according to you, what are they doing right? And how do you envisage that five years from now?

Neville Noronha: I will not be able to comment on them much, just that I have deep respect for what they have built. It's amazing what they have built. I had a lot of reservations . I me t some of their leaders and the way their model was, the structure was earlier , to what they have been able to do now, deep respect for what they've done. It's an amazing model. It is relevant for India. It's a smarter model than probably the marketplace. But it's different. It's addres sing a different need. We are addressing a different need and that's Avenue Supermarts Limited
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the way I'll talk about it. And I will not be able to comment further on their model beyond whatever I have said just now.

Chanchal Khandelwal: So, there is -- sorry.

Neville Noronha: Let me finish. One more point. The larger point is, I'm just now specifically answering your question . All this is happening because the market size is very large. The sheer size of opportunity for grocery retail in a country like ours of 140 crore population is humongous , large.

And I am glad that there are many more businesses which are pursuing or reaching to the point of breakeven profitability. It's needed. I mean, this country needs more success stories in retail. And there's no better success than reaching profitability or c oming close to profitability. It's good for the industry, but it is serving a different customer need. DMart is serving a different customer need. That's the way to look at it.

Chanchal Khandelwal: So, I understand that. And in one of the replies , you said that value is the largest part of the pie and you will address value and you'll be the leader in the value. But where I'm coming from, say, five years from now, you capture the top 10 brands , this guy captures the bottom 20 brands, because there is one pl ay on brand and one play on private label. And if private label and the second 20 brands become bigger, which are willing to give a higher margin to quick commerce, somewhere that gross margin impact may help them scale the business to a different level al together. So that's the mix I'm trying to understand.

Neville Noronha: So, like I said, I'm not able to comment on what they could do, but it's challenging and exciting. We'll play it, we'll see how it goes. We'll also compete and let's see who wins. And y ou could have more than one winner. You see it globally, right? It's not winner takes it all and multiple players will coexist. This size of market cannot be fulfilled just by one, two, three players. You need more players and all can be profitable.

Chanch al Khandelwal: Sure. So just lastly, given that quick commerce is going to scale up much faster in next two, three years, is it right time for us also to speed up the button?

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Neville Noronha: We will not do things because somebody else is doing something. We will do basis our capability and our competence and let the best man win.

Chanchal Khandelwal: Sure. Let me leave it at that. Thank you.

Moderator: T

hank you very much. Ladies and gentlemen, due to time constraint, the next question will be the last question, which is from Shrenik Bachhawat, PGIM Mutual Fund. Please go ahead.

Shrenik Bachhawat: Hi, sir, thanks for the opportunity. Most of my questions have been answered. Just one last on the p rivate label strategy. So, over the longer term, say, 10 years, 15 years from now, if our private label segment becomes a much bigger pie, do we plan to open private label -only stores at a later stage in time?

Neville Noronha: Doesn't make sense at all. Th e value of private label is when something next to it is at 30% or 40% higher price, then people perceive the value of private label. Private label has no place to be standing alone and selling, doesn't make

any sense. What is the principle of private label? You leverage on your operating cost, right? Your operating cost is almost zero because it's riding on that same rails, right? So, doesn't make sense to have anything independent. Now that's our view. Somebody else may be doing something different, but that's our view.

Shrenik Bachhawat: Okay. Got it, sir. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we can take one more question, and it will be the last one, which will be from Mr. Binoy, Sunidhi Securities & Finance Limited. Please go ahead.

Binoy Jariwala: Thank you for the opportunity. I hope I'm audible?

Neville Noronha: Yes

Binoy Jariwala: Okay. Neville, So a bit on the store additions. In the last year's con call, you mentioned that the way you are thinking about store addition is that can you typically add about 20% of the store count every year and that's the framework in your mind. This year, that number you've spoken is 15%

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number. So why sudden change in that mental framework in a year's time?

That's my first question.

Neville Noronha: Binoy, this an aspiration, but what do you mean by change? Come again? I didn't follow the question clearly.

Binoy Jariwala: Meaning, in terms of your mental framework, that you're setting it up and your building capabilities, last year, you spoke that you'd like to see store additions growing at roughly about 20% CAGR. Now, this year, you've spoken that you'd like to see store additions to grow at roughly about 15% CAGR. And you've not spoken about the 20% number. Instead, you've spoken about a lower number, which is 15%. So that's the reason. So, my question is pertaining to this, that why you have a sudden drop in this number? Are you seeing something on the real estate, difficulties on the real estate front? What is it?

Neville Noronha: No, it is the same. The theme is the same, 15%, 20%. Okay? You replace everything that I said, 15% with 20% even for this year, right? That's the aspiration. We want to add more stores. The single point agenda is store addition. The store addition will drive the CAGR. So, no change from that standpoint, if that is what you are alluding to.

Binoy Jariwala: Okay. Okay. That explains. Second is on the DMart Ready. You said that MMR operations are much better than the rest of India. So, has MMR broken even at a PBT level?

Neville Noronha: No, it has not.

Binoy Jariwala: Okay. And on Reflect Healthcare, if I would just pick your brain on this. So, what is the thought process behind how do we want to launch Reflect Healthcare? How much space would we be carving out within the store and for a dedicated pharmacy, etc.?

Neville Noronha: I think pharmacy takes around 600, 800, or sometimes even 300 square feet. So, a very small space. So, from that standpoint, not a challenge. And we are trying to now do the easier ones, where we have more space. We have very high throughput footfalls, where we'll get operating leverage by having at

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least seven to eight stores in

in a city, that kind of things. So, we're trying to do

that first, that is stage one. That's the way we're thinking about it.

Binoy Jariwala: Okay. And in terms of the opex, will it require any additional opex, or?

Niladri Deb: It's very inconsequential. Just the furniture. Nothing much.

Binoy Jariwala: Nothing much. Okay, okay. And my last question is on DMart Minimax where you said that there's not much to read into, but I'm just wondering, 21 stores that you operate as on March, you had added six stores last year. So very unusual of the DMart ethos, right? You typically tend to perfect a model before expanding it.

And we are already seeing 21 stores of Minimax. And this is not even like

Minimax is a counter within DMart. It's like a proper, separate store, a smaller DMart store. So just wondering, what are you thinking here in terms of -- can you speak a little bit about this format and what are you trying to solve for the company as well as the customer here?

Neville Noronha: So, we've been contemplating, is there a way for the Minimax Store to merge with the pickup point. That is a thought, and it gives you a far better omnichannel play. That is the thought around it. There are two ways of looking at the omnichannel way. One is you say convenience, relative convenience and omnichannel, or you say extreme deep discounting and omnichannel.

So, we took down the path of extreme discounting with omnichannel. So, it's a kind of a work in progress. And it's not that the financial metrics are bad. That's why we added a few more. The profitability metrics are actually better than the pure play digital or the pickup point metrics. So, from that point, it is good. But is it good enough to say, can we have 500 or 1,000 locations? Not yet.

So, to that extent, we are still in the phase of perfecting the model. But to get more granularity and more reference, we have extended to a few more cities just to get a feel, at a multi city level, does this really make sense?

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Binoy Jariwala: Is there any time line that -- internally that you're thinking about in terms of when -- by when you think you'll have an answer to this question?

Neville Noronha: I don't know, maybe another year or two, we'll get a very clear picture. So, we have our EBITDA target, we have a PBT target. Only if we get to those levels of target, it's worthwhile to put energy, build an independent team to run this independently and just scale it up. I mean, that's the thought. So, unless we don't achieve that EBITDA target, knowing very well what is the depreciation cost to it, so basically PBT target. So, if we get a desired PBT target, then we'll expand. The best way to look at it is if you're seeing a rapid increase of Minimax stores, that means we've achieved our PBT target. That's the way to look at it.

Binoy Jariwala: These stores are on lease, right, unlike the DMart stores which are owned?

Neville Noronha: They are on lease.

Binoy Jariwala: Okay. One last question to you and then to Niladri, one question. Will we -- so to you is, a few years back, we contemplated entering big box wholesale format. So -- and then we put it on the back burner. So, any thoughts on that? Or it's still on the back burner?

Neville Noronha: I don't think we should get into it. It's not even on the back burner. It's out, it's in the trash can.

Binoy Jariwala: Okay. One question to Niladri on accounting is that -- just wanted to understand, so when we typically buy out a property with the land, do you -- how do you account it as capex? Do you split the land and account the land in the land part and the building in the building part? How does that work from an accounting point of view?

Niladri Deb: So, you are referring to a ready -built property, right?

Binoy Jariwala: Yes

Niladri Deb: So, in a ready -built property, what we do

is we do a valuation of the property

when the store opens and then we split the cost based on the valuation certificate into land and building .

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Binoy Jariwala: Into land -- so it is not that the entire -- if you acquired a property, you put it entirely into building, nothing like that. Splitting it between land and building.

Niladri Deb: You cannot do that because building enjoys depreciation. So, tax authorities will object. So, value we pay for a built -up property is inclusive of the land which comes with the property.

Binoy Jariwala: Okay. Thank you so much. That's all from my side. Thank you for taking my question. Thank you so much.

Moderator: Thank you very much. Ladies and gentlemen, that concludes th is conference.
Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

6th August, 2024

To,
BSE Limited
Corporate Services Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Ltd.
Corporate Communications Department
“Exchange Plaza”, 5th Floor,
Bandra – Kurla Complex, Bandra (East),
Mumbai – 400 051

BSE Scrip Code: 540376 NSE Scrip Symbol: DMART

Sub: Transcript of Analyst/ Institutional Investor s Meet 2024

Dear Sir/ Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of conference call with Analyst/ Institutional Investors held on 30th July, 2024.

The transcript is also available on website of the Company at
<https://www.dmartindia.com/investor-relationship> .

Kindly take the same on record.

Thanking You,
For Avenue Supermarts Limited

Ashu Gupta
Company Secretary & Compliance Officer

Encl: As above

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“Avenue Supermarts Limited
Investor /Analyst Conference Call ”
July 30, 2024

MANAGEMENT : MR. NEVILLE NORONHA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER –
AVENUE SUPERMARTS LIMITED
MR. RAMAKANT BAHETI – GROUP CHIEF FINANCIAL OFFICER – AVENUE SUPERMARTS
LIMITED
MR. NILADRI DEB – CHIEF FINANCIAL OFFICER – AVENUE SUPERMARTS LIMITED
MR. VIKRAM DASU – CHIEF EXECUTIVE OFFICER – AVENUE E-COMMERCE LIMITED
MR. RUSHABH GHIYA – INVESTOR RELATIONS – AVENUE SUPERMARTS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Avenue Supermarts
Limited Investors Conference Call. As a reminder, all participant lines will be

in the listen -only mode and anyone who wishes to ask a question may enter star and one on their touchtone phone. To remove yourself from the queue please enter star and two. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rushabh Ghiya. Thank you, and over to you, Mr. Ghiya.

Rushabh Ghiya: Welcome to our Annual Investor and Analyst Conference Call. I have on call with me Mr. Neville Noronha, our MD and CEO; Mr. Ramakant Baheti, Group CFO; Mr. Niladri Deb, CFO, Avenue Supermarts Limited; and Mr. Vikram Dasu, CEO, Avenue E -commerce Limited.

We hope that you've had a chance to look at our presentation, which was shared on Friday, and the same is also available on our website in case you would like to refer to it. We will start the call with Neville briefly taking you through the presentation along with Niladri, and post that we will open the Q&A session.

Just before that, I would like to draw your attention to the Safe Harbor statement for good governance. So, with that, over to you Neville.

Neville Noronha: Good morning, everybody. Like the format is every year, we will spend some time on the presentation and then give most of the time for the Q&A. This time, we're splitting the presentation in two parts. I will be taking the business overview, followed by our CFO, Niladri Deb, who will then take you through the operating and financial summary.

So, on the business overview, which is the key product categories page. It's more or less the same. I think last year has been a period of consolidation, and also a lot of the anxieties that we had around general merchandise and apparel is more or less behind us. While the numbers do not indicate to that extent yet, but we are seeing a smart recovery in the second half of last year. Avenue Supermarts Limited

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and in the first quarter of this year. So, GMA has moved from 23.04% to 22.37%. It's a drop, but more or less it's coming back.

But just to pre-empt some of the questions that may come on this, we are not going to be 28% or 27% like it used to be earlier. A broad trend line will be around the current run rates of around 23%, is the sense we get. But otherwise, it's been a good year. I mean, most of the numbers have been shared, and I would take more specific questions in the Q&A and discuss more about this.

We go to the next slide, cluster-based expansion strategy continues to be the same. The principle is more of the same - try and open as many stores in existing markets. We also keep trying to go to new states, new regions, new cities. But otherwise, the broad principle is, if there's an opportunity to deploy capital in existing markets, it's a better option. We opened 41 stores in last year gone by. And as usual, the numbers look good, we're doing fine and all the new stores opened also are fine. So, it's a usual day at work, broadly, from that standpoint.

Then we come to DMart Ready. We had said in the last year's analyst meeting that this year would be a year of consolidation and we'll try and test whatever we have done and hence, we added just one city. The strategy around the e-commerce business, the DMart Ready business is very consciously to be not very fast. We can generate significantly higher revenue than we do currently, but it's a conscious decision to fix the model, make it right and bring in high throughputs in the existing cities, that's the thinking that we have on this business. But, obviously, we'll take more questions on

our business, as well as

what's happening in the market from a larger context of competition and all of that.

Year-wise store addition, we have already said that we opened 41 stores. We maintain to deliver basis our past performance. That's what we keep saying.

The number of stores opening will be around these numbers going forward.

But we, as usual, don't give forward looking statement in terms of what the exact number is and reasons also remain the same. But broadly as a Company Avenue Supermarts Limited

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we are prime to open equal to or even more than this number of stores. But there are a lot of other factors that depend on our store opening numbers. So, with that, I end my part of the presentation, and I would request Niladri to take over the operating and financial summary part of the presentation. Thank you.

Niladri Deb: Thank you, Neville . I take you through the bill cuts. We delivered 30.3 crores bill cuts in the year just gone by. Like -for-like growth that we disclosed is for stores which are open for more than at least 24 months . We delivered 9.9% like-for-like growth. The total retail business area at the end of the fiscal '24 was about 15.1 million square feet. We opened 1.8 million square feet area in the current year. And the Revenue from Sales per Retail Business Area sq ft came at about INR33,000 per square feet in FY '24, very close to the FY '20 number of INR32,879.

Moving on , the revenue from operations as disclosed earlier is INR49,533 crores , delivered in the stand -alone business. EBITDA margin of 8.3%, so almost INR4,100 crores of EBITDA. We delivered 5.4% PAT, about INR2,695 crores. And the net cash flow from operations of INR3,343 crores. All of the indices grew over the same period last year.

We move to the operating and financial summary for the days inventory and payables. Our payables came at about 7.1 days and about 29 days of inventory, more or less similar to what we were in the pre -COVID period. Debt and equity, we all know we don't have debt, but the debt that you see on the balance sheet is about the Ind AS 116 disclosure and the equity is about INR19,281 crores.

Fixed assets turnover ratio came in at about 3.6, very close to the number that we've been trailing even pre -COVID and inventory turnover ratio of about 14.6. And finally, the return on net worth and ROCE, ROCE came at about 19.1%, marginally lower than FY '23 and the return on net worth about 15.1%.

Slide 13 has the key financials for Avenue Supermarts and the stand -alone and consol. Sales grew by 18.4%. Gross margin reduction of about 37 bps and Avenue Supermarts Limited
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PBT reduction of 43 bps led by the gross margin slide and a bit of cost increases in other expenses that came up, and the PAT delivery of INR2,556 crores -- sorry, INR 2,695 crores, which was a 5.4% growth. We must point out that last year we had an exceptional tax gain. So, ignoring the tax gain of the prior year, the PAT improved by close to 12%. At consol level, the sales improved by 18.6% or INR50,789 crores and a PAT delivery of 6.6% growth. Without the one -time tax advantage of prior year, the PAT grew 13.5% to INR2,536 crores .

The key subsidiary financials, Avenue E -commerce delivered a 31.7% sales increase , close to INR2,900 crores and we had a loss of INR185 crores, which was a 240 bps loss reduction over the prior year. Avenue Food Plaza did INR177 crores of sales and a loss of close to INR6 crores – it is in expansion phase. Align Retail Trade, our subsidiary which does grocery packing did INR2,800 crores of sales and a PAT of INR33 crores, improved by 44%.

That's the summary from the financials and operating session.

Rushabh Ghiya: I think we can now open the floor for Q&A. Thank you, Niladri. Thank you, Neville . We'll just open the Q&A.

Moderator: Thank you very much.

ch. We will now begin the question -and-answer. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Yeah, thanks. My first question is on the product mix you have given. So, I see that foods is the only segment which has gained as a percentage of the mix, while rest of the two have seen a slight dip. Wanted to understand is it purely because of the food inflation and in FY '25? Because FMCG companies in the HPC space will take a hike. The non -foods FMCG should regain some of the lost share. What will be your comment on that? You are focusing more on

general merchandise and apparel. So, wanted to understand why it's not visible in terms of numbers. There was a dip of around 33 bps. When do you see this reversing?

Neville Noronha : So, Abneesh, on the food contribution going higher - it is primarily driven around agri food inflation. It was primarily driven on that. While staples, if I look at edible oils, went through a deflation period. But I think minus the oil Avenue Supermarts Limited
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basket, the agri side, that is the staple agri minus oil went through unprecedented inflation during this period of time. So that is the reason why the food contribution has gone up.

On the GM and apparel side, I think we had a larger issue on the apparel side, but like I have commented last year, apparel is a smaller contributor in the GMA mix. Hence, the blended impact was only what you see on the slide, right? GM is more or less back on track, trending equal to what we were prior to COVID.

Apparel has done a very smart recovery. We did very quick improvements there, primarily around leadership, team, sizes, all of that is in place. In fact, 70%, 80% of the work is already done. And if you look at the last two quarters' performance, one thing that is heartening to know is, apparel is the highest growing category amongst all our categories. Like I had commented last year, right, it is more of an internal issue on the apparel side.

We just needed to build a very good leadership pipeline. And in fact, I'm quite delighted with the early improvement - I didn't expect it to be improving so quickly. But I think the team has done a brilliant job. But still a long way to go. But we're seeing brilliant green shoots on the apparel side of the business.

Abneesh Roy: Sure. My second and last question will be on the DMart Ready. So, we have seen a year of consolidation and only one city getting added. So, what were the learnings from there? And we have seen quick commerce, for example.

Now, they are seeing more consolidation, more on service rather than discounting. So, rain fee, delivery fee, loyalty fee, a lot of fees are coming in and that's good from an overall business sustainability perspective.

I wanted to understand are you also thinking at some stage about quick commerce and also start charging for some of these because ultimately now it's more of convenience rather than pure discounting. Plus, what is your take, is the worst behind on discounting? Because Zepto has raised huge funding very recently, while the other two players seem to be focusing more on service rather than just discounting.

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Neville Noronha : Our whole perspective has always been to have a divergence in terms of our approach to the business. We prefer not to do stuff like what most people try to do. So, we continue to chart our own course on the e-commerce side of the business and we are pretty confident of expanding this business, albeit not as fast as you will expect it to be. But we will continue with the current model.

We don't intend to do any quick commerce. I think our model is pretty robust and the learnings have been to try and get more and more revenue in the large towns / cities. That's the low-hanging fruit. That is where there is an

emergence between our model, about our ability to deliver and also the expectation of the market. So, a Mumbai customer or an Ahmedabad customer or a Delhi customer, they like e-commerce, they like material coming to their home since time is in short supply, timetables are tough to manage, things like that. I'm not saying everyone, but mostly the more affluent people, they would like to have a certain component of their grocery buying to come through e-commerce. I think serving that customer through our DMart Ready channel sounds very interesting and promising. So, we will continue with our own methodology of running the DMart Ready business.

Abneesh Roy: Just one follow up on this and then I'll end. So, could this be second year of

consolidation? And when I see, you have DMart Ready in few Tier 3 cities also. For example, Kolhapur, Belagavi, Bhilai, Raipur and, say, Anand. So, could these be deprioritized and ultimately may not make much of a sense given your kind of a business model?

Neville Noronha : Quite possible. See, I think brick -and-mortar retail is still very aspirational and still fun and enjoyable in small towns. And we clearly see that from a psychological standpoint that customers enjoy going to retail stores like ours in small town s.

Abneesh Roy: Okay, thanks. That's all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

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Arnab Mitra: Yeah, hi. Thanks for the opportunity. So, Neville , my first question was on store expansion. I think in the last call you had mentioned you have invested in people in the expansion side and also in some of the processes which will increase your capacity of adding stores. Do you see that happen in FY '25? Or it will take some more time before you can significantly step up from this approximately 40 stores that you've been adding for the last couple of years? And what are the other bottlenecks that you're still seeing in that capacity?

Neville Noronha : I don't have a very clear, concise answer in numbers for you, but I'll just give you a feeling and flavour of what we intend to do here. We are primed and ready in terms of opening around 40 -50 stores . I mean anything between that is what we are ready and we will deliver broadly. Obviously subject to regulation, permission, all of that, but we have that kind of inventory to at least commit saying 40 -45, we will do, every year.

If you were to look at our store opening trend, we do 40 -something stores , but in another two to three years, this 40 should go to a 60 or a 70 per year. We are working like that. We are thinking about it like that, but it will be very lumpy. So , you will see a 40, 40, 40. Suddenly it may go up a little bit higher. That's the way we are thinking about it and working towards it.

I've been saying this repeatedly that typically 10% to 15% of my number count should be my new store opening, broadly. That's the way we think about it. So, if that happens, then we'll get a very decent CAGR run rate over a 10 -15-20 year period. That's how it has been in the past two years , right? For example, if I have 400 stores then I should be opening 60 stores. If I have 800 stores, then say 15% of 800 stores. That's the North Star. That's the way we think about it.

Arnab Mitra: Thanks for that, Neville . Yeah. The second question I actually had was a follow up on the quick commerce thing. So, clearly, one of the big changes last one year has been this big scale up of quick commerce, especially in the top six, seven cities. Are you seeing any impact on your big city stores, like a Mumbai, Bangalore kind of location? And does it in any way impact the future store potential in, let's say, the top 10 stores that you would have earlier envisaged? So, any thoughts on how you're seeing this evolve?

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Neville Noronha: Actually, we've been crunching data for the last two years on this and how is this format impacting us? Surprisingly, it is not. If there is any one reason that impacts our metro revenues, it's actually our own ability to operate the store. So, if any store is not run well, for whatever reason, either it's an infrastructure issue or the store has already peaked out, delivering very, very high revenue per square feet, or the quality of management is not up to the expectation. That's when these stores struggle. And not really because of the competitive context - specifically about quick commerce. That's our analysis of things.

But, okay, if you say a city that is not having any intense quick commerce versus a city that has quick commerce, there could be a 1% to 2% SSSG CAGR impact. I mean, I don't have a very clear point of view there. I can't pinpoint

it exactly. But will I say no? Absolutely not. I will also not agree to that, maybe 1%-1.5% kind of an impact could be there. But is any of my store declining, negative? Do I see very large red flags? Absolutely not.

Arnab Mitra: Understood. Thanks. And just one last question. Any rethink -- you have historically not had a big focus on fresh as a part of your mix, and that's one of the categories which at least quick commerce companies, say, has had high growth and high margins. Anything of this changing which would change your approach towards that category versus what it is currently, that's brick-and-mortar?

Neville Noronha: Brick-and-mortar, I don't think so. Brick-and-mortar, there has to be some structural changes in the economy which prevents the roadside seller to stop selling fruits and vegetables. Only then could be a case for modern trade to sell fresh in a profitable manner. That's our view, especially in a model like ours.

Arnab Mitra: Okay. Thanks so much, Neville, and all the best.

Neville Noronha: Thank you.

Moderator: Thank you so much. The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

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Avi Mehta: Hi, Neville. I just wanted to get your thoughts on the apparel segment. I mean, what exactly did we change? You said you're at 70% to 80% on that journey. So, what is left to be done? Would love to hear your thoughts on that, please.

Neville Noronha: We have done whatever we have done for the current size of revenue, but we are imagining what we would be five years, 10 years from now. Apparel is very, very talent driven and individual driven - the guy or the lady who's running that specific category, how he or she thinks about what should be done. From a team capability standpoint, the confluence of synthesizing between what DMart stands for, what the ethos of DMart are, and what apparel should be. It's not very easy.

A category like apparel for a grocery kind of a model is very complicated. And a lot of people who come from outside, their understanding of value retail, their understanding of deep discounting is, I would say, very limited. So first, that buy-in itself is very, very challenging. And this is a very talent, individual-driven kind of a business, right? Everybody brings in their own personality to the category. It's not very easy to get that synthesis.

Avi Mehta: You said that you wanted to focus on basics there. So, is that thought no longer the case? You still want to have some fashion, but the type of fashion is probably what has to be realigned. I mean, I just want to kind of better understand the portfolio change that you're trying to do here.

Neville Noronha: Philosophy remains the same. Basic, basic, basic. You can be fashionable yet by being basic. When you say fashionable, it's about being in trend. But how do you ensure that your product line, is not susceptible to the

vagaries of

change of trend at very short notice. That's the whole idea.

Avi Mehta: Okay. Okay. Fair enough. The second, Neville was on your comment that you do not expect salience to move back to the 26% to 28% levels for general merchandise and apparel. Why this? And if that is the case, does that change how should we look at same-store sales growth from a new category addition - basis uptick that has traditionally or earlier come?

Neville Noronha: I have commented on this earlier, I have maintained that stand that whenever you open a new store, you get people from a larger radius coming to a store.

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When you get that kind of a customer into the store, they end up buying a lot of non-FMCG. But as the store matures, the percentage of households who begin to buy from you from a smaller area significantly increases. And hence, that basically drives the intensity of the food, FMCG and groceries here. And this has been a secular trend for the last 20 years. It is just simply because of that. It's a secular trend. And as we mature and we become larger and

larger, the food and grocery and the low-margin contribution will increase.

We have to then figure out how should you run the model such that you deliver on your profits in line with the construct changing with time.

Avi Mehta: Okay. But sorry, Neville, just to push back, I thought adding larger stores would have probably helped us drive, maintain that salience, that thought is not accurate?

Neville Noronha: That thought continues to be accurate because we continue to believe in the fact that having larger stores keeps you ready for the opportunities of the future. But at the same time, I do not want to build in very high expectation that we will go back to 27%, 28% and hence, there will be a bump in gross margins.

Not really. I'm just giving you a very realistic scenario of the future. We're getting ready for the opportunities that can emerge because of GDP going up and hence, people wanting to buy more and more horizontally in the high-margin sector. We are priming ourselves for that. But will that definitely guarantee 28% or a 29% contribution of GMA? No, I don't think so.

Avi Mehta: Okay. I understood. And lastly, if I may, sorry. Just on the quick commerce space, you did point towards 1%, 1.5% - odd impact, very rough in your view. Is this reflecting more discounting in your view or just that the consumer is now keeping less pantry? How should we look at this from that point of view?

Neville Noronha: The way we are looking at it, Avi, and this is through real experiments, real events that have happened - any store with a very, very high throughput, it's kind of overflowing at the brim, I just need to open more stores around that cluster. It's as simple as that. So, assuming I'm doing INR20 crores a month on a particular store and it's like very high throughput turnover per square feet, Avenue Supermarts Limited
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and I open another store close by and this INR20 crores store drops down to INR15 crores, but that additional store again gives me an additional INR20 crores. Right? So that's the whole idea.

So, can I add more stores, is the solution to issues like these. And we have done this kind of activities. By design, during COVID time, we bought many new locations even in Mumbai. And this is the outcome. That net of both, the old and the new store, it is value accretive for us. So that's the way to do it. Notwithstanding the opportunities that are available in DMart Ready. We do that too. But it is not either / or. I keep saying brick-and-mortar and e-commerce is the way to go.

Avi Mehta: Sorry, Neville, I was referring to the 1%, 1.5% as you said -- I think you said it is possible from the quick commerce perspective. And that's what I was trying to kind of u

nderstand, that when you say there is a possible impact from e-commerce, you're essentially saying because the consumer is reducing their inventory. How are you looking at this impact? That's what I was trying to understand. The impact from our own capacity, that I am clear on. But this one I was trying to kind of understand how do you look at this?

Neville Noronha: Like I said, stores which are doing exceedingly high revenue per square feet, its ability to grow at the rate of inflation gets a bit challenged. That's the point I wanted to make. And then at the other end, you have from a commercial stand point, quick commerce who is delivering excellent convenience. Almost zero friction and delivery at home. So, then the top end discerning customer, probably who's shopping at DMart may fall off. To that extent there could be a 50 bps to 100 bps kind of change in growth rates for such stores. That is the point I was trying to make.

Avi Mehta: Okay. So, you are referring from that consumer probably going away and that is the possibility. Got it. That's all from my side. Thank you very much.

Neville Noronha: There is a disclaimer there - my observation and comments are only for this year. So, if something significantly changes during the year, I will talk about it next year. So, this is my understanding of what's happening right now.

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Avi Mehta: Okay. Okay. So, you're saying as on date, if this scenario becomes either less stable or more stable for us, it might kind of produce an increase. Got it, sir.
Got it. Thank you very much, sir.

Neville Noronha : Thank you, Avi. Thanks.

Moderator: Thank you. The next question is from the line of Latika Chopra, JPMorgan Chase. Please go ahead.

Latika Chopra: Hi. Thank you for the opportunity. My question is on your expectations on gross margin profile over the medium -term. You clearly mentioned the mix is going to probably be stable with general merchandise and apparel. I was trying to understand a couple of enablers of gross margins and your thoughts on that on the FMCG and food side. One was, your terms of trade with leading suppliers in order to leverage the scale benefits - how does that play out? Do you see premiumization of the FMCG and food portfolio within your mix? And the last enabler could be the private label contribution. So, if you could share some thoughts on how these key things could behave and would they in any way imply potential for gross margin improvement over the medium -term? That's the first question. Thank you.

Neville Noronha : Hi, Latika. I'll take the terms of trade and the branded FMCG part of the question first. This is all work in progress. The whole idea is that the more and more revenue you deliver and the more and more contribution you deliver from a business contribution to a FMCG company's business, obviously, your bargaining power improves.

Now, you have two ways to deal with it. Your improvement in bargaining power means more gross margins or better value to consumers. That's the choice as a retailer you have to take. And we do that, right? We decide, okay, how much of this has to go back to consumers and how much of it has to be retained. So that is one way of looking at it.

On private labels, I have constantly made comments which have remained consistent and it continues to be the same. It's a very, very long journey. You have to give it a lot of time. India is still a USD2,500 -USD3,000 per capita
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income country. Private labels play out beautifully when at least the country is at a USD7,000 -USD8,000 kind of per capita income . We have a long way to go from all these standpoints. And I continue to hold that position that branded companies are very, very competitive and it's not very easy to deliver a private label at equal to a better

quality at significantly cheaper price.

See, we want the products to be significantly cheaper than a branded company product at a significantly large discount. Only then does it really play around with the ethos of what DMart stands for. You would like to put the DMart name on the product only if it stands for that. That's why from that standpoint, we believe that this is going to take a lot of time.

Now, coming to the overall scheme of things. See, whatever we do today, 14%-15% gross margin, we're going to play around that . Anything beyond that, we want to pass it on to the customer. We don't want to retain it because we are running this on the principle of value. Delivering great value through high -quality operational excellence and keeping costs low. That's the broad philosophy. The feel I'm getting from this question is that it is more about margins.

My response to you is, we are more a top line -driven company and we believe that if we continue to remain relevant to the customer from a value standpoint then margins, ROI, all of that will follow. It will come. But the philosophy is to be very, very relevant, distinctly relevant, differentially relevant to consumers. Consumers, when they think about DMart , they think different. That's the whole philosophy. It captures the imagination of the customer from delivering great products at great value. That's the philosophy of the business.

Latika Chopra: Thanks. The second bit was a follow up on something you alluded to while answering the question on apparel, on talent. Just wanted to hear from you, any particular changes or incremental talent that you've hired at category head levels, on the technology side, on your e-commerce operations, anything you want to talk about or share with us on capability building side.

Thank you.
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Neville Noronha : It's a good question. I think we are grappling with two things. One is that, we are running an enterprise which in absolute terms is very, very large. When you talk about a 15% or a 20% CAGR, if you add that and look at that from a value term, it's a very, very large value, right?

And this value is being delivered, again, from distributed points of sale. It's different stores, locations, culture, people, all of that. There's an enormous, what should I say, management bandwidth requirement to just get this entire ship running in the right trajectory, right direction, and with the relevant speed.

We are thinking about what this Company will be 10 years from now. We're not talking about the next year. And hence, if you want to reach there in a nice way without too much of damage or bruises, then what is the kind of talent we need to have today in the next two years, in the next three years, next five years. That's the way we're thinking about it.

If you ask me, my team and I, the top leadership is thinking about how we should imagine the quality of talent we should have that can take us to where we want to be 10 years from now. The moment you put the right questions on the table, then you have a very clear view about what you need to do from a talent standpoint. And that's probably the ethos I wanted to share with you.

Latika Chopra: Sure. Thank you, and all the best.

Neville Noronha : Thanks.

Moderator: Thank you. The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.

Vivek Maheshwari: Hi, Neville and team. A few questions. So first, on the store addition, you did mention about lumpy additions at some point. But when you look at additions internally, do you also think about it as percentage or you typically look at it more like 40 to 60 stores? How do you think about the additions on an annual basis?

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Neville Noronha : Like I said, for this year also, we have projected 40 -45 s

tores. I mean, again,

I'm saying that I don't want you to project something very large in the immediate future. But in the longer term, we have to go at a higher run rate.

If you remember, in my last analyst call also I said that we are ready to even open 60 stores. The capability as of last year was we can even open 60 stores per annum. So, you can take a range of 40 to 60 over the next three years.

Vivek Maheshwari: Okay. And a follow up to that, Neville, and pardon me if it's a naive question.

But let's say, in an economy where real estate is doing so well and there is a formalization - what is the bottleneck when you are thinking about adding the stores? I know you buy out the land, and this is substantial investment. But in a cycle where real estate is doing so well, can you just highlight why it is lumpy? Why it is not as predictable? Is it the team issue? Is it the site issue? Can you just elaborate?

Neville Noronha : We decide that we will open these many stores in this much timeline. But in India a lot of things don't happen on time. And some locations also surprise you. They happen ahead of time, but that's more of a rare phenomenon. That's how it is. It is unpredictable. And I have commented on these multiple times over the last three to four years.

Vivek Maheshwari: Sure, sure. I recall that. The other question is on DMart Ready, at a system level, Neville, what would be the average delivery time in case of, let's say, DMart Ready, wherever the customer opts for delivery?

Neville Noronha : On home delivery, we fleshed out some data. We ignore the time between 11:00 p.m. and 06:00 a.m. in the morning. Ignore this time. We don't count that as delivery time. But I think around 40% -45% of our deliveries happen within 12 hours.

Vivek Maheshwari: Within 12 hours. Okay.

Neville Noronha : And about 86% of our deliveries happen within 24 hours, and then balance 14%, why it doesn't happen is because customers plan the date of delivery. It's not that we can't do it, but when we give the m visibility on when do they want their slot, they purposefully pick a date, which is later, because of which the balance 14% is after 24 hours.
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Vivek Maheshwari: Got it. Okay. And on one of the points, again, Neville , you mentioned about there is maybe 1%, 1.5% impact because of QC, etc. But do you find yourself in a bit of - although that's a conscious choice you have made, but in a bit of a disadvantageous position, simply because you don't have customer data. So, let's say, if I'm a shopper at DMart and I move to QC, you will never come to know, given that you don't have the intelligence in terms of how many times I'm coming to your store. Do you think you may need to rethink on the data strategy because the competition is coming from unknown quarters also now? Or you think that you are happy working with the aggregates, as has been your strategy for such a long time?

Neville Noronha : Yeah, it's a good question, Vivek. Internally when these same questions have been asked by my team, I say that, look, the only one single indicator that probably we are blindfolded or refused to accept what is obvious is, if my sales or my profits is telling me something negative. If my sales are great, my customers are talking nice about me, my model is working perfectly fine, my margins are intact, my SSSG growths are intact, then why should I change? Number one.

Number two, specifically, to answer your question on the QC side. QC is convenience . QC is full price. It is completely opposite to what DMart stands for. DMart is value. DMart is, I would say, a little inconvenient It's a bit inconvenient . But it delivers great value. So that's it.

So, we would like to rather play on the positioning of value and then create something in the digital space. And I think when you think like that, DMart a

lways believes in doing something which is very difficult for others to follow. If you build DNA such that everybody can see what you're doing, but they can't do it. I mean, that is our pursuit, the model that we try to build.

Vivek Maheshwari: Got it. And as a follow up to that question, and that would be my last one, Neville . From a top -down, when you look at as the head of the organization or the CEO, there are, let's say, for argument's sake, there are two verticals that you have, right? One which is DMart, and the other is DMart Ready. I Avenue Supermarts Limited
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know there are a few more beyond that. One has a lot of data, right, DMart Ready, whereas the other one is working on aggregates. Do you find that DMart Ready data to be rich? Are you able to do -- do you do a lot of analysis on that? Is that a precursor for you to -- if the data is rich, if you have a lot of insights, is that a precursor to implement that in DMart? So, can you just talk about what is your view on all the data that you collect at DMart Ready level?

Neville Noronha : I think I'll give this opportunity to Vikram, who heads DMart Ready for us , to respond. Vikram, can you take this question?

Vikram Dasu: Yeah. Hi, Vivek. So, the question is around how we are leveraging data, right? Is that right?

Vivek Maheshwari: That is right. And -- so, one part is, how are you -- what all are you doing with that data? Number one. And number two, from DMart Ready, is there a case -- if there is something good that you are doing with that data, is there a case to think about it, in case of DMart -based business itself?

Vikram Dasu: Sure. I'll let Neville address the latter part of that. But on the data part, yeah, you're right, there's a lot of data that we generate on every second basis within the business, and we use a lot of that data to sort of improve our own input metrics . There are tons of things that happen for us to be able to fulfil an order that a customer places. You may also have seen that we're not super

big into aggressive marketing or advertising . All of that data that we are generating , we are using it to improve our internal metrics. There is a lot of data that we generate, not just on customers, but also on how we are operating.

And will that be useful for DMart? By all means. But as Neville mentioned, there are tons of things that we are already doing, right? We are working on making sure that the value proposition is right for the customer. What else do you really work on? As long as we know that the stores are working at the most efficient levels and the input metrics are showing the right directional trajectory, there's not too much else that you can really do with data. And we use that data in a sensible manner. I'm not suggesting that data is useless or

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anything like that. It's just that we are not big into using data to manipulate customers' behaviour in a short-term outlook. Does that make sense?

Vivek Maheshwari: Okay. Sure. I like the word that you've used. And Neville , any thoughts on -- from this perspective to the off-line store?

Neville Noronha : Integrating information of the online space for the off-line store - I'll tell you only one very clear insight, Vivek, which I think I have alluded to, not last year, but I think last to last year. I think the digital space just fascinates you in terms of what all they can do which we cannot. I think there are some very powerful elements of what online space can do which we cannot, which is the cost of experimentation and the long-tail item selling capability. I think that is something that brick-and-mortar, at least, a DMart brick-and-mortar can't do. I think that's where it compliments also - they are the big brother and not us. It's very humbling. Very humbling what digital can

tell you, teach you at very

short notice. And I think from that standpoint, we're leveraging the

information and the learning. That's my point of view on the digital side. The

DMart Ready business.

Vivek Maheshwari: Got it. Got it. Thank you. And wishing you and your team all the very best, Neville .

Neville Noronha : Thanks. Thanks, Vivek.

Moderator: Thank you very much. The next question is from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi: Yeah, thanks for taking my question. Hi, Neville . My first question was to do with your opening remarks, Neville , that since the second half of last year, we are seeing a smart recovery in the GMA portfolio. And you also said that we will maintain the current levels of 23% and not going back to 27%, 28%. Now, how should we understand this from going forward perspective, that where will these improvements get reflected in terms of the Company's P&L going ahead?

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Neville Noronha : Hi, Sheela. I keep saying this. I don't know what is the aspiration level in the analyst community on gross margin, but we've been towering between 14% and 15%, or 14% and 15.5%, and that's where it's going to be. So, whether it's GMA, whatever it is, or whatever it could be, the way we look at it is what is the blended average gross margin going to be?

And in this business. I really cannot predict beyond a point. I mean, there is a range within which we can say, okay, fine, this is where we're going to be . But I can't give you a finite number, and most importantly, business is dynamic, competition should be factored in, multiple other things, right? So ideally, can't give you a straight answer, but I think 14.5%, 15%, 15.5%, those are the kind of ranges we play in from a gross margin standpoint. You have to look at a blended gross margin.

Sheela Rathi: Actually, my question was not to do with the margins actually. My question was, GMA is coming back. The shares are maintained at 23% level. Will it get reflected in the top line growth then? I mean, how should we capture it apart from your commentary that GMA is coming back? Will there be a way to

capture it? Because, like you're saying margins will be maintained. It will get more and more challenging for us to analyze that in terms of share.

Neville Noronha : I can't give you any projections on what our growth rates are going to be, number of stores that we are going to add, what our gross margin is going to be. I can't give you that. It's difficult. I can't tell you that. It's not that I have information I'm not sharing with you, but I can't crystal ball and give you a finite number there. I'll give you colour. I'll give you qualitative understanding of where we are trending.

Sheela Rathi: Fair point. Second point, again, is that, you mentioned for e-commerce that consciously we are making a decision not to grow very fast. But are there any areas in the last few years where we think that we should speed up in terms of growth going ahead? Obviously, store expansion is something you have already called out. But when you think about formats like Minimax, is there an opportunity for us to take that up? We added six stores this year, but how does that fit into our growth strategy?

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Neville Noronha : I think from the e-commerce standpoint, and this is again, a very divergent call I'm making from what I actually thought would be the way e-commerce would be - we are seeing that the home delivery model is a better model. So, it's exactly opposite of what we used to say earlier because the numbers prove it.

Home delivery in large towns is the way to go. We should do whatever it takes to build fulfilment centres in large towns quickly, as quickly as possible so that we are able to deliver in at least 12 hours. I

mean, that's the aspiration. So, primarily growing faster than what we are doing right now in large towns in DMart Ready is the way to go.

Sheela Rathi: And on Minimax?

Neville Noronha : It's still an experimentation. We feel that the market is not yet ready for that model.

Sheela Rathi: And in the past, you have mentioned the share of home delivery used to be 50%. How has that number trended now?

Neville Noronha : Had I said 50%?

Sheela Rathi: More or less similar, that is what you had mentioned in the past, a couple of years ago.

Neville Noronha : So now it's better. Whatever in the past is getting better and better. What is happening is that there is a sharper segmentation in the consumer's mind.

The consumer says, look, if you want me to take all the effort and come to a store, then I want great value. And that's what DMart stands for. And there's another customer who says, great, DMart is giving great value, but it's also charging me for home delivery.

So, if you're giving me convenience, I might as well take that convenience wholeheartedly and get the product delivered at home. So, there's a clear, clear segmentation happening in the consumer's mind and the pickup point is sitting somewhere in between. It's a bit fuddy-duddy, right? It's neither

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here, nor there, and hence, the gravitational force is tilting either to the store or to home delivery.

Sheela Rathi: So, we will have to relook at our DMart Ready stores. Is that what you are coming to really?

Neville Noronha : If you've seen the data, we have recalibrated, consolidated, right? We've shut a lot of pickup points. It's primarily to kind of rework on the whole operating model on the DMart Ready side.

Sheela Rathi: Just one final question. We saw some advertising on first three orders free on DMart Ready. Was there a tactical call in terms of getting more customers?

And what was the kind of success we saw around it?

Neville Noronha : I'll ask Vikram to respond to that.

Vikram Dasu: We are seeing some good kind of traction there on that promotion. The idea

here is to let customers sample our service. And our data has suggested that people who use our service for two or three times tend to stick with us because they really grokked the value that we are providing. And so, that's something that we've started doing a few months before. And it's starting to show some really good results.

Sheela Rath: Thank you.

Moderator: Thank you very much. The next question is from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Hi. Good afternoon. Sir, two questions. One, I mean, just mathematically, as your cash from operations increases, and especially as you're opening more stores in smaller towns, would the number of stores just mathematically go up because we have more cash available to open stores, given that utility would match store adds, capex and cash from operations?

Neville Noronha : Opportunity to open more will increase, definitely.

Aditya Soman: Great. And the other thing is, I mean, just to add to this , right, the area of the cluster also keeps widening, right? So, when you open within the cluster, even Avenue Supermarts Limited

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that cluster itself is widening. So, in theory, I mean, there is no reason why --

I mean, I know you've said 40 to 60 stores over two to three years, but in theory, that number should keep going up as your -- one, as your revenues and cash flows improve, and second, as your cluster size increases, right?

Neville Noronha : Absolutely, Aditya. So, I was just reflecting back on all my comments over the last seven, eight years, just reading through all of them. If you remember post - IPO, I used to talk about 10 to 15 stores. We moved from there to 40 to 60 stores. So, obviously, it goes up, right? It will. It has to.

Our entire effort is in that direction.

Aditya Soman: Very clear. And secondly, I mean, just on private brands, right? I mean, I just want to break this question up a little bit. So, one, you have these DMart Premia products, which I can sort of get this from sales of Align Retail, which will be somewhere between 5% to 6% of sales. And then you have all these branded products that you are now launching. At last count, I had found about 130 of them but maybe there's more. And then there is general merchandise which you pack. So, can you give us a rough sense of what the contribution of each of these would be overall?

Neville Noronha : We don't disclose it. We don't disclose those numbers.

Aditya Soman: The DMart Premia stuff, that would be fair, right? That the Align Retail numbers would be a good way to deduce that?

Neville Noronha : Yes. Partly yes.

Aditya Soman: Okay. And the other part of the business, would it be at least similar size, larger size, any sense on that?

Neville Noronha : No, I'll prefer not to comment on that.

Aditya Soman: Okay. Then maybe just, I mean, even if not numerically, right, I mean, I see that the number of products has been increasing and maybe accelerating in the last year or so. Would that be a fair assumption?

Neville Noronha : I'll give you a direction about how to look at this. You will get a sense of how well we are doing in private labels, simply basis the PKD. That's it. That's the Avenue Supermarts Limited

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way to look at it. If the product is lying on shelf for too long, that means the category is not doing well. It's as simple as that. So , make a call basis that.

Aditya Soman: That's very cool. Thank you.

Neville Noronha : Yeah.

Moderator: Thank you. The next question is from the line of Garima Mishra from Kotak. Please go ahead.

Garima Mishra: Yeah. Thank you so much for the opportunity. Neville , first question, in the previous call, you had mentioned that the proportion of overall store count located in cities with population of more than 1 million had declined to 60% in FY '23 from a larger number earlier. So, was this a trend you witnessed in

FY '24 as well and maybe this is a trend to be witnessed in the future also?

Neville Noronha : So, I remember during the last year's analyst call, I kind of jumbled up a lot of numbers. We have ensured the homework was better this time. We've got 1% better in less than 5 lakh town population, we were at 28% of the store cohorts in FY '23, it's become 29%. So, we have 29% of our store cohorts in less than 5 lakh population towns. In financial year 2020, that number was 21%. So, in five years, we've got an 8% increase in store count in this population strata. I hope you're getting it, Garima. So, from 21% of the store cohort in financial year 2020, we were at 28% last year. This year, we are at 29%. So, 29% of our stores are in lower population strata towns.

Garima Mishra: Understood. That is clear. Second, if you just look at that slide on store addition, and while, of course, a lot of stores do go back into clusters where you're already present, you do keep adding stores in newer areas as well, let's say, Rajasthan, NCR, etc. So, for specifically some of these stores, are these stores tracking metrics that are similar to those in your core geographies, let's say, of Maharashtra, Gujarat, etc.?

Neville Noronha : Broadly, everything is in line. There is no major divergence. So younger the vintage, the financial metrics will be relatively lesser than the balance cohort. But the newer store cohort trend line has been the same for the last 10 to 15 years. So, everything under control.

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Garima Mishra: Okay. Okay. Understood.

Neville Noronha : And irrespective of regions. That's the beauty about our model. The beautiful thing about our model is whether

it's North India, South India, West India –

East, we're still not there but from a financial standpoint, we are doing fine. And that's why the model cuts across all SEC, ethnicity, culture, everything, and that's the beauty.

Garima Mishra: Understood. That's good to know. One question, Neville, in the 1Q FY '25 results release, you did mention that some of your opex had gone up due to efforts on improving service levels and building capabilities for the future. So, could you explain what exactly, which line items are you referring to here?

Neville Noronha : Broadly, two things are happening. I think we've been all talking about product inflation, but I think at a lower level, wage inflation is also going up rapidly. Okay. That's one thing which is very, very clearly being observed. The second thing is, we are also working on building our capabilities, talent, all of that from a perspective of a little bit more longer thinking in terms of, like I just answered in the previous question, that what will this Company be 10 years from now?

Or what should it be like? And hence, what is the kind of talent ecosystem we need to build and start thinking about from today? And I think this thought had emerged a year and a half, two years back, and we were in the journey of building those capabilities over the last one year. It's a combination of both of these.

Garima Mishra: Got it. So, if I hear you right, this essentially refers mostly to people and talent within the organization.

Neville Noronha : Absolutely.

Garima Mishra: Got it. Last question from me. This is on DMart Ready. So, Mumbai is, I think, your oldest city in terms of numbers of years present. So, do you think at least in Mumbai, or let's say, MMR, to be specific, you're present in pretty much all pin codes that you would want to be present in?

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Vikram Dasu: This is Vikram, we are present in all but a couple of pin codes, which are actually not very serviceable. But, yeah, MMR, Mumbai Metropolitan Region, we are fully covered.

Garima Mishra: Got it. Thanks, Neville. Thanks, Vikram, for answering my questions.

Vikram Dasu: You're welcome.

Neville Noronha : Thank you. Welcome.

Moderator: Thank you. The next question is from the line of Amit Sachdeva from HSBC. Please go ahead.

Amit Sachdeva: Hi. Thank you so much for taking my question. Hi, Neville . I have two questions, one on DMart Ready. It's a very basic question. Is DMart Ready consumer seeking convenience at the margin or more value? Basically, where I'm getting at is because there is a clear -- you also mentioned that the convenience pie, which is -- consumer is trying to sort of get a service, is willing to pay for it.

But my question is, in the last four or five years, you've built DMart Ready, which is clearly showing that EBITDA margin is still minus 2% to minus 3%. So operating model, even if some scale up has happened, profitability is still elusive. Is there an opportunity for price discrimination here between physical store to online? And if it is profitable and stands on its own feet, then your ambition to grow faster may change as well.

I mean, what I'm trying to ask is that, is it the limitation because you want to give value, but convenience is a conflict? How do we think about this? Why not pursue that as a convenience opportunity which can price discriminate and get more profits out of it and hence, can grow faster and can service more customers who want that convenience? I just want to get a thought on that? Neville Noronha : The thought is very clear, Amit, just because it's digital, we are not saying it will be convenience. Our positioning will be on value.

Amit Sachdeva: Sure.
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Neville Noronha : We are very clear because in the consumer's mind, DMart stands for value

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We want to maintain that. We don't want to create dissonance in the customer's mind. It's not good. DMart stands for value. The idea is, how do we build an operating model that in spite of delivering at home, can you bring that value proposition saliency in the consumer's mind? That's the whole idea. So, whatever it takes to do that, I think that's what we'll focus on.
Amit Sachdeva: So, what we could change that this EBITDA margin starts to move in a positive direction?

Neville Noronha : I don't have a point of view . We simply feel very delighted and excited that we've reached here in such a short period of time. And with the kind of EBITDA losses that you just mentioned. I think it's promising. And you have to give these things time. The best part is, you have a brick-and-mortar business delivering great profits and is able to fund. And with such low losses, I think the larger business can afford to give it more time to make it profitable and to stand on its own feet over a period of time.

Amit Sachdeva: Got it. No. Fair enough. Thanks so much. Just a last bit on this is, on DMart Ready. What's the ticket size of DMart Ready order, if I may ask?

Neville Noronha : We don't disclose those numbers.

Amit Sachdeva: Okay. No worries. On DMart Ready , I completely understand. My second question is on the general merchandise. I don't know whether this estimate is correct, but correct me if I'm wrong. I think for the full year, the revenue mix was 22.37%, and in the first half of FY '24, this mix was 23.21%, which would imply that this mix actually deteriorated to 21.6% in the second half of general merchandise, which seems like a bit of a deterioration rather than an improvement. And while you say Q1 has become better, how do we reconcile that? Are the numbers in Q1 substantially better than 21.6%, which was in the second half? Or is this assessment wrong? Correct me if I'm reading this incorrectly?

Neville Noronha : How are you comparing it? How are you comparing Q1?

Amit Sachdeva: No, I'm just saying that for the full year, that number was 22.37%.
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Neville Noronha : Okay.

Amit Sachdeva: So, if I take that number, 22.37%, you get a certain number in the revenue mix, taking the four quarters. Right? And when you take first half, first half

was 23.21%.

Neville Noronha : Where did you get first quarter -- okay, okay. Sorry. Yeah. Okay.

Amit Sachdeva: So, implicitly, the second half becomes 21.6%.

Neville Noronha : Correct.

Amit Sachdeva: So, which seems like a marked deterioration rather than an improvement.

While you say the second half was quite good and Q1 seems quite better as well. It seems to me that there was still deterioration happening in the second half of the revenue mix.

Neville Noronha : Okay. I've not done the numbers the way you've done, but I've got the sense of what you're trying to say. My response to that is that, first quarter is actually from a revenue mix standpoint, the best.

Amit Sachdeva: Okay.

Neville Noronha : And then is the Diwali quarter. Okay? Then is Q2. Okay? And the worst is Q4, March quarter.

Amit Sachdeva: Sure.

Neville Noronha : With a reasonable confidence, I can say that, this financial year will be equal to or better than FY '24 GMA contribution.

Amit Sachdeva: Got it. Got it. And it is because the apparel is sort of bottomed out and looking like a little bit better. Is it an opportunity to shape the general merchandise mix, non-apparel, as well? Or are you still stable and nothing really much can change here?

Neville Noronha : The way to look at it, Amit, is apparel we believe we can go back to the older days of contribution, which was maybe pre-COVID. That's one part.

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The other part is, we see an opportunity in GM, general merchandise to be a

larger opportunity in the long term. So, for us, the general merchandise opportunity is a larger opportunity and apparel is more defensive. We can get back to where we should be. But are we very optimistic about apparel as much as we are about GM? No. GM salience to our model is better than apparel salience is to our model.

Amit Sachdeva: Got it. Without seeking any guidance because I think one of the things that was earlier asked as well, that if the GMA, general merchandise starts to do at least better, one would expect that revenue growth should accelerate in the remaining of the year. I mean, without seeking guidance. But do you feel little confident that we are on that trajectory that revenue growth should accelerate as well over FY '24, given the network rollout and given the other problems are getting fixed? Because we saw something like 18-odd kind of percent of numbers in the first four quarters on an average. But do you see that number should be better as well in FY '25, the growth trajectory? Without seeking any guidance, but the way things are moving, what's your sense?

Neville Noronha : I would say the other way around. I would be a little conservative on the guidance from that standpoint, rather than being optimistic, I would say that it is getting more and more challenging to maintain a 15% to 20% CAGR growth rate if I continue to grow at only 40 stores per annum. The real driver of CAGR growth rate is accelerated store additions.

Amit Sachdeva: Sure.

Neville Noronha : Yeah. So that's the way to look at it. And we don't look at, oh, because my GMA contribution went up and that should be the driver of revenue growth.

Absolutely not. The driver of revenue will be the store additions.

Amit Sachdeva: Understood. That's very clear, Neville. And on the store addition, since we are at it, like the last two quarters, the average area that we roughly calculate is still around 40,000 now, which was way high in '22 or something like that. So, is it now the right template of 40,000 kind of store, is that a reasonable way to sort of see the store sizes or is it quite variable still?

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Neville Noronha : Very variable, Amit. We don't look at it like that. I've repeatedly said that. When you're in the model that we have, I mean, whatever land is available,

what sizing, the construct, all of that. Right? It is a broad range we play in. Like we said, historically we were at 30,000 -35,000 square feet . Obviously, we see opportunity in the store size being larger for sure, but forget the range, don't go by the 5%-10% vagaries of average store size every year.

Amit Sachdeva: Got it, got it, got it. Fair enough. Thank you so much, Neville . And thank you so much for answering my question.

Moderator: Thank you very much. The next question is from the line of Harish Bihani from Kotak Mutual Funds. Please go ahead.

Harish Bihani: Good afternoon, Neville and team. Hello?

Neville Noronha : Hi, Harish. Go ahead.

Harish Bihani: Hi. So again, my question is on the store addition. If I look at your last few years conversation , even in the last conference call, you clearly mentioned that you test your team, yourself on a 15% number. But when we look at this number for last few years, it's trending below the 15% number. Now, we were presuming that this 15% number should at least start coming through from fiscal '25, given that there would be backlog of some delays, etc etera in fiscal '24, that should come through.

But basis the initial conversation that we had so far, it seems like, we'll be again closer to 40, 45. So this is a little perplexing to me. And you mentioned that there will be delays, India factor, delays happen, but at least there should be a point of breakout. It's not happening, Neville , for last few years, especially, last year was okay. There were issues last year. At least

this year,

we should have seen some signs of things improving on that store count number. And we should be doing, say, a 55 this year, 65 next year and 75 next year ballpark to be able to do a 15% CAGR number that you're talking about.

Neville Noronha : I take that feedback, Harish. And the only thing I'll tell you is we're trying our best. I completely feel and sense the point you're trying to make, but we'll try our best to do what's needed for the health of the business and the growth

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of the business. But point taken. I have no defence on that standpoint that you have. That is also our aspiration. So yeah, but we'll try to do our best on that front.

Harish Bihani: Sure. And like in the apparel business where you clearly mentioned that there were internal issues and we are working on that and things should improve, in this case, how much of this is internal and how much of this is external?

Neville Noronha : I have answered. I have answered repeatedly on this question. I understand the mood that your community has on inorganic growth, revenue growth and the drivers of it, primary being store opening. But the story is the same. It's both internal, external, everything. But...

Harish Bihani: No, I meant the store opening. Is it that there are internal bottlenecks which again we presume that you would have made the changes in the last few years and you'd have seen a ramp -up over there. At least to do 200 stores in the next three years, you need to have visibility today to do 200 stores, right?

Neville Noronha : You're absolutely right. I think I spoke a lot about it in the last analyst meet . Maybe not this year, but the year after that, I hope that we will have a better rate of store openings, additions.

Harish Bihani: This is an internal bottleneck, Neville , or there are some external challenges and prices have shot up , you're not getting the right store location because you're still buying 90% of stores that you need to build up?

Neville Noronha : It is multiple things, internal, external, everything. But we're working on it.

But external is also a factor. Let me put it this way. Who else does what we do in the country, a country of 140 crore people , in a business such as retail , at this scale, who else does what we do? Nobody or some people do in parts. It's tough. It's extremely, extremely tough. I've been saying this, but not as an excuse, just to give a colour to what this model is. And we like to do things which are difficult, right? Especially when it's difficult for others to do. But we're okay. Even if I'm adding 40 or 50 stores per year, it's great. It's good. Can it be better? Of course, it can be better. Is it testing our capability? Of course not. We can do significantly better than this.

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But we'll see, I keep saying this, judge us based on the past. You have data for the last seven years, probably even three to four years prior to IPO. You see the trajectory of store additions and then you judge us. But I will not give you a very precise number and what it will be in the future. But point taken. We are all working hard on that.

Harish Bihani: Sure, sure. Thanks so much. Take care.

Neville Noronha: Thanks.

Moderator: Thank you. The next question is from the line of Akshen from Fidelity. Please go ahead.

Akshen: Hi, sir. Two questions from my side. One was just around the business model.

When we see value retailing landscape globally, we've seen global peers try different experiments. I don't know if you have thoughts on whether something like Costco can be done in India by somebody like you? That's one. Second is, as you alluded that in smaller towns and cities, DMart is still a destination, people go and shop, you get a lot of footfall and you own the land around it. I don't know

if there is thought to monetize that footfall through different means. At the top of my head, good food or some entertainment, something to that effect can be done? Or you see yourself largely sticking to value retailing? That's the first question. I'll let you answer and then ask the second one.

Neville Noronha: It's two questions in one. One is, you said Costco, and can we do something like Costco in India? I have replied to this in multiple forums, that retail is very intrinsic to the culture, history, many other soft aspects of a particular country. And you cannot usually parachute a model that has worked somewhere else in another country very easily, specifically when it comes to value retail or grocery, I have no comment on the other types of retail. I mean, like for example, let's look at luxury retail, right? The playbook is exactly the same, format, assortment, all of that. I'm not commenting on that kind of formats. But when I talk about food, basic items, all of that, a lot of other nuances that matter, and hence local retailers automatically get an Avenue Supermarts Limited
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advantage over an MNC kind of a retailer. So that's one thing I'd like to respond to about the relevance of a Costco model in India. So that's the way we think about it.

Second thing is you said about monetizing other aspects because of the trend of footfalls. Our very clear view on that and in fact, it's also very clearly my personal view that the moment you start diverting the focus from your core business, it's not a good sign. I think the DMart model has got such a humongous multi-decadal opportunity just by doing this. And you succeed in this only when you have that razor-sharp focus, because it's a low margin, high efficiency, high employee connects kind of a business. If you try to distract yourself from focusing on these aspects and focus into other things, it will diminish value for the entire business, especially when the opportunity is so large. I think focusing just on doing DMart is the way to go.

Akshen: Secondly, you made your view very clear on private label and you feel that existing brands do a better job at it. Until and unless you don't -- you can't do it at the right price, there's no point doing it. Just as an extension to that question, when we go visit the stores now, we see a lot of new brands, D2C brands, on the shelf. Just wanted to get your philosophy that is this something that you experiment or is this trying to maximize your gross margin or is this something that you typically pull for and hence that finds itself on the shelf of DMart?

Neville Noronha: It's only pull, pull, pull. It's just customer preference. We only focus on that as a number one priority. So D2C brands who become reasonably large and now want to have the next level of growth, they come to us and that's the right approach. People should come to DMart only when an INR10 crores company wants to become an INR100 crores company. A company who has zero or INR1 crores, if it comes to DMart, the chances of success are going to be very,

very limited.

Akshen: Okay, thank you so much.

Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL.

Please go ahead.

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Percy Panthaki: Hi, sir. Firstly, couple of questions from the annual report. So, I see that capital commitments have gone up to about INR3,600 crores versus INR2,100 crores earlier. So that's a very large increase. Does this have any bearing on the number of stores that will come up in the next few quarters? And if not, then what does this number really signify? That's one part of the question.

The other part is, if I look at your annual report and look at the amount you paid for the land per square feet of stores added in this year, that is about INR7,300 per square feet of la

nd cost for the 40 stores added this year versus INR4,600 per square feet for the 40 stores added last year. So, there's a significant inflation in land cost. So, is this on account of a change in the city mix where you have opened up more in metros or something like that? Or this is just a pure inflation in the land? So, these are the two relating to the annual report and then I'll probably have one on something else. Yeah. Thank you.

Neville Noronha: Percy, that's not the way to look at it. I'm not a finance guy, but the limited understanding I have and Niladri is also with me, he'll add on to any points I have missed. The way I understand the balance sheet is that whenever you buy land, even though it's not operational for the store, it goes into your fixed assets, it doesn't go into CWIP. So, the entire land aggregation and addition that happens year-on-year could be for stores which are not only opening in that year, but also in the next few years.

Percy Panthaki: Got it. Got it.

Neville Noronha: So, it's the wrong way to look at it. But that's only one part of the answer. The second part of the answer is, if I take a three-year, five-year period, then land prices have definitely gone up. So, whatever we've paid for land, say, in Mumbai or Bangalore – Mumbai is an exception, I'll come to Mumbai separately. But if I take Bangalore or Hyderabad or many of the small towns also, the price at which we used to buy land maybe five, seven years back vis-a-vis to what I buy today or the price that we bought 10 years back to what I'm buying today, of course, there is a huge level of inflation in land.

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So, you have to look at it from that standpoint. Maybe if I have a 10-year balance sheet data and I lump three years together and then compare it with number of stores opened in three years and then derive some mathematical excel working, that will be more accurate than doing an annual number. Some blending will happen there.

Percy Panthaki: Understood. Understood. And the capital commitment?

Neville Noronha: Sorry?

Percy Panthaki: Capital commitments, INR2,100 crores versus INR3,600 crores Y-o-Y?

Niladri Deb: So capital commitment, Percy, is an outcome of open purchase orders at the end of the year. It depends on how many purchase orders are in various stages of progress. So, there could be a building we just started constructing in the month of, say, March. Right? So, the entire cost of the purchase order open is backloaded and hence you will see it as a balance sheet figure. It's a position at the end, at a point in time, not representative of the actual number. So, it depends on when you take the slice. If I have a store which is large and there's a capital commitment of, say, INR20 crores in that store, so that will inflate the number. But it's a fair indication of the likely construction cost that we are budgeting to incur over the next two, three years.

Percy Panthaki: Okay. So, does this in any way sort of -- I mean, the fact that it is inflated so much on a Y-o-Y basis, is it a right conclusion to say that the number of store openings will also sort of inflate accordingly over the next one, one and a half

years or no?

Niladri Deb: It's a mix, I would say yes and a no. It's a question of the cost of construction in a particular city, the size of the store we are planning to open, the number of lifts we have in a particular store, and stuff like that.

Percy Panthaki: Understood.

Niladri Deb: Not very linear.

Percy Panthaki: Understood. Understood. My next question is on your e-commerce venture.

So just first of all, as a hygiene, sort of, just wanted to see if you could share

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a couple of numbers, that is the number of DMart stores end of FY '23 as well as end of FY '24. Is it possible to share that?

that?

Neville Noronha: For DMart Ready or DMart?

Percy Panthaki: Yeah, DMart Ready, sorry, not DMart. DMart Ready is what I'm talking about.

Neville Noronha: So, you're talking about the pickup points, is it?

Percy Panthaki: Yeah. Then the number of stores. Yeah, that is the smaller sort of stores that you have of DMart Ready, which we see in the road sometimes, that would be the pickup as well as the delivery points. Right?

Neville Noronha: So approximately, we've shut down around 200 locations. Percy, we had 573 last year. There are 341 this year, we shut down 232.

Percy Panthaki: So, has the area of operations that you can service also come down accordingly?

Neville Noronha: No. So, this was to improve operating leverage. So earlier, suppose if there were pick-up-points in say maybe a 1-1.5-kilometre radius kind of thing, probably it has reduced. So maybe we reduced it to increase the range.

Maybe now you'll find one pickup point every 3 kilometres kind of a range or 4 kilometres range, to kick off or improve the operating leverage of the pickup point.

Percy Panthaki: Understood. Understood. And lastly, on your brick and mortar business, I got it in the previous discussions that basically you want to maintain a particular margin and any kind of efficiencies you have, you will pass it on to the consumer to become more competitive. So, I just wanted to understand if you have any more drivers lined up which can increase your discount versus MRP versus what it stands today. So, I think one or two years ago, you had done this direct delivery and stuff like that, which had given you 100 basis points. Are there any other drivers you see which can increase your discount to MRP versus what it stands today?

Neville Noronha: Yeah, it is the same playbook. It is about private labels, it is about GMA contribution, things like that. It's about your overall top line growth rate and

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hence how important you become for your suppliers in the branded space, so it's all three.

Percy Panthaki: So, any kind of rough guesstimate you can give that over the next two to three years, how much more you can sort of increase the discount versus what it is today, 200 basis points, 100 basis points? Any rough guesstimate on this?

Neville Noronha: Cannot. Cannot.

Percy Panthaki: Okay. Okay, sir, that's all from me. Thanks, and all the best.

Neville Noronha: Thanks, Percy.

Moderator: Thank you. The next question is from the line of Amnish Aggarwal from Prabhudas Lilladher Private Limited. Please go ahead.

Amnish Aggarwal: Yeah. So, hi, Neville. So, my questions are essentially on DMart Ready. You see, now, as you said, we have shut the number of pickup points. So first of all, what is now the ratio of your home delivery versus pickup? And if I look at, say, in the slightly longer term, as you also said, that there are consumers who want convenience and there are consumers who want, you can say, your pricing. Now, if I look at, say, the quick commerce players, as they gain scale and they grow in size, maybe their terms of trade also improve over a period of time. So, on this count, where does DMart Ready stand with the other

players involved ?

Neville Noronha: So, it's a good question. Obviously, when any suppliers' contributions increase or sales increase, their bargaining power will also increase. We are cognizant of that but at the same time, what we believe in a business such as retail, which is very process-oriented, you don't have any IP, it's all about who does it better.

When we crunch our numbers at an operating principle level, from a cost level, I think we have a huge, huge advantage compared to quick commerce from a cost of operation standpoint. But I think where they have an edge over us is the gross margin. Their ability to earn gross margin is significantly better

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than us because they operate on the principle of convenience. So that's the way to look at it.

To that point, I think eventually, who's going to win in the market is the question to ask. Our view is both will coexist. There is a set of customers who want delivery in 15 minutes, 20 minutes. They don't mind paying the premium. And it's a lovely model from that standpoint and very relevant for a country like India, especially large towns, where infra is a bit creaky. For people to reach from Point A to Point B is a bit challenging. So, from that standpoint, people who value time and convenience and comfort, this quick commerce business is fantastic. It will do well.

At the same time, there is a set of customers who deeply appreciate value. So, for example, if they have an INR10,000 or INR15,000 budget on grocery, if there's an opportunity to say, hey, you know what, 50% or 60% of items, I don't need to have them quickly, but saving INR1,000 on that makes a lot of sense to me. And we believe that she will come to us for that. Now, what we also believe is, considering all things equal, if competition also tries to play the value game, I think in the long run, we will do better at that job. So that's the whole thinking.

And we'll also try to take a decent share of that, even that discerning customers' wallet share. That's the way to look at it. So, for example, you'll have different customers and different SEC classes. The very premium SEC class will I probably buy less from DMart. People will buy through multiple formats and DMart will try to be one of those for every customer of a city. That's the whole idea. And the digital strategy is also that, that we decide to get into this to play in that wallet share and not say that I will only do this, I will only address this customer segment. The idea is that, is there an opportunity to service within the discerning customer and take a part of that wallet share from the customer? And over time, we believe that customers will gravitate towards DMart also. That's the thought.

Amnish Aggarwal: Okay, that's very helpful. And Neville now with 341 of our pickup points, and I believe each one of them would be say, maybe 200 or 300 odd square feet,
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so have you ever thought of that, can you convert those pickup points into something like a dark store or new dark store and also try to participate in the e-commerce market?

Neville Noronha: No, 200 square feet is not good enough to run a dark store. A dark store I think needs at least 5,000 to 7,000 square feet to even do decent justice to the customer basket. So, it can't work, 200 square feet can't work.

Amnish Aggarwal: Okay, understood. And like last year, we just added one more city in DMart Ready? So, are we done with the near term or we would see again this expansion in a number of cities?

Neville Noronha: I want to comment on that because the next we are going to meet is one year later and 12 months is a long time in digital commerce. So, we will play by the ear. We will see how things go over the next 12 months and then decide what we need to do.

Amnish Aggarwal: Okay, thanks a lot.

Moderator: Thank you. The next question is from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Hi, Neville, thank you for taking my question. Firstly, on the bill cuts, they have been going up. Just wanted to check on the trend of the shopping basket size. Do you see it reducing and what is the impact of this on you? Does it increase your SKU mix? So that's one. So, part two of it is do you see consumers experimenting more with brands and does that also require you to increase your SKUs and variety more?

Neville Noronha: I think basket value has gone a little up in the last year. So, one thing, what we saw dur

ing COVID was that significant shopping habits changed, suddenly basket values went up during COVID which basically meant that the trips to the store reduced. And I think that really helps us from all aspects of the business. And that has maintained. So, basket values have been maintained.

And so, on your other parts of the question, I think it's a continuous work in progress. See, the whole pursuit of the buying team is to catch the trend.

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Right? Catch what people are buying, what are the new things that are happening in the market and continue to be relevant to the shopper. That's part of the job on a going concern basis. That's the way we think about it.

Mihir Shah: Understood. Okay. Secondly, Neville, on revenue per square feet, it has come back to FY '20 levels. Can you throw some light on the average revenue per store in metros versus Tier 2, 3? And assuming you're driving more traffic because of the bill cuts being higher, what else is driving the revenue per square feet higher?

Neville Noronha: It's multiple things. It's not like it's going leaps and bounds. This is a blended average of multiple things. We look at SSSGs at a store by store level basis age vintage. That's the way we look at it. Footfall is going up, sales are going up for each of these stores. The mindset is store by store. Everything is reviewed store by store. We don't really believe in blended averages, per se. So, I don't know how to answer your question, but if revenue per square feet is going up by INR1,000 or thereabout, INR1,000 or INR2,000, there are multiple levers because of which it's happening that way.

But broadly, what we are seeing is that younger the store, higher the growth rate. That is one trend. At a company level, we are at INR 32,941 per square feet. But each cohort of stores are in very, very different ranges. The range is very, very wide. Like our very old stores are at a multiplier of this. It's not like 20% - like the top end store is not 50% higher revenue per square feet. It's a multiple of INR32,000. Challenges on growth come when they peak out. So, if the top 10 stores having the highest multiple of INR32,000, they sometimes don't even grow at inflation rate. And it's not because there is anything wrong with that business. That store has peaked out.

So, then the smartest thing to do is to open another store close by and distribute the revenue. So, the net gain, that is one store versus the old store plus new store open combined is value accretive. That's the way to look at it. But turnover per square feet has collapsed. So, it's not the right metric to look at.

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Mihir Shah: I see. I was basically trying to understand if the newer stores will have essentially significantly lower revenue per square feet and the blend idly. But I hear you, I mean, on what you are indicating.

Neville Noronha: Yeah.

Mihir Shah: Lastly, on DMart Ready, see, usually, Neville, FMCG brands, they indicate that any of the products that sell online have a higher gross margin profile sheerly because of the kind of products that the consumer buys are of better value.

When we look at DMart Ready gross margins, what levers do you see to improve the gross margin profile for DMart Ready and will that be one of the key drivers for you to become profitable in a shorter period of time?

Neville Noronha: Yeah, I think assortment is the key. You have to have a reasonable divergence, reasonable, not very large, reasonable divergence on the brick and mortar assortment to improve the margin profile of DMart Ready.

Mihir Shah: Okay, so you are indicating that, that is one key area of work that -- versus DMart brick and mortar, which has that higher gross margin profile, DMart Ready can get better than that?

Neville Noronha: Yeah, so like

I said, right, all the hard work that is done is done on the opex side. I think from an opex side, we are doing pretty well. I think now to make DMart Ready profitable is more of a margin challenge. I'm not saying there is no other operating leverage on the cost side; there is, but that will kick-in. We are pretty confident it will further kick in over time. But to make money in this business, it's a game of improving the margin profile.

Mihir Shah: Got it. And can you share, out of the 22, 23 cities that you are in now, how many of them would be breakeven at EBITDA level? I mean, I recollect you indicated metros had kind of maybe broken even earlier or something.

Neville Noronha: No, no. I have not indicated that. I have said that Mumbai is better. I had commented that Mumbai is better. And I maintain that stand even this year.

If from 8.3 % or something negative, we are at 6 -point -something negative, so at 6.3 % of negative, Mumbai is better than that. I can definitely confirm, but too early to comment on all this right now. Mihir, it's too early to comment

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on all these numbers right now. I think even getting these numbers in place is pretty good. And I think the trajectory line on cost optimization is in place.

We need to see a further opportunity to improve cost. Like I said, this business is all about how we manage the gross margin profile.

Mihir Shah: Got it. Thank you very much, Neville. And wishing you all the very best.

Neville Noronha: Thank you. Thank you so much, Mihir.

Moderator: Thank you. The next question is from the line of Varun Pratap Singh from ICICI Securities. Please go ahead.

Varun Pratap Singh: Yeah, thanks for the opportunity. Sir, my first question is on the pharmacy category that we're trying to build. What is the update over there, sir?

Neville Noronha: The update is it's still work in progress. We're quite happy with the outcome, but it will take us a reasonable amount of time to scale this up and have them in as many stores as possible. But like I said last year also, when we just about started, that we were pretty confident about this business, we have done this business before.

We understand this business, and I have nothing new to say this year, it has played out the way we had imagined it will play out. And the challenges there is all about the team buildout, the structure, people, getting the infra in place, the stock, the technology, the usual stuff, and it's on track. It's a great complement to the customer. So, customers are also enjoying this fact that, oh, I can now even buy my regular medicines at great value. So, it's a great complement to the main DMart business.

Varun Pratap Singh: Okay, so currently, in how many stores we would be having this category available?

Neville Noronha: Seven stores.

Varun Pratap Singh: Seven stores. Okay. Right. And sir, my second question is on the apparel segment. So, I picked up your thought in the FMCG that private label has a very long runway, given where India stands in terms of per capita and our ability in terms of how much value or quality we are able to add. But in the

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apparel segment, private label is becoming a sunrise sector. So how are you thinking about private label solution in this category divergent to our -- I mean, to your line of thinking in the FMCG business?

Neville Noronha: With the new team, new thoughts, new thinking, we're sharpening that. And you will see a lot of consistency on branding, on colour themes, a lot of that on the apparel side in DMart. I think there is merit in bringing some discipline,

- if I may say, in terms of basic colour coordination, branding, all of that. So, it is work in progress.

Varun Pratap Singh: Okay, right. And currently, sir, how much -- I mean, if you want to call out

how

much would be private label contribution in the apparel segment itself?

Neville Noronha: We don't disclose and it doesn't matter. You don't have to look at it like that.

See, from our business standpoint, the way we operate the business, and I've commented about this earlier also, almost entire thing, 90 %-95% of it is private label. See, the brand, when do you call it a brand? When you're charging a premium for the brand name, right? There's no such premium. You negotiate the cost of the product at fundamental factory cost operating level, with a small margin for that supplier who's making that garment and he supplies to us. And then we put in a mark-up and we sell it. So, it's not a brand.

Varun Pratap Singh: Okay, got it. And sir, in DMart Ready, you called out that our rate of expansion may not be high, it will be moderate. But still, like, how are you thinking about -- I mean, what is your definition of the growth rate in this business, which appears to be -- I mean, as you rightly pointed out, big data and our ability to do long tail selling of SKUs, so, I mean, how would you define the right kind of growth rate from a three to five-year time horizon and any comment if you wish to offer?

Neville Noronha: See, we don't have a very clear number to give to the e-commerce team. Let me put it this way. The e-commerce team in the last two years, have been told very clearly, grow as much as you can, okay? Because we know what the operating model is. It's up to them and their ability about how fast they can grow. It is no more a point of view of saying, oh, we cannot lose so much money.

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That conversation is over since the last two, two and a half years, okay?

Because we know how much this business will lose now. So, there is no restriction from that standpoint. The larger point is how quickly can you grow? How many additional fulfilment centres can you add in a city like Mumbai, in a city like Bangalore, in a city like Hyderabad, in a city like Gurugram or NCR. Those are the conversations we are having, if you want to get a colour of how we are thinking about the e-commerce business.

Varun Pratap Singh: So, having done all the hard work on the opex side of controlling the cost, sir, what is the hard work that we are doing to drive the revenue growth with regards to customer awareness, etc.? Anything on that side, if you want to highlight?

Neville Noronha: I have spoken about this in last year's meeting also and probably the year before that. The e-commerce business is nothing to do with making people aware. What's the point in making people aware if I don't have capacity? I have to first build capacity. So, one of the key reasons why we are not making customers too aware is because we don't have capacity. And yet we are working hard on building capacity.

At the same time, like some of you commented, we had all these bus hoardings where we plastered a few buses with DMart Ready ads in Mumbai because we built capacity. We created capacity in Mumbai. And then we went around talking to town saying, hey, you know what, why don't you try DMart Ready? So, first is building capacity, then spending money on telling people to come and shop is very easy. You just need a lot of money to throw. That's the easy part. The difficult part is building capacity.

Varun Pratap Singh: Understood, sir. And sir, just one last question that any new -- are there new categories similar to pharmacy that we would have entered in FY '24?

Neville Noronha: Other than pharmacy?

Varun Pratap Singh: Yes.

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Neville Noronha: No, no. Anything that makes the DMart brick and mortar business strong is what we will do. Anything that will make the digital, that is the DMart Ready

business strong is what we will do. Anything beyond th

at, we should not do.

Varun Pratap Singh: Sure. Okay, sir, thank you very much. Wish you all the best. Thank you.

Neville Noronha: Thanks, Varun.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: Hi, Neville and team, thanks for giving me the opportunity. Neville, you again reemphasized today the strategic importance of deepening penetration in existing markets or existing region. Now, if -- correct me if I'm wrong, but we have not entered a state for a very long period now.

Rushabh Ghiya: Tejas seems to have dropped. We can take the next question and then we can take a question from Tejas.

Moderator: Sure. The next question is from the line of Nihal Mahesh Jham from Ambit. Please go ahead.

Nihal Mahesh Jham: Good afternoon, Neville and team. I had three questions. The first, Neville, is in your reference to looking at DMart from a longer term 10-year perspective, this comment you made of DMart, obviously, wanting to be value first. So just taking your discussion on GDP per capita, even in terms of private labels, do we have comfort that, say, over the next decade, there won't be a larger cohort, say, which moves to convenience as the GDP per capita improves and then maybe you want to plan about the business model now and look at convenience more going forward?

Neville Noronha: For the same category of products or segments, not only of a retailer, but any product, the value or the mid segment is always the largest pie of the market. That's the way we look at it. Now how much bigger will it be, what is the proportion? We don't know, but I think value, we believe, will be a larger segment compared to convenience, even in the grocery segment.

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And we'd like to play in that. It's as simple as that. And that has got no relevance to per capita income, how developed the economy is. Like you look at Western Europe, you look at USA, value is where the biggest retailers are, right? So, we like to play in that space. Now whether it's digital or it's brick and mortar, doesn't matter. So, I would like to clarify that too, but we would like to play in the space of value.

Nihal Mahesh Jham: Sure, point taken on that. The second was on your comments on Minimax, just wanted to understand how are you looking at that format? Is it that you're looking at an independent offline model or there is a thought of this becoming, say, a part of the delivery of network and maybe then the unit economics differs and you can look at larger openings going forward in terms of this format?

Neville Noronha: Earlier also some body asked me on this Minimax format, I think you don't need to overthink. Even we are not overthinking on this model. It's just a trial, but we aren't seeing much progress there. So, it's just there to kind of check if something is happening there. Nothing exciting yet, to be honest.

Nihal Mahesh Jham: Got that. Final question is, say, of the 40, 45 stores that you're targeting for this year, any sense of what will be the so-called split stores - share of the split stores that had to open because of, say, certain stores getting maxed out, just for reference?

Neville Noronha: No, I probably didn't get your question. What did you mean by split stores?

Nihal Mahesh Jham: What I meant is you referred that some stores were open because certain existing stores got maxed out. So, when you opened a certain store, they had to ease the capacity from those. So just to understand if those stores will be a larger share of the 40, 45 that you're planning to open.

Neville Noronha: No, no, no. Nothing like that. In fact, they'll be a very small component. We have these maxed-out situations in cities like Bangalore, Hyderabad, Mumbai, these kinds of locations. But our store openings are in a s

ignificantly larger

number of cities. I think last year we opened stores in 12 new cities. So, it's a mix. You can't put a number or you can't model anything around this.

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Nihal Mahesh Jham: Point taken. That was it and thank you so much.

Moderator: Thank you.

Neville Noronha: Tejas?

Tejas Shah: Hello? Am I audible?

Rushabh Ghiya : Tejas, you are on. I think we didn't hear your question. So maybe you'll have to just repeat the entire thing again.

Tejas Shah: Sorry for that. So, Neville , you again kind of highlighted or reemphasized today that the importance of kind of going deeper into the market. And if our numbers are correct, then perhaps we have not added any new state in last many years. So just wanted to understand from two perspectives, does it -- like when you enter a new state, does it make it easier to kind of up the pace of expansion because it's a virgin market and it becomes easier to kind of identify good location, A? And, B, we also noticed that distribution centres have increased from 49 to 62. So, kind of wanted to understand, is it a kind of precursor that you have to invest before you kind of ramp up your store expansion run rate?

Neville Noronha: So, if you're looking at distribution centre addition as a precursor to new state entry, no, not really. In fact, it is the other way around. Whenever you go to a new state, we don't pre-empt investment through distribution centres in that state first. We, in fact, supply them from the existing distribution centres , which we feel is more prudent. Only once we get critical mass, we build distribution centres . That's one point.

Second point is, going to new states, I think it's just more bang for the buck because we know the older states better. And second is, it gives us better operating leverage . But that apart, we do see opportunities of going to Orissa, going to Uttar Pradesh (UP) and you will see some stores coming up in UP. We have already tied up a few firm deals in these states. So, any state that shares the border with the existing state is a natural progression for our business.

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Tejas Shah: Very clear. And just expanding this point to your GMA mix logic that you have given us in past also that when you enter a new territory, the GMA mix has to be higher and it goes down as you open more store in the same market.

Should we expect this cyclicity in GMA when you enter a new state or virgin territory initially, it will bring much more disproportionate GMA mix versus your current expansion that you're doing in your existing territories?

Neville Noronha: Absolutely . So, for example, let's say, hypothetically, suppose I add 400 stores and hypothetically I add another 400 stores next year. My GMA contribution will go above 30%.

Tejas Shah: But if, let's say, of those 400 stores, 300 are totally new market and not in the existing markets, would it be again disproportionately higher?

Neville Noronha: Could be. Could be. But that's not necessarily a good thing. And that's what I keep telling you guys, that I think there's over-obsession on this GMA contribution just because optically it gives you better margin. Always remember that absolute revenue is the key driver of profitability. So, I could be an INR30 -40 crores store with a 35% GMA contribution, but INR150 crores store with a 20% GMA contribution would be giving you better ROI.

Tejas Shah: Got it. And the last one, I'm not sure if I understood it correctly, but you mentioned that fashion apparel is personality or team-driven business or more personality or team-driven business. And we have observed that in both Indian and international fashion retail that business fortunes can be volatile depending upon how the team -- merchandising team actually moves in and moves out. S

o, when you're building a business for 3, 5, or in fact, 10 years, how are we trying to institutionalize some of those things? Because it can't be, let's say, a team of personality-driven, if you are building a business for 10,15 years.

Neville Noronha: So, you reduce the impact of personality. It's as simple as that.

Tejas Shah: But is it that easy in fashion as it was in, let's say, other divisions?

Neville Noronha: Not easy, relatively, not easy. And that's why you need to be significantly, exceedingly more stubborn when you're dealing with categories like apparel
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in terms of evangelizing the ethos of what DMart stands for, not everybody believes in it.

Tejas Shah: Got it. That's all from my side. Thanks and all the best.

Neville Noronha: Thanks.

Moderator: Thank you so much. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi, Neville and Niladri. Good afternoon. Thanks for the opportunity. I was just referring to slide number 13 where you have given the gross margin is around 14.5%. And if I look at the DMart Ready gross margin, there is a difference of about 200 basis points. I do understand there is a mix change and everything which would be there. But would you be able to share, if I look at, the brick and mortar business would have about close to 57% contribution from food, this portion or proportion of this would be much higher in the DMart Ready?

Neville Noronha: Shirish, that's not the way to look at it. If I remember maybe the last analysis I met or the year before that, I commented on this, that you have to look at the e-commerce business as similar to, say, the FMCG business of the brick and mortar. Because the non-FMCG selling or the ability to sell non-FMCG in the e-commerce segment is not so easy. Okay? So that's the way to look at it. And hence, how you play the assortment of a digital space is going to be exceedingly challenging. That's the way to look at it. So how do I bump up that margin? It's not just by replicating what's happening in the brick and mortar business.

Shirish Pardeshi: But I would assume, Neville, we have the terms of trade with the top five brands in non-FMCG also. So why there should be, in the first place, margin difference?

Neville Noronha: Okay, so that's a wrong assumption. There's no concept of a terms of trade in non-FMCG space. Non-FMCG space is very, very transactional and all the margins are front ended on the product itself. The principle of operation there is very, very different.

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Shirish Pardeshi: And just harping little more, you mentioned that the margin is one of the things, because in the -- internal things, you have already done to improve the margin for DMart Ready. So, it's the external thing, which is there, if the margin expansion is happening, what are the top two, three drivers, you think, which will pan out over the next two, three years?

Neville Noronha: Again, one thing, it's just the assortment play, the assortment which will drive more margin and what is your ability to sell that assortment just by someone seeing on the screen, and how do you make that profitable? Because the moment you shift towards saying, look, I'm now going to bring an assortment to just give me 30% and 40% gross margin, your return rates will rapidly go up. And hence then what is the net margin you're going to make? And is it value accretive? That is the question to ask.

Shirish Pardeshi: Okay.

Neville Noronha: So, it's very, very challenging.

Shirish Pardeshi: Okay.

Neville Noronha: And that is being reflected in what you see in the world, right, not just in India. It's very easy to bring in top line. Where is the profit? Don't see any profitability there. Right?

Shirish Pardeshi:

Got it. Got it. My second and last question. If I look at the steady state when we used to have a GMA contribution, about 28%, the best sense, what I have got at that point of time, about 35% used to be contribution from the apparel. Now, when this has settled around 22%, 23% in your aspiration, and it will remain stable, this apparel business will go back to that one-third contribution or it will remain at where it is now?

Neville Noronha: I haven't ever disclosed what is the apparel contribution within the 22% or 28%. And I have no view on where it will be. I cannot comment on what it could be.

Shirish Pardeshi: No, directionally. I'm not asking the number, but directionally, because you run the business, you know what was there about -- maybe it was 28%. Is that
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number primarily becoming positive or showing some momentum over the last two, three quarters? That's what we have seen.

Neville Noronha: I really don't look at it that way. See, I think this whole GMA conversation began during COVID and we started disclosing these numbers or giving emphasis on these numbers just to give a sense of why gross margins at the blended company level are going down.

But if you ask me, as a team who's running the business, are we too worried about this GMA going down? Of course not. We only focus on footfall, basket value, conversion, and overall like -for-like growth rate. It means that customers are continuing to patronize and visit our stores and buy from our stores.

Now, as long as the basket values keep on growing, the number of footfalls keep on growing, and that's it. I mean, mix can be whatever. See, mix should never be forced. Mix is your story. Mix tells you what people like you for, and what are they rejecting you for. It's as simple as that. So, I think the essence of a mix is it is telling you something. The customer is telling you, hey, listen, this is what I'm telling you.

And you act based on that. Just because something is giving me more margin, I will force fit or push the customer to a particular area forcefully? No. But if information or whatever the customer is telling me gives me an opportunity to improve and say, okay, I'm not doing this right, can I try other multiple things to make it right. I mean, that's the way -- it's not a straight answer if you get what I'm saying. Right?

Shirish Pardeshi: Okay, got it. Just lastly a question on the bigger store what we have opened in last one year. What are the hits and misses? Or maybe if you can share the learning, which has surprised you positively or negatively?

Neville Noronha: I think the biggest issue is we have to up our game as the scale is going up. So, everybody talks about scale giving leverage, scale helping, scale gives bargaining power, everything. We all talk about positive things about scale.

And I've come to realize over the last three to four years, I mean, I think scale can become a monster which can bite you if you don't do it right. You end up
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losing more than gaining if you don't manage. So, scale is creating a lot of challenges for us. And we have to be cognizant of this and build capability so that how customers thought about us 5 years back, 10 years back, is it equal to that or better than that? So, the perception should not diminish in her mind, in her imagination.

And second, which is equally important, same for our employees and our vendors or even the larger ecosystem. I think how they think about us has to be equal to or better than what it was in the past, because with scale, everything gets diluted. So that, to my mind, is the biggest, biggest threat for the business in the long run.

Shirish Pardeshi: Okay, thank you, Neville.

Neville Noronha: Thank you.

Moderator: Thank you. The next question is from the line of Chanchal

Kumar Khandelwal

from Birla Mutual Funds. Please go ahead.

Chanchal Khandelwal: Thanks, Neville, for taking my question. I just wanted to pick your brains on the quick commerce part of it. What do you think are they doing right? Now, why this question again, let me rephrase it and understand it from your perspective. Because if I say top seven cities, they put together USD 4 billion, USD 5 billion of sales today. And in top seven cities, if I take your sales, you

would be similar or tad lower. So, if they have be en able to get a USD5 billion sales in top seven cities, and they are talking about aggressive growth, and they are working on a gross margin because their assortment and the mix will be different. So according to you, what are they doing right? And how do you envisage that five years from now?

Neville Noronha: I will not be able to comment on them much, just that I have deep respect for what they have built. It's amazing what they have built. I had a lot of reservations . I me t some of their leaders and the way their model was, the structure was earlier , to what they have been able to do now, deep respect for what they've done. It's an amazing model. It is relevant for India. It's a smarter model than probably the marketplace. But it's different. It's addres sing a different need. We are addressing a different need and that's Avenue Supermarts Limited
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the way I'll talk about it. And I will not be able to comment further on their model beyond whatever I have said just now.

Chanchal Khandelwal: So, there is -- sorry.

Neville Noronha: Let me finish. One more point. The larger point is, I'm just now specifically answering your question . All this is happening because the market size is very large. The sheer size of opportunity for grocery retail in a country like ours of 140 crore population is humongous , large.

And I am glad that there are many more businesses which are pursuing or reaching to the point of breakeven profitability. It's needed. I mean, this country needs more success stories in retail. And there's no better success than reaching profitability or c oming close to profitability. It's good for the industry, but it is serving a different customer need. DMart is serving a different customer need. That's the way to look at it.

Chanchal Khandelwal: So, I understand that. And in one of the replies , you said that value is the largest part of the pie and you will address value and you'll be the leader in the value. But where I'm coming from, say, five years from now, you capture the top 10 brands , this guy captures the bottom 20 brands, because there is one pl ay on brand and one play on private label. And if private label and the second 20 brands become bigger, which are willing to give a higher margin to quick commerce, somewhere that gross margin impact may help them scale the business to a different level al together. So that's the mix I'm trying to understand.

Neville Noronha: So, like I said, I'm not able to comment on what they could do, but it's challenging and exciting. We'll play it, we'll see how it goes. We'll also compete and let's see who wins. And y ou could have more than one winner. You see it globally, right? It's not winner takes it all and multiple players will coexist. This size of market cannot be fulfilled just by one, two, three players. You need more players and all can be profitable.

Chanch al Khandelwal: Sure. So just lastly, given that quick commerce is going to scale up much faster in next two, three years, is it right time for us also to speed up the button?

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Neville Noronha: We will not do things because somebody else is doing something. We will do basis our capability and our competence and let the best man win.

Chanchal Khandelwal: Sure. Let me leave it at that. Thank you.

Moderator: T

hank you very much. Ladies and gentlemen, due to time constraint, the next question will be the last question, which is from Shrenik Bachhawat, PGIM Mutual Fund. Please go ahead.

Shrenik Bachhawat: Hi, sir, thanks for the opportunity. Most of my questions have been answered.

Just one last on the p rivate label strategy. So, over the longer term, say, 10 years, 15 years from now, if our private label segment becomes a much bigger pie, do we plan to open private label -only stores at a later stage in time?

Neville Noronha: Doesn't make sense at all. Th e value of private label is when something next to it is at 30% or 40% higher price, then people perceive the value of private label. Private label has no place to be standing alone and selling, doesn't make

any sense. What is the principle of private label? You leverage on your operating cost, right? Your operating cost is almost zero because it's riding on that same rails, right? So, doesn't make sense to have anything independent. Now that's our view. Somebody else may be doing something different, but that's our view.

Shrenik Bachhawat: Okay. Got it, sir. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we can take one more question, and it will be the last one, which will be from Mr. Binoy, Sunidhi Securities & Finance Limited. Please go ahead.

Binoy Jariwala: Thank you for the opportunity. I hope I'm audible?

Neville Noronha: Yes

Binoy Jariwala: Okay. Neville, So a bit on the store additions. In the last year's con call, you mentioned that the way you are thinking about store addition is that can you typically add about 20% of the store count every year and that's the framework in your mind. This year, that number you've spoken is 15%

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number. So why sudden change in that mental framework in a year's time?

That's my first question.

Neville Noronha: Binoy, this an aspiration, but what do you mean by change? Come again? I didn't follow the question clearly.

Binoy Jariwala: Meaning, in terms of your mental framework, that you're setting it up and your building capabilities, last year, you spoke that you'd like to see store additions growing at roughly about 20% CAGR. Now, this year, you've spoken that you'd like to see store additions to grow at roughly about 15% CAGR. And you've not spoken about the 20% number. Instead, you've spoken about a lower number, which is 15%. So that's the reason. So, my question is pertaining to this, that why you have a sudden drop in this number? Are you seeing something on the real estate, difficulties on the real estate front? What is it?

Neville Noronha: No, it is the same. The theme is the same, 15%, 20%. Okay? You replace everything that I said, 15% with 20% even for this year, right? That's the aspiration. We want to add more stores. The single point agenda is store addition. The store addition will drive the CAGR. So, no change from that standpoint, if that is what you are alluding to.

Binoy Jariwala: Okay. Okay. That explains. Second is on the DMart Ready. You said that MMR operations are much better than the rest of India. So, has MMR broken even at a PBT level?

Neville Noronha: No, it has not.

Binoy Jariwala: Okay. And on Reflect Healthcare, if I would just pick your brain on this. So, what is the thought process behind how do we want to launch Reflect Healthcare? How much space would we be carving out within the store and for a dedicated pharmacy, etc.?

Neville Noronha: I think pharmacy takes around 600, 800, or sometimes even 300 square feet. So, a very small space. So, from that standpoint, not a challenge. And we are trying to now do the easier ones, where we have more space. We have very high throughput footfalls, where we'll get operating leverage by having at

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least seven to eight stores in

in a city, that kind of things. So, we're trying to do

that first, that is stage one. That's the way we're thinking about it.

Binoy Jariwala: Okay. And in terms of the opex, will it require any additional opex, or?

Niladri Deb: It's very inconsequential. Just the furniture. Nothing much.

Binoy Jariwala: Nothing much. Okay, okay. And my last question is on DMart Minimax where you said that there's not much to read into, but I'm just wondering, 21 stores that you operate as on March, you had added six stores last year. So very unusual of the DMart ethos, right? You typically tend to perfect a model before expanding it.

And we are already seeing 21 stores of Minimax. And this is not even like

Minimax is a counter within DMart. It's like a proper, separate store, a smaller DMart store. So just wondering, what are you thinking here in terms of -- can you speak a little bit about this format and what are you trying to solve for the company as well as the customer here?

Neville Noronha: So, we've been contemplating, is there a way for the Minimax Store to merge with the pickup point. That is a thought, and it gives you a far better omnichannel play. That is the thought around it. There are two ways of looking at the omnichannel way. One is you say convenience, relative convenience and omnichannel, or you say extreme deep discounting and omnichannel.

So, we took down the path of extreme discounting with omnichannel. So, it's a kind of a work in progress. And it's not that the financial metrics are bad. That's why we added a few more. The profitability metrics are actually better than the pure play digital or the pickup point metrics. So, from that point, it is good. But is it good enough to say, can we have 500 or 1,000 locations? Not yet.

So, to that extent, we are still in the phase of perfecting the model. But to get more granularity and more reference, we have extended to a few more cities just to get a feel, at a multi city level, does this really make sense?

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Binoy Jariwala: Is there any time line that -- internally that you're thinking about in terms of when -- by when you think you'll have an answer to this question?

Neville Noronha: I don't know, maybe another year or two, we'll get a very clear picture. So, we have our EBITDA target, we have a PBT target. Only if we get to those levels of target, it's worthwhile to put energy, build an independent team to run this independently and just scale it up. I mean, that's the thought. So, unless we don't achieve that EBITDA target, knowing very well what is the depreciation cost to it, so basically PBT target. So, if we get a desired PBT target, then we'll expand. The best way to look at it is if you're seeing a rapid increase of Minimax stores, that means we've achieved our PBT target. That's the way to look at it.

Binoy Jariwala: These stores are on lease, right, unlike the DMart stores which are owned?

Neville Noronha: They are on lease.

Binoy Jariwala: Okay. One last question to you and then to Niladri, one question. Will we -- so to you is, a few years back, we contemplated entering big box wholesale format. So -- and then we put it on the back burner. So, any thoughts on that? Or it's still on the back burner?

Neville Noronha: I don't think we should get into it. It's not even on the back burner. It's out, it's in the trash can.

Binoy Jariwala: Okay. One question to Niladri on accounting is that -- just wanted to understand, so when we typically buy out a property with the land, do you -- how do you account it as capex? Do you split the land and account the land in the land part and the building in the building part? How does that work from an accounting point of view?

Niladri Deb: So, you are referring to a ready -built property, right?

Binoy Jariwala: Yes

Niladri Deb: So, in a ready -built property, what we do

is we do a valuation of the property

when the store opens and then we split the cost based on the valuation certificate into land and building .

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Binoy Jariwala: Into land -- so it is not that the entire -- if you acquired a property, you put it entirely into building, nothing like that. Splitting it between land and building.

Niladri Deb: You cannot do that because building enjoys depreciation. So, tax authorities will object. So, value we pay for a built -up property is inclusive of the land which comes with the property.

Binoy Jariwala: Okay. Thank you so much. That's all from my side. Thank you for taking my question. Thank you so much.

Moderator: Thank you very much. Ladies and gentlemen, that concludes th is conference.
Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

6th August, 2025

To,

BSE Limited

Corporate Services Department

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400 001 National Stock Exchange of India Ltd.

Corporate Communications Department

“Exchange Plaza”, 5th Floor,

Bandra – Kurla Complex, Bandra (East),

Mumbai – 400 051

BSE Scrip Code: 540376 NSE Scrip Symbol: DMART

Sub: Transcript of Analyst/ Institutional Investor s Meet 2025

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of conference call with Analyst/ Institutional Investors held on 30th July, 2025.

The transcript of conference call is also available on website of the Company at <https://www.dmartindia.com/investor-relationship> .

Kindly take the same on record.

Thanking You,

For Avenue Supermarts Limited

Ashu Gupta

Company Secretary & Compliance Officer

Encl: As above

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“Avenue Supermarts Limited

Annual Conference Call”

July 30, 2025

MANAGEMENT : MR. NEVILLE NORONHA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – AVENUE SUPERMARTS
LIMITED

MR. ANSHUL ASAWA -- CHIEF EXECUTIVE OFFICER
(DESIGNATE) – AVENUE SUPERMARTS LIMITED

MR. RAMAKANT BAHETI – GROUP CHIEF FINANCIAL
OFFICER – AVENUE SUPERMARTS LIMITED

MR. NILADRI DEB – CHIEF FINANCIAL OFFICER –
AVENUE SUPERMARTS LIMITED

MR. VIKRAM DASU – CHIEF EXECUTIVE OFFICER –
AVENUE E-COMMERCE LIMITED

MR. RUSHABH GHIYA – INVESTOR RELATIONS –
AVENUE SUPERMARTS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Avenue Supermarts Limited Annual Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Rushabh Ghiya. Thank you and over to you, sir.

Rushabh Ghiya: Thank you. Good morning, all. Welcome to our annual investor and analyst conference call. I have on call with me Mr. Neville Noronha, our MD and CEO, Mr. Anshul Asawa, CEO Designate, Mr. Ramakant Baheti, Group CFO, Mr. Niladri Deb, CFO, Avenue Supermarts Limited and Mr. Vikram Dasu, CEO, Avenue E -Commerce Limited.

We hope that you have had a chance to look at the presentation which was uploaded on the exchanges, as well as on our website. We will start the call with Neville briefly taking us through the presentation and post that, we will open the session for the Q&A.

Before that, I would just like to draw your attention to the Safe Harbour Statement for good governance and then I will hand over the call. Thank you. Over to you, Neville.

Neville Noronha: Thank you, Rushabh. As has been a template every year, we will rush through the presentation which is already uploaded on the exchange and then we will open for Q&A. I will take the first few pages to broadly give you a view of the business and the operating and financial summary will be then taken by Niladri, our CFO.

We go to Page 5. So, just to give a broad sense and colour about the business, I think the last year you would say, in spite of the competitive context in the offline and the online space, our business has been resilient overall in delivering us the desired growth rates.

As far as share of revenue is concerned between food, non -food and general merchandise & apparel, it has again remained reasonably consistent and we are quite happy with the outcomes. Obviously, there is an opportunity to do better and we can talk more as we take questions. But broadly the sense is that it is resilient, competing very well and we see a tremendous headroom to grow both in the offline and the online channel, but obviously doing it in our own methodical way of growing the business.

Go to the next page. Again, gives you a good consistent view about how we grow. So, if you look at how we have added stores, it has been an even addition across all states like we have always spoken about because it gives us a better sense on the customer profiling and also Avenue Supermarts Limited

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operating leverage gets better and better, if we have more and more stores opening in the same region.

So, we have remained true to that concept, but no doubt there is a huge opportunity to grow in the North of India and that is where the white spaces are and we will talk more about that as we take questions.

Go to Page 6, DMart Ready Business. Again, like I mentioned in my Q4 comments, I think it has been a year of evaluation, reflection. While some of you may think that, that should have been the year for speed or accelerated expansion of e -Commerce, we looked at it in a different way because we pivoted from the pickup, plus home delivery to a more focused home delivery business because that is how the market evolved.

And I think we have some interesting things to talk about on that topic and we are more confident now about how we should approach the DMart Ready Business in the near future. So, that is why we have maintained. In fact, we are now actually in 24 cities. We have withdrawn from one city but like I said, we will talk more about that.

Let me go to Page 8. We have opened 50 stores last year and we hope to continue

the acceleration

and actually try and open as many more than we have opened in the past. Like we have always said that the right method of expansion in the offline space is to open on an average every year at least 10% to 15% or maybe 10% to 20% of your base stores – every year. So, that allows us to get a good CAGR growth rate from an overall revenue standpoint.

We continue to say that India is a huge, huge opportunity from an overall retail space perspective for value retail, for a format like DMart and we continue to remain very, very bullish on the offline space and also, we see a lot of opportunities in the online space. But since we are talking

about store additions right now, we believe that we have an immense potential to grow in the country across population strata. So, we remain consistent to that.

Before we go to the operating and financial summary, since this is my last session of the Analyst Meet under this title that I hold, I just want to take a moment to say thank you to all of you for being a tremendous support and also to kindle that alternate thinking through the Q&A which I thoroughly enjoyed with each one of you.

So, thank you so much for pushing us harder and also patiently listening to our responses and appreciating what we have been doing for so many years. Thank you so much and with that I hand over the next session to be done by Niladri, our CFO. Thank you.

Niladri Deb: Thank you, Neville. Good morning, everybody. I move to slide number 10 which is the operating & financial summary. We had about 35.3 crores bill cuts in the year just gone by. Like-for-like growth for 24 months plus stores was about 8.4%. We added 2 million square feet of operating space and our revenue from sales per square feet came at about close to INR34,000 per square feet.

On Slide 11, we have mentioned our revenue from operations, disclosed earlier at INR57,790 crores, EBITDA margin of 7.9%, a PAT margin of 5.1% and we generated net cash from Avenue Supermarts Limited

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operations of INR3,700 crores plus. On the days inventory, days payable, so we continue to have inventory close to 31 days and payables continue to be tight at about 7.2 days. We have historically maintained a 7 to 8 days payable terms across. Debt equity ratio is negligible because the debt that you see on the balance sheet is only due to reclassification of AS116 assets, the lease ones. Fixed assets turnover came in at 3.4. Inventory turnover ratio was 13.6 times and the return on net worth, the return on capital employed came in respectively at 14.1% and 17.8%, a slight moderation from the prior year numbers.

Moving to Slide 13, the standalone sales grew by 16.7%, EBITDA grew by 10.8% and PAT excluding tax gain grew by 7.3%. We delivered PAT of INR2,891 crores excluding the tax gain, including tax was about INR2,927 crores. On a consolidated basis, the sales were about INR59,358 crores and the PAT including tax was about INR2,707 crores at 4.6% margin.

We have also listed in Slide 14, financials of the key subsidiaries for us. Avenue E-Commerce grew sales by about 21% and the loss slightly widened to about 7%, the loss was at INR247 crores. Align Retail, which is our subsidiary business which does packaging of grocery items, grew about 19%. The PAT grew by about 13% and Food Plaza, the food stalls that we have at our stores, they grew by about 28%, though we registered a loss because of the expansionary phase of the business. That's all in the operating and financial summary.

Rushabh Ghiya: We can open the session for Q&A now. Rayo, you can continue now.

Moderator: Sure, thank you very much. We will now begin the question and answer session. First question is from Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Yea, thanks. My first question is to CEO-designate Anshul. So, you spent 30 years in Unilever, an FMCG company. Now, FMCG

company versus retail, overall landscape is very different. I

wanted to understand how do you see these four to five months which you have already spent in DMart and now you will be taking over as the CEO in some months. So, I wanted to understand from an experience perspective and overall landscape, what will be your thoughts?

What made you join a retail sector? Last 10 years in Unilever, you spent in Europe and 10 months in Thailand. In last 10 years, India has changed dramatically and we did see another FMCG company CEO change happen. So, I wanted to understand given India has changed dramatically, how would you see, what will be your initial thoughts on the massive consumption change which has happened and what will be your key thoughts from that? Will the priority be more on doing the same, but increase the speed given now you have entered the UP market? That is the first question.

Anshul Asawa: Thank you, Abneesh, and good morning, everyone. It's my first time here. So, I'm looking forward to engaging with all of you in the years ahead. Abneesh, you made a lot of comments about me and my experience. I'll focus a little bit on a couple of things which I picked up from your question.

So, first and foremost, yes, indeed, it's been 10 years that I've been away from India. I'm coming back after 10 years and India has changed quite dramatically. I personally have enjoyed the

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dynamism that this market, the people here have and also the opportunities that exist in business

and especially in a business like retail, modern retail that DMart is part of.

Now, 30 years in an FMCG company, a company like Unilever have been highly enriching, lots of different experiences across geographies. And I think one thing remains consistent between I think FMCG companies and now that I moved to DMart – Organizations succeed only when they are customer -centric, and I think that is true in FMCG and that's even more important in retail.

In my last four months that I have spent in DMart, and I must say that we've had between Neville and myself a very structured and planned approach of this transition. So, the first four or five months, I've really spent in trying to understand the organization, the operations, the people and the culture of this business. I've spent a fair amount of time in stores, in the distribution centres. I've travelled now to many of our key markets and met a lot of people. And I think that has really helped me in these last four months to understand this organization and of course also understand the opportunity that lies ahead. So, I think that has been very, very well planned and I think also during the course of the day, we will also possibly talk about the transition timelines. But so far whatever we have planned between Neville, myself and the Board, we are on track as far as that plan is concerned .

Now, I think you also mentioned if there is anything different or anything that I am planning to do as I transition into this role. So, at this point of time, very initial observations. I think the business is on very, very strong fundamentals. It's been built over the last 20 years, of course, with the vision and leadership of Mr. Damani but also a very strong management of Neville and his team.

And what I see at least is that these fundamentals and the culture of this organization doesn't really need to change. Yes, of course, there are opportunities to improve. There are opportunities to accelerate and we can talk about them in the coming days. But what I see is a strong business which now needs to be scaled up. A business where we need to have capabilities spread across more and more of our geographies. We need to have a talent pipeline which is able to tap this opportunity that lies ahead of us.

Abneesh Roy: So, thanks for the detailed answer. My last question will be to Neville. Neville, if

I see slide

number 5, two of your categories have declined as a percentage of sales. So, Foods has gained. So, if you could elaborate the dip in the margins which you have seen in the last one year, how much of that is because of the mix gain? So, Foods is, say, higher by 78 bps as a mix and we are seeing, say, 40 bps drop in terms of the EBITDA margin. If you could explain that bit.

Second related question is from FMCG yardstick. I do see most FMCG companies now seeking more on a profitable growth rather than just promotion. Of course, toothpaste is one clear aberration. So, in your stores, are you also seeing now that it's more of an innovation -led drive and less competition, say, from the local players, from FMCG perspective, if you could highlight, that is there more rational competition and are national players coming back in the core non -foods and core foods category, in both the categories?

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Neville Noronha: So, Abneesh, broadly on the gross margin, I think the gross margin has slightly been better this year than last year. If there has been a slight deterioration from a perspective of what we aspire to, what we delivered, I think there are two things that are happening and which have remained consistent throughout, that there is continuous competition in the FMCG space. From a price -led, discounting -led perspective, FMCG continues to be very, very competitive on pricing. And at the same time on the non -FMCG piece -- within the non -FMCG, the mix is shifting more towards lower -priced products.

So, to that extent, there has been a margin -mix impact. But overall, there hasn't been any major adverse impact which we need to worry about. In general, like I said earlier also, alternate modern trade formats are emerging. And within that, when you look at the general merchandise and apparel segment, obviously we see that in the apparel segment, there is more innovation and there is more competition.

So, apparel continues to be a little softer compared to general merchandise. But like I mentioned even earlier, apparel is a smaller contributor to the GM&A business. So, it doesn't affect the P&L to that extent. So, I hope I have answered that question.

On the overall scheme of things of innovation -led opportunities, I think the D2C brands are doing a significantly better job than the incumbent large FMCG companies. And wherever we see an opportunity to capture that through the offline and the online space, we try and do that. Large FMCG companies are trying hard, but I think there are fundamental challenges there and we all know about that. But yes, from an innovation standpoint, we see newer companies doing a better job there, number one.

Number two, DMart as a platform, I think we operate on the principle of value. So, the format

automatically creates a level playing field for anybody who has good products and can deliver at great value because our philosophy is simple. We have a very clear -cut principle about how much margin we should retain. Everything else goes to the customer. So, whichever company has a great product, has understood the segmentation clearly, DMart is the platform to be, because we are fair to everyone. It doesn't matter who is big, who is small. So, it's a great equalizing platform and if the product is great, customers like it, it will sell. That's the broad philosophy. I hope I've answered the question.

Abneesh Roy: Yes, thanks. One last follow up and I'll end there. Sir, when I see your foods, that is an interesting mix of commoditized categories and branded FMCG kind of category. So, I wanted to understand the logic of putting both together because both are so different, right?

On the one hand, you have groceries, fruits and vegetables, which are, I think, completely commoditized and then dairy and staples also, which are almost commoditized. Putting that

in

the same bucket, which has hardcore branded foods, what is the logic behind that?

And from a growth perspective, is there something which is different? Ideally, shouldn't you have the branded part of this bucket in the non -foods? What is the logic behind separating those two?

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Neville Noronha: What do you mean by doing both? We've been doing both since our inception. I mean, I've not understood the question. We really don't look at it from a brand versus non -brand. We are not a FMCG company. We are a retailer. So, we will ensure that whatever customer wants is available. In fact, what does a value retailer really try to do?

I mean, we love products which have very, very small markups because of the branding strength, right? That's our job. I mean, how do you keep pricing under control? Retailer does that job. A value retailer does that job. So, in fact, I would be very happy to sell everything commoditized, where it is cost of production plus a small margin and give it to the customers. So, I would think about it the other way around. Makes sense?

Abneesh Roy: No, why I ask this was you can see in the first category of foods, which is 57% of your category and which is growing also, we don't get a clear picture. Is the fruits and vegetables or the grocery or the staples' part which is driving growth or say the branded because the margin profile will be different between both these two, within the same bucket?

Neville Noronha: Yes, we don't disclose it, Abneesh. I now get what you're trying to ask, but we are selling what the customer wants. Margin is secondary. First, what customer wants is what we deliver.

Moderator: The next question is from Aditya Soman from CLSA.

Aditya Soman: Hi. Good morning. And Neville, firstly, thanks for your very honest answers and always engaging conversation. So, we'll miss you on these calls. But in terms of questions to hear, firstly, you talked about sort of the white spaces in North India and we saw you open a store or two in UP.

So, can you talk more about how this new cluster will evolve for you? Any differences that you're seeing compared with the earlier clusters that you opened as you expanded in other states in North India? And what took you or what finally made you make that decision to enter a state like UP?

And the second question is on private labels or exclusive brands, as you call them. So, you have two types. Obviously, one is -- the ones that are distributed by Align Retail, which are mostly DMart Ready products. And then there are these exclusive brands that I see you build. Any sense on the scale of the brands outside of Align Retail, since the Align Retail ones we can calculate, but the ones outside of Align Retail, I see that in terms of shelf space, they are now very prominent across home and personal care categories. So, those are my questions.

Neville Noronha: Thanks, Aditya. Yes. I'll take the two questions separately. So, obviously, North India and UP being a very large part of it, that's where large clusters of population is there. And you also have very, very large cities there, which we've totally, I mean, I would not say defocused, but because we are a West focused and a South focused retailer, we came in here late.

So, we see a huge opportunity. If you want to accelerate store expansion, which probably over the next six months to eight months, I'm going to put disproportionate time personally also, because North of India is what I'm going to handle from a real estate standpoint. So, that's the whole thing. That's the logical reason why we are now doubling our bets on North India.

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And on the follow -on question related to that, on what are we seeing different in North India,

actually, the beauty about the model is that, it works everywhere. I mean, the fact that

a DMart

now is equally successful in the Punjab, as well as Tamil Nadu, as well as Rajasthan, Gujarat or in AP, in fact, simplifies a lot of things from an operating standpoint. So, I think that is very refreshing, that our model is acceptable everywhere.

So, in fact, going to newer states is not a complicated thing, except for supply chain, obviously, and we know how to figure that out. But from a customer standpoint or consumer standpoint, the more and more we are growing and going to newer places, it is building more and more confidence for us that this model works everywhere, right? So, that's to answer the first question. The second question on private labels, I have been asked this question multiple times, I respond in the same way all the time, and this time also I'll answer the same way, that private label optically seems to be a very, very interesting, large opportunity as a margin maximiser. And yes, we do agree with that, but it's a long game. It needs a lot of effort, you have to run this business like a FMCG business, but without the overheads of the FMCG business, if you know what I mean. So, it's not very easy, and you are competing with the strongest of brands and the brightest of minds, where retail has a limitation.

Yes, so, private labels have great opportunity if there is a decent ecosystem of high-quality manufacturers available to deliver the products to us at the right cost. And then India, like I've always said, has very, very smart entrepreneurs. We tend to look at the FMCG segment only from the MNCs or only from the top three or four FMCG companies' point of view who probably will have decent margins.

But there are a lot of local entrepreneurs who run the FMCG business with very strong brands at decent margins. So, we have to look at it from an overall perspective and then decide, does this sub-segment really have an opportunity to have a private label? So, from that standpoint, it's not as simple or as easy as somebody else would imagine. We don't consider it to be that easy. So, it will be a slow and steady approach to private label.

But in general, if you want a broad colour, I think, we are reasonably pleased with how our private label team is running the business. So, from that extent, I think, we are pretty happy about our progress. But I can't give you numbers and can just give you a broad colour.

Aditya Soman: Yes. Fair enough, Neville. Thanks for these replies. I mean, just maybe on the private label point, just pushing on a little bit. I mean, if I look at a category of liquid detergents, fairly large category, growing very rapidly. I've seen that now you have two brands operating in that space, I think, and which is a space, again, multiple new entrants. So, as you mentioned before, some of these D2C brands also pushing in that space.

With all these D2C brands, obviously, a lot of these are using same manufacturing facilities that I see that you are using for your private brand. So, does that mean that you're already -- I mean, there are already manufacturers that are coming up as we push away from, let's say, the two or three dominant brands in the past? And that gives you an opportunity, maybe not like a very short-term, but over a five-year, seven-year period to grow that business meaningfully.

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Neville Noronha: So, actually, Aditya, lovely category you've picked up. In fact, that makes my response that much more easier. If you look at the liquid detergent category, right? It was always being dominated by a premium, high selling price per litre kind of category, the two largest MNCs. And suddenly, what did you see? You saw huge disruption there. You had some other guys coming in and positioning it at the mid-tier segment, and the cost per litre just plummeted. So, when you have FMCG companies operating like that, with that kind of razor-sharp focus, lo

oking at segmentation opportunities and all of that, and these are categories which are getting created. Private label has a space where a category is already very, very well evolved. It has been there for a very long time, strong brands have got created, and when brands become extremely strong, they keep fatter margins. And they're very consistent, month-on-month, year-on-year, growing with a very good, decent size base. It is in those places that a private label has an opportunity.

Creating categories is not our job. Creating categories is a brand company's job. We should be focused on being a very strong retail operator. First priority is running the retail business, not to create brands or not to create a private label portfolio. So, I hope I've answered the question, especially on new categories. I always tell my team, that beware, don't even go there. That is the job of the FMCG company, not ours.

Aditya Soman: No. I understand. Very clear. And lastly, all the best for whatever role you take up next.

Moderator: The next question is from Sheela Rathi from Morgan Stanley.

Sheela Rathi: Thanks for taking my question. Just to follow up on private labels, because you had a discussion

on that. While I hear you on the FMCG side, but when you think about general merchandise and appare I part of our portfolio, is there a case to take private label share higher at the earliest? That was my first question.

Neville Noronha: Yes, Sheela, I've answered this over the last four years to five years. There is no reason for you to see any of the products that are on shelf on general merchandise and apparel to not be a private label. They are actually all private labels or pseudo private labels. Some manufacturer putting his own label, doesn't allow him to charge any major premiums.

When we negotiate with them, we always negotiate cost of manufacturing plus his margin and that is the selling price to us. That is our margin and that's how it is. So, when you walk into a DMart store and you look at the apparel or you look at the general merchandise, a very small component of that is really a brand from the true sense of a FMCG branding standpoint. And I've commented on that earlier also.

Sheela Rathi: Largely it is close to being a private label for us.

Neville Noronha: Yes.

Sheela Rathi: That's what you're trying to say.

Neville Noronha: Yes. Yes.

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Sheela Rathi: Second question, you talked about new D2C brands doing better than FMCG. Now, what are your thoughts on onboarding D2C brands on the platform? And particularly premium D2C brands on the FMCG side, because I see that is still missing, at least on the DMart Ready platform?

Neville Noronha: That's because they have their own perception. I'm not complaining. D2C brands are the premium guys. They are very clear about their positioning, right? So, for all elite residents or businessmen in India, they all think that DMart is meant for the middle class and the lower middle class, right? That's the perception. Can't help it. So, they decide not to come. In fact, we break our heads chasing them saying why do you not launch? And they refuse to launch, by the way. Yes, so it's not us. It's the other way around. Number one.

Sheela Rathi: Sir, is the reality different? That the DMart Ready customer is different from the DMart offline customer?

Neville Noronha: Yes. But I'll answer the question more holistically. When you look at a DMart shopper, a DMart attracts all population strata of society within a 3-kilometre to 5-kilometre radius. It's a misconception that it is only for middle class and lower middle-class people.

But in any typical population strata structure or any structure, you have a pyramid, right? So DMart shoppers reflect the socio-economic strata of society within that physical radius. So, obviously, optically, when you see in a

DMart store, what do you see? You'll see relatively lesser rich people shopping compared to the middle class and the lower middle class, right? So that's one point I would like to make.

On DMart Ready - DMart Ready, obviously, is a relatively higher order socio-economic strata of society, who would like the material to come to the home and are not as price sensitive as a DMart store shopper. So that's the difference. Yes.

Sheela Rathi: Understood.

Neville Noronha: And one more part of the question, which will kind of close the whole thing. We do not like to launch a very, very small revenue size D2C brand. So, whenever a small revenue size D2C brand comes to us, we tell them, please build decent size, because decent revenue size indicates that it is acceptable to the larger ecosystem of consumers. Because only those kinds of products make sense to us in our store format, as well as our e-commerce format. So, to that extent, we are different. We don't believe in the long tail, even in the e-commerce format.

Sheela Rathi: Sorry, just one clarification. So, you're saying that if we launch a new D2C brand, it has to be launched both online and offline.

Neville Noronha: No. No.

Sheela Rathi: It may not be.

Neville Noronha: Not necessary. They're mutually exclusive.

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Sheela Rathi : Right. Okay. Now, just a couple of questions on the recent quarter, Neville. First is, we talked about deflation in staples, which resulted in some impact to our P&L. And just want to understand that in the past, what kind of inflationary benefit we have seen? I mean, how should we think of this playing out and how it has played out in the past?

Neville Noronha: I'll make an attempt to answer this. Whenever inflation, in fact, I was just reviewing the commodity business yesterday. It's fascinating when you see some of this data, but I'll just give you some colour without giving you any specific numbers. But in general, what happens is, whenever inflation is in the range of, say, 5% to 7%, consumption trends don't change so much at a product or a category level. When inflation rates go double-digit or higher, you see a huge swing in consumption.

Like I'll just give you one example that I was reading yesterday. Coconuts. Coconut's inflation is 50%. So, when inflation went up by 50%, consumption dropped by some 20% -25% in volume terms. Indians continue to be extremely value-conscious shoppers. And this plays out, we see this even in fruits and vegetables.

So, anybody who says that we use analytics to review and forecast how much of vegetables I need for the next year will go horribly wrong, because it is totally dependent on the pricing. You'll always have a range of three or five vegetables that need to be sold at a particular rate per kg. So, if they don't fall within that, something else has, whatever substitutes that, that sells more. So, from that standpoint, Indian consumer is very, very price sensitive. Like for example, think about it. How much of coconut is consumed as a value of the overall grocery basket value? It is a small percentage, but still consumption drops. Yes, so that's the broad colour of it.

Sheela Rathi: Neville, so we have seen the contrary -- I mean, the contra benefit right now. Is that what you're saying, that there is deflation in staples? So probably there is a volume pickup, which you would have also noticed?

Neville Noronha: Yes. Exactly, huge volume pickup. So, whenever there is a deflation, you get huge volume pickup in those categories. Because people buy more of that and substitute something else.

Sheela Rathi: Okay. My final question is, even in the last quarter, we talked about that we are making investments to build a superior tech related investments for e-commerce. Just want to understand that, I believe it's going to be ongoing, but, I mean, to what extent this

is going to continue for

us to achieve a certain scale, and scale up the e-commerce business faster? I mean, how long do we need to be making these investments to accelerate the pedal there?

Neville Noronha: So, our scale up on e-commerce has got nothing to do with our tech investment. Our tech ecosystem is very, very robust. It works really well. I don't think it's related to that. It is the choice that the organization has taken in terms of what should be the speed and scale at which the e-commerce business has to grow. So, it is more a decision making, a thought process rather than the capability of build-up. All tech is already built up. The tech works well, everything is fine. And it's also scalable.

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And I think I spoke about that even last year, that there is no limitation on the tech standpoint. But it's the choice that the organization has taken in terms of how it has to calibrate the growth for the e-commerce business.

Sheela Rathi: Understood. Thank you. And thank you, Neville, for all the teachings and engagement. My best wishes to you for your future. Thank you.

Neville Noronha: Thank you so much, Sheela. Thank you.

Moderator: Thank you. Next question is from Amit Sachdeva from UBS. Please go ahead.

Amit Sachdeva: Anshul and Neville, thank you so much.

Moderator: Amit, we can't really hear you. If you're on a headset, request you to use the handset.

Amit Sachdeva: Okay. I'll speak louder. I would say thank you so much, Neville, for the opportunity and thank you for your leadership. I find it very encouraging to hear that there's a greater focus on the network rollout. So, my first question is that, given this impetus, given the whole ecosystem around retail is changing, does that change the ambition on structural growth that you're targeting for, say, next 5 years? [inaudible audio]. That's the kind of every year you want to target. That's been in the past as well. Does that change?

Rushabh Ghiya: Amit, I'm sorry, but your voice is not very clear. Can you repeat the question? You want to dial in back? We can carry on with some other questions while you join back.

Amit Sachdeva: Let me dial again.

Rushabh Ghiya: Yes, yes. Thanks for that. We can move to the next question and we will let Amit come in again.

Moderator: Yes, we'll move to the next question. Next question is from Keshav Bahety from Jefferies. Please go ahead.

Vivek Maheshwari: Hi, this is Vivek. Neville, firstly, thank you for a great letter. Really enjoyed reading it. One thing I was very curious to ask you, when you look back, are there any areas that you think you could have, I mean, DMart has obviously done extremely well under your leadership, but are there any areas that you think you could have probably, not done better, but done things differently when you look back?

Neville Noronha: I think better would be a better thing to say. Differently, no. I think if I could have, and this

question I've asked myself multiple times over so many years, and I don't think I would have done anything differently. We are all very proud of what we've created. But better, I can definitely say this, that we could have accelerated store expansion better. I think that job is unfinished, so I'll continue to chase that for whatever period I'm here. And we'll accelerate store expansion.

Vivek, we are very, very clear about this, that great respect for what has happened in the quick commerce space. In fact, I acknowledged this a couple of years back also saying that this will become a very large business. So great stuff. They've done amazing work. But the country with Avenue Supermarts Limited

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its size of population, diversity, geographical space, all of that also creates a huge opportunity for a brick -and-mortar business, an efficient brick -and-mortar business like ours.

So, we continue to remain very, very bullish on the brick -and-mortar business. That doesn't mean that we don't understand what the opportunities are in the online space. We will also play in the online space, but through our own model. Like I've spoken earlier, we will create an online model which suits us .

We want to create something which is unique and hard to copy. That's our principle. That has always been our principle, right? But coming back, the only thing I could have done better is probably accelerate store expansion more. We should have been maybe 600 stores by now or maybe 650 stores by now. So, to that extent, yes, that could have been better.

Vivek: Okay, got it. And in that context, and I'll come to quick commerce for sure. But in that context, do you think, I mean, you have, I would call it still an experiment. So, you have experimented with long leases. Do you think that could have been an answer? And that could be the answer going ahead?

Neville Noronha: No, Vivek. I answered that earlier also, in the previous analyst meets also, that long lease doesn't solve the problem of availability of high -quality or decent quality real estate. We just need to hunker down and put in more bodies and more minds and more acceleration on property acquisition, which we continue to do.

Like I've said earlier, see, real estate is a very, very micro market business, right? You don't have, or people are trying, but you don't have a pan India real estate operator. So, developers, land acquisition, everybody tries to focus on their micro markets. In fact, somebody recently told me it's not even at a city level . A lot of the developers are like, only operating in Kandivali - Borivali or some are only around in Chembur. So, things like that.

Think from that perspective, that here is a retailer. He's a retailer. He's not even a real estate developer. And he's trying to acquire real estate all across the country. It's not easy. But we like to do stuff that is difficult because then that's how you create moats. So that's the way we think about it.

Vivek: Okay. And the last follow up on this. So, Neville, the reason of owning the land is mainly because of the constraint in securing the long leases. Is that the reason?

Neville Noronha: One of the reasons.

Vivek: Sorry?

Neville Noronha: It's one of the reasons.

Vivek: One of the reasons, which is what, in case it's, let's say for whatever reason, because you have, I'm sure you will have tremendous amount of feet on street in the areas that you operate in. Even if there are long leases, I'm not sure you will change, you will want to have those long leases, even if the real estate is good, which means that it is beyond just the availability, right?

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Neville Noronha: Yes. So obviously availability and this has come from the promoter thinking, right? I mean, we are there for good. I mean, we want this business to survive beyond our lifespans, our children's lifespans. That's the thinking. That all comes from Mr. Damani. And I mean, I was a kid when I joined DMart. I was just 28 years old. And imbibed those values, we saw that it works. And we strongly believe in that principle. And at the same time, I mean, that doesn't prevent us from being agile and everything else about how the business has to be run. But the real estate strategy is very clear that we are there for good.

Vivek: Perfect. This is useful. Second on quick commerce, everyone's favourite subject. So, you mentioned that India is not one, there are different set of customers. But when I just see only sitting in 2024 -2025, when I look at the products listed on your platform, DMart Ready versus the quick commerce platform, and at least in terms of pricing, whether of individual products or as a basket, it's not very different.

So as a user, when I want to -- even if I'm in a relatively s

maller town, as compared to Mumbai,

Delhi, why? I mean, what's the proposition that you offer is, the competition is offered around the same pricing, but the convenience of 10 minutes, as against in your case, it's still a bit elongated cycle.

So, is this -- you expect this quick commerce competition to be very different in the next decade, which is why you are stuck to your guns, or is there something else that you will say, which is a different proposition? Because pricing wise, you are not the cheapest, I would say, or very close to where the quick commerce folks operate at.

Neville Noronha: So, Vivek, I'll answer this question a little differently, because whether it will be your word versus my word on the pricing, what is more important to look at is how am I doing as a business.

Now, if you look at the last 2 years trend, in fact, the last year's trend, where there was so much of intensity of quick commerce, what has happened to our business? What has happened to the DMart Ready business?

In fact, you have to see from the context of the fact that we further shut down so many other pickup points. And at a point in time, pickup points as a business was a reasonably large share of the overall business. Today, the dominant share of the business is home delivery. The moment we shut down the pickup points, almost all or most of the business migrated to home delivery. Now, we have delivered a 21% or 22% growth rate vis-a-vis last year, purely on the DMart Ready business. Okay. So, an objective analysis on our performance, numbers say everything, right? So, if our e-commerce business has grown at this level, and that is in spite of the limitation, we don't have enough fulfilment centres.

The more fulfilment centres we open closer to the markets of delivery; more we will grow. So, I think we are okay. We are charting our own course, and we are fine. Had our business declined, or had our business been flat, then we would have said, look, our proposition is not working within the realm of how quick commerce is evolving. It's not.

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Vivek: Okay. Okay. And pardon me for just taking it a step further. If I say, Neville, that quick commerce, you reduce discounts and taxes and everything, so GOV to NOV, NOV to net revenues, we get to a market size of about, give or take, but about INR70,000 crores.

Now, you can say that, yes, you have grown 20%, but is that enough in an industry which is growing like 100%? So again, I know market shares have no meaning, but at the end of the day, you have underperformed and fairly meaningfully versus the peers, right, in a way? How would you -- yes.

Neville Noronha: I have no comment on that. We will set up our own course. You're absolutely right basis the derivation of your numbers. But we will run the business the way we think is right from a long-term perspective. Totally agree with what you're saying, from that standpoint.

But my answer, more specifically, is that one of the best ways to counter quick commerce is not actually really digital. One of the best ways to counter quick commerce is to have more and more DMart stores. Because from a value proposition, we have an amazing positioning.

So, for a value customer who's spending 5,000 or 10,000 rupees a month, he or she can really see that they will save significantly more when they come to the store. At the same time, there is a top 20%, 25% of the population of a city who wouldn't mind paying a little bit extra to get the product delivered at home. And we're trying to bridge that gap.

Let's look at it from a standpoint that at one end, you have high convenience, high price point, and the other end is DMart stores, which is deep value. But obviously, it's not as convenient, right? But it's deep, deep value. We see a huge opportunity in between, okay? Where we deliver the product at home, but at a decent value.

That's what we're trying to achieve.

Vivek: Got it. Got it. Very, very interesting as always and wishing you all the very best. And Anshul, I would also take the opportunity to welcome you and wish you all the very best.

Anshul Asawa: Thank you.

Neville Noronha: Thank you, Vivek. Thank you.

Moderator: Thank you. Next question is from Amit Sachdeva from UBS. Please go ahead.

Amit Sachdeva: Hi, thank you so much for the opportunity, Neville. Am I better and audible now?

Neville Noronha: Yes, yes.

Amit Sachdeva: Neville, thanks so much, and thank you for your leadership for all these years. And my question first was that you made two very interesting comments that we should have been 600 stores by now. And second thing you said is that the best way to respond to quick commerce is to open more stores. So, I think that's a very encouraging thing to hear.

But in that context, I also quote you that you want to open stores with 10% to 15% growth every

year. Now, this is more or less what you did in the past. So, in that sense, I want to check with you, given the new realities, has the growth ambition changed a bit, because there is an Avenue Supermarts Limited
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opportunity to accelerate and you yourself acknowledge that to counter that you need to grow faster.

So, in that sense, that 10% to 15% kind of network area is still a very kind of, I would say, underwhelming ambition, if I may say, or in fact, the real ambition is larger and you just want to give us a number. So that's 10% to 15% is the number, or where I'm coming from, it should go back to 20% growth trajectory, rather than staying at 17%, 18%. That's the question number one, and what it would take to get there.

Neville Noronha: So, Amit, you've always been consistent with your pushing, and I appreciate that. And probably you could look at the management change from that perspective, that while Anshul focuses on running the business, probably I'll have more time to focus on adding more and more stores. And I'm very confident that we'll have a significantly larger number of store openings in the time there. In fact, I'm very, very confident, very, very bullish that we will be able to accelerate. It will also have disproportionate time from my side to focus on this area.

Amit Sachdeva: Great. That's very, very good to hear. Just a related question, Neville, is that obviously the marginal expansion would come largely in Tier 2, Tier 3 towns. And one of the key concerns that I've heard from many is that throughput in those stores would be probably lower than metro cities, and hence incremental revenue would be lower throughput.

And hence, although area expansion would grow, but at the same time, the net revenue growth would be slightly lower. Is this something that you resonate with that the revenue growth should perhaps have a little bit of lowering down impact on the overall growth trajectory, if I assume some SSG as well? Is this a fair understanding of how it will play out or some other dynamic we need to understand as well?

Neville Noronha: So, Amit, I've mentioned this in previous analyst comments also that smaller the town, less is the revenue per square feet, but then less is the investment. End of the day, in a business, ROI is the key. So, we look at the ROI level. So, that will continue to be the focus. And acceleration of store additions will mean a better CAGR on top line growth rate. And one point, Amit, we may go on discussing about this, but judge us on our performance.

So, QC, I mean, I think I haven't been as open about our future growth on store additions. I'm just giving you colour. Considering what's happening in the country from a competitive context perspective, including QC, I think we will double down on our investments on store additions because we don't see our store financial metrics deteriorating because of online. I hope that makes sense.

kes sense.

Amit Sachdeva: Got it. No, that's very, very encouraging to hear, Neville. Thank you so much for that. My second question is for Anshul and you both. Now that the leadership change happens, my sense is that there is an opportunity to rethink about how organization was structured in the past and how organization will be structured in the future.

So, in that sense, the people angle will be different or the way the category leadership, assortment was designed from a people point of view? Is there a change there in the thinking? And if it is,

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then what key changes Anshul would see which would be a stark departure from the past and how we should think about the people leadership in managing that growth and transition? Have you made any leadership changes already or how are you thinking about that?

Neville Noronha: Amit, this is the way I think about this. I'm still Managing Director till Jan 2026. I think it will be more appropriate for you to ask this question to Anshul next year. There's a lot of discussions that we are having internally about what it should be. Anshul will have a free hand to run the business once he takes over. And, obviously, he'll come on the table with his own ideas. Let him have that conversation with the Board and get a sense of what needs to be done. And I think this question is fair to be asked in the next analyst meet.

Amit Sachdeva: Fair enough. No, thanks so much, Neville. And just last bit, if I may, given that Quick Commerce world is a round with us and if you ask any Quick Commerce people, they would tell you that assortment is evolving every month and things are changing very rapidly and there's an exponential growth even in smaller towns as well.

While they are picking up grocery business, have you picked up some learnings that you need to change assortments and you could do a little bit different than what you've done in the past?

Is there an assortment thinking change because the environment is changing around you or we are still sticking to our principles of what assortment could look like?

Is there a change in general merchandise thought process and whether this business could evolve differently even though fashion is part of the drag? What I'm thinking is, are you making some real effort in changing the assortment mix? That's what the real question is.

Neville Noronha: So, Amit, this has always been the case throughout our 20 -25 years of our business that nothing remains static in this business. You are constantly observing what's happening around you online, offline, what products are selling, what are not selling well. I mean, it's a continuous process.

So, our merchandising team's job, their basic existence is to look at this. You have to be relevant to the shopper and the consumer all the time. So, it's nothing to do with just QC, but in general, we keep a watch on everything and just wanted to tell you that even for vendors, our job is to reduce friction for vendors.

So, anybody who wants to come to meet us to launch products, we try and make it as easy as possible. Like, for example, we have a Tuesday walk-in. You don't need to have an appointment.

So, if you are not getting an appointment, you just walk in on a Tuesday unannounced.

Obviously, your waiting time will be longer, but you just sit in the reception.

Somebody will be there and you will just tell us the story about why your product should be launched. So, are you a INR50 crores brand? Are you a INR100 crores brand? You just tell us.

We have some templates and if they qualify, I mean, they immediately get a meeting and the product is launched. So, that's our job. I mean, if you don't do that, you won't exist.

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Amit Sachdeva: Got it. That's very, very good to hear, Neville. Thank you so much and wish you really all the

best and I'll come back in the queue for more. Thank you so much.

Neville Noronha: Thank you, Amit. Thank you. Pleasure as always.

Moderator: Thank you. Next question is from Avi from Macquarie. Please go ahead.

Avi: Hi, Neville. I wanted to first check with you on the DMart Ready business. At the start of the call, you said you had some updated thoughts. Now, after two years of consolidation, how are you looking at DMart -Ready? What next phase that you're looking at? If you could share some colour over there.

And also on margins, last time you told us that there is a potential for improving gross margin here by looking at mix. But maybe it's not fallen through this year, but how should I look at that? You could kind of share your thoughts there as well, please?

Neville Noronha: This is only for DMart Ready, right, Avi?

Avi: Yes, only for DMart Ready.

Neville Noronha: So, yes, I do remember saying something around on those lines for DMart Ready, but then also there is a competitive context that plays out. So, you have to compete from that standpoint.

Broadly, what we feel is that this DMart Ready business will not make you lose too much money.

So that's one broad view that we have.

From a cost of operations standpoint also, we remain consistent with that view that there is an opportunity to reduce costs, but then if you're in the expansion phase, then that kind of gets postponed a bit. But in general, we believe that there is an opportunity to accelerate the fulfilment centres and try and go closer and closer to the market.

There could be an opportunity, like I said, to enhance margins. There could be an opportunity, but it's all dependent on the competitive context and the positioning of value that we continue to seek. So, I can't give any forward-looking points of view on when will it be profitable or breakeven or all that. But broadly, we feel that this is a business that can be broken even in a couple of years. So that's broadly what we feel about this.

Avi: Got it. And if I'm correct, the niche that you're targeting is this value with the bit of convenience on it, right? That's what you're essentially looking to provide for DMart Ready?

Neville Noronha: Broadly, our view is that over a period of time, customers will see the benefit of shopping or migrating from other platforms of e-commerce to us because they see value. And we will be focusing on delivering that in the most efficient way so that we can compete in the market and still account a small margin. That's the view.

Avi: Got it. Okay. Thanks for that, Neville. Now, the second bit is on the store addition. Now, clearly your comments are encouraging, even with North India coming back and your focus now being on it. Do you have a number in mind, or should we look at 10 to 15, now going to 15 to 20? Any numbers that you could share?

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Neville Noronha: Very difficult Avi. We've always said that we'll not be able to give precise numbers, but we will see basis what we disclose on a quarterly basis or whatever is the criteria of disclosures on store openings. You'll see the numbers coming, but I can't give you a number.

Avi: Even for next year, Neville, any range for store addition, sorry, I'm pushing a bit, but in case?

Neville Noronha: I mean, it won't be less than 50. I mean, if you're talking so much about it.

Avi: Lastly, Neville, on the Quick Commerce bit. Now, you've been clear that Quick Commerce has been a great story, but there has been a potential that you had said, at worst, it can be 1% - 1.5% sales impact on same store sales. Now, I wanted to kind of get from you that given the performance seen in the last year, you think a lot of it is already seen for us?

And what we see in the numbers is a reflection of Quick Commerce plus a weak demand or that 1%, 1.5% was. So, I'm just trying to appreciate is that b

ehind us or how do you see that?

Neville Noronha: I'll again give you a colour without giving you any forward-looking statement. We had a gut feel, this is a gut feel, we said 1.5%. Now, if you look at Page 10, FY24 versus FY25, like -for-like, from 9.9% we went to 8.4%. So more or less that. Now, within that if you look at city-wise, this is very interesting data, depending on which city has what level of intensity on pricing or discounting, we see an impact in our stores.

This discounting comes in waves. And when they come in waves, we also compete. And then it does have a marginal impact on our like-for-like growth for those stores or those cities. But also, please appreciate and this is the response not just to you, but to the entire Analyst community, that please remember that we also lose share to our own DMart Ready.

Our DMart Ready is also very dominant, now don't ask me how much it is percentage-wise, but DMart Ready has a very, very dominant share of DMart stores in Mumbai, because that's where we started from. So, our philosophy is very clear, we go where the customer wants us to go.

So, we will not try to restrict our growth in DMart Ready just because it's going to make us lose our sales in DMart stores. DMart stores will run on its own foundational principles and strengths and DMart Ready will run on its own. Considering the legacy and the thinking that the Promoters have about the business, they are very clear that business has to make money or at least come close to breaking even.

So that's the broad philosophy and that's why the staggered approach to e-commerce. And that's why the Management is so obsessed on trying to reach or at least be close to break even, so that we have a point of view on saying that, yes, we have to compete on the e-commerce business too. So, I hope I've given you colour.

Avi: Very clear. Thanks a lot, and welcome, Anshul, to the team and look forward to interacting with you as well. Thank you very much.

Moderator: Thank you. Next question is from Arnab Mitra from Goldman Sachs. Please go ahead.

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Arnab Mitra: Yes. Hi, Neville. My first question actually on Quick Commerce is slightly different, that do you think there's anything differently you are doing in your offline business because of how big QC has become and it will become in the next two years in terms of service levels or anything of that sort? That's the first part.

And secondly, on the DMart Ready, any work you have done on slotted versus immediate delivery? I know you earlier had a view of slotted delivery, but any refreshed thoughts on that and not doing immediate delivery? Is it largely a cost-related decision or are there other things that are going on there?

Neville Noronha: So, if you're saying that we will deliver in the next 30 minutes or 20 minutes or one hour, obviously not. We don't want to do that. Can we do deliveries in the next three hours or the next six hours? Of course, yes. Our basket values are significantly larger. That, in fact, gives us a sense that customers like us. Customers who use us like us. That's very clear. The stickiness is awesome.

So, when you look at stickiness factor of DMart Ready vis-a-vis other online retailers, I think our stickiness is an order of magnitude much larger than others. So, people who know us, love us. But not too many people shop with us because we don't spend that kind of money to acquire customers. So that's one part. We don't believe in these jargons about slotted and non-slotted and all of that. We constantly are doing trials.

And, in fact, we already have around 11% or thereabouts of our orders being delivered in three hours. We have 65% of our orders being delivered in 12 hours already. We're making tremendous progress there. By the way, without impacting cost structures much. Our vision is to deliver almost all our orders i

n six hours. And I think for the basket value, see, the DMart

Ready shoppe r is not shopping for immediacy.

So, delivering in six hours is decent. It's good. And that's what we're targeting. And now practically, all orders are delivered within 24 hours. Obviously, people say, what are you talking about? When everybody's delivering in 30 minutes, you're talking about 24 hours. I'm just throwing numbers. But I'm saying our philosophy is six hours. We should deliver everything within six hours.

And within that, there will be some orders, some certain percentage orders which could be delivered in two hours, one hour, three hours, whatever. So, zero to six, we should be doing everything. And the current cost structure in the current model allows for that. I hope I've answered the question.

Arnab Mitra: Just a follow up on this, I mean, I get your point that the need for immediacy may not be there.

And it seems that the spread of QC is almost creating that need. The consumer is getting used to a service level, which is 30 minutes, 40 minutes, whatever that number is. So, in that context, my question was that is not going for that one less than one hour?

Is it largely a cost decision that you feel you will not be able to run that business profitably if you do it there or why not experiment with that and see if it is possible to be done? That's where I was coming from.

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Neville Noronha: Okay, let me answer this way. My first priority is value and then is immediacy. So, within the concept of delivering value without losing your shirt, losing money, how much earlier can I deliver? That's the way we will be thinking about the business, rather than thinking that immediacy is the first priority. Not really.

Arnab Mitra: Sure, understood. And my second, sorry, you were saying something.

Neville Noronha: So, what I'm saying is, we love competition, right? So, we don't mind if the same shopper is buying from somebody else and also buying from us. We just want to take a larger pie of the pantry. It's as simple as that.

Arnab Mitra: Got it. Neville, my second question was, if I look at the headline return on capital, it seems to have slightly moderated last two years. Should we not worry about this? Because you think of this as a transient phase, you are accelerating store expansion. And ultimately, the health of the business is good or is there a situation where you think fundamentally the business makes a little lower ROC because of the competitive situation or anything else that has changed in the environment?

Neville Noronha: I'll give a non-financial answer with the limited financial knowledge that I have. I think the reduction in ROC is primarily because of accelerated property acquisitions and the capital employed because of that, which effectively should be seen in a positive light because that means that we are looking at a larger inventory of stores which are going to come in the future. Niladri, can you add some more?

Niladri Deb: Yes, I think it's about more properties being acquired, and which are not giving results yet because they are in various stages of construction. And obviously, they will give results in the longer duration, is our thinking.

Neville Noronha: And also, one thing, just to give you a conservative feel to this, that real estate prices are going up. So that also should be factored a little bit. We don't want to create too much of excitement on this area. But the reality is that real estate costs also are going up, which is being featured on the slide three on page 12, where the fixed asset turnover has slightly deteriorated because a combination of both, the per location prices are going up and we have some of these new stores which have opened, which are of higher value.

Arnab Mitra: Got it. And one last question you have mentioned in the last couple of quarterly releases about

costs related to improving consumer experience. Could you just elaborate, is this offline, online and is large part of the investment to improve the experience to the levels you want already happened or it's a work in progress?

Neville Noronha: It's primarily offline more or less, and that's the direction I've given the team. So, I think we've done decent investments, it should remain the same. But let's see. But at the same time, don't take the number too seriously, but just as an indicator. Suppose I open 100 stores a year. Obviously, the financials are going to deteriorate, because then you'll have a large chunk of new stores where operating costs will be higher than my existing base.

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So, you have to look at it from all aspects. But yes, in large metros, where the intensity of quick

commerce was higher, we said, look, even if it means losing a few basis points on profitability, we have to double down on the experience in the store. And hence, there has been a slight deterioration on the margin profile of stores.

Arnab Mitra: Got it. Got it. Thanks so much. That's it from my side. And Neville, thanks a lot for the insights over the years and welcome and best of luck to Anshul for his tenure ahead.

Neville Noronha: Thank you. Thank you so much.

Moderator: Thank you. Next question is from Ishani Swain from Kotak Institutional Equities. Please go ahead. Ishani Swain from Kotak, please go ahead with the question. There seems to be no response from the line of Ishani. We'll move to the next question. Next question is from Nihal Mahesh Jham from HSBC. Please go ahead.

Nihal Mahesh Jham: Yes, thank you so much. Good afternoon, Neville and Anshul and everyone. Two questions from my side. Neville, you highlighted that obviously North India expansion right now is the pet project that you are currently focusing on. Speaking specifically of the UP market, this market is different in a way that there are certain large retailers which have a very high share of private labels in which they operate.

And where this may end up impacting is that at least from a basket value perspective, despite the value that we offer, there would be certain players who would be offering a much better deal for a certain basket that gets created. So how would we then try addressing that kind of a hindrance in a market like UP, which is unique to say to the other states in India?

Neville Noronha: Too early to comment, but we're reasonably confident that we'll be able to compete. Maybe reserve this question for next year and maybe Anshul will be able to respond to that. But I primarily don't see much of a challenge there from that standpoint. But like I said, we just opened Agra now and we'll see. But I don't see any issues there.

Nihal Mahesh Jham: We'll definitely follow up. If you're commenting something, I'll wait for my second question.

Neville Noronha: No, you ask the second question, then I'll add on to the previous question. I've just asked for some data. I'll respond to that. But you go ahead with your second question.

Nihal Mahesh Jham: Sure. Thanks, Neville. Now, the second question was obviously a lot of discussion on this call and always on Quick Commerce. Now, if I just think from a customer perspective, and this is not a question, maybe a comment from you, that when I think from a customer proposition perspective, you take that there is a certain discount that DMart still offers on the offline format versus say what Quick Commerce does.

There is a checkout time involved when you go to a store, travel time involved. And if that discount has been shrinking and maybe is not compensated enough at this point in time for a customer to step out. Are we, on our understanding, believing that the customer cohort who is obviously going to prefer moving to QC or online is small and that is based on your

understanding of the market or what incrementally does a DMart store offer that it makes a
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customer step out, assuming that the value difference is in a way lowering over the last few years?

Neville Noronha: So, if I understood your question, you are saying what is it that DMart store offers that makes us confident about the model vis-a-vis Quick Commerce? Is that the question?

Nihal Mahesh Jham: Absolutely. Assuming the fact that the incremental difference in the value that say we are offering has been shrinking over the years, at least if you look at the prices - store versus what is available on the website for these Quick Commerce companies.

Neville Noronha: So, Nihal, the broad view is that we keep tracking data. See, not everything will have an explanation. There are certain things which we believe could be a reasonable explanation, but we would not prefer to talk about it. But let me put it in a very simplistic form. When you look at QC / e-commerce with brick-and-mortar retail across the globe, we believe that value brick-and-mortar retailers have a tremendous economic positioning. It is a moat. The brick-and-mortar value retailer has a huge, huge moat.

And because of which you see global data on all these big retailers, nothing has happened to them. And for all that, what should I say, discussion around QC, look at the operating cost of the QC, vis-a-vis look at the operating cost of value retailer like DMart. That's the moat. And we believe it will exist. That's broadly clear. And the market is huge, right? So, we just need to focus on our business.

Nihal Mahesh Jham: Sure Neville, that's helpful. Thank you so much. It's been a pleasure interacting with you. I wish you all the best and congratulations. I look forward to interacting with you again.

Anshul Asawa: Thank you. Thank you so much.

Moderator: Thank you. Next question is from Anand Shah from Axis Capital. Please go ahead.

Anand Shah: Thanks for the opportunity. Just one question there. I mean, if I look at Arnab's question that you have been looking to improve the service levels, and then if I look at the manpower addition that you've been doing, it's sort of up almost about 20%, 25%. And it seems that post-COVID,

this number of people, let's say, per store on average had gone down.

And now you have built back up in line with this focus on improving customer service as well.

So, is that sort of now coming full circle? As in, let's say, on an average, if you need a certain number of manpower per store and it came down, is it now back to the optimum level or you are still looking to sort of build up?

Neville Noronha: See, store headcount, I think, let's put it this way. Probably we've overdone it a little bit. I think there is an opportunity for calibration. I think the stores can be run more efficiently with better focus on execution. If there's one thing which we have not spoken so far, we've been talking for like one hour now, but we haven't spoken about it.

I think there's an opportunity to improve execution at stores. We need to have more dedication, more focus on running the stores efficiently. So, there is an opportunity there. But at the same

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time, will that reflect in P&L next year? Maybe not, because if I'm going to extend or add more number of stores per year, then P&L may get deteriorated. But we are talking all in basis points. I mean, I'm not giving any indication that there'll be deterioration beyond that. But yes, from a capability and all of that standpoint, I think we've done a decent job over the last few years from that standpoint.

Anand Shah: Got it, got it. And I mean, from a margin viewpoint, of course, I mean, it seems that the bulk of the drag on the margins has been largely because of this staff cost, whether you

look at staff as

well as the contractual employees and club other expenses. So, I mean, that drag, I mean, if I set aside the store expansion that you are looking to accelerate and hence you may see some more, but would that sort of now hit a sort of a bottom there at about 8% margin?

I mean, internally, would you say these are the kind of threshold margins you target or if it deteriorates and you want to accelerate business, you are okay with that?

Neville Noronha: Anand, I think that's the direction internally. We will not be bothered so much about gross margins or expenses because these move a few basis points here and there, and we really don't bother about that so much. What we really are bothering about or I would say, are paying attention to is how fast can we grow.

I think that's the bigger question to ask. What is the CAGR rate at which we need to grow?

Deterioration on gross margins, a little bit of deterioration on operating costs is perfectly fine because those are always in basis points.

Anand Shah: Got it, got it. And just lastly on your focus to accelerate the store expansion. Of course, the balance sheet or the cash flow is also constrained because you have this real estate acquisition model and so you only generate so much cash flow, which you can then eventually use to build pipeline.

So, I mean, is it also coming from a fact that you've already built a pipeline as you indicated that you are now looking to execute that and open and accelerate a lot more or, you would be open to stretching sort of your balance sheet to look at avenues to sort of accelerate this further?

Neville Noronha: We've discussed this internally. Reasonable debt is fine. I mean, so if we get great opportunities from a real estate acquisition standpoint, we are happy to raise that, but limited, under control.

So, that's not off the table.

Anand Shah: Got it, got it. Okay, perfect. Neville, thanks. Thanks a lot for your insights over the years and congrats, Anshul. Thank you.

Moderator: Thank you. Next question is from Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi, I think this question has been answered in some form, but just looking for a little more clarity on this comment you have made for the last two quarters that we are investing in increasing service levels. What exactly does this mean? I mean, can you give a couple of examples of what you have changed in the store to improve the service quality?

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Neville Noronha: It's just basically focusing on having better headcount, better supervision. Better headcount so that you have a better experience as a shopper in a store, especially on a weekend. So, for example, you should not get any out-of-stocks or the relative experiences of out-of-stocks significantly reduces.

Second is that queues are not long. All checkouts are operational. Sometimes because of the over-obsession of cost control, managers decide not to hire appropriately. So, trying to pay attention to all those things because the metro city shopper has been more discerning and has now got more choice.

So, you need to get into a psychological contract that, yes, for this extra effort, which is traveling to the store, if everything else is fine and your checkout is quick, you're getting all the stuff that you want, you're ensuring browsing is good, everything is neat and clean, things like that. So, we saw an opportunity to invest there. So, that is one area.

Second is in the non-store area, we found that there has been a rapid inflation on warehousing, whether it is warehousing rentals, warehousing employees, there has been unprecedented inflation in wages there. And hence, we had to take a huge call on increasing wages beyond the usual. And that is also what has impacted the P&L.

Percy Panthaki: Understood. So, have all these initiatives which you

have in mind that we should do so-and-so,

so-and-so to improve the service quality, have those initiatives already been implemented or are they in process of getting implemented and therefore some sort of this cost increase will sort of continue? This is apart from the store acceleration leading to the cost increase, that point I'm keeping aside.

Neville Noronha: Yes, more or less. I answered this question just before your question by somebody else. Yes, more or less done. More or less done.

Percy Panthaki: Okay. So, as and when this initiative anniversaries and comes in the base, it will stop impacting the margin, right?

Neville Noronha: I'm not guaranteeing that. See, margins could be a factor of multiple things. But like I said, whatever we had to do for our metro towns, we have done. But then there are so many other things, so many levers, like I answered in the previous analyst questions, that there will be other levers which could impact gross margin as well as operating expenditure. And like I said to the previous person who asked the question that we are focusing on accelerated store expansion.

Percy Panthaki: Got it. Secondly, on private labels, I know there has been some discussion on this as well. But slightly different question. When you are looking at private labels, and I'm not talking about staple categories, like rice or atta or something, the proper FMCG branded private labels, so to say, in those categories, typically, what kind of percentage discount do you need the private labels to be at versus the other brands which sell the most popular selling brands in your shop? What percentage discount do they need to be at? And if you give that kind of a percentage discount, is it materially margin accretive to you?

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Neville Noronha: Okay. The answer is different for different categories. But let me tell you about the broad principle on which we operate. And this has been a principle since the time private labels started.

Okay. The broad principle is we follow a 20-20-20 principle. The 20-20-20 principle is, first and foremost, do we have an opportunity to at least gain a 20% share? If we don't feel that we have an opportunity to gain 20% share of that subcategory, we prefer not to operate in that category. Number one.

Number two is that a 20% share will only happen if we have minimum 20% lower price – ECP to the buyer compared to a main brand. So, does the product have the capability for manufacturing, quality, product ecosystem to be delivered at a price that is 20% lower than the main brand?

And the third principle of 20 is, can I make 20% more margin than the main brand? So, if the main brand is making a 10% margin, am I making 12%? That's it. It's as simple as that.

Percy Panthaki: Got it. So, do you have any categories which are already hitting that 20% market share within the category that you operate in?

Neville Noronha: That is exactly the question we would not prefer to answer. But yes.

Percy Panthaki: Okay.

Neville Noronha: But as long as you get the philosophy, Percy, I think obviously we are fine. Like I said, it's a long game. Private label is, I mean, what we have set out to achieve will probably take a decade.

Percy Panthaki: Sure, sure. And last question is, you are there as MD till Jan '26. But you mentioned that you will concentrate on store additions, etcetera. So, are you going to be associated with DMart after Jan '26 as well? And if so, in what capacity?

Neville Noronha: So that is for the Promoter and the Board to take a call. So, I can't comment on that post Jan 2026 in terms of what form and structure. But obviously, my association with DMart is beyond just the position I hold, right? I also have a decent equity in the company. So, I'm available in whatever form. I'm not particular about any title. But whenever, wherever the organization ne

eds

me, I'm available.

And the way we have discussed also about the transition is the real estate or project development or the staples business, these are very entrepreneurial, these take time to understand, right? So, we want Anshul to focus on the core retail business first. And then you will hear, I mean, if

there's anything after Jan 2026, you will hear about it later. I don't think this is the right time or the right forum to comment on it.

Percy Panthaki: Got it, Neville. Thanks so much. All the best.

Neville Noronha: Thank you. Thank you, Percy.

Moderator: Thank you. The next question is from Fatema Pacha from Mahindra Manulife. Please go ahead.

The line seems to be on hold. We move to the next question. Next question is from Mihir from Nomura. Please go ahead.

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Mihir: Hi, Neville. Hi, Anshul. Thank you for taking my question. Quite a few of the questions that have already answered, despite coming early in the queue. But can you share qualitatively if the number of D2C brands or the new players that you spoke about that you stock in your stores now, what you used to stock earlier, have seen an increase and how the sale contribution for them have gone up? And more essentially, are these not margin accretive for you? So that's my first question.

Neville Noronha: So, it's a sea of products. I mean, are you saying that this is kind of moving the needle much on our profitability? Of course not. They're very small. So, from that standpoint, no. But it's good to have them because the more successful products you have in the store, this is our metric of what is success, it means that you're making the format or the model of DMart more aspirational for people to come to the store and shop, right?

So, we are always on the lookout for successful brands to give good throughput. And when you see good outcomes, it also puts pressure on the incumbents. So, when they see a D2C brand being showcased in the store well, they know that DMart doesn't do face-ups just for the heck of it. We do increased face-ups if the sale is good, right?

It automatically puts the competitive forces in motion. So, it is cumulatively beneficial for everyone. It helps the incumbent supplier to be more competitive. It helps the customer. It helps us. So, it's a win-win for all. So that's the way we look at it.

Mihir: Understood. Neville, one question on Quick Comm. And I know you've answered it in some form, but some more insights if you can share. Now you have more data to analyse. You have had more time to see how Quick Comm is shaping up. What is your reading of the shifting consumer preference towards convenience versus value? And how do you see this over the medium term when Gen Z population becomes a larger part of the population versus now, and they prefer more convenience versus value? So, your thoughts on those.

Neville Noronha: Yes. If I zoom out and look for the next 15-20 years, I think Quick Commerce has emerged not really because retail has not been doing a good job. I think the biggest headache for every retailer is real estate cost. So, if real estate cost for a physical operator is made more reasonable, I think you will see more physical retail coming. But provided it is like that, right?

So today, what is the arbitrage that Quick Commerce is really playing on? The biggest arbitrage they're playing on is the cost of rent to them is significantly lower compared to a retail or regular retail operator, right. So that's the way we are looking at it.

Probably I lost the flow. Did I answer your question?

Mihir: Yes. I mean, I was just thinking that you're right. I mean, I understand the convenience and the value part is very different. But a larger part of the population will be turning towards convenience as time goes by, maybe 3-5 years, 10 years out, versus you're focused more on value. So, I was just

asking from that point of view, how are you thinking of insulating your business going forward?

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Neville Noronha: Yes, sorry. I missed the flow of thoughts here. So, one is this, one is real estate. The second I felt is that another reason why QC is doing better is because of the infrastructure, right? In India, to move, especially in the metro towns, to move from point A to point B is very challenging. So that also becomes a limitation factor for physical retail to expand.

So, if those things get solved, quite likely you will see a reversal. So, there are multiple levers to operate. But at the same time, keeping all of that aside, if I say that, look, I have a model in the brick-and-mortar piece, which allows me to compete. And see, what is the moat for DMart? The moat for DMart is its gross margin. So, I think we are fine. We'll compete. I mean, anybody else becoming whatever times larger is fine.

Point is, are we growing at 18%, 20%, 25% CAGR? I mean, that's the opportunity that the market is offering. So, like I said, when I answered this question a couple of minutes back, that we will

worry if our like-for-likes are not growing. We will worry if our CAGR growths are not happening. We will worry if it is new stores where we are going in, we are not getting the desired ROI. Then it's the question of, you know, is this model working, considering the competitive context that is emerging in the market, right? That's the way we'll think about it.

Mihir: Understood. And lastly, just a continuation of the margin side from this lens, apart from the mix what are the other levers you see? Because I heard you when you spoke about revenue per square feet and so on. But where do you see the levers for more efficiency? I understand you spoke about efficiency as well. But then how should one think about margins? Because tailwinds seem to be very limited.

At the same time another big retailer is increasing its private label contribution. Quick Comm with large funds at their disposal are creating pressure on discounting. So, there are more tailwinds to, you know, for margins to be downwards versus upwards. So essentially, how do you see this? And what is the threshold of margin that you think that you will settle at in the medium term?

Neville Noronha: See, I'll not answer medium term, I'll give you a more longer-term perspective. Let's look at 5 years, 7 years, 10 years ahead. I think broadly, there are two levers. One is the private label lever, okay, which has tremendous opportunity. And one is getting into horizontals, which we are not into right now, but it suits our format, which I've written in my annual letter too.

See, when a country grows, and I've answered this in previous analyst meets as well, when a country grows at 7% - 8% GDP, DMart kind of store will automatically be an ideal platform to have so many other categories. Like, for example, go to any developed country retailer, value retailer like DMart and see what all they sell and look at what we sell, right? So automatically, when prosperity improves, your customers, I mean, products and sub products have more and more segmentation and sub segmentation. As more and more of that happens, the opportunity to make more margins automatically emerge.

If you take a long-term view, considering our format, considering the way we construct our stores, I think there's an infinite opportunity from that standpoint. Does that mean margins will go significantly up? No. We are very clear, we'll not earn more than 15% or thereabouts. So, it's Avenue Supermarts Limited
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great value. So once a customer comes into the store, whatever she wants, horizontally more and more, if it suits the format, we will make it available. That's the way we are thinking about it.

Mihir: Understood. Thank you very much, Neville. It

has been a pleasure listening to you and wishing you all the very best. And Anshul, wishing you best for the new role as well. A big shoes to fill. Thank you so much and all the best guys.

Anshul Asawa: Thank you.

Moderator: Thank you. The next question is from Parth Shah from Bernstein SG. Please go ahead.

Parth Shah: Yes, hi, thanks for taking my questions. Am I audible?

Neville Noronha: Yes, hi.

Parth Shah: Yes, hi. So, my first question is on the new stores that you have been opening up in the non-metro tier I cities. So, I wanted to understand how they are ramping up in terms of revenue. Is it faster or slower? And within that context, I think you spoke about this a little bit earlier as well. What do we try to optimize for? Because we obviously have lower revenue per square feet. So, do we open smaller stores and try to protect the margins? Or is it just the same size of stores that we look at?

Neville Noronha: Yes, so I think this is all derived numbers. You have to just derive it. But I think our new store average has remained consistent in fact, or larger than our base in certain years. So, we don't really look at it from that standpoint. All our stores more or less hover around 40,000 square feet. And we will continue to be around that space.

Secondly, we have a broad base template on store openings, because we open in the same state, same cities or vicinity of the same cities. The template of assortment remains more or less the same. And we just focus on giving great experiences, consistent experiences on availability, checkout, pricing, all of that. And see in value retail, the lesser variables to operate on, depending on which city and which region you are, it is better to execute.

So, we try to keep our variables as few as possible. And wherever there is a local nuance that is in play, we would rather want that local nuance to be handled by the local teams because they get it better. So, it's a right mix of central command and control and local command and control. So that's how we operate. And new stores' throughputs will always be significantly lower than the older stores.

But which is okay, we have now data on how this trends. And the trending has been the same. As they age, the revenues just rapidly go up. So younger the store, the CAGR growth rates are significantly higher compared to the older stores.

Parth Shah: Yes, got it. That's helpful. And the second question I wanted to ask was on the cost side. Obviously, the employee cost has gone up quite a bit in the last 18 months or so. But we've also seen a significant number of employee additions also in the last two years. So, what exactly has Avenue Supermarts Limited
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led to this in terms of is it you know have we seen higher attrition or are we trying to build some new capacity, capabilities or anything like that if you can comment on that?
Neville Noronha: DMart employee attrition actually has fallen from last year, which we have published, I think it's fallen by almost 2% to 3%, from 13.9% to 11.3%. So, attrition has gone down. And given that our senior leadership attrition is actually very, very low. That's something I've also personally paid attention to. So that's okay. What has happened is, like I mentioned earlier, headcount has increased significantly in stores to improve service levels, which we spoke about. Cost of employee increased significantly in warehousing space, which I told you about. There is a certain component of headquarter costs also which we have increased. So, what I've personally spent time on over the last two years, considering my decision on not continuing is I have paid disproportionate time in building a solid team at corporate office, visualizing what this company would be in the next 10 years and building those blocks right now. Some part of the cost is also being built because of that, but that's a work

in progress. It will take another couple of years, but the start has been done. So that's the way to look at it from a cost standpoint.

Parth Shah: Got it. Thanks. And all the best for the future.

Moderator: Thank you. Next question is from Ashish Kanodia from Citigroup. Please go ahead.

Ashish Kanodia: Hi, Neville. Thank you for the opportunity. The first question is on the accelerated store expansion. So, you have been talking about that real estate, good real estate at the right price is always a challenge in India. Now, if I look at all the comments you have made during today's call, is there also a reason why there is an acceleration because maybe from a guardrails point of view in terms of what is the per square feet rate you want to pay depending on the micro markets in terms of revenue, cost, gross margin, etcetera.

There is some you are maybe dropping the guardrail a bit on the cost, at least on the land acquisition side, given how the competition both on the offline and online side is shaping up. Is that also one of the reasons?

Neville Noronha: Yes, you're saying why are we accelerating?

Ashish Kanodia: I'm saying I understand you're accelerating, but I'm just trying to understand the reason that is it purely because of management time being spent there or is it also a factor of maybe looking at buying some of the expensive real estate as well?

Neville Noronha: Not really. Are you saying that because we are imagining the real estate price will go further up, so we are trying to build a land bank? Is that what you're trying to say?

Ashish Kanodia: No. So, what I'm saying is that real estate has been a challenge like quality, good quality real estate always has been a challenge. So, from a guardrail point of view, I'm just trying to ask, like, when you look at the guardrails. So, if you want to take this as an example, INR10,000 per

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square foot for the land, now you are maybe willing to pay INR11,000 because maybe you think that the competitive intensity is increasing.

Plus, if you add more stores, it also helps you with the DMart Ready because it also helps you with that. So, is that a thought process or there's no change in the guardrails?

Neville Noronha: Okay, let me put it this way. I get your question now. DMart operates on the principles of DMart. Even the real estate strategy is, how many stores we need to have because it is a profitable business, and it just adds on. The CAGR on top line as well as the CAGR on bottom line just moves. So, we look at it from that standpoint.

DMart Ready expansion will be seen from a different standpoint. We don't think about, oh, because I'll have more DMart stores it will become better for DMart Ready? Not really. We don't think about it like that. We just feel that now is the time for us to accelerate faster. And probably with the re-org, hopefully, the acceleration, not hopefully, I'm reasonably confident that it will be faster.

Ashish Kanodia: Sure. And then when I look at your comment on the North or UP, and if I just look at last 8 years, 10 years track record, typically what we have seen is whenever you enter into a new state, the initial two, three years is more about four, five stores, seven stores, because there are always these micro nuances of one, the consumption in some categories within that state. And then, of

course, the supply chain also comes into the picture.

Is that how maybe the UP or North will also ramp up or do you think given the scale and size which DMart has today, maybe the supply chain has become much more efficient and the ramp up would be much faster versus historically what has happened with the new state being added?

Neville Noronha: Okay. Ashish, good question. I'll reiterate, we remain steadfast in the positioning, like you mentioned, that new states will always be more calibrated in growth compar

ed to existing states.

I always tell my team that one of the greatest gifts we have got is to be in the right industry and in a country like India, which is 130 -140 crores population.

The size is on the plate for all of us to take. So, while we are overemphasizing on North, we should appreciate that this country has an opportunity in a lot of the other states, where we are already operating. If you see even the number of stores that we added last year, it has been equally distributed reasonably across all our existing markets.

So, we'll continue to do that too. So, my colleague Ramakant Baheti, who's sitting next to me, has been a stalwart in real estate acquisition. I'm just joining him and saying that, look, I do North India, you do the rest, because even so far because we consider this as a very, very complicated sector or department, we continue to be deeply involved and personally involved in acquisitions.

But the strategy remains the same, that new states we will be more calibrated, but we just have confidence because of the historical knowledge about worst case scenario what will happen.

From that standpoint, we are a little, I mean, I'll not say a little bit, reasonably more optimistic

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and aggressive in terms of going to the market. But you will in the future also see a lot of the stores coming in the rest of the states also.

Ashish Kanodia: Sure, Neville, that's helpful. And then just Minimax, I think this is, if I'm not wrong the third year of the format like 17 stores like, what's the thought process and have you seen this becoming maybe an answer to opening much more number of stores in cities like Mumbai, where sometimes the real estate availability is a challenge. So, what's the thought process there on the Minimax side?

Neville Noronha: Yes, so, it was an experiment, everything has been tried. I think now it's very simple, two prongs, DMart stores, current format, 40,000 sq. ft., 30,000 sq. ft., whatever that is. And second is DMart Ready, home delivery. That's it. Two things, rest we should not distract ourselves. We are very clear about it.

Ashish Kanodia: Got it. And last one is I think when I just look at the discussions we had and if I just kind of look at also the last two -years performance. So, say in the last two years, there has been the EBITDA growth or the PBT growth has been, below your revenue growth, partly because of competitive intensity, partly because of investment in improving the service level, etcetera.

Now, when you look at the next two, three years and I think in one of the comments you said, I'm not taking the 100 -store count, but you said if tomorrow, if I open 100 stores the cost will be much higher, because the store takes time to reach the throughput maturity, etcetera. So, when you look at all these things, the next two, three years, while I understand there will be acceleration in store expansion and acceleration in top line.

But is it a fair way to think that it will also come and maybe it would only be in few basis points, but at the cost of some margin? So maybe PAT growth, what we have seen last two years being slightly below your top line, that's how it might do given the thought process of accelerated growth, improving services, etcetera?

Neville Noronha: Yes, Ashish, we don't over think so much on all these things. More or less, we know we're running a business, as if we own the business, actually a lot of us own some parts of the business.

So, we know in the long term that this is beneficial however, in the short term, if there is a deterioration in P&L, profitability, opex, like I said, all will be an impact in basis points, then why not capture the market.

If we have the ability and the management bandwidth and I hope Anshul does a better job than me in building that management bandwidth to run the stores well, then we can accelerate.

Ashish Kanodia: That's fair. I just wanted to get views on that. Thank you, Neville, and all the best to you.

Neville Noronha: 100 Stores opening was just an example, please don't release analyst notes saying that DMart will open 100 stores.

Ashish Kanodia: No, that is why I gave my disclosure as well. Yes, thank you. Thank you, Neville, all the best to you and Anshul and the rest of the team.

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Moderator: Thank you. Next question is from Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: Hi, Neville, always fascinating to hear you. Quick questions after hearing what you mentioned. First one is in Quick Commerce. I just wanted to get your thoughts on how do you view the Quick Commerce acceptance in smaller towns? Is there a credible opportunity in these smaller cities, any on ground colour you have, given some of the QC players are now expanding into Tier 2, Tier 3 cities?

Neville Noronha: Latika, I've spoken enough. Like I said, I have a very high regard for what they have done, amazing stuff. But such pointed questions on that business of which I have no experience and I'm not the right person to answer that question. You should ask this question in that company's Analyst Call.

Latika Chopra: Okay I was just looking more from you talked about some impacts.

Neville Noronha: Sorry.

Latika Chopra: You did talk about the impact of the business in the large metro cities, but I was just trying to get a sense from a consumer perspective?

Neville Noronha: I'll tell you how it impacts us. I've mentioned this earlier. So, if it's an impact on DMart I can tell you there has been zero impact in non -metros. In fact, we're doing very well in the non -metros. Because like in one of the earlier analyst meets also, I have spoken about that, while DMart stores in Mumbai or Bangalore are very crowded and very busy, because the size of the stores is relatively smaller, all of that.

In a small town or a non -metro town, our stores are much larger and infra is much better. And the whole experience, the whole shopping experience of going to a DMart store is actually quite pleasurable. So, when you have pleasure and value, I mean, it's a solid, solid moat. It's an awesome moat.

Latika Chopra: Makes sense. Thank you. The second one was on the category makes shift in pre pandemic to now we've probably seen a major shift in general merchandise and just kind of moderated from 27%-28% to now about 22% -23%. As make plans over the next 5 years or 10 years do you see a case where this salience could go back to different levels or this is pretty much likely to be in this range?

Neville Noronha: I have a different take on that. I have answered that also in many previous Analyst Meetings. While I understand the concern of general merchandise and apparel contribution (inadvertently mentioned as 'margins') going down, but triangulate data with how my PATs have trended over the same period. Number one. And number two, how is my gross margin trended over the same period. So, if having more and more shoppers coming and buying more and more FMCG and grocery and all of that.

And hence driving footfalls and making the business more and more strong, then why not? So, we are not really worried so much that my GM and apparel contributions have gone down.

Obviously, it would be nice to have it better than what it is today, but you have to also consider Avenue Supermarts Limited
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the comments I've made again on this topic that whenever we start a new store the general merchandise and apparel contribution is significantly higher.

And as it ages, the FMCG business contribution increases because more and more people in a shorter area start buying more and more and more and more people come to the store. So, the basket shifts. So, that's why it's a secular trend where the store

s' grocery and FMCG buying contribution keeps on increasing. It's a lot to do with that.

Latika Chopra: Sure. Clearly, your gross margins have held steady, so that's commendable despite the category shift. The last bit was on DMart Ready. You have talked about more confidence in the model. I just wanted to check. You have clearly refrained from spending much on advertising this platform. I just wanted to understand any change in approach or thought process here to create more awareness beyond existing customer base of DMart about this platform.

Neville Noronha: I'll ask Vikram Dasu who is with me here, the CEO of DMart Ready, to respond to this.

Vikram Dasu: Hi Latika. We have spent the last few years sort of finessing the model and making a few course corrections as Neville alluded to earlier, last year and also this year. Pivoted is a loaded word, but we've course corrected a little bit and have started focusing more on home delivery. The whole idea of not going to town in a big way in terms of advertising was to make sure that we stand by the promise that we make to the customer.

I think we are in a better position today than we were earlier. You may not have noticed it, but we have started ramping up our outreach efforts and you'll start to see more of it in the coming months. That's what I would like to submit here.

Latika Chopra: That's encouraging to know. Thank you so much. All the best, everyone. Thank you.

Moderator: Thank you. Next question is from Jiten Poojara from Janchor Partners. Please go ahead.

Jiten Poojara: Thank you so much. I really appreciate all the discussion on the industry. I just have one broad question. We are long-term owners of businesses. If you think from a 10 to 15-year perspective, and obviously DMart has always been positioned as a value company. I'm sure you've thought a lot about this.

What about positioning DMart even further as a value company by reducing the gross margin and making the position even stronger versus what's happening in the industry? What are your thoughts about that?

Neville Noronha: I think where we are today is fairly okay, right? If the competitive context around you is at a level very different, or I say higher than you relatively, then I think we are okay where we are.

That would be my response to your question.

Jiten Poojara: The reason I ask this question is because there's a lot of data that shows that the difference in pricing has been reducing. The biggest moat, obviously, as you said, the gross margin of the company, which in other words, I would say the value perception and the actual value promise that the end consumers feel when they walk into DMart.

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Are there other ways to kind of sharpen this continued moat of DMart? One is actually providing even better pricing, but are there other ways that you can do this?

Neville Noronha: Okay, let me put it this way. I get the question now. Good, it makes us think harder. See, you can continue to remain at the same gross margin and still make the price lower for the customer.

If the relationship with your supplier is such that the more the supplier is transparent with you and the more the mutual benefit is appreciated on both sides, over a period of time, there could be an opportunity to bring the price further down for the shopper, even without me further reducing my margin. Makes sense?

Jiten Poojara: Makes sense. Also, just one follow-up on that is, you know, DMart Ready in terms of positioning and pricing, how should we think of it from a 10–15-year perspective? Because it will provide some convenience, not as much as QC probably, but still more convenience than a physical retailer. So, in terms of the price positioning of DMart Ready versus DMart physical large stores, how are you thinking of positioning this from a longer-term perspective?

Neville Noronha: So,

the positioning is that we stand for value. So, we would want DMart Ready also to stand for value. But will it be as cheap as a store? Obviously not. Then you will never make money, right?

So, our philosophy in the longer term is at a small incremental cost because we are doing two things extra for the shopper. We are picking for the shopper and we are delivering it to their home. Eventually, basic laws of economics will prevail, right? There has to be a cost associated with that. So, if you are able to recover that, I think we are okay.

Jiten Poojara: Okay, got it. Thank you.

Moderator: Thank you. Next question is from Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for taking my question. Neville, my question is with regards to the revenue per square feet. Now, if you look at the revenue per square feet in FY20, that was around INR35,500 odd and right now also we are clocking at the same mark. Now, despite five years hence and then inflation etc., that has not increased and the costs though at the same time are increasing, which are keeping a drag on the margins.

So, what is your thought on this? How much of this revenue per square feet do you think is impacted because of the Quick Comm guys operating in the metro towns and taking away some share from there?

Neville Noronha: Gaurav, again on a lighter note, I have answered this earlier also that these are metrics we hardly look at. I think the only time I look at turnover per square feet is just three or four days prior to the analyst call. But otherwise not, and it is for a reason.

The reason being that if 88% (inadvertently mentioned as 92% on the audio call) of my property is ownership, we take a call on what money this location will make basis what we are going to invest in that store. So, turnover per square feet is a vanity for us from that standpoint. For us, ROI at the store is what we look at. So, from that standpoint, we are pretty okay.

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Gaurav Jogani: So, I would put it the other way around. So, if you look at your cost per square feet, those are increasing at a higher pace versus your sales per square feet and which in fact is impacting your margins. So, how do you look at that point is the larger question?

Neville Noronha: My margins are, if you are talking about gross margin, my gross margins are getting impacted because of competitive context.

Gaurav Jogani: No, the EBITDA margin only, the overall EBITDA margin that is.

Neville Noronha: My EBITDA margins are getting impacted because of my opex. My opex is getting impacted primarily because of my employee costs. And like I mentioned earlier that real estate costs are increasing. The amount of money that is required to buy new real estate per square feet is definitely going up. But broadly, ROI is the key.

Gaurav Jogani: Sure. And Neville, my second and last question is with regards to, using your DMart stores as a fulfilment centre. So, you did allude, you know, that probably if you have more fulfilment centres, you can deliver faster and better. So, is there a thought, wherein you can do a three-hour, six-hour kind of a delivery and that could help you to accelerate your DMart Ready or delivery business?

Neville Noronha: So, this is also a question that has been asked earlier and I have answered also earlier, that our existing stores operate at very, very high efficiency. Having a DMart Ready store there, that is actually detrimental to the operations of the DMart store. And there is no dearth of FC availability.

Now, considering our model, we think we can even operate at a smaller sized FC. Earlier, we had our own issues on having confidence in running fulfilment centre at a smaller scale. We've done a few tests and trials. And now we can actually run a fulfilment centre at smaller scale, but we need it to be separate from the store.

An

d if you look at how competition also has done it, right, they've just gone ahead and opened FCs or dark stores, as they call it, at a very, very high pace. They are able to do that because availability is very easy. But we are very clear now that that has to be separate from the store. Obviously, there will be some locations we can have together and we have, but otherwise, in general, it has to be away from the store.

Gaurav Jogani: Sure, Neville. Thanks. Thank you for all your insights all these years and welcome, Anshul.

Moderator: Thank you. Next question is from Jay Gandhi from HDFC Securities. Please go ahead.

Jay Gandhi: Yes, hi. Thank you for the opportunity. So, my question is on distribution centre. For the past couple of years, you nearly doubled the distribution centre count. I just wanted to understand how concentrated this expansion has been. I mean, if you could give me a ballpark of other top three states have, or which are the top three states?

Neville Noronha: This is for the distribution centres, right?

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Jay Gandhi: Yes.

Neville Noronha: Yes, so distribution centres is a function of how many stores we add and what is the concentration of the stores we have. So, this is an ongoing process. And don't go by the numbers, honestly, because distribution centres are a function of what size. So, if I get larger distribution centre, the number of distribution centres will be lower. And if you don't get very large distribution centres, you have to make do with smaller ones, then the number of distribution centres will be larger. So, don't go by that number.

For us, DC makes sense when we have a decent size cluster of stores, such that the trade-off of getting them supplied from a longer distance versus supply from a shorter distance, that's broadly the math. But DC number is not a great indicator according to me.

Jay Gandhi: Okay, but at least the concentration of expansion, maybe the numbers may not be important, but even if it is concentrated in terms of its nature of expansion, maybe perhaps that could help me understand where the focus is in terms of expansion.

Neville Noronha: Yes, so broadly the focus on expansion now is almost everywhere except Northeast and a few states east of the country. We will be looking at, everywhere broadly.

Jay Gandhi: Right. No, fair point. No, just another question on the overall expansion. See, Delhi NCR a couple of years back was about eight stores. It's still about there and thereabouts, nine-odd stores. Just want to understand, are there any operational bottlenecks there or regulatory bottlenecks that perhaps stops us from expanding there in a meaningful way?

Neville Noronha: So, NCR, some pockets, there's no real estate. That's the problem. The number of options available are very, very few, but we're trying our best. But we still believe that NCR kind of location, even in the current situation, can, like if I take a five-year horizon, can we have 100 stores in NCR? Of course, you can have.

Jay Gandhi: Right. No, fair. Now, just shifting to DMart Ready. Now, from a proposition perspective, I just wanted to understand. Right now, I presume you offer a standardized offering of free home delivery, about INR3,000 or there's a certain threshold, right? Now, if, is it possible at similar profitability as today, can you reduce this basket size to probably about 20% -25% odd from where it is?

Would that be a lever for market share gains, even in the metro markets, especially if you combine this with your focus on trying to reduce the service level times to six hours at some point?

Neville Noronha: We keep evaluating. If there's any change, you'll see it. But yes, I mean, these are all thoughts that we have on the table all the time about what are the gain-loss depending on the decision we take. But yes, it's not something we don't thin

k about.

Jay Gandhi: Right. But at current cost structure, obviously, a lower price, lower basket size may not be as profitable, right?

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Neville Noronha: Yes. For us, the basket size is the holy grail.

Jay Gandhi: Fair, fair. Well, thank you. Thank you so much.

Moderator: Thank you. Next question is from Fatema Pacha from Mahindra Manulife. Please go ahead.

Fatema Pacha: Hello, sir. Sir, I think DMart has been the poster boy of running retail in the country, and I think a lot of, I'm sure a lot of takeaways from the way you did the merchandise and the way the retail was run. But there's some business models that are getting listed recently, and maybe we're also getting a look through of how things are being run by other companies.

So just wanting to understand that there are companies who are practically running at a 14% EBITDA margin, and in a way, having like, right from shampoo, like, obviously, I'm not doubting that you need to have a L'Oreal or a Pantene or a Dove, but also having the option for the lower end customer who cannot afford a Dove, but who is actually maybe, using a soap today or a Shikakai or something like that, if you could migrate him to an unbranded shampoo or something like that.

And just, basically just helps in that ladder of premiumisation, because a Lever or a P&G cannot do it. But maybe for you, it makes sense, plus it adds a lot of gross margins to you as well or you think this business model will not make sense.

Neville Noronha: Fatema, if I heard you right, you're saying that other retailers have L'Oreal, Pantene and Dove, and we don't have it? Is that what you meant?

Fatema Pacha: No, no, I'm saying that you, you definitely continue to have it, but also have an option for customers who cannot afford it, in terms of, your own private branded shampoos, which they can take and start using, in a way migrating them from a soap format to, unbranded shampoo format. And then eventually, maybe they will upgrade to the Levers or the P&G. And in the process, you may good gross margin as well, right?

Neville Noronha: Okay, this all we keep doing, it's all a work in progress. But for us, the first thing is, what does the shopper want? And what is the trust that we want to build with the shopper? See, in a shopper's experience three people are involved - shopper, the OEM and the retailer. We are custodians of the shopper's interest, right? So, first is, we must ensure that we have the confidence in what we're selling.

So, margin is not the driver, or profitability is not the driver of decision making on assortment.

The first criteria is to ensure that we have products that we are confident about, are safe, and have the utility and the performance capability at that price for the shopper. So, it's like a work in progress. I understand where you're coming from.

Fatema Pacha: So, the only question I have is that India has very high real estate cost and you have alluded to that, right? And we have seen most of the multi brand retailers, you go to a Shoppers, you see all these big brand retailers, all of them have had the same issue as you in terms of high real estate cost and low margins, because eventually when you sell a branded product, your margin can be only this much.

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And hence, everybody in a way has tried to increase their private label from 20% to 30% to 50% to 70%. So, that is how the real estate in a way as a cost is so prohibitive in India is getting combated. Because the customer at the margin can only afford this much. So, you cannot charge the customer more, that is a given.

So, the only thing is that if you could have your own private label at 20%, 30% lower than a Lever, a P&G brand, just in case if that guy cannot afford the Lever or a P&G product, he can take yo

ur product and you make good margin either way? So, your flow through is good.

Neville Noronha: Correct. We're doing that. But should we push it beyond a point? No. I mean, let the customer

decide. We are very particular about which segments and sub-segments we have private labels in. If I don't have confidence in having a private label in a shampoo category or a toothpaste category, then I will not bring the private label on the shelf. Because it's a question of DMart's reputation.

Fatema Pacha: But any target for this 25%, 30% maybe say in 10 years can go to 40% or something like that, or you wouldn't?

Neville Noronha: No, no. We don't work like that. It's an everyday thing. I mean, see, targets are great up to a point. After that, targets are detrimental to everybody's interests.

Fatema Pacha: Sure. So, pre-COVID, our apparel used to do well. But obviously, post-COVID, things haven't worked out well. Any breakthrough there? Because we are yet seeing some of these diversified retailers being able to get their act on the apparel retail. Because that is also a good gross margin business. And that people at the margin are okay with the private brands?

Neville Noronha: Fatema, I've answered on the apparel business earlier also. We are primarily a food grocer. And being a food grocer has limitations on doing apparel up to an extent. The market allowed us to do a very long, broad-range apparel business because competitive intensity was not so much. As and when you had more and more specialists coming into the apparel business, we pivoted to focusing more on the basics, more and more. Because you have to align your format to what works for you.

So, it is the basic apparel only that makes sense for a business like ours. And we pivoted to that because for us, stock turns are very, very important. And salience to the format is very, very important.

Fatema Pacha: So, this last question, do you theoretically think that your TAM is more than 1,000 stores or at least 1,000 stores?

Neville Noronha: We spoke about it, I think, again sometime back. I think this is a back-of-the-envelope calculation. We have, broadly, for the country, around 1,800, 1,900 stores as a gap across the country.

Fatema Pacha: So, that is your TAM in a way?

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Neville Noronha: Broadly, yes. It's a very conservative outlook. But, yes, as on today, yes. So, 2,200 is approximately the number of stores, out of which 400 something is what we already have. So, 1,800 approximately is the opportunity.

Fatema Pacha: Thank you so much.

Neville Noronha: You're welcome.

Moderator: Thank you. The next question is from Amnish Aggarwal from PL Capital. Please go ahead.

Amnish Aggarwal: Yes, hi, Neville. Just a couple of questions. First being that DMart had raised a QIP. I think we raised around INR4,000 crores pre-COVID. And over the years, we have seen that the cash balances are coming down as we have been, you can say, doing a lot of capex. And you elucidated that you will be doubling down on the store openings and so investment in real estate and all and reasonable amount of debt is good.

So, till now on a net basis, we don't have any debt if we don't assume the lease liabilities. So, what's the management thought process on, you can say, having a reasonable amount of debt, what sort of debt equity in this kind of a business would be comfortable? That is the first part of the question.

The second is, over the last 5 years, we have seen our ROEs also coming off from 18% to 14%.

So, what's the target ROE which DMart is looking at?

Neville Noronha: So, debt, we will prefer not to give a number. We have given colour on that in terms of how we are okay with raising reasonable debt to ensure that the expansion is not kind of slowed down.

So, from that standpoint, we have already given colour. But beyond that, I don't think

we would

like to comment.

In general, even on ROEs or return on net worth, I think we are okay. Like I said, a few basis points here and there, deterioration on P&L, they're perfectly okay. We're playing this for the long game.

So, we are very conscious about how we acquire real estate and at what price we acquire real estate. And there's now reasonable understanding on all of these aspects because of being in the firm for so many years. So, we will continue to ensure that we buy with a very, very conservative lens. But beyond that, Amnish, we can't comment.

Amnish Aggarwal: Yes. So, my second question is regarding DMart Ready, where after being, you can say, having losses within certain band, we have seen increase in particularly our transportation cost and the labour cost.

And given the fact that I think during our quarterly results also, we highlighted that labour costs have been going up. So, do you see that the margins of DMart Ready, and they remain under

pressure for a slightly prolonged period? And do we have any, you can say, target for achieving the break even at the EBITDA level in this format?

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Neville Noronha: So, it depends on EBITDA as per IND -AS, I think it'll be faster. But obviously, rent comes below EBITDA. But anyway, that apart, transportation costs have increased because home delivery has significantly increased. So, look at it like that. But what happens also is that the more home delivery business we get, the opportunity to earn better gross margin improves. And also, like I said, wages went up. We all know that this industry has gone through fire as far as hiring new delivery boys and girls are concerned. So, the wages there have significantly increased. But that's a market phenomenon, demand-supply. So, that is the reason why those numbers look like that.

But in general, our view is that at the P&L level, PAT, we have to break even at that level, not EBITDA. So, all attempts are being made to grow at a reasonable level, and at the same time, try and be as close to break-even as possible. We can't give a clear number, but we're working on it.

Amnish Aggarwal: Okay. And finally, just one bit more. Any dividend policy which you have framed or which you are targeting?

Neville Noronha: Board has to decide that, not me. And this is not a forum to comment on that.

Amnish Aggarwal: Okay. Thanks a lot.

Moderator: Thank you. The next question is from Tejash Shah from Avendus Spark. Please go ahead.

Tejash Shah: Hi. Good afternoon and thanks for the opportunity. Neville, first of all, thanks for a truly fruitful and engaging association over the years. It's been really, really enriching for us as well. So, you have been today candid about, and then you have been in the past also candid about your dissatisfaction with the pace of store expansion.

Now, given that external constraints like format, availability, and execution challenges remain the same, I'm just wondering what levers you can actually pull to accelerate from here on? Or was it always just a matter of focus, but you are now saying there'll be more increased focus from your side to accelerate the same?

Neville Noronha: Yes, very simply was, we'll make it happen. What else can I say? But we'll make it happen. That's all I can say. That focus is needed. We'll get it done.

Tejash Shah: And last call, you had highlighted UP and Odisha as well. So, usually we have not seen we adding two states in the same year. So, is it like Odisha will be first to populate or UP or you have bandwidth to populate two states at the same time?

Neville Noronha: Possible to do both states, but we'll see more stores in UP for obvious reasons. We have inventory there. We have acquired some locations there. So, you'll see that coming. And obviously, UP has a larger opportunity compared to Odisha, from the city

and all of that standpoint.

Tejash Shah: And last, just referring to the last year's call, among the two new initiatives that we had, Minimax and which you spoke about today, the other one was actually Reflect Healthcare on pharma side.

Any thoughts there whether we have reached to a point where we can scale it up?

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Neville Noronha: Yes. Pharma also has a great opportunity. It's a work in progress. We have started. We have seven pharmacy stores now operational and encouraging results. See, all these subsidiary businesses should not be seen as a revenue by itself. These all complement and make the main DMart store format stronger. The reason why they have been built as a separate business is because the nature of the businesses is different.

It needs a different lens of running those businesses and that's why they're separate. But encouraging results and all these businesses or all these companies are created to complement the main business. So, no matter how successful we get in the pharma business or no matter how successful we get in the pizza business, at least my advice to the incoming management team is don't go outside DMart stores.

Do this for DMart stronger. Because sometimes there are these aspirations to say, hey you know what the P&L is looking good. Let's open some pharma stores independently or let's open some pizza restaurants separately. We shouldn't be doing that. We do whatever we do to make the DMart store stronger and stronger. That's the principle.

Tejash Shah: Perfect. And then last one for Anshul. Anshul, as you prepare to take on the CEO role, what aspect of the company strategy do you see non-negotiable and where do you see room to challenge this? Perhaps a bit early, but at this point, how do you assess this?

Anshul Asawa: Yes, I think it is a bit early and possibly next year I'll be able to give a more concrete sense about it. But as I said in the beginning as well, and Neville has also alluded during the course of this meeting, that there are some very clear, strong fundamentals of a value retailer that DMart has actually pioneered here in India. And those don't need to change.

It's a simple organization. I see a sense of ownership in terms of the culture that DMart has across levels. And the principles around assortment, principles around low-cost operations, principles around customer focus. We put assortment based on customer interest rather than what we would want to push. All of these things I don't think need to change in the model. And of course, there will be areas for improvement.

Neville already has spoken about the acceleration that we need to make. But that acceleration will also require that the capabilities, the execution capabilities that we have now need to be translated into a much larger number of stores. We need to have talent which will be able to manage this much larger business going forward across geographies.

And so therefore, all of those things will be areas that one would like to focus on. So, the way I look at it, there would be more of the same with, of course, improvements that we would need to make to be able to manage a stronger and a bigger business going forward.

Tejash Shah: Very clear. Thanks and all the best to the team for future.

Anshul Asawa: Thank you.

Tejash Shah: Thank you.

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Moderator: Thank you very much. We'll take that as the last question. On behalf of Avenue Supermarkets Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or other inconsistencies that might have occurred inadvertently while speaking.